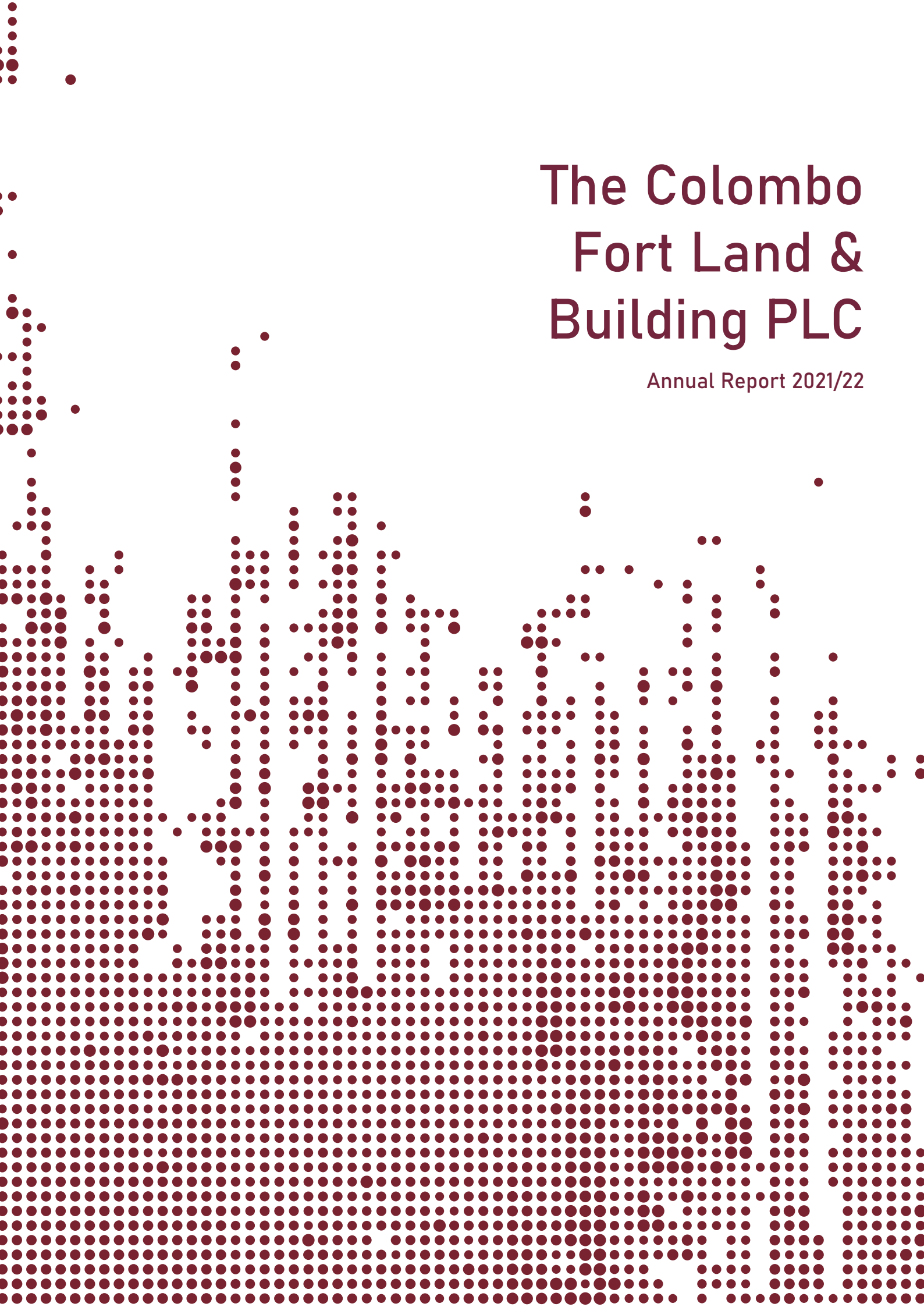




# The Colombo Fort Land & Building PLC

Annual Report 2021/22



Industrial Products



Motors



Consumer Products



Services



Leisure



Investments



Plantations



Manufacturing



Property Rental

## 1895-2022

*The Business was incorporated in 1895 for the purpose of acquiring the premises known as Leyden Bastian and to develop this site to meet the burgeoning demand for high quality office accommodation during that time.*

*Within the span of time the company metamorphose by organic growth as well as through strategic acquisitions into a dynamic conglomerate with diverse interests in investment, chemical and paint, distribution, manufacturing, trading, food processing, motors, hotels & plantations.*

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## Financial Statements

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# Group Financial Highlights

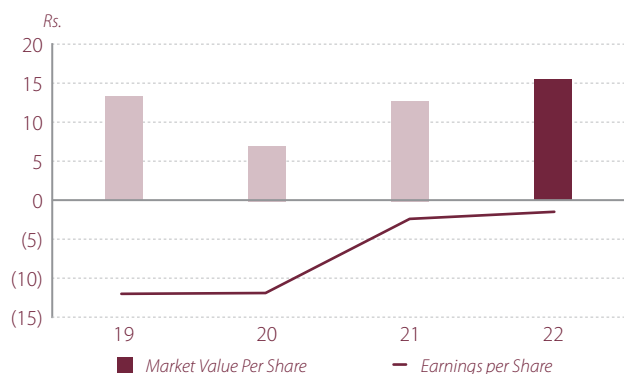
| Financial Performance - For the year ended 31st March, |             | 2022    | 2021   | Change % |
|--------------------------------------------------------|-------------|---------|--------|----------|
| Revenue - Consolidated                                 | Rs. million | 51,556  | 43,232 | 19       |
| Gross Profit                                           | Rs. million | 10,213  | 8,617  | 19       |
| Share of Results of Associates (Net of Tax)            | Rs. million | (116.1) | (24.1) | (382)    |
| Profit before Interest & Tax (EBIT)                    | Rs. million | 3,788   | 3,097  | (22)     |
| Profit/(Loss) before Tax                               | Rs. million | 404     | 493    | (18)     |
| Profit/(Loss) for the Year                             | Rs. million | (148)   | (55)   | (170)    |
| Profit/(Loss) Attributable to-                         |             |         |        |          |
| Owners of the Company                                  | Rs. million | (351)   | (517)  | 32       |
| Non Controlling Interest                               | Rs. million | 203     | 463    | (56)     |

| Financial Position - As at 31st March, |             | 2022   | 2021   | Change % |
|----------------------------------------|-------------|--------|--------|----------|
| Total Assets                           | Rs. million | 55,779 | 49,895 | 12       |
| Total Shareholders' Funds              | Rs. million | 3,913  | 2,817  | 39       |
| Non Controlling Interest               | Rs. million | 4,645  | 3,706  | 25       |
| Total Equity                           | Rs. million | 8,558  | 6,523  | 31       |
| Total Debt                             | Rs. million | 25,692 | 20,369 | 26       |
| Total Capital Employed                 | Rs. million | 34,250 | 26,892 | 27       |
| Net Assets per Share                   | Rs.         | 16.31  | 12.79  | 27       |

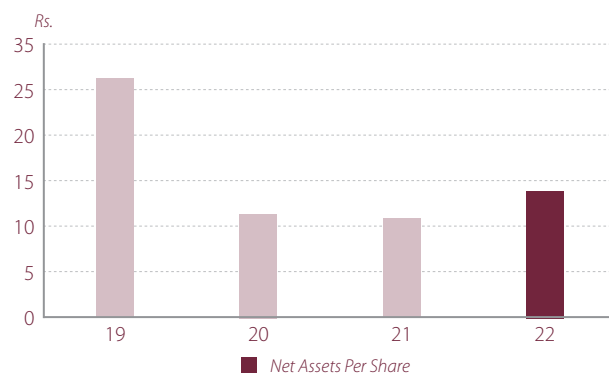
| Market/Shareholder Information - As at 31st March, |              | 2022  | 2021  | Change % |
|----------------------------------------------------|--------------|-------|-------|----------|
| Number of Shares in Issue                          | million      | 240   | 220   | 9        |
| Market Price of Share                              | Rs.          | 13.20 | 12.90 | 2        |
| Market Capitalisation                              | Rs. million  | 3,168 | 2,838 | 12       |
| Price Earnings Ratio (PER)                         | No. of times | (9)   | (5)   | (79)     |

| Key Financial Ratios - As at 31st March, |              | 2022   | 2021   | Change % |
|------------------------------------------|--------------|--------|--------|----------|
| Gross Profit Margin                      | %            | 19.81  | 19.93  | (1)      |
| EBIT Margin                              | %            | 7.35   | 7.16   | 3        |
| Interest Cover                           | No. of times | 1.12   | 1.19   | (6)      |
| Net Profit Margin                        | %            | (0.29) | (0.13) | (121)    |
| Earnings per Share                       | Rs.          | (1.48) | (2.35) | 37       |
| Return on Capital Employed               | %            | 11.06  | 11.52  | (4)      |
| Return on Equity                         | %            | (1.73) | (0.84) | (106)    |
| Debt Ratio                               | %            | 84.66  | 86.93  | (3)      |
| Total Assets Turnover                    | No. of times | 1.08   | 1.15   | (6)      |
| Current Ratio                            | No. of times | 0.43   | 0.39   | 11       |
| Dividend payout Ratio                    | No. of times | -      | -      | -        |
| Dividend Per Share                       | Rs.          | -      | -      | -        |

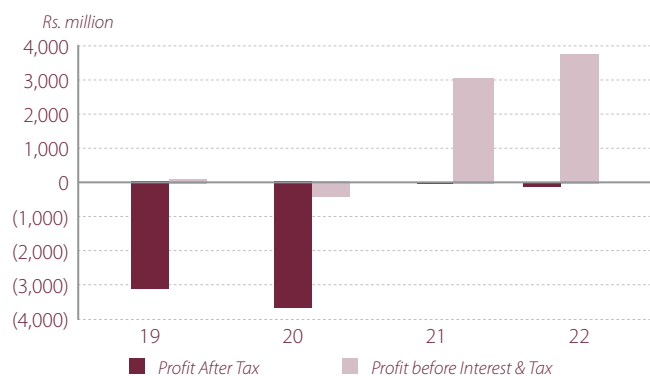
Market Value Vs. Earnings per Share



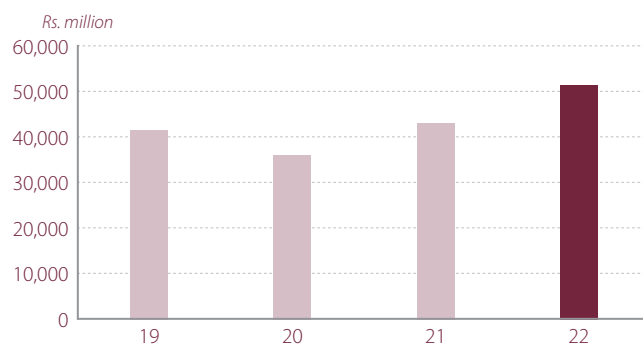
Net Assets Per Share



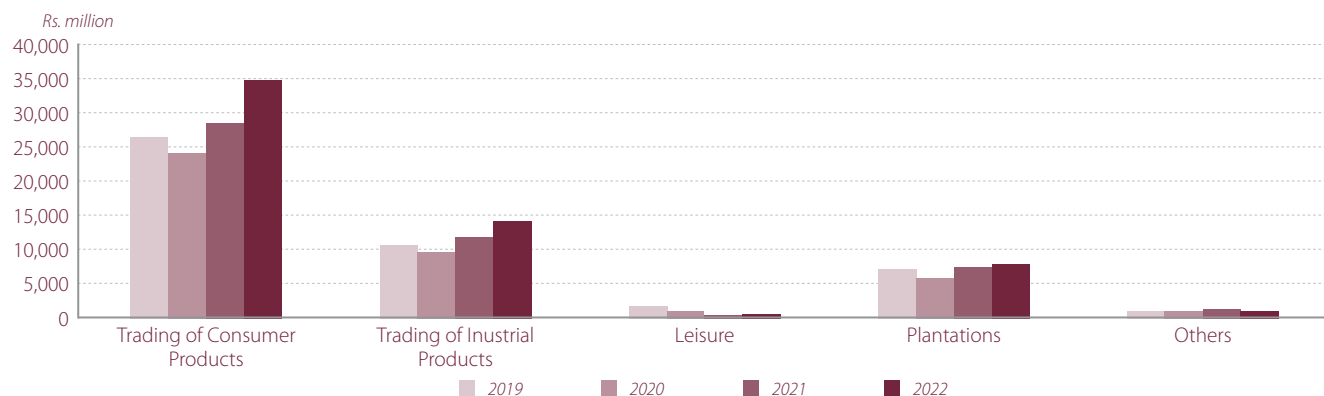
Profit Before Interest & Tax Vs. Profit After Tax



Revenue



Segment Contribution in the Group Revenue-(Gross)



# Chairman's Review

On behalf of the Board of Directors it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March 2022.

The year under review was a challenging year for the Group, mainly due to the volatility of the domestic economic environment as well as the political instability of the Country. The adverse economic conditions in the post Covid environment worsened with high inflation, excessive Interest rates and the devaluation of the Rupee.

In the year 2021, the Sri Lankan economy grew at a slower-than-expected rate of 3.7%. The macroeconomic conditions worsened and reached a critical juncture in 2022. Core inflation accelerated sharply from mid-2021 and reached 12.1% by the end of 2021 which was well above the targeted 4% - 6%.

The escalating trend in inflation has continued so far in 2022. The low interest rate regime continued during the most part of 2021. However, the Market interest rates adjusted upwards in April 2022 and the policy rates were increased by 700 basis points.

Amidst such unprecedented challenges the Group recorded a turnover of Rs.51.5 billion during the year under review compared to a turnover of Rs.43.23 billion in the previous year. The Group concluded the year with a net loss of Rs.148 million compared to a net loss of Rs.54.6 million reported in the previous year. The Group incurred a significant exchange loss on its foreign currency-denominated import liabilities due to the Sri Lankan Rupee being floated on 9th March, 2022, which is also embedded in net finance cost. Despite these circumstances, the Company has recorded a profit of Rs. 261.6 million compared to the Rs.75 million loss recorded in the previous year.

In spite of the challenges faced due to the macroeconomic, political, and social conditions, the Group's Trading Sectors which consist of Consumer Products, Industrial products and the Plantation Sector have remained resilient and progressed forward.

A Collective effort brought about the implementation of several operational strategies across the Group to ensure better financial performance. These included the strategic investment of acquiring ACME Printing and Packaging PLC, prudent diversifications, proper fund utilization to manage working capital and loan liabilities and by adopting strategies to minimise disruptions to supply chains.

The performance of the Group's consumer product segment has improved, with the allocation of increased levels of working capital to navigate through the transitional period the Country is currently undergoing. New capital investments were carried out in expanding the manufacturing and warehousing capacities as well.

Trading of motor vehicles declined due to continuous import restrictions imposed by the Government to mitigate the foreign currency crisis faced by the Country. However, the segment has adopted a strategy to minimise the adverse effect due to the import restriction on motor vehicles by shifting resources towards the sale of spare parts and servicing of motor vehicles.

The Plantation Sector performance has improved owing to the favourable prices offered at the auction as well as the measures undertaken to optimise tea production including initiation of

mechanical harvesting processes to overcome the shortage of workers and stringent cost reduction models adopted to streamline the operational expense base.

The Sri Lankan tourism industry faced continuous challenges such as travel restrictions imposed during the COVID-19 pandemic, the Country's political and economic instability witnessed in the year 2022 and also the war between Russia and Ukraine. The above factors worsened the performance of the Leisure Sector of the Group.

The performance of the Investment Sector was largely affected by the economic conditions of the Country. With the easing of the pandemic situation and improved investor momentum, the Colombo Stock Exchange was on an upward trend, gradually gaining momentum from April 2021 to January 2022 with the All Share Price Index (ASPI) reaching a high of 13,462.39 points in the month of January 2022. However, negative investor sentiment resulting from the forecasted interest rate revisions and the expected downturn of the economy impacted the performance of the Colombo Stock Exchange in the months of February and March 2022. This ensued a steep drop in the ASPI in March 2022, and ended the year at 8,903.87 points.

At present, Sri Lanka is facing one of the worst economic and political crises in its history and the year ahead will be an extremely challenging one for most of our business sectors across the Group. The Group will be faced with the rising domestic interest rates and numerous negative externalities in this highly disruptive business landscape including the unavailability of required foreign exchange for raw material imports as well as the unprecedented currency devaluation. These volatilities are highly likely to adversely affect our overall business model. Nevertheless, we will continue to capitalise on numerous strategic initiatives in pursuit of sustained growth whilst focusing on key areas of managing liquidity, capital efficiency and cost rationalization

On behalf of the Board I wish to convey my sincere gratitude to Mr. Alagarajah Rajaratnam, who relinquished his position as Chairman in June this year, for the valuable and unstinted contribution during his tenure as Chairman and in steering the CFLB Group toward a strong and diverse conglomerate. As Mr. Rajaratnam continues to serve on the Board I look forward to his wise counsel in guiding the CFLB Group from strength to strength.

In conclusion, I wish to extend my sincere appreciation to my colleagues on the Board for their invaluable advice and guidance in determining the strategic direction of the Group. I am humbled by the loyalty of our treasured employees throughout the Group, customers, many business partners and our valued shareholders for their trust and confidence as we forge ahead in our endeavors.

**S.D.R. Arudpragasam**  
*Chairman*

06th September, 2022

# Directors' Profiles

## **S.D.R. Arudpragasam - Chairman**

*FCMA (U.K.)*

Mr. S.D.R. Arudpragasam whilst being associated with The Colombo Fort Land & Building Group of companies since 1982 joined the Board in the year 2000, was appointed Deputy Chairman in November 2011 and as Chairman on 1st July 2022. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC including C M Holdings PLC and Lankem Ceylon PLC. He also functions as Chairman/ Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building Group.

Mr. Arudpragasam is a Fellow of the Chartered Institute of Management Accountants (UK).

## **A. Rajaratnam – Director/ Former Chairman**

*FCA*

Mr. A. Rajaratnam having joined the Board in 1994, was appointed Chairman of the Company in November 2011. He relinquished the Office of Chairman on 30th June 2022 and continues to serve on the Board as a Non-Executive Director. Mr. Rajaratnam also holds other Directorships within The Colombo Fort Land & Building Group.

Mr. Rajaratnam is a Fellow of the Institute of Chartered Accountants of Sri Lanka.

## **C.P.R. Perera – Deputy Chairman**

Mr. C.P.R. Perera was appointed to the Board in May 2013 and was appointed Deputy Chairman with effect from 1st July 2022. He serves on the Boards of several subsidiaries of the CFLB Group and also holds directorships in other private and public companies. He retired as Chairman of Forbes & Walker Ltd. and its subsidiary companies in June 2005 after almost 44 years of service. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. Mr. Perera having held the Office of Chairman of Ceylon Tea Brokers PLC until 1st April 2022 continues to serve as a Non-Executive Director of the said Company. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon, and on the Committee of Management of the Ceylon Planters Provident Society.

## **Anushman Rajaratnam – Group Managing Director**

*B.Sc (Hons.), CPA, MBA*

Mr. Anushman Rajaratnam joined the Board in November 2011 and functions in the capacity of Group Managing Director of The Colombo Fort Land & Building PLC since January 2017. In addition, he serves on the Boards of several subsidiary companies of the CFLB Group. Prior to joining the CFLB Group, he worked overseas for a leading global Accountancy Firm.

He holds a Bachelor of Science degree in Economics from the University of Surrey, UK, CPA Australia and MBA from the Massachusetts Institute of Technology, USA.

## **A.M. de S. Jayaratne - Director**

*B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)*

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies.

He holds a Bachelor of Science degree in Economics and is a Fellow of the Institute of Chartered Accountants of England and Wales and Sri Lanka.

## **R. Seevaratnam - Director**

*B.Sc. (Lond.), FCA (Eng. and Wales), FCA (ICASL)*

Mr. R. Seevaratnam was appointed to the Board in 2009. He is a fellow member of The Institute of Chartered Accountants of England and Wales and Sri Lanka and holder of a General Science Degree from the University of London. He was a former senior partner of KPMG. Mr. Seevaratnam is a Director of several listed and unlisted companies.

## **P.M.A. Sirimane – Group Finance Director**

*FCA, MBA*

Mr. P.M.A. Sirimane was appointed to the Board in May 2017 and currently serves in the capacity of Group Finance Director, CFLB. He joined the E.B. Creasy Group in October, 2009 and was appointed to the Board in November 2009. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Limited, Group Finance Director of United Tractor & Equipment Limited, Chief Financial Officer, Sri Lanka Telecom Limited and Director SLT Hong Kong Limited. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an ex officio member of the International Leasing Association.

Mr. Sirimane also serves on the Boards of several subsidiaries of The Colombo Fort Land & Building Group.

He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Masters in Business Administration from the University of Swinburne, Victoria, Australia.

## **Sanjeev Rajaratnam – Director**

*B.Sc., CA*

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He was appointed Joint Managing Director of E.B. Creasy & Company PLC in April 2018 and holds other Directorships in The Colombo Fort Land & Building Group.

# Management Discussion & Analysis

## COMPANY OVERVIEW

The Colombo Fort Land & Building PLC, as the pioneer of commercial property development in (the then) Ceylon is currently a diversified conglomerate with diverse interests in investment, chemical and paint, distribution, manufacturing, food processing, motors, hotels and plantations. The business was incorporated on 30th April 1985 for the purpose of acquiring the premises known as Leyden Bastian and to develop this site to meet the burgeoning demand for high quality office accommodation during that time.

The Company through organic growth as well as strategic acquisitions currently operates as a dynamic conglomerate and now looks forward with vigour and confidence to meet the emerging challenges

## MACRO-ECONOMIC FACTORS

In the year 2021, the Sri Lankan economy grew at a slower rate of, 3.7% and a recovery was observed in all the sectors from the COVID-19 pandemic. However, core inflation accelerated sharply from mid-2021 and reached 12.1% by the end of 2021. The official foreign reserves of the country started to deplete to its lowest mainly because of the drop in foreign currency earnings from tourism and due to the downgrade of the sovereign rating that affected foreign investments in the capital markets of Sri Lanka. The Sri Lankan rupee started to depreciate against the USD starting from March 2022 with the decision of the Central Bank of Sri Lanka to free float the exchange rate.

The adverse macroeconomic conditions due to ongoing political and economic crisis affected the performance of all the sectors of the group during the year under review and Currently Several key macro-economic indicators are at their worst point in the history, which contribute to many significant risks that affect the group. It is extremely challenging to operate in this highly unpredictable and volatile macroeconomic conditions that has a direct impact on the performance of all the sectors of the group.

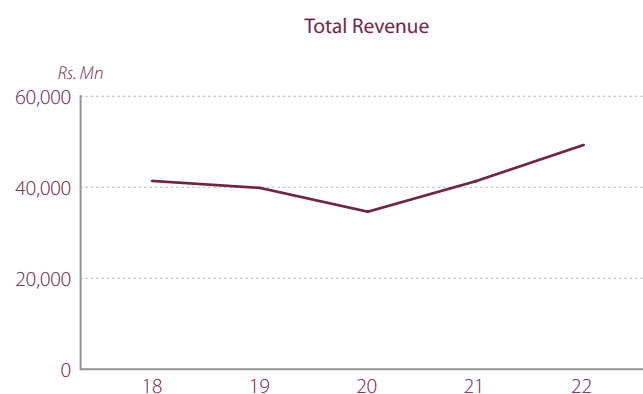
## COMPANY FINANCIAL REVIEW

During the year under review, the company's Profit before tax amounted Rs. 269.50 million reversing the loss amounting to Rs. 86.28 million in the previous year. The Company recorded a revenue of Rs. 106.32 million during the current year (31st March 2021-Rs. 122.53 million). Other Income has increased by 205.2% in comparison to the previous year mainly due to the increased Dividend Income. Administration expenses recorded during the year amounts to Rs. 65.96 million (31st March 2021-Rs. 74.86 million), resulting in a reduction of 11.9%. Finance Income of the Company amounted to Rs. 36.35 million (31st March 2021-Rs. 52.02 million) and this has reduced by 30.1% due to reduction in interest rates and settlement of inter-company debts. The Company has benefited through the reduction of interest expense (31st March 2022-Rs. 62.66 million 31st March 2021-Rs. 67.21 million) when compared to the previous year due to the reduction of interest rates. The Company is liable to Income Tax of Rs. 24.1 million during the year under review (31st March 2021-Rs. 5.80 million). The Company's Investment Properties were revalued at Rs. 3.36 billion as at 31st March, 2022 (Carrying

Value as at 31st March, 2022 – Rs. 799.85 million). The Net Asset Value of the Company as at the end of the financial year was Rs. 9.00 per share as against Rs. 7.71 per share in the previous year.

## GROUP FINANCIAL REVIEW

Despite the challenges faced during the under review, the performance of the group has remained resilient and progressed forward. The group's revenue for the year 2021/2022 increased by 19% to Rs.51.5 billion in comparison to the previous year's revenue of Rs. 43.23 million.



The revenue of all the segments except the "others" segment which consist of investment companies have increased compared to previous year and the below table depicts the year-on-year revenue of each segment.

| For the Year Ended 31st March | Total Revenue   |                 |                 |                 |                 |
|-------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                               | 2018<br>Rs.'000 | 2019<br>Rs.'000 | 2020<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 |
| Trading of Consumer           | 21,141,593      | 21,209,961      | 18,740,686      | 22,590,429      | 27,836,443      |
| Trading of Industrial         | 11,460,194      | 10,654,370      | 9,664,405       | 11,647,411      | 14,095,772      |
| Leisure                       | 1,551,934       | 1,698,352       | 1,169,869       | 430,679         | 693,476         |
| Plantations                   | 8,534,399       | 7,264,624       | 5,898,309       | 7,498,494       | 7,983,311       |
| Others                        | 605,266         | 862,049         | 757,524         | 1,064,506       | 947,261         |
|                               | 43,293,386      | 41,689,356      | 36,230,793      | 43,231,519      | 51,556,263      |

The Group's loss has increased to Rs. 148.30 million in comparison to the previous year's loss of Rs. 54.6 million. The trading of industrial products sector and the plantation sector has recorded an increase in profitability compared to last year, whereas the trading consumer sector and the leisure sector recorded losses.

The table below depicts the year-on-year sector wise profitability of the Group.

| For the Year Ended 31st March | Net Profit      |                 |                 |                 |                 |
|-------------------------------|-----------------|-----------------|-----------------|-----------------|-----------------|
|                               | 2018<br>Rs.'000 | 2019<br>Rs.'000 | 2020<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 |
| Trading of Consumer           | (188,310)       | (1,151,526)     | (742,511)       | 733,908         | (336,283)       |
| Trading of Industrial         | (308,743)       | (747,243)       | (992,099)       | (335,840)       | 280,706         |
| Leisure                       | 126,477         | 162,449         | (1,879)         | (270,275)       | (333,224)       |
| Plantations                   | 468,727         | (1,131,188)     | (1,648,090)     | 244,764         | 484,649         |
| Others                        | (406,426)       | (297,113)       | (321,670)       | (427,228)       | (244,147)       |
|                               | (308,275)       | (3,164,621)     | (3,706,249)     | (54,673)        | (148,300)       |

### TRADING CONSUMER PRODUCTS SECTOR

E B Creasy PLC and C W Mackie PLC in the Consumer Sector have performed extremely well during the year. The C W Mackie PLC group's result from operating activities for the period under review was Rs.808.47 million which is the best ever result in the company's over 100 years in the trading business also, the cumulative group revenue and profit before tax of E B Creasy & Company PLC stood at Rs.17.5 billion and Rs.1.04 billion respectively, both reporting an increase of 27 per cent and 25 per cent respectively over the previous year. The profit before tax grew by Rs. 205.76 million in 2021/2022. The performance of these companies were remarkable under very challenging conditions that prevailed during the year 2021/2022. The foreign exchange gains as a result of drastic depreciation of the Sri Lanka Rupee against the US Dollar and the groups strategies to minimise disruptions to supply chains with persistent focus on working capital efficiencies and cost rationalisation measures of the companies have significantly contributed to this achievement.

However, C M Holdings PLC group recorded a decline in its profit compared to the previous year's Profit before tax of Rs. 399 million owing to the significant decline in the sale of motor vehicles due to continuous import restrictions imposed by the Government to mitigate the foreign currency crisis and due to the decline in the group's gain from its investment portfolio.

The loss of Rs. 336 million of the Consumer Sector is mainly due to the exchange losses of Rs. 1,278 million on the USD loans obtained by the Companies.

### TRADING OF INDUSTRIAL SECTOR

The trading of Industrial products sector revenue increased by 21% and the profits increased by 184% compared to previous year mainly due to the improvement in the performance of Lankem Ceylon PLC and the packaging companies Ceylon Tapes Limited , Kiffs (Private) Limited, J F Packaging Limited and Lanka Special steels Limited. Lankem Ceylon PLC Company recorded a revenue of Rs. 4.4 billion compared to the revenue of Rs. 3.3 billion and a profit before tax Rs. 186 million compared to last year's loss of Rs.174 million. Also, the packaging companies of the sector have performed extremely well and contributed positively to profitability of the sector despite substantial material-related impediments and working capital concerns.

During the year, the group acquired ACME Printing and Packaging PLC to improve the profitability of the group. ACME supplies packaging materials in several varieties.

## LEISURE SECTOR

Leisure sector revenue has increased by 61% despite the continuous challenges faced by the industry such as travel restrictions imposed during COVID-19 pandemic and higher cost of operations. However, the increased operational costs and the shrinking margins, resulted an increase in the loss of the sector for the year under review.

Sigiriya Village Hotels PLC, Beruwala Resorts PLC and Marawila Resorts PLC are the three main Companies that contribute to the performance of the Leisure Sector.

## PLANTATIONS SECTOR

Plantations sector revenue has Increased by 6% and Profit has increased by 98%. Mainly due to the performance of the group's plantation companies Kotagala Plantations PLC and Agarapatana Plantations Limited. The plantation companies have performed well despite the turbulent environment which prevailed during the period and the 35% wage increase. This could be mainly attributed to the stringent cost control measures and heavy concentration on product quality that improved the tea prices in the market compared to the previous years. Kotagala Plantations PLC has performed well during the year under review recording a profit before tax of Rupees 104 million compared to a loss of Rs.190 million incurred in the previous financial year. Revenue increased to Rs.3.47 billion from Rs 3.15 billion.

Agarapatana Plantations Limited also made a profit before tax of Rs. 60 million and the revenue of Agarapatana Plantations Limited increased to Rs 4.4 billion from Rs. 4.2 billion in the previous year.

## OTHERS (INVESTMENT, TRAVEL & OTHER SECTORS)

The revenue of this Sector has decreased by 11% during the year under review. However, the loss has decreased by 43%. This sector mainly consists of Investment Companies including the parent Company, travel companies, power project and other companies that cannot be categorised under main sectors.

## FUTURE OUTLOOK

Currently, given the volatile macro – economic head wind, facing the Sri Lankan economy, the Company is focused on managing its existing businesses as prudentially as possible. Only a drastic improvement in the local economy will allow us to deviate from this strategy.

# Risk Management Review

## OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

## COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

## RISK FACTORS

### Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

### Operational Risk

Operational risk relates to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

### Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates.

### Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

### New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

### Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

### Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

# Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

## THE BOARD

### Board Composition

The Board comprises of one Executive Director and seven Non-Executive Directors of whom three are Independent. The Directors possess the necessary expertise in the fields of finance, corporate management and audit exposure with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

**Mr. S.D.R. Arudpragasam** - Chairman - Non-Executive  
(Appointed as Chairman with effect from 1st July 2022)

**Mr. A. Rajaratnam** - Former Chairman - Non-Executive  
(Relinquished the Office of Chairman with effect from 30th June 2022)

**Mr. C.P.R. Perera** - Deputy Chairman - Independent Non-Executive  
(Appointed as Deputy Chairman with effect from 1st July 2022)

**Mr. Anushman Rajaratnam** - Group Managing Director - Executive

**Mr. A.M. de S. Jayaratne** - Independent Non-Executive

**Mr. R. Seevaratnam** - Independent Non-Executive

**Mr. P.M.A. Sirimane** - Group Finance Director - Non-Executive

**Mr. Sanjeev Rajaratnam** - Non-Executive

### Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

### Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.
- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

### Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

### Chairman's Role

The Chairman is a Non-Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholders and other stakeholders.

### Financial Acumen

The Board includes seven finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

### Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, three are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and audit exposure possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non-Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be "Independent" are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera and Mr. R. Seevaratnam are Directors of several subsidiaries of The Colombo Fort Land

& Building PLC. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Boards of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which has a significant shareholding in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne, Mr. R. Seevaratnam and Mr. C.P.R. Perera have served on the Board of the Listed Entity for over a period of nine years. However, the Board having considered the fact that the said Directors are Independent of management and having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

#### **Nomination Committee and Appointments to the Board**

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

#### **Re-election of Directors**

The Company's Articles of Association require two of the Directors in Office (other than those appointed to the Office of Chairman, Chief Executive, Managing or Joint Managing Director) to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

### **DIRECTORS' REMUNERATION**

#### **Remuneration Committee and the Remuneration Procedure**

The Remuneration Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 19 of this report.

### **RELATIONS WITH SHAREHOLDERS**

#### **Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings**

The Board makes use of the Annual General Meeting/General Meetings to communicate with shareholders and does encourage

their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

#### **Major Transactions**

There have been no transactions during the year under review which fall within the definition of "Major Transactions" under Section 185 of the Companies Act No. 07 of 2007.

### **ACCOUNTABILITY AND AUDIT**

#### **Financial Reporting and Going Concern**

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as "a going concern" in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the "going concern assumption" adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

#### **Compliance with Legal Requirements**

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

#### **Internal Control**

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are conducted to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

# Corporate Governance contd.

## Audit Committee

The Audit Committee for the financial year ended 31st March, 2022 comprised of three Non-Executive Directors of whom two were Independent. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess financial and industry experience to assist the Board in discharging its duties effectively.

The Report of the Audit Committee is set out on pages 16 and 17 of this Annual Report.

## Related Party Transactions Review Committee

The Related Party transactions are disclosed in Note 31 on pages 135 to 141

The Report of the Related Party Transactions Review Committee appears on page 18.

The Company's compliance status with the Colombo Stock Exchange Listing Rules on Corporate Governance is disclosed on pages 10 to 15

## ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE

| CSE Rule No. | Subject                          | Applicable Requirement Status                                                                                                                                                                        | Compliance                                                                | Applicable Section in the Annual Report                         |
|--------------|----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|-----------------------------------------------------------------|
| 7.10.1 (a)   | Non-Executive Directors          | Two or at least one third of the total number of Directors should be Non- Executive Directors.                                                                                                       | Complied                                                                  | Corporate Governance                                            |
| 7.10.2 (a)   | Independent Directors            | Two or one third of Non-Executive Directors, whichever is higher, should be Independent.                                                                                                             | Complied                                                                  | Corporate Governance                                            |
| 7.10.2 (b)   | Independent Directors            | Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.                                                                                 | Complied                                                                  | Corporate Governance                                            |
| 7.10.3 (a)   | Disclosure relating to Directors | The Board shall annually make a determination as to the Independence or Non-Independence of each Non-Executive Director and names of Independent Directors should be disclosed in the Annual Report. | Complied                                                                  | Corporate Governance                                            |
| 7.10.3 (b)   | Disclosure relating to Directors | The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.                                                                                   | Complied                                                                  | Corporate Governance                                            |
| 7.10.3 (c)   | Disclosure relating to Directors | A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.                                      | Complied                                                                  | Directors' Profiles                                             |
| 7.10.3 (d)   | Disclosure relating to Directors | Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.                                                                | Complied<br>Re: Change in Chairmanship and appointment of Deputy Chairman | Directors' Profiles and Annual Report of the Board of Directors |
| 7.10.5       | Remuneration Committee           | A Listed Company shall have a Remuneration Committee in conformity with the following;<br>(a) Composition<br>(b) Function<br>(c) Disclosure in the Annual Report                                     | Complied                                                                  | Corporate Governance and Remuneration Committee Report          |
| 7.10.6       | Audit Committee                  | The Company shall have an Audit Committee.                                                                                                                                                           | Complied                                                                  | Corporate Governance and Audit Committee Report                 |

| CSE Rule No. | Subject                                           | Applicable Requirement Status                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Compliance                                                                                                                                        | Applicable Section in the Annual Report     |
|--------------|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------|
| 7.10.6 (a)   | Composition of Audit Committee                    | <ul style="list-style-type: none"> <li>Shall comprise of a minimum of two Independent Non- Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher.</li> <li>A Non-Executive Director shall be appointed as the Chairman of the Committee.</li> <li>Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings.</li> <li>The Chairman of the Audit Committee or one member should be a member of a professional accounting body.</li> </ul>                                                                                                                                                                                                                                                               | <p>Complied</p> <p>Complied</p> <p>Complied</p> <p>The Group Managing Director and the Group Finance Director attend meetings</p> <p>Complied</p> | Audit Committee Report                      |
| 7.10.6 (b)   | Audit Committee Functions                         | <p>Functions shall include;</p> <p>a) Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards.</p> <p>b) Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements.</p> <p>c) Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards.</p> <p>d) Assessment of the Independence and performance of the External Auditors.</p> <p>e) Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.</p> | <p>Complied</p> <p>Complied</p> <p>Complied</p> <p>Complied</p> <p>Complied</p>                                                                   | Audit Committee Report                      |
| 7.10.6 (c)   | Disclosure in the Annual Report                   | <p>a) Names of Directors comprising the Audit Committee.</p> <p>b) The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination.</p> <p>c) The Annual Report shall contain a Report of the Audit Committee setting out the manner of compliance with their functions.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | <p>Complied</p> <p>Complied</p> <p>Complied</p>                                                                                                   | Audit Committee Report                      |
| 9.1          | Related Party Transactions - Shareholder Approval | The Listed entity shall obtain prior approval from the shareholders by way of a Special Resolution for the Related Party Transactions listed below;                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                   |                                             |
| 9.1.1        | Non-Recurrent Transactions                        | <p>In the event of non recurrent transactions;</p> <p>(a) Any Related Party Transaction of a value equal to, or more than:</p> <p>i. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity;</p> <p>or</p> <p>ii. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other non-recurrent transactions entered into with the same Related Party during the same financial year.</p>                                                                                                                                                                                                                                                                                                                                                           | <p>Not Applicable</p> <p>Not Applicable</p>                                                                                                       | <p>Not Applicable</p> <p>Not Applicable</p> |

## Corporate Governance contd.

| CSE Rule No. | Subject                                                           | Applicable Requirement Status                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Compliance                                                        | Applicable Section in the Annual Report                                                                             |
|--------------|-------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| 9.1.2        | Recurrent Transactions                                            | <p>(a) Any recurrent Related Party Transaction of value equal to, or more than</p> <p>i. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the entity:</p> <p>or</p> <p>ii. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same financial year.</p> <p>and</p> <p>iii. the transactions are not in the ordinary course of the business and in the opinion of the Related Party Transactions Review Committee, are on terms favourable to the Related Party than those generally available to the public</p> | <p>Not Applicable</p> <p>Not Applicable</p> <p>Not Applicable</p> | <p>Not Applicable</p> <p>Not Applicable</p> <p>Not Applicable</p>                                                   |
| 9.2          | Related Party Transactions Review Committee                       | The Related Party Transactions Review Committee (RPTRC) should conform with the following:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                   |                                                                                                                     |
| 9.2.1        | Review of Transactions                                            | Except for transactions set out in Rule 9.5, all other Related Party Transactions should be reviewed by the Related Party Transactions Review Committee                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Complied                                                          | Related Party Transactions Review Committee Report                                                                  |
| 9.2.2        | Composition                                                       | The Committee shall comprise a combination of Non-Executive Directors and Independent Non- Executive Directors and may also include Executive Directors at the option of the Listed Entity. One Independent Non-Executive Director shall be appointed as Chairman.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <p>Complied</p> <p>Complied</p>                                   | Related Party Transactions Review Committee Report                                                                  |
| 9.2.3        | Related Party Transactions Review Committee of the Parent Company | In a situation where both the parent company and the subsidiary are Listed Entities, the RPTRC of the parent company may be permitted to function as the RPTRC of the Subsidiary. However, if the Parent Company is not a Listed Entity, then RPTRC of the Parent Company is not permitted to act as the RPTRC of the subsidiary. The Subsidiary shall have a separate RPTRC.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Not Applicable                                                    | Not Applicable                                                                                                      |
| 9.2.4        | Committee Meetings<br>Documentation of minutes                    | <p>The Committee shall meet at least once a calendar quarter</p> <p>The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | <p>Complied</p> <p>Complied</p>                                   | <p>Related Party Transactions Review Committee Report</p> <p>Related Party Transactions Review Committee Report</p> |
| 9.2.5        | Professional and Expert Advice                                    | Directors of the Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, they should obtain appropriate professional and expert advice from an appropriately qualified person.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Complied                                                          | Related Party Transactions Review Committee Report                                                                  |
| 9.2.6        | Approvals by the Board                                            | Where necessary, the Committee shall request the Board of Directors to approve the Related Party Transactions, which are under review by the Committee. In such instances, the approval of the Board of Directors should be obtained prior to entering into the relevant Related Party Transaction.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Complied                                                          | Related Party Transactions Review Committee Report                                                                  |

| CSE Rule No. | Subject                                                     | Applicable Requirement Status                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Compliance                                                                  | Applicable Section in the Annual Report                                                                                                                                                                                                                                                                                  |
|--------------|-------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 9.2.7        | Material personal interest in Transactions                  | If a director of the Listed Entity has a material personal interest in a matter being considered at a directors' meeting to approve a Related Party Transaction as required in Rule 9.2.6 above, such director shall not: (a) be present while the matter is being considered at the meeting, and; (b) vote on the matter.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Not Applicable                                                              | Not Applicable                                                                                                                                                                                                                                                                                                           |
| 9.3          | Disclosures                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                             |                                                                                                                                                                                                                                                                                                                          |
| 9.3.1        | Immediate Disclosures                                       | <p>i. The Listed Entity shall make an immediate announcement to the exchange:<br/>of any non-recurrent Related Party Transaction with a value exceeding 10% of the Equity or 5% of the Total Assets whichever is lower, of the Entity as per the latest Audited Financial Statements.</p> <p>or</p> <p>of the latest transaction if the aggregate value of all Non- Recurrent Related Party Transactions entered into with the same Related Party during the same Financial year amounts to 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements.</p> <p>ii. Listed entity shall disclose subsequent non-recurrent transactions which exceeds 5% of the equity of the entity, entered into with the same Related Party during the financial year.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Not Applicable                                                              | All the Non- Recurrent transactions were below the disclosure threshold                                                                                                                                                                                                                                                  |
| 9.3.2        | Disclosure in the Annual Report                             | <p>a) Disclosure of Non-Recurrent Related Party Transactions if aggregate value of the Non- Recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity as per the latest Audited Financial Statements, the information must be presented in the Annual Report in accordance with the prescribed format under 9.3.2 (a) of the Listing Rules.</p> <p>b) Disclosure of Recurrent Related Party Transactions If the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/ income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements. The Listed entity must disclose the aggregate value of Recurrent Related Party Transactions entered into during the financial year in the Annual Report in accordance with the prescribed format under 9.3.2 (b) of the Listing Rules.</p> <p>c) Report by the Related Party Transactions Review Committee</p> <p>d) A declaration by the Board of Directors in the Annual Report as an affirmative statement of the compliance with these Rules pertaining to Related Party Transactions or a negative statement in the event the Entity has not entered into any Related Party Transaction/s.</p> | <p>Not Applicable</p> <p>Not Applicable</p> <p>Complied</p> <p>Complied</p> | <p>All the Non- Recurrent transactions were below the disclosure threshold</p> <p>All the Recurrent transactions were below the disclosure threshold</p> <p>Related Party Transactions Review Committee Report</p> <p>Related Party Transactions Review Committee Report and Annual Report of the Board of Directors</p> |
| 9.4          | Acquisition and Disposal of Assets from/ to Related Parties |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                             |                                                                                                                                                                                                                                                                                                                          |
| 9.4.1        |                                                             | The Listed Entity nor any of its subsidiaries without obtaining prior approval from the shareholders by way of a special resolution, should not acquire or dispose of from / to any Related Party an asset/assets amounting to a value which exceeds 1/3 of the total assets of the Entity (a substantial asset ) as per latest Audited Financial Statements                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Not Applicable                                                              | Not Applicable                                                                                                                                                                                                                                                                                                           |
| 9.4.4        |                                                             | The members of the Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Not Applicable                                                              | Not Applicable                                                                                                                                                                                                                                                                                                           |
| 9.4.5        |                                                             | The competent independent advice obtained in terms of Rule 9.4.4 above should be circulated with the notice of meeting to obtain the shareholder approval as set out in Rule 9.4.1 above.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Not Applicable                                                              | Not Applicable                                                                                                                                                                                                                                                                                                           |

# Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

## Role of the Audit Committee

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements of the Company and the Group.

The Audit Committee reviews and advises the Company to ensure that the Financial Reporting system is in adherence with the Sri Lanka Accounting Standards and other regulatory and statutory requirements. It also reviews the adequacy of internal controls and the business risks and the independence of the Company's External Audit function.

The Audit Committee has reviewed and discussed the Group's quarterly and annual financial statements prior to publication. The review included ascertaining compliance of same with the Sri Lanka Accounting Standards, the appropriateness and changes in accounting policies and material judgemental matters. The Committee also discussed with the External Auditors and management, any matters communicated to the Committee by the External Auditors in their reports to the Committee on the audit for the year.

The Committee also reviews the financial reporting system adopted by the Group in the preparation of its Quarterly and Annual Financial Statements to ensure reliability of the processes and consistency of the accounting policies and methods adopted and compliance thereof with the Sri Lanka Accounting Standards laid down by The Institute of Chartered Accountants of Sri Lanka. The methodology included obtaining statement of compliance by the Heads of Finance and Directors-in-Charge of subsidiaries. The Committee recommends the Financial Statements to the Board of Directors for its deliberation and issuance. The Committee in its evaluation of the Financial Reporting System also recognised the adequacy of the content and the quality of routine management information and reports forwarded to its members.

The Committee's responsibilities pertain to the Group as a whole and in discharging its responsibilities, the Committee places reliance on the work of other Audit Committees in the Group without prejudicing the independence of those Committees. However, to the extent, and in a manner it considers appropriate, the Committee provides feedback to those entities for their consideration and necessary action.

## Composition

The Audit Committee for the financial year ended 31st March, 2022 comprised of three Non-Executive Directors of whom two were independent. The Chairman of the Committee, Mr. R. Seevaratnam, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales. The members of the Committee are named below.

**Mr. R. Seevaratnam** - *Chairman - Independent Non-Executive*

**Mr. A.M. de S. Jayaratne** - *Member - Independent Non-Executive*

**Mr. S.D.R. Arudpragasam** - *Member - Non-Executive*

The Committee has a blend of experience in the commercial sector with financial expertise, audit exposure and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

## Meetings and Attendance

The Audit Committee has met on six occasions during the financial year ended 31st March, 2022 and the attendance was as follows:

Mr. R. Seevaratnam - *Chairman* (6/6)

Mr. A.M. de S. Jayaratne (5/6)

Mr. S.D.R. Arudpragasam (4/6)

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries, the Group Managing Director, the Group Finance Director and other Directors and Senior Managers from the Group are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

## Terms of Reference

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- a) Risk Management.
- b) Efficiency of the system of internal controls.
- c) Independence and objectivity of the External (Statutory) Auditors.
- d) Appropriateness of the principal accounting policies used.
- e) Financial Statement integrity.

## Compliance

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

## Group Internal Audit

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

## External Audit

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2022 and the services provided by them are segregated between audit/ assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. KPMG Chartered Accountants has also issued a declaration as required by the Companies Act No.7 of 2007, that they do not have any relationship or interest in any of the Companies in the Group which may have a bearing on the independence of their role as Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2023 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

## Conclusion

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.



**R. Seevaratnam**  
*Chairman*  
*Audit Committee*

06th September, 2022

# Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee (RPTRC) is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transaction.

## Composition

The Related Party Transactions Review Committee of the Company comprises of the following members:

Mr. R. Seevaratnam - Chairman - Independent  
Non-Executive Director

Mr. A.M. de S. Jayaratne - Member - Independent  
Non-Executive Director

Mr. S.D.R. Arudpragasam - Member - Non-Executive Director

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

## Meetings of the Committee

The RPTRC has met on six occasions during the financial year ended 31st March 2022 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman (6/6)

Mr. A.M. de S. Jayaratne (5/6)

Mr. S.D.R. Arudpragasam (4/6)

Meetings of the RPTRC have been held in each quarter of the financial year. In addition to these Meetings on several occasions Related Party Transactions were referred to the RPTRC and have been reviewed and recommended by Resolutions in writing.

The activities and views and proceedings of meetings of the Related Party Transactions Review Committee are duly documented and minuted and submitted to the Board of Directors.

## Policies, Procedures and Functions of the Committee:

The Policies and Procedures adopted by the Related Party Transactions Review Committee when reviewing and recommending transactions are consistent with Section 9 of the Listing Rules of the Colombo Stock Exchange.

The functions of the Committee are as follows:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.

- Establish guidelines for Senior Management to follow ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

## Conclusion

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules and that the Company has complied with the requirements of the Listing Rules on Related Party Transactions.



R. Seevaratnam

Chairman

Related Party Transactions Review Committee

06th September, 2022

# Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - *Chairman / Independent Non-Executive*  
Mr. R. Seevaratnam - *Member / Independent Non-Executive*  
Mr. S.D.R. Arudpragasam - *Member / Non-Executive*

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group.

The Company does not have any employees and as such does not require the Remuneration Committee to decide on Executive compensation. The individual Group Companies have their own Remuneration Committees.

The Remuneration Committee meets on the same day as the Audit Committee of CFLB only if it is required, to give guidance and recommendations to any of the Remuneration Committees of its subsidiaries.

The key objective of the Committee is to attract, motivate and retain qualified and experienced personnel throughout the Group and to ensure that the remuneration of Executives at each level of management is competitive and are rewarded in a fair manner based on their performance and having regard to comparable market statistics and the operating results of the companies within the Group.



  
**A.M. de S. Jayaratne**  
*Chairman*  
*Remuneration Committee*

06th September, 2022

# Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2022.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

## GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

## PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review and Management Discussion and Analysis which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

## FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 30 to 35.

## INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on pages 24 to 29

## ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 36 to 52.

## INTEREST REGISTER

### Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 31 'Related Party Transactions', on pages 135 to 141.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

### Directors' Interest in Shares

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

| Name of Director     | No. of shares<br>as at 31.03.2022 | No. of shares<br>as at 31.03.2021 |
|----------------------|-----------------------------------|-----------------------------------|
| S.D.R. Arudpragasam  | -                                 | 176,000                           |
| A. Rajaratnam        | -                                 | -                                 |
| C.P.R. Perera        | 10,000                            | 10,000                            |
| Anushman Rajaratnam  | 153,735                           | 75,555                            |
| A.M. de S. Jayaratne | 666                               | 666                               |
| R. Seevaratnam       | -                                 | -                                 |
| S. Rajaratnam        | 2,000,000                         | 1,076,133                         |
| P.M.A. Sirimane      | -                                 | -                                 |

## DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2021/2022 is given in Note 7 to the Financial Statements on page 55.

## CORPORATE DONATIONS

No donations were made by the Company during the year.

## DIRECTORATE

The names of the Directors who held office during the financial year are given below and are profiled on page 5.

Mr. S.D.R. Arudpragasam - Chairman  
(Appointed Chairman w.e.f. 01.07.2022)  
Mr. A. Rajaratnam - Former Chairman  
(Relinquished the Office of Chairman w.e.f. 30.06.2022)  
Mr. C.P.R. Perera - Deputy Chairman  
(Appointed Deputy Chairman w.e.f. 01.07.2022)  
Mr. Anushman Rajaratnam - Group Managing Director  
Mr. A.M. de S. Jayaratne  
Mr. R. Seevaratnam  
Mr. P.M.A. Sirimane - Group Finance Director  
Mr. Sanjeev Rajaratnam

Mr. A. Rajaratnam relinquished the Office of Chairman with effect from 30th June 2022 and continues to serve on the Board as a Non-Executive Director.

Mr. S.D.R. Arudpragasam was appointed as Chairman with effect from 1st July 2022.

Mr. C.P.R. Perera was appointed as Deputy Chairman with effect from 1st July 2022.

In terms of Articles 85 and 86 of the Articles of Association Mr. P.M.A. Sirimane and Mr. Sanjeev Rajaratnam retire by rotation and being eligible offer themselves for re-election.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. A. Rajaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. R. Seevaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. S.D.R. Arudpragasam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting

## **CORPORATE GOVERNANCE**

The Corporate Governance Principles adhered to by the Company are given on pages 10 to 15.

## **AUDITORS**

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs. 1,410,000/- (2020/2021 - Rs. 1,224,700/-) as audit fees by the Company. In addition, they were paid Rs. 163,336/- (2020/2021 - Rs.164,864/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

## **REVENUE**

The revenue of the Company for the year was Rs. 106.32 million (2020/2021 - Rs. 122.53 million).

## **RESULTS**

The Company made a net profit before tax of Rs. 269.05 million against a loss of Rs. 86.28 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 30.

## **INVESTMENTS**

The Cost of Investments in Quoted Securities held as at 31st March, 2022 were Rs. 1,551.90 million (2020/2021 - Rs. 1,229.27 million) and the Market Value of such Investments were Rs. 4,130.99 million (2020/2021 - Rs. 5,503.51 million). The detailed investment portfolio is given in Notes 15, 16 and 17 to the Financial Statements on pages 78 to 100.

## **PROPERTY, PLANT & EQUIPMENT**

During 2021/2022, the Company invested Rs. 0.17 million Property, Plant & Equipment (2020/2021 - Rs. 0.3 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2022.

## **PRIVATE PLACEMENT OF SHARES**

The Company on 6th May 2021, allotted 3,247,000 and 16,416,195 ordinary shares at Rs. 10/- per share to Corporate Holdings (Pvt.) Ltd., and Financial Trust Ltd., respectively by way of a Private Placement which was approved by the shareholders of the Company at an Extraordinary General Meeting held on 6th May 2021. The said shares were placed in settlement of debts due to Corporate Holdings (Pvt.) Ltd., and Financial Trust Ltd., amounting to Rs. 32,470,000/- and R.164,161,950/- respectively.

## **STATED CAPITAL**

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2022 was Rs. 927,000,000/- represented by 240,000,000 issued and fully paid Ordinary Shares.

## **RESERVES**

The total reserves of the Company as at 31st March, 2022 amounted to Rs. 1,231.92 (2020/21 - Rs. 968.56 million). The Reserves comprise, Property Development Reserve of Rs. 10 million (2020/2021 - Rs. 10 million), General Reserve of Rs. 0.5 million (2020/2021 - Rs. 0.5 million), Available for Sale Reserve of Rs. 4.74 million (2020/2021 - Rs. 2.96 million) and the accumulated profit of Rs. 1,216.67 million (2020/2021 - Rs. 955.1 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

## **TAXATION**

In terms of the Inland Revenue Act No. 24 of 2017 and subsequent amendments thereto the Company is liable to pay income tax at the rate of 24% on Profits and 14% on Dividend Income for the Year of Assessment 2021/2022. The details of the Income Tax Computation are given in Note 8 to the Financial Statements on pages 55 to 58.

## **RELATED PARTY TRANSACTIONS**

During the financial year there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 09 of the Colombo Stock Exchange Listing Rules and the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 31 from pages 135 to 141.

## **SHARE INFORMATION**

Information relating to earnings, net assets, market value per share and share trading is given on pages 161 and 162.

# Annual Report of the Board of Directors contd.

## EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 38 to the Financial Statements on page 154.

## CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 35 and 36 to the Financial Statements on pages 147 to 150.

## EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

## SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

## STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

## ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

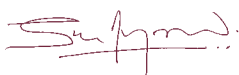
## INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

## GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,



**S.D.R. Arudpragasam**  
Director



**Anushman Rajaratnam**  
Director

By Order of the Board,



**Corporate Managers & Secretaries (Private) Limited**  
Managers & Secretaries

Colombo  
06th September, 2022

# Financial Statement

## Financial Statements

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# Independent Auditor's Report



KPMG  
(Chartered Accountants)  
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## TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

### OPINION

We have audited the financial statements of The Colombo Fort Land & Building PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 March 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 30 to 159 of the Annual Report.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 March 2022, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

### BASIS FOR OPINION

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

#### 01. MANAGEMENT ASSESSMENT OF THE GROUP'S ABILITY TO CONTINUE AS GOING CONCERN AND IMPAIRMENT OF GOODWILL RECORDED IN GROUP FINANCIAL STATEMENTS.

Refer note 14.1 and 37 to the financial statements and accounting policies note 3.3.5.2

#### Risk Description

The Group incurred loss of Rs 148 Mn for the year ended 31 March 2022 (2021 – Rs. 55 Mn) and as at that date the Group current liabilities exceed its current assets by Rs. 8,706 Mn. As disclosed in Note 37 to the financial statements, this is mainly due to the fact that some of the subsidiaries of the Group namely Union Commodities (Private) Limited, Marawila Resorts PLC, Beruwala Resorts PLC and Galle Fort Hotels (Private) Limited have incurred a net loss of Rs. 954 Mn, Rs. 197 Mn, Rs. 137 Mn and Rs. 103 Mn respectively during the year ended 31 March 2022. Further as of that date, accumulated losses of Union Commodities (Private) Limited, Agarapathana Plantations Limited, Lakem Ceylon PLC (Group), Consolidated Tea Plantations Limited, Kotagala Plantations PLC and Lankem Developments PLC amounted to Rs. 2,129 Mn, Rs. 2,014 Mn, Rs. 1,711 Mn, Rs. 1,172 Mn, Rs. 882 Mn and Rs. 781 Mn respectively. However, the directors have determined that use of the going concern basis of accounting is appropriate in preparing the financial statements. Their assessment of the going concern was based on the feasibility of management plans and cash flow forecasts.

KPMG, a Sri Lankan Partnership and a member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee.

|                                                                                                                       |                            |                           |
|-----------------------------------------------------------------------------------------------------------------------|----------------------------|---------------------------|
| P.Y.S. Perera FCA                                                                                                     | C.P. Jayatilake FCA        | T.J.S. Rajakarier FCA     |
| W.J.C. Perera FCA                                                                                                     | Ms. S. Joseph FCA          | Ms. S.M.B. Jayasekara FCA |
| W.K.D.C. Abeyrathne FCA                                                                                               | S.T.D.L. Perera FCA        | G.A.U. Karunaratne FCA    |
| R.M.D.B. Rajapakse FCA                                                                                                | Ms. B.K.D.T.N. Rodrigo FCA | R.H. Rajan FCA            |
| M.N.M. Shameel FCA                                                                                                    | Ms. C.T.K.N. Perera ACA    | A.M.R.P. Alahakoon ACA    |
| Ms. P.M.K. Sumanasekara FCA                                                                                           |                            |                           |
| Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA, W.A.A. Weerasekara CFA, ACMA, MRICS |                            |                           |



Further, as at 31 March 2022, the Group recorded Rs. 670 Mn as goodwill. As required by relevant accounting standards, as at 31 March 2022 the management performed an impairment assessment on goodwill by allocating it to the respective cash generating units and determined their recoverable amounts based on value-in-use calculations.

Due to the inherent uncertainty involved in forecasting and discounting cash flows, which are the basis of the Management's assessment of the Group's ability to continue as a going concern and impairment of goodwill, this is one of the key judgment areas that our audit is concentrated in.

**Our audit procedures included,**

- Obtaining an understanding of management's assessment of cash flow forecast and impairment assessment process.
- Assessing the credibility of business plan and cash flow forecasts which were used by the management for the assessment of recoverability of the goodwill.
- Assessing whether the estimates reflected the latest economic conditions pursuant to the prevailing uncertain and volatile macro-economic environment and implications of COVID 19 outbreak.
- Obtaining the forecasted cash flows of the subsidiaries and assessing the reasonableness of the discounted cash flow models, principles and accuracy of the forecasts and challenging the assumptions used and the valuation technique applied.
- Evaluating the adequacy of the Group's going concern disclosures and impairment of Goodwill in the financial statements.

**02. MEASUREMENT OF BIOLOGICAL ASSETS – GROUP**

Refer note 10.4 & 10.6 to the financial statements and accounting policies note 3.10.9.

**Risk Description**

The Group has recognised bearer biological assets in the amount of Rs. 5,418 Mn and consumable biological assets in the amount of Rs 3,134 Mn.

**Consumable Biological Assets**

The commercially cultivated timber trees on estates managed by the Group are classified as consumable biological assets and are measured at each reporting date at fair value less estimated cost to sell at harvest. The trees younger than 5 years (if any) are carried at cost less impairment as the fair value cannot be reliably measured. The valuation of consumable biological assets requires significant levels of judgments and technical expertise in selecting appropriate valuation models and assumptions. Management engaged a subject matter expert who is an incorporated valuer and a member of The Institute of Valuers of Sri Lanka to perform an independent valuation of the consumer biological assets of the Group as at reporting date.

**Bearer Biological Assets**

Bearer biological assets mainly include mature and immature tea fields. Inappropriate transfer from immature to mature plantations has a significant impact on the carrying value of the bearer plants and the reported profits as capitalization of costs will cease from the point of transfer and the mature plantations are depreciated over the useful lives of the plants. As per the industry practice, transfer of immature plantations to mature plantation fields happens at the point of commencement of commercial harvesting. The actual point of which commercial harvesting could start depends on the soil condition, weather patterns and plant breed.

We considered measurement of biological assets as a key audit matter because the valuation of consumable biological assets involved significant judgments exercised by the management and external valuation expert and were subjected to significant level of estimation uncertainty. Further, immature to mature transfer of bearer biological assets require management to exercise their judgement in determining the point at which a plant is deemed ready for commercial harvesting.

**Our audit procedures for Consumable Biological Assets included,**

- Evaluating the competence, qualifications, capabilities and objectivity of the independent valuer.
- Obtaining estate wise census books of timber trees and comparing the number of timber trees recorded in the census book with the valuation report to ensure the completeness and accuracy of the data. We also evaluated the accuracy of valuation formular contained in the valuation report.
- Assessing the key assumptions and methodology used in the valuation, in particular the discount rate, estimated height and average market price by comparing with industry norms that are generally accepted in determining volume of timber.
- Verifying the mathematical accuracy of the consumable biological assets valuation.
- Assessing the adequacy of the disclosure of Consumable biological assets made in the notes to the financial statements.



**Our audit procedures for Bearer Biological Assets included,**

- Assessing the processes and controls in place to ensure proper identification of the expenses to be capitalized relating to immature plantations.
- Validating the significant amounts capitalized (including capitalized labour and other acceptable costs) by examining related invoices, capital expenditure authorizations and other corroborative evidences.
- Assessing if the timely transfers from respective immature to matured plantation categories are made focusing on ageing profile of immature plantations.
- Inspecting the ageing profile of the immature biological assets as of the reporting date to ensure that triggers of impairment (if any) are duly identified, assessed for probable impairment losses and duly accounted for in the financial statements.
- Assessing the adequacy of the disclosure of bearer biological assets made in the notes to the financial statements.

**03. VALUATION OF RETIREMENT BENEFIT OBLIGATIONS – GROUP**

Refer note 28 to the financial statements and accounting policy for note 3.6.

**Risk Description**

The Group has recognised retirement benefit obligations in the amount of Rs. 3,006 Mn.

The valuation of the Group's retirement benefit obligation requires significant judgment and estimation to be applied across numerous assumptions, including salary increases and discount rate. Minor changes in those assumptions could have a significant effect on the financial performance and financial position of the Group. Management engaged an independent actuary to assist them in the estimation of the Retirement benefit obligation.

We considered the estimation of the retirement benefit obligation to be a key audit matter due to the magnitude of the amounts recognized in the financial statements as well as estimation uncertainty involved in determining the amounts.

**Our audit procedures included,**

- Assessing the competency, objectivity and capabilities of the independent actuary engaged by the Group.
- Testing the samples of the employees' details used in the computation to the human resource records and performed re-computation of the post-employment benefit liabilities with the assistance of our internal valuation specialist.
- Evaluating the reasonableness of the total annual salaries used in the computation by comparing to the historical data.
- Assessing reasonableness of the other key assumptions used in the valuation, in particular the discount rate, inflation rate and future salary increment rate.
- Assessing the adequacy of the disclosures made in the financial statements including sensitivity analysis.

**04. RECOVERABILITY OF DEFERRED TAX ASSETS ON ACCUMULATED TAX LOSSES – GROUP**

Refer note 18 & 27 to the financial statements and accounting policy for note 3.9.2.

**Risk Description**

The Group has recorded deferred tax assets of Rs. 638 Mn and Rs. 508 under note 18 & 27 respectively as at 31 March 2022 for deductible temporary differences arising from accumulated tax losses that it believes are recoverable.

The recoverability of recognised deferred tax assets is dependent on the Group's ability to generate future taxable profits sufficient to utilise deductible temporary differences and tax losses (before the latter expire).

We have determined this to be a key audit matter, due to the inherent uncertainty in forecasting the amount and timing of future taxable profits and the reversal of temporary differences.

**Our audit procedures included,**

- Assessing the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets on accumulated tax losses.
- Challenging the key assumptions included in forecasting the future taxable profits after considering the accumulated unutilized tax losses by comparing the key inputs used in the forecasts, including future revenue growth, management of operating costs with historical performance of the entities.
- Assessing the appropriateness of the approval for the forecasts used by the management.
- Assessing the adequacy of disclosures in the financial statements as required by the relevant accounting standards.



## 05. REVENUE RECOGNITION - GROUP

Refer note 04 to the financial statements and accounting policies for note 3.8.1.

### Risk Description

The Group recorded revenue of Rs. 51,556 Mn (2021 - Rs. 43,232 Mn). For the financial year ended 31st March 2022, revenue from E.B. Creasy & Company PLC and its subsidiaries continued to be the main revenue stream for the Group amounting to Rs. 17,509 Mn (2021: Rs. 13,767 Mn) which is 34% of the Group revenue.

E.B. Creasy & Company PLC and its subsidiaries recognise Revenue from sale of goods when control has been transferred to the buyer; and is measured net of trade discounts.

Based on the business model, there are many different types of revenues, arising from different types of transactions and events with customers.

In addition, the subsidiary considers revenue as an important element in the preparation of budgets and measuring management performance. These factors could create an incentive for revenue to be recognised prior to control being transferred.

Considering above factors, we identified revenue as a key audit matter because revenue is a significant audit risk, significance to the Group financial statements and one of the key performance indicators of the subsidiary and therefore, there is an inherent risk of manipulation of the timing of revenue recognition by management to meet specific targets or expectations.

### Our audit procedures included:

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over the revenue recognition and measurement.
- Evaluating the appropriateness of the Group's revenue recognition policies, including the recognition, measurement and classification criteria as well as disclosure requirements as per SLFRS 15.
- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of key IT application controls over revenue, in addition to evaluating the integrity of the general IT control environment.
- Performing test of details over revenue by inspecting a sample of invoices and credit notes in order to ensure revenue is recognised and measured in accordance with the contractual terms of the contract and the Group accounting policies.
- On a sample basis, comparing specific revenue transactions recorded before and after the financial year end with the underlining goods delivery notes and/or invoices to assess whether the related revenue had been recognized in the correct financial period.

## 06. CARRYING VALUE OF INVENTORIES – GROUP

Refer note 19 to the financial statements and accounting policies for note 3.2.9

### Risk Description

The Group has recognized inventories amounting to Rs. 9,146 Mn as at 31 March 2022 out of that Rs. 3,417 Mn amount of Inventories derived from E. B. Creasy & Company PLC and its subsidiaries which is 37% of the Group's Inventories.

E.B. Creasy & Company PLC and its subsidiaries have significant amount of inventory and judgment is exercised with regard to categorisation of stocks as obsolete and/or slow moving to be considered for provision; estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive valuation based on lower of cost and net realizable value. Given the level of judgements and estimates involved this is considered to be a key audit matter.

### Our audit procedures included,

- Obtaining an understanding of and assessing the design, implementation and operating effectiveness of management's key internal controls over inventory valuation and identify slow moving and obsolete inventories;
- Comparison of inventory levels, by product group, to sales data to corroborate whether slow moving and obsolete inventories had been appropriately identified and challenge the categorisation as obsolete or slow moving;
- Attending stock counts as at the year end. In addition, assessing the effectiveness of the physical count controls in operation at each count location to identify damaged stocks, expired stocks and stock shortages that are written off in a timely manner and evaluating the results of the other cycle counts performed by the management and third parties throughout the period to assess the level of count variances that are also adjusted periodically;



- Assessing the realisations of inventories during the period and after the period end, in particular of clearance categories, and compare these to the expected recoveries for inventory categorized as obsolete and/or slow moving at the period end date;
- Assessing whether the accounting policies had been consistently applied and the adequacy of the disclosures in respect of the judgement and estimation made in respect of inventory provisioning;

## 07. VALUATION OF LANDS - GROUP

Refer note 10.3 to the financial statements and accounting policies for note 3.2.1.

### Risk Description

As at 31st March 2022, the Group's net book value of lands carried at fair value and classified as Property, Plant and Equipment amounted to Rs 10,805,493 Mn.

The management's assessment of fair value of these lands are based on valuations performed by qualified independent property valuers in accordance with recognised industry standards.

We identified valuation of lands as a key audit matter due to the determination of the fair values, which involves significant judgment and estimation and the magnitude of the amounts involved.

### Our audit procedures included:

- Assessing the objectivity, independence, competence and qualifications of the external valuer.
- Involving our own valuation specialist and assessing the key assumptions applied and conclusions made in deriving the fair value of the properties and comparing the fair value of properties with evidence of current market values. In addition, evaluating the valuation methodologies with reference to recognized industry standards.
- Evaluating the adequacy of disclosures made in the financial statements in relation to fair value of freehold land in accordance with the relevant accounting standard.

## OTHER INFORMATION

Management is responsible for the other information. The other information comprises the information included in the annual report but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

## RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

### Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

#### **REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS**

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2599.

**CHARTERED ACCOUNTANTS**

Colombo, Sri Lanka  
06 September, 2022

# Statement of Profit & loss & Other Comprehensive Income

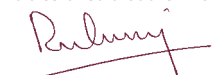
| For the year ended 31st March,                                                | Notes | GROUP             |                  | COMPANY         |                 |
|-------------------------------------------------------------------------------|-------|-------------------|------------------|-----------------|-----------------|
|                                                                               |       | 2022<br>Rs.'000   | 2021<br>Rs.'000  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Revenue                                                                       | 4     | 51,556,263        | 43,231,519       | 106,320         | 122,529         |
| Cost of Sales                                                                 |       | (41,343,431)      | (34,614,034)     | -               | -               |
| <b>Gross Profit</b>                                                           |       | <b>10,212,832</b> | <b>8,617,485</b> | <b>106,320</b>  | <b>122,529</b>  |
| Other Income                                                                  | 5.1   | 1,103,143         | 1,455,289        | 263,561         | 86,368          |
| Distribution Expenses                                                         |       | (3,253,954)       | (2,668,847)      | -               | -               |
| Administrative Expenses                                                       |       | (3,796,036)       | (3,691,892)      | (65,961)        | (74,861)        |
| Other Expenses                                                                | 5.2   | (361,432)         | (590,995)        | (8,565)         | (205,117)       |
| Finance Income                                                                | 6     | 136,169           | 49,709           | 36,351          | 52,016          |
| Finance Costs                                                                 | 6     | (3,520,682)       | (2,653,495)      | (62,655)        | (67,211)        |
| Net Finance Cost                                                              | 6     | (3,384,513)       | (2,603,786)      | (26,304)        | (15,195)        |
| Share of Results of Equity Accounted Investees ,Net of Tax                    | 16.1  | 11,663            | 26,461           | -               | -               |
| Share of Results of Joint Venture ,Net of Tax                                 | 16.2  | (127,808)         | (50,516)         | -               | -               |
| <b>Profit/(Loss) before Tax</b>                                               | 7     | <b>403,895</b>    | <b>493,199</b>   | <b>269,051</b>  | <b>(86,276)</b> |
| Income Tax Expense                                                            | 8     | (552,195)         | (547,871)        | (7,480)         | 10,960          |
| <b>Profit/ (Loss) for the Year</b>                                            |       | <b>(148,300)</b>  | <b>(54,672)</b>  | <b>261,571</b>  | <b>(75,316)</b> |
| <b>Other Comprehensive Income</b>                                             |       |                   |                  |                 |                 |
| <b>Items that will not be reclassified to Profit or Loss</b>                  |       |                   |                  |                 |                 |
| Actuarial Gains/(Losses) on Defined Benefit Plans                             |       | 1,285,082         | 34,350           | -               | -               |
| Revaluation of Land                                                           |       | 1,267,963         | 47,200           | -               | -               |
| Tax on Other Comprehensive Income                                             |       | (448,660)         | 349,207          | -               | -               |
| Share of Other Comprehensive Income of Equity Accounted Investees, Net of tax |       | (61,328)          | 211,045          | -               | -               |
| <b>Items that are or may be reclassified to Profit or Loss</b>                |       |                   |                  |                 |                 |
| Change in Value of FVOCI Financial Assets                                     |       | 6,515             | 32,428           | 1,787           | 2,287           |
| Exchange Differences on Translation of Foreign Operations                     |       | (578)             | (60)             | -               | -               |
| <b>Other Comprehensive Income / (Loss) for the Year Net of Tax</b>            |       | <b>2,048,994</b>  | <b>674,170</b>   | <b>1,787</b>    | <b>2,287</b>    |
| <b>Total Comprehensive Income/ (Loss) for the Year</b>                        |       | <b>1,900,694</b>  | <b>619,498</b>   | <b>263,358</b>  | <b>(73,029)</b> |
| <b>Profit/(Loss) Attributable to:</b>                                         |       |                   |                  |                 |                 |
| Owners of the Company                                                         |       | (351,291)         | (517,483)        | 261,571         | (75,316)        |
| Non - Controlling Interest                                                    |       | 202,991           | 462,811          | -               | -               |
| <b>Profit/(Loss) for the Year</b>                                             |       | <b>(148,300)</b>  | <b>(54,672)</b>  | <b>261,571</b>  | <b>(75,316)</b> |
| <b>Total Comprehensive Income Attributable to:</b>                            |       |                   |                  |                 |                 |
| Owners of the Company                                                         |       | 617,539           | (109,995)        | 263,358         | (73,029)        |
| Non - Controlling Interest                                                    |       | 1,283,155         | 729,494          | -               | -               |
| <b>Total Comprehensive Income/ (Loss) for the Year</b>                        |       | <b>1,900,694</b>  | <b>619,498</b>   | <b>263,358</b>  | <b>(73,029)</b> |
| Earnings / (Deficit) per Share (Rs.)                                          | 9     | (1.48)            | (2.35)           | 1.10            | (0.34)          |

The Notes from pages 36 to 159 form an integral part of these Financial Statements.  
Figures in brackets indicate deductions.

# Statement of Financial Position

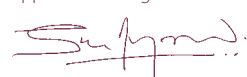
| As at 31st March,                                   | GROUP |                 |                 | COMPANY         |                 |
|-----------------------------------------------------|-------|-----------------|-----------------|-----------------|-----------------|
|                                                     | Notes | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| ASSETS                                              |       |                 |                 |                 |                 |
| Non-Current Assets                                  |       |                 |                 |                 |                 |
| Property, Plant and Equipment                       | 10    | 23,098,939      | 21,480,579      | 5,441           | 8,657           |
| Biological Assets                                   | 10.6  | 3,133,550       | 2,949,827       | -               | -               |
| Leasehold Property                                  | 11    | 791,084         | 816,819         | -               | -               |
| Right to use of Assets                              | 12    | 697,615         | 726,284         | -               | -               |
| Investment Property                                 | 13    | 2,819,176       | 2,250,388       | 799,850         | 803,296         |
| Intangible Assets                                   | 14    | 702,250         | 565,919         | -               | -               |
| Investments in Subsidiaries                         | 15    | -               | -               | 1,546,237       | 1,226,010       |
| Investments in Associates                           | 16.1  | 366,940         | 416,815         | 97,989          | 95,775          |
| Investment in Joint Venture                         | 16.2  | 163,547         | 291,249         | -               | -               |
| Other Financial Assets                              | 17    | 654,571         | 707,554         | 5,087           | 3,287           |
| Employee Benefits                                   | 28    | 84,560          | 67,997          | -               | -               |
| Deferred Tax Assets                                 | 18    | 557,554         | 690,732         | -               | -               |
| Total Non-Current Assets                            |       | 33,069,786      | 30,964,163      | 2,454,604       | 2,137,025       |
| Current Assets                                      |       |                 |                 |                 |                 |
| Inventories                                         | 19    | 9,146,007       | 7,919,221       | -               | -               |
| Produce of bearer Biological Assets                 | 10.5  | 18,692          | 15,381          | -               | -               |
| Trade & Other Receivables                           | 20    | 9,534,143       | 8,284,554       | 36,528          | 33,560          |
| Amounts due from Related Parties                    | 31    | 47,495          | 164,353         | 198,767         | 130,496         |
| Loans Given to Related Parties                      | 31    | -               | -               | 403,600         | 379,900         |
| Income Tax Recoverable                              |       | 89,443          | 104,262         | -               | -               |
| Other Financial Assets                              | 17.3  | 918,678         | 819,144         | 2,245           | 2,992           |
| Cash & Cash Equivalents                             | 21    | 2,924,453       | 1,564,270       | 33,895          | 178,044         |
| Total Current Assets                                |       | 22,678,911      | 18,871,185      | 675,035         | 724,992         |
| Assets Held for Sale                                | 22    | 30,000          | 60,000          | -               | -               |
| Total Assets                                        |       | 55,778,697      | 49,895,348      | 3,129,639       | 2,862,017       |
| EQUITY AND LIABILITIES                              |       |                 |                 |                 |                 |
| Equity Attributable to Equity Holders of the Parent |       |                 |                 |                 |                 |
| Stated Capital                                      | 23    | 927,000         | 730,368         | 927,000         | 730,368         |
| Capital Reserves                                    | 24    | 20,058          | 20,058          | 10,000          | 10,000          |
| Reserves                                            |       | 2,966,249       | 2,066,618       | 1,221,919       | 958,561         |
| Equity Attributable to Owners of the Company        |       | 3,913,307       | 2,817,044       | 2,158,919       | 1,698,929       |
| Non - Controlling Interest                          |       | 4,644,964       | 3,706,309       | -               | -               |
| Total Equity                                        |       | 8,558,271       | 6,523,353       | 2,158,919       | 1,698,929       |
| Non-Current Liabilities                             |       |                 |                 |                 |                 |
| Loans and Borrowings                                | 25    | 10,217,894      | 9,318,695       | 195,312         | 10,000          |
| Deferred Income-Capital Grants                      | 26    | 525,750         | 526,525         | -               | -               |
| Deferred Tax Liabilities                            | 27    | 2,086,266       | 1,755,729       | 162,519         | 179,109         |
| Employee Benefits                                   | 28    | 3,005,714       | 3,909,536       | -               | -               |
| Rent Received In Advance                            | 29    | -               | -               | -               | -               |
| Total Non-Current Liabilities                       |       | 15,835,624      | 15,510,485      | 357,831         | 189,109         |
| Current Liabilities                                 |       |                 |                 |                 |                 |
| Trade & Other Payables                              | 30    | 11,895,651      | 12,088,393      | 35,640          | 38,334          |
| Amounts due to Related Parties                      | 31    | 570,386         | 952,670         | 470,484         | 709,013         |
| Loans and Borrowings                                | 25    | 15,474,214      | 11,049,971      | 41,250          | 35,698          |
| Rent Received in Advance                            | 29    | 8,765           | 8,323           | 8,765           | 8,323           |
| Income Tax Payable                                  |       | 503,871         | 460,144         | 56,750          | 48,028          |
| Bank Overdraft                                      | 21    | 2,931,915       | 3,302,009       | -               | 134,583         |
| Total Current Liabilities                           |       | 31,384,802      | 27,861,510      | 612,889         | 973,979         |
| Total Liabilities                                   |       | 47,220,426      | 43,371,995      | 970,720         | 1,163,088       |
| Total Equity and Liabilities                        |       | 55,778,697      | 49,895,348      | 3,129,639       | 2,862,017       |
| Net Asset per Share (Rs.)                           |       |                 |                 |                 |                 |
|                                                     |       | 16.31           | 12.79           | 9.00            | 7.71            |

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



M.V.M. Paulraj  
Director  
Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.  
Approved and signed for and on behalf of the Board,



S.D.R. Arudpragasam  
Chairman



Anushman Rajaratnam  
Director

Colombo  
06th September, 2022

The Notes on pages 36 to 159 form an integral part of these Financial Statements.  
Figures in brackets indicate deductions.

# Statement of Changes in Equity

| GROUP                                                    | Equity Attributable to Equity Holders of the Parent |                              |                                 |               |                 |                                    |                     |                             |           |                          |
|----------------------------------------------------------|-----------------------------------------------------|------------------------------|---------------------------------|---------------|-----------------|------------------------------------|---------------------|-----------------------------|-----------|--------------------------|
|                                                          | Stated Capital                                      | Property Development Reserve | Capital Redemption Reserve Fund | FVOCI Reserve | General Reserve | Foreign Currency Translate Reserve | Revaluation Reserve | Accumulated Profit / (Loss) | Total     | Non-Controlling Interest |
|                                                          | Rs.'000                                             | Rs.'000                      | Rs.'000                         | Rs.'000       | Rs.'000         | Rs.'000                            | Rs.'000             | Rs.'000                     | Rs.'000   | Rs.'000                  |
| Balance as at 31st March, 2020                           | 730,368                                             | 15,190                       | 4,868                           | 1,090,396     | 84,453          | (10,739)                           | 2,564,147           | (1,539,898)                 | 2,938,785 | 3,019,296                |
| Profit/ (Loss) for the year                              | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | (517,483)                   | (517,483) | 462,811                  |
| Other Comprehensive Income for the Year                  | -                                                   | -                            | -                               | 32,428        | -               | (60)                               | 47,200              | 327,920                     | 407,488   | 266,682                  |
| Reclassification of Foreign Currency Translation Reserve | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | -                        |
| Allotment of Right Issue shares                          | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | -                        |
| Dividend Paid - 2018/2019                                | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | (54,224)                 |
| Subsidiary Dividend to Non-Controlling Interest          | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | -                        |
| Effect of Changes in Percentage in Subsidiaries          | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | (11,745)                    | (11,745)  | 11,745                   |
| Balance as at 31st March, 2021                           | 730,368                                             | 15,190                       | 4,868                           | 1,122,823     | 84,453          | (10,799)                           | 2,611,347           | (1,741,206)                 | 2,817,044 | 3,706,309                |
| Profit/ (Loss) for the year                              | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | (351,291)                   | (351,291) | 202,991                  |
| Other Comprehensive Income for the Year                  | -                                                   | -                            | -                               | 4,649         | -               | (578)                              | 1,267,963           | (303,204)                   | 968,830   | 1,080,164                |
| Reclassification of Foreign Currency Translation Reserve | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | -                        |
| Private Placement of Shares                              | 196,632                                             | -                            | -                               | -             | -               | -                                  | -                   | -                           | 196,632   | 196,632                  |
| Acquisition of Subsidiary                                | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | (114,055)                |
| Subsidiary Dividend to Non-Controlling Interest          | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | -                           | -         | (223,515)                |
| Effect of Changes in Percentage in Subsidiaries          | -                                                   | -                            | -                               | -             | -               | -                                  | -                   | 282,091                     | 282,091   | (6,929)                  |
| Balance as at 31st March, 2022                           | 927,000                                             | 15,190                       | 4,868                           | 1,127,472     | 84,453          | (11,377)                           | 3,879,310           | (2,113,609)                 | 3,913,307 | 4,644,964                |
| 8,558,271                                                |                                                     |                              |                                 |               |                 |                                    |                     |                             |           |                          |

| COMPANY                                           | Stated Capital | Property Development Reserve | General Reserve | FVOCI Reserve | Accumulated Profit / (Loss) | Total     |
|---------------------------------------------------|----------------|------------------------------|-----------------|---------------|-----------------------------|-----------|
|                                                   |                |                              |                 |               |                             |           |
|                                                   | Rs.'000        | Rs.'000                      | Rs.'000         | Rs.'000       | Rs.'000                     | Rs.'000   |
| Balance as at 31st March, 2020                    | 730,368        | 10,000                       | 501             | 671           | 1,030,418                   | 1,771,958 |
| Profit for the year                               | -              | -                            | -               | -             | (75,316)                    | (75,316)  |
| Remeasuring of other non-current financial assets | -              | -                            | -               | 2,287         | -                           | 2,287     |
| Balance as at 31st March, 2021                    | 730,368        | 10,000                       | 501             | 2,958         | 955,102                     | 1,698,929 |
| Private Placement of Shares                       | 196,632        | -                            | -               | -             | -                           | 196,632   |
| Profit for the year                               | -              | -                            | -               | -             | 261,571                     | 261,571   |
| Remeasuring of other non-current financial assets | -              | -                            | -               | 1,787         | -                           | 1,787     |
| Balance as at 31st March, 2022                    | 927,000        | 10,000                       | 501             | 4,745         | 1,216,673                   | 2,158,919 |

The Notes from pages 36 to 159 form an integral part of these Financial Statements.  
Figures in brackets indicate deductions.

# Statement of Cash Flows

|                                                               |           | GROUP              |                    | COMPANY          |                 |
|---------------------------------------------------------------|-----------|--------------------|--------------------|------------------|-----------------|
| For the year ended 31st March,                                |           | 2022               | 2021               | 2022             | 2021            |
|                                                               | Notes     | Rs.'000            | Rs.'000            | Rs.'000          | Rs.'000         |
| <b>Cash Flows from Operating Activities</b>                   |           |                    |                    |                  |                 |
| Profit before Working Capital Changes                         | A         | 5,768,242          | 4,833,160          | 19,694           | 28,049          |
| (Increase)/Decrease in Inventories                            |           | (1,156,985)        | (1,569,205)        | -                | -               |
| (Increase)/Decrease in Trade & Other Receivables              |           | (1,256,866)        | (1,282,448)        | (8,223)          | (5,224)         |
| (Increase)/Decrease in Amounts due from Related Parties       |           | 116,858            | (2,911)            | (75,884)         | 93,233          |
| Increase/(Decrease) in Trade & Other Payables                 |           | (282,224)          | 2,334,287          | (2,696)          | (19,239)        |
| Increase/(Decrease) in Amounts due to Related Parties         |           | (535,434)          | 217,010            | (96,629)         | 10,554          |
| <b>Cash Generated from Operating Activities</b>               |           | <b>2,653,591</b>   | <b>4,529,893</b>   | <b>(163,738)</b> | <b>107,373</b>  |
| Income Tax Paid                                               |           | (362,468)          | (133,043)          | -                | -               |
| Interest Expenses Paid                                        |           | (3,520,682)        | (2,653,495)        | (62,545)         | (69,698)        |
| Gratuity Paid                                                 |           | (149,064)          | (223,808)          | -                | -               |
| Rent Income Received                                          |           | 31,708             | 8,323              | 31,708           | 29,982          |
| <b>Net Cash Generated from/(used in) Operating Activities</b> |           | <b>(1,346,915)</b> | <b>1,527,870</b>   | <b>(194,575)</b> | <b>67,657</b>   |
| <b>Cash Flows from Investing Activities</b>                   |           |                    |                    |                  |                 |
| Acquisition of Property, Plant & Equipment,                   |           |                    |                    |                  |                 |
| Investment Property & Biological Assets                       |           | (1,245,813)        | (1,234,695)        | (171)            | (6,323)         |
| Acquisition of Intangible Assets                              |           | (14,298)           | (9,967)            | -                | -               |
| Proceeds from Disposal of Property, Plant & Equipment         |           | 207,632            | 395,128            | 2,800            | -               |
| Loans given to Related Parties                                |           | -                  | -                  | (23,700)         | (212,900)       |
| Acquisition /Disposal of Subsidiaries and Equity Accounted    |           |                    |                    |                  |                 |
| Investments                                                   | B         | (418,029)          | -                  | (318,650)        | 115             |
| Acquisition of FVTPL financial assets                         |           | (43,015)           | (13,848)           | -                | (7,638)         |
| Proceeds from Disposal of FVTPL financial assets              |           | 5,218              | 18,503             | -                | 8,187           |
| Net Disposal/Acquisition of Other Investments                 |           | 61,169             | (33,697)           | -                | -               |
| Interest Income Received                                      |           | 136,169            | 49,709             | 36,424           | 52,498          |
| Dividend Income Received                                      |           | 138,815            | 71,510             | 242,821          | 75,213          |
| <b>Net Cash Generated from/(used in) Investing Activities</b> |           | <b>(1,172,152)</b> | <b>(757,357)</b>   | <b>(60,476)</b>  | <b>(90,848)</b> |
| <b>Cash Flows from Financing Activities</b>                   |           |                    |                    |                  |                 |
| Capital Grants Received                                       |           | 24,063             | 9,902              | -                | -               |
| Increase/(Decrease) in Other Short-Term Loans                 |           | 4,099,015          | (73,541)           | -                | -               |
| Increase/(Decrease) in Loan Due to Related Parties            |           | -                  | -                  | (141,900)        | 38,500          |
| Proceeds from Private Placement                               |           | 196,632            | -                  | 196,632          | -               |
| Repayment of Lease Rentals                                    |           | (169,605)          | (190,484)          | (1,809)          | (1,990)         |
| Receipt of Interest-bearing Borrowings                        |           | 4,276,345          | 2,258,304          | 250,000          | -               |
| Redemption of Debenture                                       |           | (68,859)           | (39,688)           | -                | -               |
| Right Issue of Shares by Subsidiary                           |           | 288,741            | -                  | -                | -               |
| Repayment of Interest-bearing Borrowings                      |           | (4,173,472)        | (1,848,451)        | (57,438)         | (60,125)        |
| Dividend Paid                                                 |           | -                  | -                  | -                | -               |
| Dividend Paid to Non Controlling Interests                    |           | (223,515)          | (54,224)           | -                | -               |
| <b>Net Cash Generated from/(used in) Financing Activities</b> |           | <b>4,249,345</b>   | <b>61,818</b>      | <b>245,485</b>   | <b>(23,615)</b> |
| <b>Net Increase/(Decrease) in Cash &amp; Cash Equivalents</b> |           | <b>1,730,277</b>   | <b>832,331</b>     | <b>(9,566)</b>   | <b>(46,806)</b> |
| Cash & Cash Equivalents at the beginning of the year          | 21        | (1,737,739)        | (2,570,069)        | 43,461           | 90,267          |
| <b>Cash &amp; Cash Equivalents at the end of the year</b>     | <b>21</b> | <b>(7,462)</b>     | <b>(1,737,739)</b> | <b>33,895</b>    | <b>43,461</b>   |

The Notes from pages 36 to 159 form an integral part of these Financial Statements Figures in brackets indicate deductions.

## Statement of Cash Flows contd.

|                                                              |      | GROUP     |           | COMPANY   |          |
|--------------------------------------------------------------|------|-----------|-----------|-----------|----------|
|                                                              |      | 2022      | 2021      | 2022      | 2021     |
|                                                              | Note | Rs.'000   | Rs.'000   | Rs.'000   | Rs.'000  |
| A. Profit before Working Capital Changes                     |      |           |           |           |          |
| Profit Before Tax                                            |      | 403,895   | 493,199   | 269,051   | (86,276) |
| Adjustments for ;                                            |      |           |           |           |          |
| Depreciation and Amortisation                                |      | 1,355,019 | 1,423,013 | 6,833     | 6,912    |
| Dividend Income                                              | 5    | (138,816) | (71,510)  | (255,281) | (75,213) |
| Amortisation of Rent Income                                  | 29   | (31,266)  | (18,470)  | (31,266)  | (30,547) |
| Interest Expense                                             | 6    | 3,520,682 | 2,653,495 | 62,655    | 67,211   |
| Amortisation of Intangible Assets                            | 14   | 18,291    | 27,980    | -         | -        |
| Amortisation of Capital Grants                               | 26   | (24,838)  | (31,310)  | -         | -        |
| Gain on Disposal of Property, Plant & Equipment              | 5    | (18,723)  | (55,796)  | (2,800)   | -        |
| Exchange Loss on Translation of Foreign Currency Loan        |      | 312,521   | 37,486    | -         | -        |
| Interest Income                                              | 6    | (136,169) | (49,709)  | (36,351)  | (52,016) |
| Provision for Retirement Gratuity                            | 28   | 509,378   | 598,559   | -         | -        |
| Share of (Profit)/Loss of Equity Accounted Investees         |      | (11,663)  | (26,461)  | -         | -        |
| Share of results of Joint Ventures                           |      | 127,808   | 50,516    | -         | -        |
| Net Gain on Disposal of Available-for-Sale Financial Assets  |      | -         | -         | -         | (835)    |
| (Gain) / Loss on Disposal of Investments in Subsidiaries     |      | -         | -         | (1,676)   | (72)     |
| Change in Fair Value of Financial assets classified as FVTPL |      | (61,736)  | (370,170) | 818       | (2,712)  |
| Impairment of Other Financial Assets non current             |      | -         | -         | -         | -        |
| Provision for/(Reversal of) Impairment fall in               |      |           |           |           |          |
| Value of Investments                                         |      | -         | -         | 100       | 162,502  |
| Impairment Loss/(Reversal of Impairment Loss) on             |      |           |           |           |          |
| Trade & Other Receivables                                    | 5    | 105,635   | 78,190    | -         | -        |
| Impairment Loss/(Reversal of Impairment Loss) on             |      |           |           |           |          |
| Related Party Receivables                                    | 31   | (4,634)   | 2,411     | 7,611     | 42,394   |
| Change in Fair Value of Biological Assets                    | 5    | (193,466) | (308,343) | -         | -        |
| Write off during the year                                    | 5    | (3,441)   | (26,228)  | -         | 136      |
| Impairment/(Reversal of Impairment Loss) on Inventories      | 5    | 116,106   | 186,660   | -         | -        |
| Creditors No Longer Payable Written Back                     | 5    | (60,174)  | (18,950)  | -         | -        |
| Impairment of Goodwill                                       | 14   | -         | 267,885   | -         | -        |
| Reversal of Provision for Bad Debts on Trade Receivables     | 5    | (16,167)  | (9,287)   | -         | -        |
| Unclaimed Dividend Written Back                              |      | -         | -         |           | (3,435)  |
|                                                              |      | 5,768,242 | 4,833,160 | 19,694    | 28,049   |

## B. Acquisition of Subsidiary

As at the end of the year the Lankem Ceylon PLC had acquired a 57.94% equity stake in ACME and same was recoded as investment in Subsidiary and E B Creasy & Company PLC held 19.97%.

The acquisition had the following effects on the Group assets and liabilities

|                                                      | ACME<br>Rs.'000 |
|------------------------------------------------------|-----------------|
| Property, Plant and Equipment                        | 1,002,508       |
| Right of Use Assets                                  | 19,785          |
| Financial Investments - FVTOCI                       | 25              |
| Inventories                                          | 185,907         |
| Trade & Other Receivables                            | 101,400         |
| Cash & Cash Equivalents                              | (29,355)        |
| Interest Bearing Borrowings                          | (830,345)       |
| Deferred Tax Asset/ (Liability)                      |                 |
| Retirement Benefit Obligations                       | (12,824)        |
| Trade & Other Payables                               | (149,656)       |
| Amount due to Related Parties                        | (153,150)       |
| Net Identifiable Assets and Liabilities              | 134,295         |
| Net Assets Acquired                                  | 74,082          |
| Goodwill on Acquisition                              | 140,324         |
| Investment made by Equity Holders of the Parent      | 214,405         |
| Investment allocated to Non Controlling Interest     | 174,269         |
| Cash Consideration paid on Acquisition of Subsidiary | 388,674         |
| Cash & Cash Equivalents Acquired                     | (29,355)        |
| <b>Net cash outflow</b>                              | <b>418,029</b>  |

# Notes to the Financial Statements

## 1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the Companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The Companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut and cultivation and sale of palm oil.
- g) Management of investment portfolios.
- h) Provision of management services.

## 2. BASIS OF PREPARATION

### 2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements of the Group have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and the consolidated financial statements of the Group comprise the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

The financial statements of the Group and the Company for the year ended 31st March, 2022 were authorised for issue by the Board of Directors on 06th September, 2022.

### 2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value.
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value.
- Non-derivative Financial instruments at fair value through Other Comprehensive Income are measured at fair value.
- Class of land under Property, Plant & Equipment is valued under Revaluation model. (Note 10.3)
- Biological assets (managed timber) are measured at fair value less costs to sell. (Note 10.5)
- Defined benefit assets are measured at the present value of the defined benefit obligations. (Note 28)

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs : are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs : are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs : are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

### 2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

### 2.4 Key Accounting Judgements and Estimates

The preparation of financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience and other factors including

expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

#### 2.4.1 Impact of Covid-19 Pandemic and Uncertain Macro Economic Conditions

The ongoing COVID-19 pandemic and the economic crisis in the country have increased the estimation uncertainty in the preparation of these Financial Statements. The estimation uncertainty is associated with:

- The extent and duration of the disruption to business arising from the actions by government, business and consumers to contain the spread of the virus.
- The extent and the duration of the expected economic downturn (and forecasts for key economic factors including GDP and inflation). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, impact on unemployment and decline in consumer discretionary spending.
- The effectiveness of government and The Central Bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

The Group has made various accounting estimates in these financial statements based on forecasts of economic conditions which reflect expectations and assumptions as at 31st March 2022 about future events that the Directors believe are reasonable in the circumstances. There is a considerable degree of judgment involved in preparing these estimates. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting estimates included in these financial statements. The significant accounting estimates impacted by these forecasts and associated uncertainties are predominantly related to fair value measurement and the assessment of the recoverable amount of non-financial assets.

Further information on the key judgments and estimates that we consider material to the financial statements are contained within each relevant note to the financial statements.

#### 2.4.2 Judgements

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

|                                               | Policy No. | Note No.  |
|-----------------------------------------------|------------|-----------|
| Valuation of Property, Plant and Equipment    | 3.2.1      | 10        |
| Valuation of Leasehold Property               | 3.10.1     | 11        |
| Valuation of Intangible Assets                | 3.2.8      | 14        |
| Deferred Tax                                  | 3.9.2      | 27 and 18 |
| Valuation of Employee Benefit Liabilities     | 3.6        | 28        |
| Valuation of Biological Assets                | 3.10.9     | 10.6      |
| Leases                                        | 3.2.5      | 12        |
| Provisions, Contingent Assets and Liabilities | 3.7        | 36        |

#### 2.5 Materiality and Aggregation

Each material class of similar items is presented separately in the financial statements. Items of a dissimilar nature or function are presented separately unless they are immaterial.

#### 2.6 Comparative Information

Comparative information has been reclassified to conform to the current year's presentation, where necessary. Except when a standard permits or requires otherwise, comparative information is disclosed in respect of the previous period. Where the presentation or classification of items in the financial statements are amended, comparative amounts are reclassified unless it is impracticable.

#### 2.7 Going Concern

In preparing these financial statements, the management has assessed the existing and anticipated effect of the COVID-19 and economic uncertainties on the Group and the appropriateness of the use of the going concern basis of preparation giving special attention on short to medium term economic outlook.

The Group's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for a foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the Financial Statements continue to be prepared on the going concern basis.

#### 2.8 Current versus Non-Current Classification

The Group presents assets and liabilities in the Statement of Financial Position based on Current / Non-Current classification. An asset is Current when it is expected to be realized or intended to be sold or consumed in the normal operating cycle and held primarily for the purpose of trading or expected to be realized within twelve months after the reporting period or is Cash or Cash Equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

# Notes to the Financial Statements contd.

All other assets are classified as Non-Current Assets.

A liability is Current when it is expected to be settled in the normal operating cycle and is held primarily for the purpose of trading and is due to be settled within twelve months after the reporting period or there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting date.

All other liabilities are classified as Non-Current Liabilities.

## 2.9 Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or to realize the assets and settle the liabilities simultaneously. Income and expenses are not offset in the Income Statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Company.

## 3. SIGNIFICANT ACCOUNTING POLICIES CHANGES IN SIGNIFICANT ACCOUNTING POLICIES

There were no changes in Accounting Policies for the year ended 31 March 2022.

Further a number of other new standards were effective from 1 April 2021 but they do not have a material effect on the Group's Financial Statements.

The accounting policies set out from Note 3.1 onwards have been applied consistently for all periods presented in the financial statements by the Group and Company.

### 3.1 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Group, its Subsidiaries and the Group's interest in equity accounted investees.

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a business and control is transferred to the Group. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs.

The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired.

Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.
- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition - date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

### 3.1.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

### 3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

| Company Name                    | Holding |
|---------------------------------|---------|
| Muller and Phipps (Ceylon) PLC  | 30.73%  |
| Laxapana Batteries PLC          | 40.90%  |
| Marawila Resorts PLC            | 38.92%  |
| C.W. Mackie PLC                 | 42.07%  |
| Agarapatana Plantations Limited | 43.68%  |
| Lankem Developments PLC         | 46.20%  |
| Sigiriya Village Hotels PLC     | 44.99%  |
| Kotagala Plantations PLC        | 48.66%  |
| York Arcade Holdings PLC        | 49.99%  |

### Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as a FVOCI financial asset depending on the level of influence retained.

### 3.1.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The Group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the Other Comprehensive Income or equity of the entity, the Group recognises its share of any changes, when applicable, in the statement of profit or loss and Other Comprehensive Income or the changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method,

# Notes to the Financial Statements contd.

the Group determines whether it is necessary to recognise an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

## Non-Controlling Interest

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

Summarised financial Information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

## 3.1.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in Note 3.3 below. The income from these investments is recognised only to the extent of dividend received.

## 3.1.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non-controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

## 3.1.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non-controlling interest which represents the proportion of interest attributable to non-controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

## 3.1.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

## 3.1.8 Reporting Date

All subsidiaries and equity accounted investees of the Group have a common financial year as the Parent Company other than Sunquick Lanka Property (Private) Limited. Whose financial year ends on 31st December. Group incorporates the results of Sunquick Lanka Property (Private) Limited up to 31st March in the Group's financial statements.

## 3.1.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

The foreign currency gain or loss on monetary items is the difference between the amortised cost in Sri Lankan Rupees at the beginning of the period, adjusted for effective interest and payments during the period, and the amortized cost in foreign currency translated at the exchange rate at the end of the reporting period.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

## 3.2 Property, Plant & Equipment

### 3.2.1 Recognition and Measurement

Items of property, plant & equipment except freehold land are measured at cost less accumulated depreciation and accumulated impairment losses. From 31 March 2019, freehold land of the Group is recognised at revalued amount and such revaluation will be assessed once in three years.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

### 3.2.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

### 3.2.3 Derecognition and Depreciation

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

#### Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use whereas depreciation of an asset ceases at the earlier of the date that the asset is classified as held-for-sale and the date that the asset is derecognised. Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

| Assets                                   | Years                                                               |
|------------------------------------------|---------------------------------------------------------------------|
| Freehold Buildings                       | 10-40                                                               |
| Plant & Machinery                        | 04 - 13 1/3                                                         |
| Motor Vehicles                           | 04-05                                                               |
| Office Equipment                         | 08-10                                                               |
| Furniture & Fittings                     | 08-10                                                               |
| Computer Equipment                       | 04-05                                                               |
| Sanitation, Water Supply and Electricity | 20                                                                  |
| Mature Plantations - Tea                 | 33 1/3                                                              |
| Mature Plantations - Rubber              | 20                                                                  |
| CTC Machinery                            | 20                                                                  |
| Freehold Buildings on Leasehold Lands    | Over the lease period or estimated useful life whichever is shorter |
| Linen, Cutlery & Crockery                | On replacement basis /4 years                                       |

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

### 3.2.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

### 3.2.5 Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16. This policy is applied to contracts entered into, on or after 1 April 2019.

#### 3.2.5.1 As a Lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

## Notes to the Financial Statements contd.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Group entities uses its incremental borrowing rate as the discount rate.

The Group entities determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in "Right-of-use" assets and lease liabilities in interest bearing loans and borrowings in the statement of Financial Position.

### Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

#### 3.2.5.1.2 As a Lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risk and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic useful life of the asset.

When the Group is an intermediate lessor, it accounts for its interest in the head lease and the sub-lease separately. It assesses the lease classification of sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies sub-lease as an operating lease.

The Group recognises lease payments received under operating leases as rental income on a straight-line basis over the lease term as part of 'other income'. Generally, the accounting policies to the Group as a lessor in the comparative period were not different from SLFRS 16.

### Short term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

#### 3.2.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

### 3.2.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

### 3.2.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

### Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of

acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

### Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

### 3.2.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in Candy Delights Limited whose cost of inventory is determined on first-in, first out basis (FIFO).

The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

Goods in transit are determined based on actual cost.

### 3.2.10 Assets Held for Sale

Before the classification as held-for-sale, non-current assets and liabilities in the disposal group are measured in accordance with relevant SLFRSs. Non-current assets and disposal groups classified as held-for-sale are measured at the lower of their carrying amount and fair value less costs to sell. Non-current assets and disposal groups are classified as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Non-current assets are classified as held for distribution when the Company/Group committed to distribute the assets or disposal group to its owners.

Impairment losses on initial classification as held-for-sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative

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impairment loss. Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortised.

## 3.3 Financial Instruments

### 3.3.1 Recognition and Initial Measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provision of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

### 3.3.2 Classification and subsequent measurement

#### 3.3.2.1 Financial Assets

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity instrument; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:
- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the

requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

### Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

### Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;

- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permit or requires prepayment at an annual amount that substantially represent the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

#### Subsequent measurement and gains and losses

|                                    |                                                                                                                                                                                                                                                                                                                                                     |
|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial assets at FVTPL          | These assets are subsequently measured at fair value. Net gains and losses including any interest or dividend income, are recognised in profit or loss.                                                                                                                                                                                             |
| Financial assets at amortised cost | These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.                            |
| Debt investments at FVOCI          | These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition gains and losses accumulated in OCI are reclassified to profit or loss. |
| Equity investments at FVOCI        | These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are never reclassified to profit or loss.                                                  |

#### 3.3.2.2 Financial Liabilities

Classification, subsequent measurement and gains and losses  
Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held- for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method.

Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

#### 3.3.2.3 Derivative Financial Instruments

Derivatives are initially recognised at fair value; any directly attributable transaction costs are recognised in profit or loss as incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

#### 3.3.3 De-recognition

##### 3.3.3.1 Financial Assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial: asset expire, or it transfers the rights to receive the, contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

##### 3.3.3.2 Financial Liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On de-recognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit it or loss.

#### 3.3.4 Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

#### 3.3.5 Impairment

##### 3.3.5.1 Non-derivative Financial Assets

The Group recognises loss allowances for Expected Credit Loss (ECL) on:

- financial assets measured at amortised cost;
- debt investments measured at FVOCI; and
- contract assets.

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The Group measures loss allowance at an amount equal to lifetime ECLs, except for the following, which are measured at 12-months ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowance for trade receivables and contract assets are always measured at an amount equals to life time ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligation to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

The Group considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

## Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

## Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data;

- significant financial difficulty of the borrower;
- a breach of contract such as default or being more than 90 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

## Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

## Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 90 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

## 3.3.5.2 Non-financial Assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than biological assets, investment property, inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indicator exists, then the asset's recoverable amount is estimated. Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or groups of CGUs that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its recoverable amount.

Impairment losses are recognised in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have determined, net of depreciation or amortisation, if no impairment loss had been recognised.

### 3.4 Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and call deposits with maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short term commitments.

### 3.5 Stated Capital

#### Ordinary Shares

Ordinary shares are classified as equity. As per the Companies Act No. 07 of 2007, Section 58 (1), stated capital in relation to a Company means the total of all amounts received by the Group or due and payable to the Group in respect of the issue of shares and in respect of call in arrears.

### 3.6 Employee Benefits

#### Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

When the benefits of a plan are changed or when a plan is curtailed, resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

Provisions have not been made for gratuity in the accounts of the Company as per LKAS 19 - 'Employee Benefits', since the Company did not employ any staff. All staff related services are provided by Corporate Managers & Secretaries (Pvt) Ltd.

#### Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

Contribution for Employees Provident Fund and Employees Trust Fund have not been made since the Company does not employ any staff.

### 3.7 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

### 3.8 Statement of Profit or Loss and Other Comprehensive Income

#### 3.8.1 Revenue Recognition

As per SLFRS 15, Revenue from contracts with customers, revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes.

# Notes to the Financial Statements contd.

The nature and timing of the satisfaction of performance obligations in contract with customers, including significant payment terms, and the related revenue recognition policies are given below:

## Sale of Goods

Customers obtain control of products when the goods are delivered to and have been accepted at their premises. Invoices are generated at that point in time. Invoices are usually payable within 30/60/90 days based on the product category

## Rendering of Services

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

## Revenue from Hotel Services

Revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

### 3.8.1.1 Other Sources of Revenue Dividend Income

Dividend Income is recognised in the Statement of Profit or Loss on the date when the entities right to receive payment is established.

## Finance Income

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL), gains on the disposal and Fair Value Gains on Financial Assets at fair value through Profit or Loss. Interest income is recognised as it accrues in profit or loss, using the effective interest method.

## Rental Income

Rental income from investment property is recognised in profit or loss on a straight-line basis over the term of the lease.

Other Income - Other income recognised based on the actual basis. Gains and losses of a revenue nature on the disposal of Property, Plant and Equipment and other non-current assets are recognised by comparing the net sales proceeds with the carrying amount of the corresponding asset and are recognised net within 'other income' in the Statement of Profit or Loss.

### 3.8.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year. Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the Company and the Group's performance.

### 3.8.3 Finance Income and Finance Costs

Finance income comprises interest income on funds invested (including Financial Assets at FVTPL). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

## 3.9 Income Tax Expenses

Income tax expense comprises current and deferred tax. Income tax expense is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity, or in OCI.

The Group has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under LKAS 37 Provisions, Contingent Liabilities and Contingent Assets.

### 3.9.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.24 of 2017.

### 3.9.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting or taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

### 3.10 Accounting Policies Which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

#### 3.10.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. The leasehold rights of assets

taken over from JEDB/SLSPC are amortised in equal amounts over the shorter of the remaining lease periods and the useful lives as follows:

| Description of the Property                 | No. of Years |
|---------------------------------------------|--------------|
| Bare Land of JEDB/SLSPC                     | 53           |
| Land Development Cost (Improvement to Land) | 30           |
| Buildings                                   | 25           |
| Plant and Machinery                         | 15           |
| Water Projects and Sanitation               | 20-30        |
| Mature Plantations - Tea                    | 30-33 1/2    |
| Mature Plantations - Rubber                 | 20           |
| Mature Plantations - Others                 | 20-25        |
| Road and Bridges                            | 40           |
| Fences and Securities                       | 20           |
| Power Augmentation                          | 20           |
| Vested Tea                                  | 30           |

#### 3.10.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

#### 3.10.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

#### 3.10.4 Borrowing Costs

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

# Notes to the Financial Statements contd.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – “Borrowing Costs”.

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

## 3.10.5 Infilling Cost on Bearer Biological Assets

Where Infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of Comprehensive Income in the year in which they are incurred.

## 3.10.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

|                                     |                                                                                                                                                      |
|-------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| Input Material Limited)             | At average cost (Agarapatana Plantations At actual cost on FIFO basis (Kotagala Plantations PLC)                                                     |
| Growing Crop-Nurseries              | At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants. |
| Spares & Consumables Produce Stocks | At actual cost on FIFO basis. Estimated realisable price or since realised price or cost                                                             |

## 3.10.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Group receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

## 3.10.8 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

## All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified Actuaries as disclosed in Note 28.

The Group expects to carry out actuarial valuation every year. The key assumptions used by the actuary include the following.

- Rate of Interest - 10% - 15% p.a.
- Salary Increment Rate - Staff 7.5% - 10% per annum
- Retirement Age - 55 to 60 years
- Daily Wage Rate - Rs. 862/- for workers

## 3.10.9 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The cost of land preparation, rehabilitation, new planting, replanting, crop diversification, inter planting and fertilizing etc. incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads. The expenditure incurred on bearer biological assets (Tea) which comes into bearing during the year, is transferred to mature plantations.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional valuer.

The Main Variables in DCF Model Concerns;

| Variable             | Comment                                                                                                                                                                                                                                                                                                                 |
|----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Currency valuation   | Rs.                                                                                                                                                                                                                                                                                                                     |
| Timber content       | Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department. |
| Economic useful Life | Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.                                                                                                                                                                                  |
| Selling price        | Estimated based on prevailing Sri Lankan market prices. Factor all the conditions to be fulfilled in bringing the trees into saleable condition.                                                                                                                                                                        |
| Discount Rate        | Future cash flows are discounted at the rate of 18% 19% & 20% (2020/21- 10.5%, 11.5% & 12.5%)                                                                                                                                                                                                                           |

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads, less provision for overgrown plants.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

Impairments to biological assets are charged to the Profit or Loss Statement in full and reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

### 3.11 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short-term deposits net of outstanding bank overdrafts.

### 3.12 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

### 3.13 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

### 3.14 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

### 3.15 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

### 3.16 Operating Profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Group as well as other income and expenses related to operating activities. Operating profit excludes net finance costs, share of profit of equity accounted investees and income taxes.

# Notes to the Financial Statements contd.

## 3.17 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds debt and equity instruments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 33.6 in conformity with Sri Lanka Financial Reporting Standards.

## 3.18 Directors responsibilities

The Board of Directors of the Company is responsible for the preparation and presentation of Consolidated Financial Statements as per the provisions of the Companies Act No. 07 of 2007 and Sri Lanka Accounting Standards (SLFRSs/ LKASs). This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

## 3.19 New and Amended Standards Issued but not Effective as at the Reporting Date

### 3.19.1 Standards Issued but not yet Effective

A number of new standards are effective for annual periods beginning after 1 April 2022 and earlier application is permitted; however, the Group has not early adopted the new or amended standards in preparing these Financial Statements.

The following amended standards are not expected to have a significant impact on the Group's Financial Statements.

- Onerous contracts - Cost of fulfilling a contract (Amendments to LKAS 37)
- Deferred tax related to assets and liabilities arising from a single transaction (Amendments to IAS 12)
- Reference to conceptual framework (Amendments to SLFRS 3)
- Property, plant and equipment: proceeds before Intended use (Amendments to LKAS 16)
- Classification of liabilities as current or non-current (Amendments to LKAS 1)
- Annual Improvements to SLFRS standards 2018-2020.
- Definition of accounting estimates (Amendments to LKAS 8)
- Disclosure of Accounting Policies (Amendments to LKAS 1)

## 4 REVENUE

| For the year ended 31 March, | GROUP   |         | COMPANY |         |
|------------------------------|---------|---------|---------|---------|
|                              | 2022    | 2021    | 2022    | 2021    |
|                              | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 |

### 4.1 Summary

|                             |                   |                   |                |                |
|-----------------------------|-------------------|-------------------|----------------|----------------|
| Gross Revenue               | 53,344,141        | 44,665,217        | 106,320        | 122,529        |
| Less: Revenue Related Taxes | (1,787,878)       | (1,433,698)       | -              | -              |
| <b>Net Revenue</b>          | <b>51,556,263</b> | <b>43,231,519</b> | <b>106,320</b> | <b>122,529</b> |

### 4.2 Business Segment Analysis

|                                |                   |                   |                |                |
|--------------------------------|-------------------|-------------------|----------------|----------------|
| Trading of Consumer Products   | 34,931,692        | 28,541,333        | -              | -              |
| Trading of Industrial Products | 14,216,704        | 11,731,201        | -              | -              |
| Leisure                        | 667,250           | 431,708           | -              | -              |
| Plantations                    | 7,983,311         | 7,498,494         | -              | -              |
| Others                         | 1,175,658         | 1,345,873         | 106,320        | 122,529        |
|                                | 58,974,615        | 49,548,609        | 106,320        | 122,529        |
| Inter-Segment Revenue          | (7,418,352)       | (6,317,090)       | -              | -              |
| <b>Net Revenue</b>             | <b>51,556,263</b> | <b>43,231,519</b> | <b>106,320</b> | <b>122,529</b> |

### 4.3 Business Segment Analysis of Revenue

Segmentation has been determined based on the operating activities of the companies or the sector, where multiple activities fall within one company or sector has been based on the core activities of that particular sector.

|                             |                                                                  |
|-----------------------------|------------------------------------------------------------------|
| Trading Consumer Products   | - Manufacturing, Selling and Distribution of Consumer Products   |
| Trading Industrial Products | - Manufacturing, Selling and Distribution of Industrial Products |
| Leisure                     | - Owning and Operation of Hotels                                 |
| Plantation                  | - Cultivation and Processing of Tea and Rubber                   |
| Others                      | - Investment Holdings, Special Projects and Other Services       |

## 5 OTHER INCOME / (EXPENSES)

| For the year ended 31st March, | GROUP   |         | COMPANY |         |
|--------------------------------|---------|---------|---------|---------|
|                                | 2022    | 2021    | 2022    | 2021    |
|                                | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 |

### 5.1 Other Income

|                                                                         |           |           |         |        |
|-------------------------------------------------------------------------|-----------|-----------|---------|--------|
| Gain on Disposal of Property, Plant and Equipment                       | 18,723    | 55,796    | 2,800   | -      |
| Dividend Income                                                         | 138,816   | 71,510    | 255,281 | 75,213 |
| Sale of Rubber Trees                                                    | 129,635   | 38,489    | -       | -      |
| Sale of Timber & Scrap                                                  | 38,637    | 50,348    | -       | -      |
| Amortisation of Grants and Subsidies (Note 26)                          | 24,838    | 31,310    | -       | -      |
| Net Gain on Disposal of Subsidiaries / Associates                       | -         | -         | 1,712   | -      |
| Commission Income                                                       | 10,992    | 8,470     | 600     | 600    |
| Profit on sale of Financial Assets at fair value through profit or loss | -         | -         | -       | 907    |
| Reversal of Impairment Loss on Trade and other Receivables              | 16,167    | 9,287     | -       | -      |
| Creditors No Longer Payable Written Back                                | 60,174    | 18,950    | -       | -      |
| Change in Fair Value of Biological Assets (Note 10.6.1)                 | 193,466   | 308,343   | -       | -      |
| Rental Income                                                           | 212,998   | 172,975   | -       | -      |
| Gain / Loss Financial Assets at fair value through profit or loss       | 61,736    | 372,923   | -       | 2,712  |
| Sundry Income                                                           | 196,961   | 316,888   | 3,168   | 6,936  |
|                                                                         | 1,103,143 | 1,455,289 | 263,561 | 86,368 |

## Notes to the Financial Statements contd.

| For the year ended 31st March,                                        | GROUP           |                 | COMPANY         |                 |
|-----------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                       | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>5.2 Other Expenses</b>                                             |                 |                 |                 |                 |
| Loss Financial Assets at fair value through profit or loss            | -               | -               | 818             | -               |
| Net Impairment of Inventories                                         | 116,106         | 186,660         | -               | -               |
| Provision for Impairment of Trade and other Receivables               | 105,635         | 78,190          | -               | -               |
| Impairment of Goodwill (Note 14.1.2)                                  | -               | 267,885         | -               | -               |
| Reversal of Impairment loss on Property Plant and Equipment (Note 10) | (3,441)         | (26,228)        | -               | -               |
| Impairment of Investment in Subsidiaries                              | -               | -               | 100             | 162,502         |
| Impairment of Related Party Receivables                               | -               | -               | 8               | 10              |
| Write off of Assets held for Sale                                     | 30,000          | -               | -               | -               |
| Others                                                                | 113,132         | 84,488          | 36              | 221             |
| Expected Credit Loss                                                  | -               | -               | 7,603           | 42,384          |
|                                                                       | 361,432         | 590,995         | 8,565           | 205,117         |

## 6 NET FINANCE COST

| For the year ended 31st March,                     | GROUP           |                 | COMPANY         |                 |
|----------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                    | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Finance Income</b>                              |                 |                 |                 |                 |
| Interest Income                                    | 136,169         | 49,709          | 36,351          | 52,016          |
| <b>Total</b>                                       | 136,169         | 49,709          | 36,351          | 52,016          |
| <b>Finance Costs</b>                               |                 |                 |                 |                 |
| Interest on Short-Term Loans - Related Parties     | -               | -               | 34,233          | 50,126          |
| Interest on Loans                                  | 1,817,825       | 1,734,662       | 22,026          | 4,056           |
| Interest on Finance Lease Obligation (Note 25.2.2) | 94,583          | 100,806         | 110             | 427             |
| Interest on JEDB/SLPC Estate Lease (Note 25.1)     | 95,429          | 92,766          | -               | -               |
| Debenture Interest                                 | 26,290          | 36,757          | -               | -               |
| Interest on Bank Overdraft                         | 291,955         | 400,454         | 6,286           | 12,602          |
| Other Interest                                     | 170,264         | 71,189          | -               | -               |
| Loss on Translation of Foreign Currency            | 1,097,349       | 257,838         | -               | -               |
| Amount Capitalised                                 | (73,013)        | (40,977)        | -               | -               |
| <b>Total</b>                                       | 3,520,682       | 2,653,495       | 62,655          | 67,211          |
| <b>Net Finance Cost</b>                            | 3,384,513       | 2,603,786       | 26,304          | 15,195          |

## 7 PROFIT/(LOSS) BEFORE TAXATION

Is stated after charging all expenses including the following:

| For the year ended 31st March,                       | GROUP           |                 | COMPANY         |                 |
|------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                      | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Audit Services</b>                                |                 |                 |                 |                 |
| KPMG                                                 | 30,183          | 28,033          | 1,410           | 1,225           |
| Other Auditors                                       | 13,575          | 13,486          | -               | -               |
| <b>Non-Audit Services</b>                            |                 |                 |                 |                 |
| KPMG                                                 | 3,081           | 2,960           | 164             | 164             |
| Other Auditors                                       | 21,799          | 12,516          | -               | -               |
| Amortisation of Intangible assets (Note 14.2 & 14.3) | 18,291          | 27,980          | -               | -               |
| Depreciation and amortisation (Note 7.1)             | 1,355,019       | 1,423,013       | 6,833           | 6,912           |
| Directors Remuneration                               | 457,443         | 455,485         | 11,400          | 11,400          |
| Staff Cost (Note 7.2)                                | 8,341,690       | 8,369,549       | -               | -               |
| Donations                                            | 94              | 275             | 50              | 50              |

### 7.1 Depreciation and amortisation

|                                                 |           |           |       |       |
|-------------------------------------------------|-----------|-----------|-------|-------|
| Property, Plant & Equipments (Note 10.1 & 10.2) | 1,147,089 | 1,238,594 | 3,387 | 3,380 |
| Leasehold Properties (Note 11)                  | 47,315    | 46,424    | -     | -     |
| Right of use Assets (Note 12)                   | 120,731   | 119,147   | -     | -     |
| Investment Properties (Note 13)                 | 39,884    | 18,848    | 3,446 | 3,532 |
|                                                 | 1,355,019 | 1,423,013 | 6,833 | 6,912 |

### 7.2 Staff Cost

|                                               |           |           |   |   |
|-----------------------------------------------|-----------|-----------|---|---|
| Salaries and Wages                            | 6,877,296 | 6,864,034 | - | - |
| Defined Contribution Plan Cost - EPF & ETF    | 955,016   | 906,956   | - | - |
| Defined Benefit Plan Cost - Retiring Gratuity | 509,378   | 598,559   | - | - |
|                                               | 8,341,690 | 8,369,549 | - | - |

## 8 INCOME TAX EXPENSE

| For the year ended 31st March,                           | GROUP           |                 | COMPANY         |                 |
|----------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                          | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Current Income Tax Expense</b>                        |                 |                 |                 |                 |
| Taxation on Profit for the Year (Note 8.1)               | 496,807         | 438,031         | 24,070          | 5,800           |
| Under Provision on Taxation in respect of previous years | 32,885          | 72,006          | -               | -               |
|                                                          | 529,692         | 510,037         | 24,070          | 5,800           |
| <b>Deferred Tax Expense</b>                              |                 |                 |                 |                 |
| Origination/(Reversal) of Temporary Differences          | 22,503          | 37,834          | (16,590)        | (16,760)        |
|                                                          | 552,195         | 547,871         | 7,480           | (10,960)        |

# Notes to the Financial Statements contd.

| For the year ended 31st March,                                   | GROUP             |                   | COMPANY         |                 |
|------------------------------------------------------------------|-------------------|-------------------|-----------------|-----------------|
|                                                                  | 2022<br>Rs.'000   | 2021<br>Rs.'000   | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>8.1 Taxation on Profit for the Year</b>                       |                   |                   |                 |                 |
| <b>Reconciliation of Accounting Profit to Income Tax Expense</b> |                   |                   |                 |                 |
| Profit / (Loss) before Tax                                       | 403,895           | 493,199           | 269,051         | (86,276)        |
| Intra-Group Adjustments                                          | 1,473,375         | 45,653            | -               | -               |
|                                                                  | 1,877,270         | 538,852           | 269,051         | (86,276)        |
| Aggregate Disallowed Expenses                                    | 3,605,207         | 5,477,668         | 17,411          | 219,617         |
| Aggregate Allowable Items                                        | (3,596,981)       | (2,608,133)       | (207,913)       | (125,400)       |
| Tax Exempt (Income)/Loss                                         | (128,842)         | 90,039            | (102,924)       | (24,335)        |
| Statutory (Income)/Loss                                          | 1,756,654         | 3,498,426         | (24,375)        | (16,394)        |
| Other Source of Income                                           | (144,565)         | (513,660)         | 188,861         | 100,717         |
| Tax Losses utilised during the year                              | (918,732)         | (1,462,802)       | (24,375)        | (59,293)        |
| <b>Taxable Income/(Loss)</b>                                     | <b>693,357</b>    | <b>1,521,964</b>  | <b>164,486</b>  | <b>41,424</b>   |
| Income Tax @ 24%                                                 | 329,914           | 227,851           | 2,500           | -               |
| Income Tax @ 14%                                                 | 87,185            | 42,425            | 21,570          | 5,800           |
| Income Tax at Other Rates                                        | 79,708            | 167,755           | -               | -               |
| <b>Current Income Tax Expenses</b>                               | <b>496,807</b>    | <b>438,031</b>    | <b>24,070</b>   | <b>5,800</b>    |
| Tax Losses B/F                                                   | 15,666,714        | 15,903,748        | -               | 40,872          |
| Adjustment in respect of prior year                              | (316,370)         | 250,444           | -               | 2,027           |
| Tax Loss during the year                                         | 651,272           | 975,324           | 24,375          | 16,394          |
| Tax Loss utilised                                                | (918,732)         | (1,462,802)       | (24,375)        | (59,293)        |
| <b>Tax Loss C/F</b>                                              | <b>15,082,884</b> | <b>15,666,714</b> | <b>-</b>        | <b>-</b>        |

## 8.2 Income Tax Expense

In accordance with the Inland Revenue Act No. 24 of 2017 and amendments thereto, The Colombo Fort Land & Building PLC, its subsidiaries and equity accounted investees which are resident in Sri Lanka have are liable to tax on their adjusted profits at 24%, and on dividend Income received from a resident Company is liable to income tax at 14% w.e.f. 01.01.2020. (other than in respect of companies / activities set out in notes 8.2.1& 8.2.2 below).

Tax status of companies in the Group which are;

- enjoying income tax exemptions (Note 8.2.1)
- enjoying concessionary tax rates (Note 8.2.2) on profit/income earned from ordinary activities of business.

### 8.2.1 Companies exempted from Income Tax

| Company                         | Activity                                   | Statute                                                        | Period                                                                                                                                                                                                                                             |
|---------------------------------|--------------------------------------------|----------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Ceyflex Rubber Limited          | Taxable profit                             | Board of Investments of Sri Lanka Law No.4 of 1978, Section 17 | Exempted from income tax for a period of seven years starting from the year in which the enterprise commence to make profits or on any year of assessment not later than two years reckoned from the date of commencement of commercial operations |
| Agarapatana Plantations Limited | Profit from its business of "Agro Farming" | Inland Revenue Amendment Act No. 10 of 2021                    | Exempted from income tax for a period of five years starting from 1st April 2019.                                                                                                                                                                  |
| Kotagala Plantations PLC        | Profit from its business                   | Inland Revenue Amendment Act No. 10 of 2021                    | Exempted from income tax for a period of "Agro Farming"                                                                                                                                                                                            |

### Ceyflex Rubber Limited

In accordance with the agreement entered into with BOI under Section 17 of the BOI Act No. 04 of 1978, the profits of Ceyflex Rubber Ltd is exempted from income tax for a period of five years starting from the year in which the enterprise commence to make profits or on any year of assessment not later than two years reckoned from the date of commencement of commercial operations, whichever year is earlier. After the expiration of above tax exemption period, the profits and income of the enterprise shall be charged at 10% for a period of two years. After the expiration of aforesaid concessionary tax period, profits and income of the enterprise shall be charged for any year of assessment at a rate of 15% or at such rate that may prevail under the Inland Revenue Law, whichever is less.

### Kotagala Plantations PLC

Gains and profits earned or derived from the sale of produce of an undertaking for Agro farming without subjecting such produce to any process of production or manufacture are exempted within the period of five years of assessment commenced on April 1, 2019. Further, Agro Processing and Other Income liable at the rates of 14% and 24% respectively.

#### 8.2.2 Companies liable to tax at concessionary rates

| Company                            | Activity                                               | Statute                                                                                                                                         | Period     |
|------------------------------------|--------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|------------|
| E.B.Creasy & Company PLC           | Profit/Income earned by Manufacturing Companies        | With effect from 1st of January 2020 Manufacturing Companies were liable to tax at 18% as per the Notice PN/IT/2020-03 (Revised) of 18.02.2020. | Indefinite |
| Candy Delights Limited             | Profit/Income earned by Manufacturing Companies        | With effect from 1st of January 2020 Manufacturing Companies were liable to tax at 18% as per the Notice PN/IT/2020-03 (Revised) of 18.02.2020. | Indefinite |
| Kotagala Plantations PLC           | Profits from agricultural undertaking                  | 14% under Inland Revenue Act No. 24 of 2017                                                                                                     | Indefinite |
| Beruwala Resorts PLC               | Hotel operations                                       | 14% under Inland Revenue Act No. 24 of 2017                                                                                                     | Indefinite |
| Galle Fort Hotel (Private) Limited | Hotel operations                                       | 14% under Inland Revenue Act No. 24 of 2017                                                                                                     | Indefinite |
| Marawila Resorts PLC               | Hotel operations                                       | 14% under Inland Revenue Act No. 24 of 2017                                                                                                     | Indefinite |
| Sigiriya Village Hotels PLC        | Hotel operations                                       | 14% under Inland Revenue Act No. 24 of 2017                                                                                                     | Indefinite |
| Sherwood Holidays Limited          | Hotel operations                                       | 14% under Inland Revenue Act No. 24 of 2017                                                                                                     | Indefinite |
| Lanka Special Steels Limited       | Manufacturing, Importing an Exporting galvanised wire. | 18% under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322.                                                         | Indefinite |
| Waverly Power (Private) Limited    | Generating electricity for the National Grid           | 14% under Inland Revenue Amendment Act No. 10 of 2021                                                                                           | Indefinite |
| Lankem Development PLC             | Agro farming                                           | 14% under Inland Revenue Amendment Act No. 10 of 2021                                                                                           | Indefinite |

The income earned from activities other than mentioned above are liable to income tax at the rate of 24%.

**8.2.3** Lankem Paints Limited, Lankem Chemicals Limited, Lankem Research Limited, Lankem Consumer Products Limited, Lankem Export Limited, Nature's Link Limited, SunAgro Farms Limited, SunAgro Food Limited, Lankem Technology Services Limited, Associated Farms (Private) Limited, and Lankem Agrochemicals Limited were non-operative during the year.

#### 8.3 Revaluation Surplus on freehold land

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold lands used for business or investment purpose would be liable to tax at the time of realization. Accordingly, deferred tax is recognised on the revaluation surplus of freehold lands which are treated as capital assets used in the business for tax purpose. In accordance with Sri Lanka Accounting Standards, the deferred tax impact has been charged to retained earnings as the related surplus has been previously added to retained earnings.

Freehold lands which are treated as investment assets for tax purposes would not be considered for deferred tax, since the Act requires deemed cost of the assets to be equal to market value as at 30th September 2017.

#### 8.4 Tax loss Carried forward

As per the Gazette notification issued in relation to the transitional provisions, any unclaimed losses as at 31st March 2018, is deemed to be a loss incurred for the year of assessment commencing on or after 1st April, 2018 and shall be carried forward up to 6 years. Accordingly the Group has evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognized accordingly.

## Notes to the Financial Statements contd.

### 8.5 Disallowed Finance Cost

As per the Subsection (3) of Section 18 of the Inland Revenue Act No. 24 of 2017, finance cost for which a deduction is denied as a result of Subsection (1) of the same section, may be carried forward and treated as incurred during any of following six years of assessment, only to the extent of any unused limitation in Subsection (2) of the same section for the year. Accordingly, the Group has evaluated the recoverability of unclaimed finance costs and assets have been recognized.

### 8.6 Deferred Taxation

Deferred tax has been computed by using applicable tax rates liable for income tax for the Company and its subsidiaries for the year of assessment 2021/22.

### 8.7 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the Income Tax rates substantively in enacted as at 31st March 2022.

- (i) No Provision has been made for deferred tax in the Financial Statements of Imperial Hotels Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Research Limited, Lankem Paints Limited, Lankem Chemicals Limited, Lankem Technology Services Limited, Associated Farms Limited, Kelani Valley Canneries Limited, SunAgro Foods Limited, SunAgro Farms Limited, Muller & Phipps (Ceylon) PLC, Lankem Developments PLC, Ceytra Limited and Ceymac Rubber Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit therefrom. The tax losses carried forward are as follows;

#### Unrecognised Deferred Tax Assets

| For the year ended 31st March,      | 2022<br>Rs. Mn. | 2021<br>Rs. Mn. |
|-------------------------------------|-----------------|-----------------|
| Lankem Ceylon PLC                   | 238.5           | 308.0           |
| Lankem Developments PLC             | 34.9            | 24.6            |
| Lankem Exports (Private) Limited    | 7.5             | 7.5             |
| Lankem Consumer Products Limited    | 46.3            | 53.9            |
| Lankem Research Limited             | -               | 4.0             |
| Lankem Chemicals Limited            | 0.8             | 0.7             |
| Lankem Paints Limited               | 23.1            | 23.8            |
| Kelani Valley Canneries Limited     | 68.9            | 53.6            |
| Muller & Phipps (Ceylon) PLC        | 14.1            | 18.7            |
| SunAgro Foods Limited               | 36.5            | 38.9            |
| SunAgro Farms Limited               | 14.4            | 14.0            |
| Lankem Technology Services Limited. | -               | 0.1             |
| Ceymac Rubber Company Limited       | 6.5             | 6.5             |
| Associated Farms Limited            | 5.2             | 5.2             |
| Ceytra (Private) Limited            | 10.6            | 12.4            |
| Kotagala Plantation PLC             | 262.8           | 359.2           |
| ACME Printing and Packaging PLC     | 31.0            | -               |

## 9 BASIC EARNINGS / (DEFICIT) PER SHARE

Basic Earnings / (deficit) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company / Group divided by weighted average number of Ordinary Shares in Issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

| For the year ended 31st March,                                          | GROUP     |           | COMPANY |          |
|-------------------------------------------------------------------------|-----------|-----------|---------|----------|
|                                                                         | 2022      | 2021      | 2022    | 2021     |
| Profit / (Loss) attributable to Equity Holders of the Company (Rs.'000) | (351,291) | (517,483) | 261,571 | (75,316) |
| Weighted Average Number of Ordinary Shares (No.'000)                    | 237,845   | 220,337   | 237,845 | 220,337  |
| Earnings / (Deficit) Per Share (Rs.)                                    | (1.48)    | (2.35)    | 1.10    | (0.34)   |

### Weighted Average Number of Ordinary Shares

|                                                                          |         |         |         |         |
|--------------------------------------------------------------------------|---------|---------|---------|---------|
| Number of Shares in issue as at 01st April, 2021 (No.'000)               | 220,337 | 220,337 | 220,337 | 220,337 |
| Weighted Average Number Shares Issued due to Private Placement (No.'000) | 17,508  | -       | 17,508  | -       |
| Weighted Average Number of Ordinary Shares as at 31st March, 2022        | 237,845 | 220,337 | 237,845 | 220,337 |

## 10 PROPERTY, PLANT & EQUIPMENT

|                  | Balance<br>as at<br>31.03.2021 | Acquisition<br>of<br>Subsidiary | Revaluation<br>of Land | Additions<br>during<br>the Year | Disposals/<br>Write-off/<br>Transfers<br>during<br>the Year | Transfer<br>to/(from)<br>Investment<br>Property | Balance<br>as at<br>31.03.2022 |
|------------------|--------------------------------|---------------------------------|------------------------|---------------------------------|-------------------------------------------------------------|-------------------------------------------------|--------------------------------|
| Cost / Valuation | Rs.'000                        |                                 | Rs.'000                | Rs.'000                         | Rs.'000                                                     | Rs.'000                                         | Rs.'000                        |

### 10.1 Group

|                     |           |         |           |         |           |   |            |
|---------------------|-----------|---------|-----------|---------|-----------|---|------------|
| Land (Access Roads) | 69,315    |         | -         | -       | -         | - | 69,315     |
| Land (Note 10.3)    | 9,319,721 | 231,900 | 1,267,963 | 587,293 | (601,384) |   | 10,805,493 |

### Freehold

|                                           |            |           |           |           |             |   |            |
|-------------------------------------------|------------|-----------|-----------|-----------|-------------|---|------------|
| Buildings                                 | 5,130,055  | 370,720   | -         | 279,343   | (196,329)   |   | 5,583,789  |
| Mature/Immature Plantations (Note 10.4.1) | 7,362,055  |           |           | 293,692   | (105,956)   |   | 7,549,791  |
| Plant & Machinery                         | 5,784,280  | 350,554   | -         | 361,192   | (155,318)   |   | 6,340,708  |
| Motor Vehicles                            | 1,404,951  | 95        | -         | 54,777    | (43,567)    | - | 1,416,256  |
| Office Equipments                         | 938,289    | 3,835     | -         | 95,918    | (9,499)     |   | 1,028,543  |
| Furniture and Fittings                    | 988,502    | 45,404    |           | 57,664    | (9,800)     | - | 1,081,770  |
|                                           | 30,997,168 | 1,002,508 | 1,267,963 | 1,729,879 | (1,121,853) | - | 33,875,665 |

### Leasehold

|                   |         |  |   |   |          |   |        |
|-------------------|---------|--|---|---|----------|---|--------|
| Buildings         | 15,649  |  | - | - | -        | - | 15,649 |
| Plant & Machinery | 69,177  |  | - | - | (69,177) | - | -      |
| Motor Vehicles    | 24,600  |  | - | - | (12,100) | - | 12,500 |
|                   | 109,426 |  | - | - | (81,277) | - | 28,149 |

|             |         |  |   |         |           |           |         |
|-------------|---------|--|---|---------|-----------|-----------|---------|
| Capital WIP | 885,700 |  | - | 447,277 | (279,366) | (608,672) | 444,939 |
|-------------|---------|--|---|---------|-----------|-----------|---------|

|                      |            |           |           |           |             |           |            |
|----------------------|------------|-----------|-----------|-----------|-------------|-----------|------------|
| Total Cost/Valuation | 31,992,294 | 1,002,508 | 1,267,963 | 2,177,156 | (1,482,296) | (608,672) | 34,348,753 |
|----------------------|------------|-----------|-----------|-----------|-------------|-----------|------------|

## Notes to the Financial Statements contd.

| Accumulated Depreciation                  | Balance<br>as at<br>31.03.2021 | Charge<br>for<br>the Year | Disposals/<br>Write-off<br>during<br>the Year | Transfer to<br>Investment<br>Property | Balance<br>as at<br>31.03.2022 |
|-------------------------------------------|--------------------------------|---------------------------|-----------------------------------------------|---------------------------------------|--------------------------------|
|                                           | Rs.'000                        | Rs.'000                   | Rs.'000                                       | Rs.'000                               | Rs.'000                        |
| Land (Access Roads)                       | 34,537                         | 2,773                     |                                               |                                       | 37,310                         |
| <b>Freehold</b>                           |                                |                           |                                               |                                       |                                |
| Buildings                                 | 1,740,419                      | 271,564                   | (132,704)                                     | -                                     | 1,879,279                      |
| Mature/Immature Plantations (Note 10.4.1) | 1,891,412                      | 240,813                   |                                               |                                       | 2,132,225                      |
| Plant & Machinery                         | 3,964,941                      | 426,423                   | (152,862)                                     | -                                     | 4,238,502                      |
| Motor Vehicles                            | 1,205,100                      | 84,196                    | (40,110)                                      | -                                     | 1,249,186                      |
| Office Equipments                         | 786,780                        | 63,495                    | (9,424)                                       | -                                     | 840,851                        |
| Furniture and Fittings                    | 813,841                        | 44,615                    | (9,180)                                       |                                       | 849,276                        |
|                                           | 10,437,030                     | 1,133,879                 | (344,280)                                     | -                                     | 11,226,629                     |
| <b>Leasehold</b>                          |                                |                           |                                               |                                       |                                |
| Buildings                                 | 7,109                          | 974                       | -                                             | -                                     | 8,083                          |
| Plant & Machinery                         | 37,315                         | 9,250                     | (46,565)                                      | -                                     | -                              |
| Motor Vehicles                            | 18,393                         | 2,986                     | (14,704)                                      | -                                     | 6,675                          |
|                                           | 62,817                         | 13,210                    | (61,269)                                      | -                                     | 14,758                         |
| <b>Total Depreciation</b>                 | <b>10,499,847</b>              | <b>1,147,089</b>          | <b>(405,549)</b>                              | <b>-</b>                              | <b>11,241,387</b>              |
| Carrying Value                            | 21,492,447                     |                           |                                               |                                       | 23,107,366                     |
|                                           |                                | <b>Reversal</b>           |                                               |                                       |                                |
| Impairment                                | (11,868)                       | 3,441                     |                                               |                                       | (8,427)                        |
| <b>Total Carrying Value of</b>            |                                |                           |                                               |                                       |                                |
| <b>Property, Plant &amp; Equipment</b>    | <b>21,480,579</b>              |                           |                                               |                                       | <b>23,098,939</b>              |

**Note ;** The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2022 is Rs.3,205 million (2020/2021 - Rs. 2,665 million )

### a) Capital Work in Progress

#### E. B. Creasy & Company PLC

Laxapana Batteries PLC, ventured into the business of investing in solar power and renewable energy projects to generate, supply and sell electricity to the national grid through the Ceylon Electricity Board. As at the reporting date, Laxapana Batteries PLC had entered into agreements to lease roof-top space of the factory premises of Related Companies – E. B. Creasy & Co. PLC, Ceyflex Rubber Limited and Lanka Special Steels Limited and installed roof-top solar power plants at a cost of Rs. 146.54 Mn incurred and a sum of Rs.123.15 Mn is included under Capital Work-in-Progress which represents the cost of the power plants not commissioned as at the reporting date.

#### C. W. Mackie PLC

The capital work-in progress balance as at 31 March 2022 represent the cost incurred by C. W. Mackie PLC on the glass water bottling plant to improve the production capacity of the factory. Accordingly, the Company has capitalised the improvements made to machinery, land and buildings in the design stage of the project as at the financial year end.

The capital work-in progress balance as at 31 March 2021, represent the cost incurred by Sunquick Lanka Property (Private) Limited on the project to improve the production capacity of the factory rented out to Sunquick Lanka (Private) Limited under the supervision of the Co-Ro A/S, Denmark. Accordingly, the Company has capitalised the improvements made to land and buildings in the design stage of the project as at the financial year end.

## Kotagala Plantations PLC

Capital Work-in-Progress include the Work-in-Progress pertaining to Improvements to Land & Buildings, Water Projects & Sanitations and Plant & Machinery.

- b) Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.
- c) Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 25.5 to these Financial Statements.

|                  | Balance<br>as at<br>01.04.2021 | Additions<br>during<br>the Year | Disposals<br>during<br>the Year | Transfers<br>during<br>the Year | Balance<br>as at<br>31.03.2022 |
|------------------|--------------------------------|---------------------------------|---------------------------------|---------------------------------|--------------------------------|
| Cost / Valuation | Rs.'000                        | Rs.'000                         | Rs.'000                         | Rs.'000                         | Rs.'000                        |

### 10.2 Company

#### Freehold

|                        |        |     |       |   |        |
|------------------------|--------|-----|-------|---|--------|
| Plant & Machinery      | 2,698  | -   | -     | - | 2,698  |
| Motor Vehicle          | 15,019 | -   | 2,850 | - | 12,169 |
| Office Equipment       | 12,574 | 171 | -     | - | 12,745 |
| Furniture and Fittings | 10,480 | -   | -     | - | 10,480 |
|                        | 40,771 | 171 | 2,850 | - | 38,092 |

#### Leasehold

|                   |               |            |              |          |               |
|-------------------|---------------|------------|--------------|----------|---------------|
| Motor Vehicle     | 12,500        | -          | -            | -        | 12,500        |
|                   | 12,500        | -          | -            | -        | 12,500        |
| <b>Total Cost</b> | <b>53,271</b> | <b>171</b> | <b>2,850</b> | <b>-</b> | <b>50,592</b> |

|                          | Balance<br>as at<br>01.04.2021 | Charge<br>for<br>the Year | Disposals<br>during<br>the Year | Transfers<br>during<br>the Year | Balance<br>as at<br>31.03.2022 |
|--------------------------|--------------------------------|---------------------------|---------------------------------|---------------------------------|--------------------------------|
| Accumulated Depreciation | Rs.'000                        | Rs.'000                   | Rs.'000                         | Rs.'000                         | Rs.'000                        |

#### Freehold

|                        |        |     |       |   |        |
|------------------------|--------|-----|-------|---|--------|
| Plant & Machinery      | 497    | 360 | -     | - | 857    |
| Motor Vehicle          | 15,019 | -   | 2,850 | - | 12,169 |
| Office Equipment       | 11,281 | 414 | -     | - | 11,695 |
| Furniture and Fittings | 9,803  | 113 | -     | - | 9,916  |
|                        | 36,600 | 887 | 2,850 | - | 34,637 |

#### Leasehold

|                                                                |               |              |              |          |               |
|----------------------------------------------------------------|---------------|--------------|--------------|----------|---------------|
| Motor Vehicle                                                  | 8,014         | 2,500        | -            | -        | 10,514        |
|                                                                | 8,014         | 2,500        | -            | -        | 10,514        |
| <b>Total Accumulated Depreciation</b>                          | <b>44,614</b> | <b>3,387</b> | <b>2,850</b> | <b>-</b> | <b>45,151</b> |
| <b>Total Carrying Value of Property, Plant &amp; Equipment</b> | <b>8,657</b>  |              |              |          | <b>5,441</b>  |

Note: The cost of fully depreciated Property, Plant and equipment of the Company which are still in use as at 31st March 2022 was Rs. 30.91 million (2020/2021 - Rs. 34.04 million )

# Notes to the Financial Statements contd.

## 10.3 GROUP

The portfolio of Lands in the Group consist of the following.

| Company Name                                   | Location                                       | Extent Perches | No. of Buildings | Name of the Valuer                   | Latest Valuation | Carrying amount of land under cost model Rs.'000 | Market Value as at 31st March 2022 Rs.'000 | Market Value as at 31st March 2021 Rs.'000 |
|------------------------------------------------|------------------------------------------------|----------------|------------------|--------------------------------------|------------------|--------------------------------------------------|--------------------------------------------|--------------------------------------------|
| <b>Marawila Resorts PLC</b>                    |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Marawila                                       | 4,347          | 72               | Mr. P.P.T. Mohideen Chartered Valuer | 31.03.2022       | 880,948                                          | 1,289,010                                  | 1,180,700                                  |
| <b>Sigiriya Village Hotels PLC</b>             |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Sigiriya (Leasehold)                           | 2,688          | 39               | Mr. P.P.T. Mohideen Chartered Valuer | 31.03.2022       | 176,245                                          | 206,993                                    | 206,993                                    |
| <b>Galle Fort Hotel (Private) Limited</b>      |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Galle Fort, Galle.                             | 78             | 8                | Mr. P.P.T. Mohideen Chartered Valuer | 31.03.2022       | 336,676                                          | 1,355,350                                  | 1,262,960                                  |
| <b>Beruwala Resorts PLC</b>                    |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Moragalla, Beruwala.                           | 3              | -                | Mr. P.P.T. Mohideen Chartered Valuer | 31.03.2022       | 267                                              | 267                                        | 267                                        |
| <b>B.O.T. Hotel Services (Private) Limited</b> |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Kaparathota Road, Waligama.                    | 491            | 6                | Mr. P.P.T. Mohideen Chartered Valuer | 31.03.2022       | 361,805                                          | 551,775                                    | 525,550                                    |
| <b>Lankem Development PLC</b>                  |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Maguruwila Road, Gonawala.                     | 86             | -                | Mr. P.P.T. Mohideen Chartered Valuer | 31.03.2022       | 6,950                                            | 22,400                                     | 19,800                                     |
| <b>Union Commodities (Private) Limited</b>     |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | No.79, Biyagama Road, Talwatta, Kelaniya       | 611            | 11               | Mr. P.B Kalugalagedara               | 31.03.2022       | 255,920                                          | 519,520                                    | 459,579                                    |
| Land                                           | No.120/9, Maya Mawatha, Kiribathgoda           | 11             | -                | Mr. P.B Kalugalagedara               | 31.03.2022       | 1,000                                            | 5,000                                      | 3,150                                      |
| <b>Teacom (Private) Limited</b>                |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | Paddy Land- Ranawiru JA Chaminda Mawatha       | 1,016          | -                | Mr. P.B Kalugalagedara               | 31.03.2022       | 3,000                                            | 12,700                                     | 12,700                                     |
| <b>Lankem Ceylon PLC</b>                       |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | St. Anthony's Road, Ekala, Kuriduwa.           | 476            | 12               | Mr. P.P.T.Mohideen Chartered Valuer  | 31.03.2022       | 60,600                                           | 385,844                                    | 381,080                                    |
| Land                                           | Maguruwila Road, Gonawala.                     | 868            | 10               | Mr. P.P.T.Mohideen Chartered Valuer  | 31.01.2019       | 43,198                                           | -                                          | 525,134                                    |
| Land                                           | Maduramadu, Vembu, Puttlam                     | 1,431          | 2                | Mr. P.P.T.Mohideen Chartered Valuer  | 31.01.2019       | 40,979                                           | -                                          | 30,000                                     |
| <b>E B Creasy &amp; Company PLC</b>            |                                                |                |                  |                                      |                  |                                                  |                                            |                                            |
| Land                                           | No 98, Sri Sangaraja Mawatha, Colombo 10.      | 238            | 2                | Mr. P.P.T.Mohideen Chartered Valuer  | 31.03.2022       | 100                                              | 3,217,500                                  | 2,925,000                                  |
| Land                                           | No.55, Maguruwila Road, Gonawala, Sapugaskanda | 868            | 3                | Mr. P.P.T.Mohideen Chartered Valuer  | 31.03.2022       | 524,135                                          | 524,135                                    | -                                          |

| Company Name                     | Location                                          | Extent Perches | No. of Buildings | Name of the Valuer                        | Latest Valuation | Carrying amount of land under cost model Rs.'000 | Market Value as at 31st March 2022 Rs.'000 | Market Value as at 31st March 2021 Rs.'000 |  |
|----------------------------------|---------------------------------------------------|----------------|------------------|-------------------------------------------|------------------|--------------------------------------------------|--------------------------------------------|--------------------------------------------|--|
| Candy Delights Limited           |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | No 26 , Agaradaguru Mawatha, Ekala, Ja-Ela.       | 160            | -                | Mr. P.P.T.Mohideen Chartered Valuer       | 31.03.2022       | 32,000                                           | 84,000                                     | 68,000                                     |  |
| Laxapana Batteries PLC           |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | No.398,Awissawella Road, Panagoda, Homagama       | 577            | 3                | Mr. P.P.T.Mohideen Chartered Valuer       | 31.03.2022       | 103,256                                          | 508,165                                    | 439,450                                    |  |
| C.W. Mackie PLC                  |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | Scan Bottling Plant Munagama, Horana.             | 485            | 4                | Mr. K.T.D Tissera Chartered Valuer        | 31.03.2022       | 71,944                                           | 363,908                                    | 744,057                                    |  |
| Ceymac Rubber Company Limited    |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | Aramanagolla, Horana, Horana.                     | 800            | 11               | Mr. K.T.D Tissera Chartered Valuer        | 31.03.2022       | 3,350                                            | 640,360                                    |                                            |  |
| Land                             | Thebuwana, Narthupana                             | 850            | 8                | Mr. K.T.D Tissera Chartered Valuer        | 31.03.2022       | 469                                              | 137,250                                    |                                            |  |
| Kelani Valley Canneries Limited  |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | Kaluaggala, Hanwella                              | 475            | 7                | Mr. K.T.D Tissera Chartered Valuer        | 31.03.2022       | 39,000                                           | 137,250                                    |                                            |  |
| CM Holdings PLC                  |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Colonial Motors (Ceylon) Limited |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | 41/35, Nagahamulla Road, Thalangama, Battaramulla | 133            | 6                | Mr. N.B.S.A. Nanayakkara Chartered Valuer | 31.03.2022       | 67,246                                           | 293,040                                    | 226,000                                    |  |
| J.F. Packaging Limited           |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | Minuwangoda Road, Kotugoda                        | 350            | 4                | Mr. P.P.T. Mohideen Chartered Valuer      | 31.03.2022       | 42,199                                           | 304,500                                    | 295,800                                    |  |
| Ceylon Tapes (Private) Limited   |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | Samagi Mawatha, Ja-ela                            | 45             | 2                | Mr. P.P.T. Mohideen Chartered Valuer      | 31.03.2022       | 11,250                                           | 14,625                                     | 13,500                                     |  |
| ACME Printing and Packaging PLC  |                                                   |                |                  |                                           |                  |                                                  |                                            |                                            |  |
| Land                             | 345, Gonamadiththa Road, Piliyandala              | 464            | 4                | Mr. P.P.T. Mohideen Chartered Valuer      | 31.03.2022       | 231,900                                          | 231,900                                    | -                                          |  |
| Total                            |                                                   |                |                  |                                           |                  |                                                  | 10,805,493                                 | 9,319,720                                  |  |

All above revaluations are based on market values and the valuations were carried out on 31st March 2022 by independent chartered valuers.

### 10.3.1 Laxapana Batteries PLC

Land area of 27.63 perches belongs to Laxapana Batteries PLC has been gazetted to be acquired by the Government. The Company made a claim on 28.04.2016 for Rs.218.6 Million, which includes the compensation for 27.63 perches of land, 3,885 cubic feet of retaining wall and other miscellaneous items. No adjustment has been made in the financial statements, pending finalisation of the claim.

## Notes to the Financial Statements contd.

### 10.4 Immature/Mature Plantations - Bearer Biological Assets

| As at                                | 31.03.2022 | 31.03.2021 |
|--------------------------------------|------------|------------|
|                                      | Rs'000     | Rs'000     |
| Agarapatana Plantation Limited (APL) | 2,225,512  | 2,235,532  |
| Kotagala Plantation PLC (KPPLC)      | 3,192,054  | 3,235,111  |
|                                      | 5,417,566  | 5,470,643  |

#### 10.4.1 Mature/Immature Plantations - Bearer Biological Assets

| Cost                            | Mature Plantations |                  |                 | Immature Plantations |                  |                 | Total                | Total                |
|---------------------------------|--------------------|------------------|-----------------|----------------------|------------------|-----------------|----------------------|----------------------|
|                                 | Tea<br>Rs'000      | Rubber<br>Rs'000 | Other<br>Rs'000 | Tea<br>Rs'000        | Rubber<br>Rs'000 | Other<br>Rs'000 | 31.03.2022<br>Rs'000 | 31.03.2021<br>Rs'000 |
| At the beginning of the year    | 3,470,289          | 2,182,208        | 572,470         | 551,470              | 539,350          | 46,268          | 7,362,055            | 7,183,661            |
| Additions/Transfer in           | 4,545              | 61,912           | 39,498          | 60,235               | 90,233           | 37,269          | 293,692              | 374,676              |
| Transfer out                    | -                  | -                | -               | (4,545)              | (61,912)         | (39,499)        | (105,956)            | (196,282)            |
| At the end of the year          | 3,474,834          | 2,244,120        | 611,968         | 607,160              | 567,671          | 44,038          | 7,549,791            | 7,362,055            |
| <b>Depreciation</b>             |                    |                  |                 |                      |                  |                 |                      |                      |
| At the beginning of the year    | 829,473            | 938,141          | 123,798         | -                    | -                | -               | 1,891,412            | 1,657,327            |
| Charge for the year             | 106,123            | 104,401          | 30,289          | -                    | -                | -               | 240,813              | 234,085              |
| At the end of the year          | 935,596            | 1,042,542        | 154,087         | -                    | -                | -               | 2,132,225            | 1,891,412            |
| Carrying Value as at 31.03.2022 | 2,539,238          | 1,201,578        | 457,881         | 607,160              | 567,671          | 44,038          | 5,417,566            |                      |
| Carrying Value as at 31.03.2021 | 2,640,816          | 1,244,067        | 448,672         | 551,470              | 539,350          | 46,268          |                      | 5,470,643            |

- a) These are investments in mature/immature plantations since the formation of the respective companies. The assets (including plantation assets) taken over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Note. When such plantations become mature, the additional investments made since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The Bearer Biological Assets are measured at cost less accumulated depreciations and accumulated impairment losses, if any, in terms of LKAS 16 - "Property Plant and Equipment.

- b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting Rs. 4.9million (2020/21 - 9.1 million) on Tea, and Rs. 45.0million (2020/21 - 60.0 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of tea and rubber have been capitalised. The average rate of interest for capitalisation was 11.98% (2020/21 - 11.79%) The capitalisation will cease when crops are ready for harvest.
- c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs.23,113,150 /- (2021 Rs. 25,277,163/-) have been capitalised as part of the cost of the immature plantations. Capitalisation will cease when crops are ready for harvest.
- d) Other Immature Plantations include other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

### 10.5 Fair Value gain on growing produce on bearer Biological Assets

| As at 31st March,                      | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
|----------------------------------------|-----------------|-----------------|
| At the beginning of the year           | 15,381          | 3,629           |
| Change in Fair value less cost to sell | 3,311           | 11,752          |
| At the end of the year                 | 18,692          | 15,381          |

### 10.6 Consumable Biological Assets

| As at 31st March,                                    | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
|------------------------------------------------------|-----------------|-----------------|
| At the beginning of the year                         | 2,949,827       | 2,653,128       |
| Increased Due to Development                         | 7,593           | 8,457           |
| Decreased due to harvesting                          | (14,025)        | (8,349)         |
| Gain arising from changes in fair value for the year | 190,155         | 296,591         |
|                                                      | 3,133,550       | 2,949,827       |

Kotagala Plantations PLC and Agarapatana Plantations Limited has recognised managed trees as biological assets.

#### Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investments since taken over to bring them to maturity are transferred from immature to mature.

The fair value of managed trees was valued by Mr. Fathihu A A M (FIV), Incorporated Valuers by using following assumptions

Key assumptions used in valuation are as follows,

| Variable             | Comment                                                                                                                                                                                                                                                                                                                |
|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Timber Content       | Estimated based on the girth,height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department. |
| Economic Useful Life | Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department                                                                                                                                                                                  |
| Selling Price        | Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.                                                                                                                                                                    |
| Discount rate        | Future cash flows are discounted at the rate of 18%, 19% & 20% (2020/21 - 10.5%, 11.5% & 12.5%)                                                                                                                                                                                                                        |

The Board of Directors established that the fair value of consumable biological assets of the Company is comprised of only managed trees which fall under the purview of the forestry management plan of the company, since LKAS 41 is only applicable for managed agricultural activity in terms of the ruling issued by The Institute of Chartered Accountants of Sri Lanka.

During the year ended 31st March 2020, a physical verification of timber was carried out by the management covering all the estates and the actual number of trees available in the estates was ascertained. The actual number of commercially cultivated managed timber trees available as per the physical verification is included within the fair value of timber (consumable biological assets) for the year ended 31st March 2022.

# Notes to the Financial Statements contd.

The Company is exposed to the following risks relating to its timber plantations.

## Regulatory and environmental risks

The Company is subject to laws and regulations in Sri Lanka. The Company has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks

## Supply and demand risk

The Company is exposed to risks arising from fluctuations in the price and sales volume of timber. When possible, the Company manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analysis to ensure that the Company's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand.

## Climate and other risks

The Company's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Company has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and industry pest and disease surveys.

## Agarapatana Plantations Limited (APL)

Managed timber plantation was measured at fair value initially as at 31 March 2013 and subsequently. The corresponding gain/(loss) was recognized in the statement of profit or loss. However fair value surplus was recognized in the equity as a separate component which will be available for distribution only on realisation of consumable biological assets.

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees is treated as approximate fair value particularly on the ground of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed Trees was ascertained by the Incorporated Valuer Mr. A.A.M Fathihu, FIV, for the current year in accordance with LKAS 41 "Agriculture" using discounted cash flows (DCF) method.

### 10.6.1 Measurement of Fair Value

- The Future cash flows are determined by reference to current timber prices
- The fair value measurement for the consumable biological assets has been categorized as level 3 fair value based on inputs to the valuations used. Breakdown of the total gains recognized in respect of level 3 fair values of biological assets are given below.

| As at 31st March,                                                               | Group            |                  |
|---------------------------------------------------------------------------------|------------------|------------------|
|                                                                                 | 2022<br>Rs. `000 | 2021<br>Rs. `000 |
| Change in fair value of consumable biological assets (Note 10.6)                | 190,155          | 296,591          |
| Change in fair value of growing produce of bearer biological assets (Note 10.5) | 3,311            | 11,752           |
|                                                                                 | 193,466          | 308,343          |

- Following table shows the valuation techniques in measuring level 3 fair value of consumable biological assets as well as significant unobservable inputs used.

#### Kotagala Plantations PLC (KPPLC)

| Type                                                     | Valuation Technique used                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Significant unobservable inputs                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Inter relationship between Key unobservable inputs and fair value measurements                                                                                                                                                                                                                                    |
|----------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Mature Timber</b><br>Mature timber older than 5 years | <b>Discounted Cash Flows</b><br>The valuation model considers present value of future net cashflows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per tree basis.<br><b>Expected cashflows are discounted using a high risk adjusted rates of ;</b><br>18% - Trees age to harvest 5 years or below<br>19% - Trees age to harvest 6 -14 years<br>20% - Trees age to harvest 15 years or above comprising a risk free rate of 11.5% | <b>Determination of Timber content</b><br>Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content.<br><b>Determination of Price of Timber</b><br>(Price Range per cu.ft. is Rs 351 - Rs1,080)<br><br>Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species. | The estimated fair value at the time of harvesting each specific species is sensitive to the following variables,<br>- The estimated timber content<br>-The estimated timber prices per cubic meter<br>- The estimated selling related costs<br>- The estimated maturity age<br>- The risk adjusted discount rate |

#### Agarapatana Plantations Limited (APL)

| Type                 | Valuation Technique used                                                                                                                                                                                                                                                                                                                                                                 | Significant unobservable inputs                                                                                               | Inter relationship between Key unobservable inputs and fair value measurements                                                                                                                                        |
|----------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Mature Timber</b> | <b>Discounted Cash Flows</b><br>The valuations, as presented in the external valuation model based on net present values, takes into account the long term exploitation of the timber plantations.<br>Expected Cash flows are discounted using ;<br>18%- Trees age to harvest 5 years or below<br>19% - Trees age to harvest 6- 15 years<br>20% - Trees age to harvest 15 years or above | Optimum Rotation (Maturity) - 25 years<br>Volume at Rotation - 19.4 - 88.5 cu.ft.<br>Price per cu.ft. -Rs.358/- to Rs.1,161/- | Lower the rotation period, the higher the fair value<br>The higher the volume, the higher the fair value<br>Higher the price per cu.ft. higher the fair value.<br>Higher the discount rate ,the lesser the fair value |

The valuations, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of the Company are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to realise in future included in the calculation of the fair value takes into account the age of the timber plants and not the expiration date of the lease.

# Notes to the Financial Statements contd.

## 10.6.2 Sensitivity Analysis

Sensitivity analysis on sales price and discounted Rate

The Future cash flows are determined by reference to current timber prices and the fair value measurement.

### a) Sensitivity variation-sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

| Sensitivity effect on the carrying value of Biological Assets | 10%     | -10%      |
|---------------------------------------------------------------|---------|-----------|
| As at 31 March 2022 Rs.(000)                                  | 313,478 | (313,478) |
| As at 31 March 2021 Rs.(000)                                  | 295,335 | (295,335) |

### b) Sensitivity variation-discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for timber trees show that a rise or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets:

| Sensitivity effect on the net present value of Biological Assets | 1%        | -1%     |
|------------------------------------------------------------------|-----------|---------|
| As at 31 March 2022 Rs.(000)                                     | (84,698)  | 86,968  |
| As at 31 March 2021 Rs.(000)                                     | (122,101) | 132,520 |

## 11 LEASEHOLD PROPERTY

|                                                                                         | Balance<br>as at<br>31.03.2021<br>Rs.'000 | Additions<br>During the<br>Year<br>Rs.'000 | Impact due to<br>initial<br>application<br>of SLFRS<br>16 | Balance<br>as at<br>31.03.2022<br>Rs.'000 |
|-----------------------------------------------------------------------------------------|-------------------------------------------|--------------------------------------------|-----------------------------------------------------------|-------------------------------------------|
| <b>Cost</b>                                                                             |                                           |                                            |                                                           |                                           |
| <b>Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)</b>                   |                                           | ..                                         |                                                           |                                           |
| Kotagala Plantations PLC (Note 11.1.a)                                                  | 830,828                                   | 21,580                                     | -                                                         | 852,408                                   |
| Agarapatana Plantations Limited (Note 11.1.b)                                           | 341,588                                   | -                                          | -                                                         | 341,588                                   |
|                                                                                         | 1,172,416                                 | 21,580                                     | -                                                         | 1,193,996                                 |
| <b>Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)</b> |                                           |                                            |                                                           |                                           |
| Kotagala Plantations PLC (11.2.a)                                                       | 448,322                                   | -                                          | -                                                         | 448,322                                   |
| Agarapatana Plantations Limited (11.2.b)                                                | 265,748                                   | -                                          | -                                                         | 265,748                                   |
|                                                                                         | 714,070                                   | -                                          | -                                                         | 714,070                                   |
| <b>Other Leasehold Assets</b>                                                           |                                           |                                            |                                                           |                                           |
| SunAgro Farms Limited                                                                   | 2,555                                     | -                                          | -                                                         | 2,555                                     |
|                                                                                         | 2,555                                     | -                                          | -                                                         | 2,555                                     |
| <b>Total Cost</b>                                                                       | 1,889,041                                 | 21,580                                     | -                                                         | 1,910,621                                 |

|                                                                             | Balance<br>as at<br>31.03.2021<br>Rs.'000 | Charge<br>for the<br>Year<br>Rs.'000 | Balance<br>as at<br>31.03.2022<br>Rs.'000 |
|-----------------------------------------------------------------------------|-------------------------------------------|--------------------------------------|-------------------------------------------|
| <b>Accumulated Depreciation</b>                                             |                                           |                                      |                                           |
| <b>Leasehold Right to Bare Land of JEDB/SLSPC Estates</b>                   |                                           |                                      |                                           |
| Kotagala Plantations PLC (Note 11.1.a)                                      | 217,353                                   | 26,188                               | 243,541                                   |
| Agarapatana Plantations Limited (Note 11.1.b)                               | 185,507                                   | 6,503                                | 192,010                                   |
|                                                                             | 402,860                                   | 32,691                               | 435,551                                   |
| <b>Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)</b> |                                           |                                      |                                           |
| Kotagala Plantations PLC (11.2.a)                                           | 425,713                                   | 8,417                                | 434,130                                   |
| Agarapatana Plantations Limited (11.2.b)                                    | 241,094                                   | 6,207                                | 247,301                                   |
|                                                                             | 666,807                                   | 14,624                               | 681,431                                   |
| <b>Other Leasehold Assets</b>                                               |                                           |                                      |                                           |
| SunAgro Farms Limited                                                       | 2,555                                     | -                                    | 2,555                                     |
|                                                                             | 2,555                                     | -                                    | 2,555                                     |
| <b>Total Depreciations</b>                                                  | 1,072,222                                 | 47,315                               | 1,119,537                                 |
| <b>Carrying Value</b>                                                       | 816,819                                   | -                                    | 791,084                                   |

#### 11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

##### a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr. D.R. Wickramasinghe, just prior to the formation of the Company. Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to bare land was written off since the company no longer has control of the said estate.

The Group has applied SLFRS-16 from 1 April 2019 (Leases) for leasehold assets recorded in the financial statements.

| Cost/Valuation                              | Life of<br>the Asset                     | As at<br>22.06.1992<br>Rs'000       | Remeasurement<br>During<br>the Year      | Balance<br>31.03.2022<br>Rs'000                 | Balance<br>31.03.2021<br>Rs'000                 |
|---------------------------------------------|------------------------------------------|-------------------------------------|------------------------------------------|-------------------------------------------------|-------------------------------------------------|
| Right to use the Land of JEDB/SLSPC Estates | 53 years                                 | 358,928                             | 21,580                                   | 852,408                                         | 830,828                                         |
| Amortisation                                | Balance<br>as at<br>31.03.2021<br>Rs'000 | Charge<br>for<br>the Year<br>Rs'000 | Balance<br>as at<br>31.03.2022<br>Rs'000 | Carrying Value<br>as at<br>31.03.2022<br>Rs'000 | Carrying Value<br>as at<br>31.03.2021<br>Rs'000 |
|                                             | 217,353                                  | 26,188                              | 243,541                                  | 608,867                                         | 613,475                                         |

## Notes to the Financial Statements contd.

### b) Agarapatana Plantations Limited

"Right-of-use assets - Land" has accounted in accordance with SLFRS 16 - Leases with effect from 01 January 2019. "Right-of-use assets - Land" have been executed for all estates for a period of 53 years. The unexpired period of the lease as at the Statement of Financial Position date is 23 years.

This Right-of-use assets - Land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non current assets.

| Description                                        | Cost / valuation as at 22.06.92<br>Rs.'000 | Accumulated Amortisation 31.03.2021<br>Rs.'000 | Amortisation During the Year<br>Rs.'000 | Accumulated Amortisation 31.03.2022<br>Rs.'000 | Carrying Value as at 31.03.2022<br>Rs.'000 | Carrying Value as at 31.03.2021<br>Rs.'000 |
|----------------------------------------------------|--------------------------------------------|------------------------------------------------|-----------------------------------------|------------------------------------------------|--------------------------------------------|--------------------------------------------|
| Leasehold right to bare land of JEDB/SLSPC Estates | 341,588                                    | 185,507                                        | 6,503                                   | 192,010                                        | 149,578                                    | 156,081                                    |

### 11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

#### a) Kotagala Plantations PLC

The leases of all the 23 estates have been executed and will be retroactive from 22nd June 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issue Task Force (UITF) of the Institute of Chartered Accountants of Sri Lanka based on then existing accounting standards. For this purpose, the Board decided at its meeting held on 8th March 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr. D R Wickramasinghe, just prior to the formation of the Company. The value taken into 22nd June, 1992, statement of Financial Position and the amortisation of leasehold rights upto 31st March 2022 are as follows, Millewa estate was acquired by the Urban development authority of Sri Lanka on the 26th of October 2017. During the financial year 2018/19 Leasehold right to Immovable Leased Assets was written off since the company no longer has control of the said estate.

| Revaluation                         | Life of the Asset | As at 22.06.92<br>Rs.'000 | Balance 31.03.2022<br>Rs.'000 | Balance 31.03.2021<br>Rs.'000 |
|-------------------------------------|-------------------|---------------------------|-------------------------------|-------------------------------|
| Land Development Cost               | 30 years          | 6,712                     | 6,360                         | 6,360                         |
| Buildings other than Worker housing | 25 years          | 26,519                    | 25,174                        | 25,174                        |
| Plant & Machinery                   | 15 years          | 8,757                     | 8,757                         | 8,757                         |
| Water Projects and Sanitations      | 30 years          | 8,688                     | 8,688                         | 8,688                         |
| Mature Plantations                  |                   |                           |                               |                               |
| - Tea                               | 30 years          | 69,767                    | 227,655                       | 227,655                       |
| - Rubber                            | 30 years          | 61,138                    | 163,548                       | 163,548                       |
| - Others                            | 25 years          | -                         | 8,140                         | 8,140                         |
| Immature Plantations                |                   |                           |                               |                               |
| - Tea                               |                   | 158,960                   | -                             | -                             |
| - Rubber                            |                   | 126,898                   | -                             | -                             |
| - Others                            |                   | 8,140                     | -                             | -                             |
|                                     |                   | 475,579                   | 448,322                       | 448,322                       |

| Amortisation                        | Balance<br>as at<br>01.04.2021<br>Rs.'000 | Charge<br>for<br>the Year<br>Rs.'000 | Balance<br>as at<br>31.03.2022<br>Rs.'000 | Carrying Value<br>As at<br>31.03.2022<br>Rs.'000 | Carrying Value<br>As at<br>31.03.2021<br>Rs.'000 |
|-------------------------------------|-------------------------------------------|--------------------------------------|-------------------------------------------|--------------------------------------------------|--------------------------------------------------|
| Land Development Cost               | 6,106                                     | 212                                  | 6,318                                     | 42                                               | 254                                              |
| Buildings other than Worker Housing | 25,174                                    | -                                    | 25,174                                    | -                                                | -                                                |
| Plant & Machinery                   | 8,757                                     | -                                    | 8,757                                     | -                                                | -                                                |
| Water Projects and Sanitations      | 8,333                                     | 290                                  | 8,623                                     | 65                                               | 355                                              |
| Mature Plantations                  | -                                         | -                                    | -                                         | -                                                | -                                                |
| - Tea                               | 207,283                                   | 7,589                                | 214,872                                   | 12,783                                           | 20,372                                           |
| - Rubber                            | 163,548                                   | -                                    | 163,548                                   | -                                                | -                                                |
| - Others                            | 6,512                                     | 326                                  | 6,838                                     | 1,302                                            | 1,628                                            |
|                                     | 425,713                                   | 8,417                                | 434,130                                   | 14,192                                           | 22,609                                           |

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22.06.1992. Further investment in such plantations to bring them to maturity are shown under Note 10.4.

#### b) Agarapatana Plantations Limited

At the time of privatisation of plantation estates, all immovable assets in these estates have been taken into the books of the Company retroactive to 22nd June 1992 under finance lease. However, SLFRS 16 - Leases was applicable with effect from 01 January 2019, and therefore, these assets have accounted in accordance with such standard with effect from 01 January 2019.

| Description                 | Revaluation<br>as at<br>22.06.1992<br>Rs.'000 | Transfers/<br>Immature to<br>Mature<br>(Adjustments)<br>Rs.'000 | Value<br>as at<br>01.04.2021<br>Rs.'000 | Accumulated Depreciation<br>01.04.2021<br>Rs.'000 | Accumulated Depreciation<br>for the Year<br>Rs.'000 | Accumulated Depreciation<br>31.03.2022<br>Rs.'000 | Carrying Value<br>As at<br>31.03.2022<br>Rs.'000 | Carrying Value<br>As at<br>31.03.2021<br>Rs.'000 |
|-----------------------------|-----------------------------------------------|-----------------------------------------------------------------|-----------------------------------------|---------------------------------------------------|-----------------------------------------------------|---------------------------------------------------|--------------------------------------------------|--------------------------------------------------|
| Improvement to Land         | 5,406                                         | -                                                               | 5,406                                   | 5,183                                             | 181                                                 | 5,364                                             | 42                                               | 223                                              |
| Unimproved Land             | 998                                           | -                                                               | 998                                     | -                                                 | -                                                   | -                                                 | 998                                              | 998                                              |
| Roads and Bridges           | 677                                           | -                                                               | 677                                     | 487                                               | 17                                                  | 504                                               | 173                                              | 190                                              |
| Buildings                   | 62,634                                        | -                                                               | 62,634                                  | 62,634                                            | -                                                   | 62,634                                            | -                                                | -                                                |
| Fences and Securities       | 49                                            | -                                                               | 49                                      | 49                                                | -                                                   | 49                                                | -                                                | -                                                |
| Machinery                   | 8,823                                         | (621)                                                           | 8,202                                   | 8,202                                             | -                                                   | 8,202                                             | -                                                | -                                                |
| Water Supply                | 6,158                                         | -                                                               | 6,158                                   | 6,158                                             | -                                                   | 6,158                                             | -                                                | -                                                |
| Power Augmentation          | 972                                           | -                                                               | 972                                     | 972                                               | -                                                   | 972                                               | -                                                | -                                                |
| Coffee, Pepper,<br>Cardamom | 305                                           | -                                                               | 305                                     | -                                                 | -                                                   | -                                                 | 305                                              | 305                                              |
| Mature Plantations          | 37,457                                        | 141,636                                                         | 179,093                                 | 156,217                                           | 5,968                                               | 162,185                                           | 16,908                                           | 22,876                                           |
| Vested Tea                  | 1,223                                         | -                                                               | 1,223                                   | 1,161                                             | 41                                                  | 1,202                                             | 21                                               | 62                                               |
| Immature Plantations        | 141,636                                       | (141,636)                                                       | -                                       | -                                                 | -                                                   | -                                                 | -                                                | -                                                |
| Other Vested Assets         | 31                                            | -                                                               | 31                                      | 31                                                | -                                                   | 31                                                | -                                                | -                                                |
|                             | 266,369                                       | (621)                                                           | 265,748                                 | 241,094                                           | 6,207                                               | 247,301                                           | 18,447                                           | 24,654                                           |

Note : Investment in plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under immature plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 16 – Property, Plant & Equipment. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further investments in such plantations to bring them to maturity are shown in. Note 10.4.

# Notes to the Financial Statements contd.

## 11.3 Ceyflex Rubber Limited

Ceyflex Rubber Limited, a subsidiary of the Company, has entered into a Lease agreement with the Board of Investment of Sri Lanka to hold the land for a period of 50 years commencing from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and an annual ground rent of USD 5,000 per annum. The carrying value of lease rentals paid in advance was transferred to right-of-use asset in accordance with provisions in SLFRS - 16.

## 12 RIGHT-OF-USE ASSET

| As at 31st March,                                                     | GROUP            |                 | COMPANY         |                 |
|-----------------------------------------------------------------------|------------------|-----------------|-----------------|-----------------|
|                                                                       | 2022<br>Rs.'000  | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Cost</b>                                                           |                  |                 |                 |                 |
| Balance as at Beginning of the Year                                   | 960,374          | 911,550         | -               | -               |
| Acquisition of Subsidiary                                             | 23,591           | -               | -               | -               |
| Recognition of right-of-use assets on initial application of SLFRS 16 | -                | 3,074           | -               | -               |
| Adjusted balance at Beginning of the Year                             | 983,965          | 914,624         | -               | -               |
| Additions during the year                                             | 72,277           | 45,750          | -               | -               |
| <b>Balance as at end of the Year</b>                                  | <b>1,056,242</b> | <b>960,374</b>  | <b>-</b>        | <b>-</b>        |
| <b>Accumulated Depreciation</b>                                       |                  |                 |                 |                 |
| Balance as at Beginning of the Year                                   | 234,090          | 117,207         | -               | -               |
| Acquisition of Subsidiary                                             | 3,806            | -               | -               | -               |
| Transfer of right-of-use assets on initial application of SLFRS 16    | -                | (22,557)        | -               | -               |
| Recognition of right-of-use assets on initial application of SLFRS 16 | -                | 20,293          | -               | -               |
| Adjusted balance at Beginning of the Year                             | 237,896          | 114,943         | -               | -               |
| Depreciation charge of the right-of-use assets for the year           | 120,731          | 119,147         | -               | -               |
| <b>Balance as at end of the Year</b>                                  | <b>358,627</b>   | <b>234,090</b>  | <b>-</b>        | <b>-</b>        |
| <b>Total Carrying Value</b>                                           | <b>697,615</b>   | <b>726,284</b>  | <b>-</b>        | <b>-</b>        |

### (i) C W Mackie PLC

C W Mackie PLC has taken certain land and buildings on lease. In terms of the grant to the Company dated 22 September 1964 under the Crown Lands Ordinance, premises No.34 and 36, D. R. Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99-year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

### (ii) Beruwala Resorts PLC

Beruwala Resorts PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037.

### (iii) Sigiriya Village Hotels PLC

Sigiriya Village PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September, 2009. The lease period will expire on 1st September 2039.

### 13 INVESTMENT PROPERTY

| As at 31st March,                           | GROUP            |                  | COMPANY         |                 |
|---------------------------------------------|------------------|------------------|-----------------|-----------------|
|                                             | 2022<br>Rs.'000  | 2021<br>Rs.'000  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Cost</b>                                 |                  |                  |                 |                 |
| Balance as at Beginning of the Year         | 2,422,362        | 2,468,447        | 816,719         | 816,719         |
| Transfers from Property Plant and Equipment | 608,672          | (46,085)         | -               | -               |
| Balance as at end of the Year               | 3,031,034        | 2,422,362        | 816,719         | 816,719         |
| <b>Accumulated Depreciation</b>             |                  |                  |                 |                 |
| Balance as at Beginning of the Year         | 177,982          | 159,134          | 19,430          | 15,898          |
| Charge for the Year                         | 39,884           | 18,848           | 3,446           | 3,532           |
| Balance as at end of the Year               | 217,866          | 177,982          | 22,876          | 19,430          |
| Carrying Value                              | 2,813,168        | 2,244,380        | 793,843         | 797,289         |
| Capital Work in Progress                    | 6,008            | 6,008            | 6,007           | 6,007           |
| <b>Total Carrying Value (Note 13.1)</b>     | <b>2,819,176</b> | <b>2,250,388</b> | <b>799,850</b>  | <b>803,296</b>  |

#### 13.1 Fair value of the investment property as at 31st March 2022 is as follows;

| Company                                     | Location                                               | Extent        | Carrying Value<br>Rs.'000 | Fair Value |
|---------------------------------------------|--------------------------------------------------------|---------------|---------------------------|------------|
| The Colombo Fort land and Building PLC      | York Arcade Building, Leyden Bastian Road, Colombo 01. | 156,436 Sq ft | 799,850                   | 3,359 Mn   |
| C.W. Mackie PLC                             | No. 36, D R Wijewardena Mw, Colombo 10                 | 57,158 Sq ft  | 9,583                     | 270.8 Mn   |
| Sunquick Lanka Properties (Private) Limited | Munagama , Horana                                      | 128,774 Sq ft | 757,412                   | 275 Mn     |
| Union Commodities (Private) Limited         | No.79, Biyagama Road , Talwatta, Kelaniya.             | 38,287 Sq ft  | 6,600                     | 136 Mn     |
| C M Holdings PLC                            | 297, Colvin R De Silva Mw, Colombo 02.                 | 31,757 Sq ft  | 959,172                   | 3,372 Mn   |
| C M Holdings PLC                            | 497/C Pannipitiya Road, Pelawatta                      | 109.2P        | 102,207                   | 355Mn      |
| Imperial Hotels Limited                     | Halloluwa, Katugastota                                 | 6A,1R,36P     | 157,144                   | 528 Mn     |
| Sigiriya Village Hotels PLC                 | Trincomalee                                            | 8A,1R, 2.3P   | 24,407                    | 264 Mn     |
| Laxapana Batteries PLC                      | Homagama Town centre, Panagoda, Godagama               | 7P            | 2,800                     | 3,675 Mn   |
|                                             |                                                        |               | 2,819,176                 |            |

| As at 31st March,                                                                                       | GROUP           |                 | COMPANY         |                 |
|---------------------------------------------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                                                         | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Rent Income                                                                                             | 339,679         | 313,981         | 106,320         | 122,529         |
| Direct operating expenses arising from investment property that generated rental income during the year | 55,272          | 54,101          | 30,508          | 28,909          |

#### C.W. Mackie PLC

C.W. Mackie PLC has rented out a part of C.W. Mackie building complex and the value of land and buildings of that portion has been classified as investment property and accounted on "Cost Model" as required by LKAS 40 – Investment Property. The above investment property is situated at No. 36, D. R. Wijewardena Mawatha, Colombo 10 and the extent of the building is 57,158 square feet.

# Notes to the Financial Statements contd.

## C M Holdings PLC

The Company and the Group has initially accounted for the investment property at cost, and subsequently accounted for it under the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years.

The valuation was performed by Mr. P. P. T. Mohideen Chartered Valuation Surveyor who is an external independent property valuer, having appropriate recognised professional qualifications and recent experience in the location and the category of the property being valued.

## Imperial Hotels Ltd

As a result of change in the company's business plan, Land recognised as Property, Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2022, amounted to Rs. 157.1 Mn.

As per the valuation carried out by Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, fair value of investment property as at 31st March 2022 is Rs. 528 Mn.

## 13.2 Company

Investment properties of the Company consists of land amounting to Rs.621.62 million (2021 - Rs.621.62) and building amounting to Rs.172.22 million (2021 - Rs.175.67 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

| Location       | Extent<br>Perches | Carrying<br>Value<br>Rs.'000 | Fair<br>Value<br>Rs.'000 |
|----------------|-------------------|------------------------------|--------------------------|
| Fort - Colombo | 153               | 793,843                      | 3,359,000                |

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV (Sri Lanka) and MRICS (England) and the fair value of the investment properties as at 31st March, 2022 was Rs.3.36 billion.

The Rental Income earned by the Company from the said properties amounted to Rs. 106.32 million (2021 - 122.53 million).

Direct Operating Expenses incurred by the Company amounted to Rs. 30.51 million (2020 - Rs. 28.91 million) and this consists of Rs. 5.34 million (2021 Rs. 5.06 million) relating to premises which are vacant.

The Investment Property is depreciated using the straight line method over its estimated useful life of 99 years and 44 years for the premises situated at Sir Baron Jayatilake Mawatha and Leyden Bastian Road respectively.

As at the reporting date there were no contractual obligations to purchase, construct or develop the investment properties or for repairs, maintenance and enhancement.

The Company has executed a Tertiary Mortgage Bond for Rs.100.0 million and a Quaternary Mortgage Bond for Rs.87.5 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

The Company reviewed the carrying values of Investment Property as at the reporting date, to assess the impact of COVID-19 pandemic and prevailing economic uncertainty would have on the company assets and determined that no impairment is necessary, as the Company has evaluated their business continuity plans and is satisfied that it has taken necessary steps to safeguard the assets.

## 14 INTANGIBLE ASSETS

| As at 31st March,                  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
|------------------------------------|-----------------|-----------------|
| Goodwill on Acquisition (Note14.1) | 669,701         | 529,377         |
| Trade Mark (Note14.2)              | 5,035           | 7,790           |
| Computer software (Note14.3)       | 27,514          | 28,752          |
|                                    | 702,250         | 565,919         |

### 14.1 Goodwill

|                                      |         |           |
|--------------------------------------|---------|-----------|
| At the beginning of the Year         | 529,377 | 797,262   |
| Acquisition of Subsidiary            | 140,324 | -         |
| Impairment of Goodwill (Note14.1.2)  | -       | (267,885) |
| At the end of the Year (Note 14.1.1) | 669,701 | 529,377   |

#### 14.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The aggregated carrying amount of goodwill allocated to each company is as follows:

| As at 31st March,                | GROUP           |                 |
|----------------------------------|-----------------|-----------------|
|                                  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| C. W. Mackie PLC                 | 92,778          | 92,778          |
| Ceylon Tapes Limited             | 14,190          | 14,190          |
| Lanka Special Steels Limited     | 21,696          | 21,696          |
| J.F. Packaging (Private) Limited | 263,442         | 263,442         |
| Sherwood Holidays Limited        | 27,070          | 27,070          |
| Kiffs (Private) Limited          | 85,202          | 85,202          |
| Alliance Five (Private) Limited  | 24,999          | 24,999          |
| ACME Printing and Packaging PLC  | 140,324         | -               |
|                                  | 669,701         | 529,377         |

#### 14.1.2 Impairment of Goodwill

Based on impairment assessment, the following goodwill were impaired during the year 2021/ 2022;

| For the year ended 31st March,     | GROUP           |                 |
|------------------------------------|-----------------|-----------------|
|                                    | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Galle Fort Hotel (Private) Limited | -               | 267,885         |
|                                    | -               | 267,885         |

For the purpose of impairment testing , goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination. CGUs to which goodwill has been allocated have been tested for impairment annually, and whenever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocated to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

In light of current operational and economic conditions, the Group reassessed the expected future business performance relating to cash generating units (CGUs) where the management has concluded that the recoverable values of CGUs exceed its carrying values.

## Notes to the Financial Statements contd.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

### 14.1.3 Recoverable values measured with reference to the value in use

| Investee                     | Significant unobservable inputs                      | Value of the inputs                                                                                   |
|------------------------------|------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| Ceylon Tapes (Pvt) Ltd.      | Average Growth Rate<br>Discount Rate (range)<br>Term | 14%<br>24% - 26%<br>5 years (terminal value thereafter)                                               |
| J.F. Packaging Ltd.          | Average Growth Rate<br>Discount Rate (range)<br>Term | 20%<br>19% - 21%<br>5 years (terminal value thereafter)                                               |
| Kiffs (Pvt) Ltd.             | Average Growth Rate<br>Discount Rate (range)<br>Term | 17%<br>21% - 23%<br>5 years (terminal value thereafter)                                               |
| Alliance Five (Pvt) Ltd.     | Average Growth Rate<br>Discount Rate (range)<br>Term | 12%<br>24% - 26%<br>5 years (terminal value thereafter)                                               |
| Sherwood Holidays Ltd.       | Average Growth Rate<br>Discount Rate (range)<br>Term | 4%<br>19% - 21%<br>5 years (terminal value thereafter)                                                |
| Lanka Special Steels Limited | Average Growth Rate<br>Discount Rate (range)<br>Term | 12.5% for the first 5 years and 3% terminal growth rate<br>17%<br>5 years (terminal value thereafter) |

### 14.1.4 Recoverable values measured with reference to the fair value less cost to sell

| Investee        | Significant unobservable inputs | Value of the inputs |
|-----------------|---------------------------------|---------------------|
| C.W. Mackie PLC | Adjusted NAV                    | Rs.110 - Rs. 120    |

|                   | GROUP   |         |
|-------------------|---------|---------|
| As at 31st March, | 2022    | 2021    |
|                   | Rs.'000 | Rs.'000 |

### 14.2 Trade Mark

#### Cost

|                                 |        |        |
|---------------------------------|--------|--------|
| As at the beginning of the Year | 23,390 | 14,741 |
| Additions during the Year       | 345    | 8,649  |
| As at the end of the Year       | 23,735 | 23,390 |

#### Amortisation

|                                 |        |        |
|---------------------------------|--------|--------|
| As at the beginning of the Year | 15,600 | 14,191 |
| Amortised during the year       | 3,100  | 1,409  |
| At the end of the Year          | 18,700 | 15,600 |

|                |       |       |
|----------------|-------|-------|
| Carrying Value | 5,035 | 7,790 |
|----------------|-------|-------|

| As at 31st March, | GROUP           |                 |
|-------------------|-----------------|-----------------|
|                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 |

### 14.3 Computer Software

#### Cost

|                                     |                |                |
|-------------------------------------|----------------|----------------|
| As at the beginning of the Year     | 215,238        | 213,920        |
| Additions/ disposal during the Year | 13,953         | 1,318          |
| <b>As at the end of the Year</b>    | <b>229,191</b> | <b>215,238</b> |

#### Amortisation

|                                 |               |               |
|---------------------------------|---------------|---------------|
| As at the beginning of the Year | 186,486       | 159,915       |
| Amortised during the year       | 15,191        | 26,571        |
| At the end of the Year          | 201,677       | 186,486       |
| <b>Carrying Value</b>           | <b>27,514</b> | <b>28,752</b> |

#### Trade Mark

##### Darley Butler & Company Limited

During the financial year 2015/2016, Darley Butler & Company Limited acquired the agency right of Intas Pharmaceuticals Limited for Rs.13 Million which was amortised over 03 Years.

During the financial year 2019/2020, E. B. Creasy & Co. PLC paid an amount of Rs.70 million to Lankem Ceylon PLC for acquisition of Lankem consumer brands which is being amortised over 03 Years.

During the financial year 2020/2021, an amount of Rs. 7,804,878/- was paid to Brown & Company PLC to acquire the agency right of Unosource Pharma Ltd by Darley Butler & Co. Ltd and same is amortised over 03 Years.

#### Computer Software

The details of the computer software are as follows;

| Intangible Asset                  | Useful Life  | Amortisation Method | Type     |
|-----------------------------------|--------------|---------------------|----------|
| Software Licence                  | 3 to 5 Years | Straight-Line       | Acquired |
| Sales Force Automation System     | 5 Years      | Straight-Line       | Acquired |
| Human Resource Information System | 5 Years      | Straight-Line       | Acquired |
| E mail Solution                   | 5 Years      | Straight-Line       | Acquired |
| Enterprise Resource Planning      | 5 Years      | Straight-Line       | Acquired |

# Notes to the Financial Statements contd.

## 15 INVESTMENTS IN SUBSIDIARIES

|                   | Group Holding | Company Holding | No. of Shares | Cost    | Market Value | No. of Shares | Cost    | Market Value |
|-------------------|---------------|-----------------|---------------|---------|--------------|---------------|---------|--------------|
| As at 31st March, | 2022          | 2022            | 2022          | 2022    | 2022         | 2021          | 2021    | 2021         |
|                   | %             | %               |               | Rs.'000 | Rs.'000      |               | Rs.'000 | Rs.'000      |

### 15.1 Company

#### 15.1.1 Quoted Investments

|                               |       |       |             |           |           |             |           |           |
|-------------------------------|-------|-------|-------------|-----------|-----------|-------------|-----------|-----------|
| ACME Printing & Packaging PLC | 54.11 | 0.05  | 20,000      | 133       | 220       | -           | -         | -         |
| Beruwala Resorts PLC          | 53.34 | 0.01  | 30,000      | 32        | 27        | 30,000      | 32        | 24        |
| C M Holdings PLC              | 65.68 | 63.49 | 9,649,850   | 550,183   | 760,408   | 9,649,850   | 550,183   | 800,938   |
| E.B. Creasy & Company PLC     | 59.91 | 52.98 | 134,319,915 | 35,228    | 2,270,007 | 134,319,915 | 35,228    | 4,083,325 |
| Lankem Ceylon PLC             | 72.66 | 60.19 | 30,980,000  | 888,320   | 867,440   | 15,000,000  | 568,126   | 406,500   |
| Marawila Resorts PLC          | 38.92 | 0.66  | 1,510,000   | 7,173     | 2,869     | 1,510,000   | 7,173     | 2,869     |
| Muller & Phipps (Ceylon) PLC  | 30.73 | 0.02  | 60,030      | 91        | 60        | 60,030      | 91        | 66        |
| York Arcade Holdings PLC      | 49.99 | 49.27 | 369,495     | 4,963     | 56,718    | 369,495     | 4,963     | 52,838    |
|                               |       |       |             | 1,486,123 | 3,957,749 |             | 1,165,796 | 5,346,560 |

#### 15.1.2 Unquoted Investments

|                                       |        |        |            |         |   |            |         |   |
|---------------------------------------|--------|--------|------------|---------|---|------------|---------|---|
| Agarapatana Plantations Limited       | 43.68  | 1.55   | 6,455,458  | 27,577  | - | 6,455,458  | 27,577  | - |
| C.F. Travels Limited                  | 100.00 | 100.00 | 1,500,000  | 15,000  | - | 1,500,000  | 15,000  | - |
| Capital Leasing Company Limited       | 55.83  | 55.83  | 473,000    | 4,733   | - | 473,000    | 4,733   | - |
| Colombo Fort Group Services (Pvt) Ltd | 100.00 | 100.00 | 10,000     | 100     | - | 10,000     | 100     | - |
| Colombo Fort Holdings Limited         | 100.00 | 100.00 | 3,500,000  | 35,000  | - | 3,500,000  | 35,000  | - |
| Colombo Fort Properties Limited       | 100.00 | 99.70  | 1,000      | 10      | - | 1,000      | 10      | - |
| Consolidated Tea Plantations Ltd      | 87.00  | 52.44  | 21,500,000 | 240,500 | - | 21,500,000 | 240,500 | - |
| Transways (Private) Limited           | 100.00 | 30.00  | 14,998     | 150     | - | 14,998     | 150     | - |
|                                       |        |        |            | 323,070 | - |            | 323,070 | - |

|                                                                    |  |  |  |           |  |  |           |  |
|--------------------------------------------------------------------|--|--|--|-----------|--|--|-----------|--|
| Total Cost                                                         |  |  |  | 1,809,193 |  |  | 1,488,866 |  |
| Less: Provision for Impairment in Value of Investments (Note 15.2) |  |  |  | (262,956) |  |  | (262,856) |  |
| Carrying Value of Investment in Subsidiaries                       |  |  |  | 1,546,237 |  |  | 1,226,010 |  |

|                   | No. of Shares | Cost    | Market Value | No. of Shares | Cost    | Market Value |
|-------------------|---------------|---------|--------------|---------------|---------|--------------|
| As at 31st March, | 2022          | 2022    | 2022         | 2021          | 2021    | 2021         |
|                   |               | Rs.'000 | Rs.'000      |               | Rs.'000 | Rs.'000      |

#### 15.1.3 Preference Shares

|                                                        |           |          |   |           |          |   |
|--------------------------------------------------------|-----------|----------|---|-----------|----------|---|
| Transways (Private) Limited                            | 103,110   | 1,031    | - | 103,110   | 1,031    | - |
| Voyages Ceylan (Private) Limited                       | 1,500,000 | 15,000   | - | 1,500,000 | 15,000   | - |
| York Hotel Management Services Limited                 | 650,000   | 6,500    | - | 650,000   | 6,500    | - |
| York Tours Limited                                     | 318,000   | 3,180    | - | 318,000   | 3,180    | - |
| Total                                                  |           | 25,711   |   |           | 25,711   |   |
| Less: Provision for impairment in Value of Investments |           | (25,711) |   |           | (25,711) |   |
|                                                        |           | -        |   |           | -        |   |

| As at 31st March, | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
|-------------------|-----------------|-----------------|
|-------------------|-----------------|-----------------|

## 15.2 Provision for Impairment in Value of Investments

### Quoted Investments

|                              |       |       |
|------------------------------|-------|-------|
| Muller & Phipps (Ceylon) PLC | 55    | 55    |
| Beruwala Resorts PLC         | 14    | 14    |
| Marawila Resorts PLC         | 5,512 | 5,512 |
|                              | 5,581 | 5,581 |

### Unquoted Investments

|                                               |         |         |
|-----------------------------------------------|---------|---------|
| C.F. Travels Limited                          | 15,000  | 15,000  |
| Capital Leasing Company Limited               | 1,615   | 1,615   |
| Colombo Fort Properties (Private) Limited     | 10      | 10      |
| Consolidated Tea Plantations Limited          | 240,500 | 240,500 |
| Colombo Fort Group Services (Private) Limited | 100     | -       |
| Transways (Private) Limited                   | 150     | 150     |
|                                               | 257,375 | 257,275 |
|                                               | 262,956 | 262,856 |

## 15.3 Calculation of Recoverable Values

As explained above, the recoverable values of these subsidiaries were determined with reference to their net assets/Market Values as follows.

| Subsidiary                                | Unobservable input     |
|-------------------------------------------|------------------------|
| Beruwala Resorts PLC                      | Market Value per Share |
| CM Holdings PLC                           | Net Assets per Share   |
| E.B Creasy & Company PLC                  | Net Assets per Share   |
| Lankem Ceylon PLC                         | Net Assets per Share   |
| Marawila Resorts PLC                      | Market Value per Share |
| Muller & Phipps (Ceylon) PLC              | Market Value per Share |
| York Arcade Holdings PLC                  | Net Assets per Share   |
| Agarapatana Plantations Limited           | Net Assets per Share   |
| C.F Travels Limited                       | Net Assets per Share   |
| Capital Leasing Company Limited           | Net Assets per Share   |
| Colombo Fort Group Services (Pvt) Ltd     | Net Assets per Share   |
| Colombo Fort Holdings Limited             | Net Assets per Share   |
| Colombo Fort Properties (Private) Limited | Net Assets per Share   |
| Lankem Plantation Holdings Limited        | Net Assets per Share   |
| Transways (Pvt) Limited                   | Net Assets per Share   |

# Notes to the Financial Statements contd.

## 15.4 Group Companies Investment in Subsidiaries

| Investor                            | Investee                                            | % Holding |         | No. of Shares |             |
|-------------------------------------|-----------------------------------------------------|-----------|---------|---------------|-------------|
| As at 31st March,                   |                                                     | 2022      | 2021    | 2022          | 2021        |
| E. B. Creasy & Company PLC          | Lankem Ceylon PLC                                   | 18.89%    | 32.42%  | 9,724,635     | 10,974,635  |
|                                     | Laxapana Batteries PLC                              | 68.27%    | 68.38%  | 45,212,378    | 45,282,378  |
|                                     | Darley Butler & Co. Limited                         | 100.00%   | 100.00% | 10,000,000    | 10,000,000  |
|                                     | Candy Delights Limited                              | 100.00%   | 100.00% | 1,384,450     | 570,000     |
|                                     | Filmpak Limited                                     | 100.00%   | 100.00% | 150,000       | 150,000     |
|                                     | Group Three Associates Limited                      | 100.00%   | 100.00% | 1,200         | 1,200       |
|                                     | E.B.Creasy Ceylon (Private) Limited                 | 100.00%   | 100.00% | 143,582       | 120,000     |
|                                     | Corporate Systems Limited                           | 100.00%   | 100.00% | 10,000        | 10,000      |
|                                     | E B Creasy Logistic Limited                         | 100.00%   | 100.00% | 50,000        | 50,000      |
|                                     | Imperial Hotels Limited                             | 0.14%     | 0.14%   | 19,825        | 19,825      |
|                                     | Muller & Phipps (Ceylon) PLC                        | 51.26%    | 51.26%  | 145,061,773   | 145,061,773 |
|                                     | Lanka Special Steel Limited                         | 100.00%   | 100.00% | 1,823,074     | 1,823,074   |
|                                     | Ceyflex Rubber Limited                              | 100.00%   | 100.00% | 7,993,183     | 7,100,000   |
|                                     | ACME Printing & Packaging PLC                       | 19.97%    | 0.00%   | 8,220,000     | -           |
| Darley Butler & Company Limited     | Lankem Ceylon PLC                                   | 1.04%     | 1.59%   | 536,614       | 536,614     |
|                                     | Laxapana Batteries PLC                              | 0.00%     | 0.00%   | 6             | 6           |
|                                     | Agarapatana Plantations Limited                     | 3.46%     | 1.72%   | 14,411,270    | 5,575,908   |
|                                     | Marawila Resorts PLC                                | 0.00%     | 0.00%   | 188           | 188         |
|                                     | York Arcade Holdings PLC                            | 0.60%     | 0.60%   | 4,500         | 4,500       |
| Candy Delights Limited              | Lankem Ceylon PLC                                   | 0.07%     | 0.07%   | 23,337        | 23,337      |
|                                     | York Arcade Holdings PLC                            | 0.33%     | 0.33%   | 2,500         | 2,500       |
| E.B.Creasy Ceylon (Private) Limited | Consolidated Tea Plantations Limited                | 0.00%     | 0.00%   | 1             | 1           |
|                                     | Sigiriya Village Hotels PLC                         | 0.69%     | 0.69%   | 62,162        | 62,162      |
|                                     | Marawila Resorts PLC                                | 0.07%     | 0.07%   | 156,000       | 156,000     |
|                                     | Colombo Fort Hotels Limited                         | 6.91%     | 6.91%   | 9,344,800     | 9,344,800   |
|                                     | Beruwala Resorts PLC                                | 0.01%     | 0.01%   | 30,000        | 30,000      |
|                                     | C M Holdings PLC                                    | 0.63%     | 0.63%   | 95,640        | 95,640      |
|                                     | Lankem Ceylon PLC                                   | 0.00%     | 0.00%   | 536           | 536         |
|                                     | York Arcade Holdings PLC                            | 0.27%     | 0.27%   | 2,000         | 2,000       |
| Muller & Phipps (Ceylon) PLC        | Pettah Pharmacy (Private) Limited                   | 100.00%   | 100.00% | 2,033,618     | 2,033,618   |
|                                     | Colombo Fort Hotels Limited                         | 0.94%     | 0.94%   | 1,275,200     | 1,275,200   |
| Pettah Pharmacy (Private) Limited   | Beruwala Resorts PLC                                | 0.01%     | 0.01%   | 30,000        | 30,000      |
|                                     | Lankem Development PLC                              | 2.07%     | 2.07%   | 2,480,626     | 2,480,626   |
| Lankem Ceylon PLC                   | Marawila Resorts PLC                                | 7.23%     | 7.23%   | 16,478,829    | 16,478,829  |
|                                     | Colombo Fort Hotels Limited                         | 68.85%    | 68.85%  | 93,173,043    | 93,173,043  |
|                                     | Consolidated Tea Plantations Limited                | 47.56%    | 47.56%  | 19,500,001    | 19,500,001  |
|                                     | Lankem Tea and Rubber Plantations (Private) Limited | 1.00%     | 1.00%   | 8,342         | 8,342       |
|                                     | Lankem Plantation Services Limited                  | 60.00%    | 60.00%  | 179,993       | 179,993     |
|                                     | Lankem Exports Limited                              | 100.00%   | 100.00% | 10,000        | 10,000      |
|                                     | Lankem Paints Limited                               | 100.00%   | 100.00% | 2,000,000     | 2,000,000   |
|                                     | Lankem Consumer Products Limited                    | 100.00%   | 100.00% | 2,000,000     | 2,000,000   |
|                                     | Lankem Chemicals Limited                            | 100.00%   | 100.00% | 2,000,000     | 2,000,000   |
|                                     | Lankem Research Limited                             | 100.00%   | 100.00% | 250,007       | 250,007     |
|                                     | SunAgro LifeScience Limited                         | 100.00%   | 100.00% | 625,993       | 626,000     |
|                                     | SunAgro Farms Limited                               | 100.00%   | 100.00% | 1,200,000     | 1,200,000   |
|                                     | Associated Farms Limited                            | 99.99%    | 99.99%  | 55,398        | 55,398      |
|                                     | C.W. Mackie PLC                                     | 55.36%    | 55.36%  | 19,923,252    | 19,923,252  |

| Investor                                            | Investee                                            | % Holding |         | No. of Shares |             |
|-----------------------------------------------------|-----------------------------------------------------|-----------|---------|---------------|-------------|
| As at 31st March,                                   |                                                     | 2022      | 2021    | 2022          | 2021        |
| Lankem Ceylon PLC Contd.                            | Lankem Technology Services Limited                  | 100.00%   | 100.00% | 4,999,995     | 4,999,995   |
|                                                     | C M Holdings PLC                                    | 2.18%     | 2.18%   | 331,547       | 331,547     |
|                                                     | Waverly Power (Private) Limited                     | 43.59%    | 43.59%  | 3,400,000     | 3,400,000   |
|                                                     | J.F. Packaging Limited                              | 100.00%   | 100.00% | 673,151       | 1,204,068   |
|                                                     | Natures Link (Private) Limited                      | 100.00%   | 100.00% | 5,000,000     | 5,000,000   |
|                                                     | Agrapatana Plantation Limited                       | 0.42%     | 0.54%   | 1,760,204     | 1,760,204   |
|                                                     | ACME Printing & Packaging PLC                       | 57.93%    | 0.00%   | 23,846,993    | -           |
| Consolidated Tea Plantations Limited                | Lankem Tea and Rubber Plantations (Private) Limited | 98.98%    | 98.98%  | 826,088       | 826,088     |
|                                                     | Kotagala Plantations PLC                            | 54.30%    | 45.03%  | 183,823,231   | 33,873,980  |
|                                                     | Lankem Developments PLC                             | 49.80%    | 49.80%  | 59,762,295    | 59,762,295  |
|                                                     | Union Commodities (Private) Limited                 | 70.00%    | 70.00%  | 5,600,000     | 5,600,000   |
| Lankem Tea and Rubber Plantations (Private) Limited | Colombo Fort Hotels Limited                         | 8.58%     | 8.58%   | 11,608,591    | 11,608,591  |
|                                                     | Kotagala Plantations PLC                            | 1.64%     | 21.74%  | 5,550,000     | 16,355,110  |
| Lankem Developments PLC                             | Agarapatana Plantations Limited                     | 67.45%    | 72.43%  | 281,228,776   | 235,394,302 |
|                                                     | Waverly Power (Private) Limited                     | 56.41%    | 56.41%  | 4,400,000     | 4,400,000   |
| Colombo Fort Hotels Limited                         | Beruwala Resorts PLC                                | 65.58%    | 65.58%  | 393,497,345   | 393,497,345 |
|                                                     | Imperial Hotels Limited                             | 34.08%    | 34.08%  | 4,921,506     | 4,921,506   |
|                                                     | Marawila Resorts PLC                                | 41.06%    | 41.06%  | 93,624,955    | 93,624,955  |
|                                                     | Sigiriya Village Hotels PLC                         | 41.16%    | 41.16%  | 3,704,274     | 3,704,274   |
|                                                     | Galle Fort Hotel (Private) Limited                  | 100.00%   | 100.00% | 10,384,214    | 10,384,214  |
|                                                     | Lak Kraft (Private) Limited                         | 99.11%    | 99.11%  | 222           | 222         |
|                                                     | Sherwood Holidays Limited                           | 100.00%   | 100.00% | 7,791,920     | 7,791,920   |
|                                                     | BOT Hotel Services Limited                          | 31.32%    | 31.32%  | 18,008,162    | 18,008,162  |
| Sigiriya Village Hotels PLC                         | Marawila Resorts PLC                                | 7.46%     | 7.46%   | 17,000,000    | 17,000,000  |
|                                                     | Beruwala Resorts PLC                                | 14.23%    | 14.23%  | 85,384,000    | 85,384,000  |
|                                                     | Colombo Fort Hotels Limited                         | 0.02%     | 0.02%   | 24,000        | 24,000      |
|                                                     | Imperial Hotels Limited                             | 31.16%    | 31.16%  | 4,500,000     | 4,500,000   |
| Marawila Resorts PLC                                | Beruwala Resorts PLC                                | 0.01%     | 0.01%   | 30,000        | 30,000      |
|                                                     | Colombo Fort Hotels Limited                         | 0.64%     | 0.64%   | 866,258       | 866,258     |
| Beruwala Resorts PLC                                | B.O.T. Hotel Services (Private) Limited             | 68.68%    | 68.68%  | 39,491,798    | 39,491,798  |
| York Hotel Management Services Limited              | Colombo Fort Hotels Limited                         | 0.02%     | 0.02%   | 24,000        | 24,000      |
| Agarapatana Plantations Limited                     | Beruwala Resorts PLC                                | 0.22%     | 0.22%   | 1,300,000     | 1,300,000   |
|                                                     | Union Commodities (Private) Limited                 | 15.00%    | 15.00%  | 1,200,000     | 1,200,000   |
| Kotagala Plantations PLC                            | Agarapatana Plantations Limited                     | 4.80%     | 5.33%   | 20,000,000    | 17,333,333  |
|                                                     | Imperial Hotels Limited                             | 31.16%    | 31.16%  | 4,500,000     | 4,500,000   |
|                                                     | Union Commodities (Private) Limited                 | 15.00%    | 15.00%  | 1,199,999     | 1,199,999   |
|                                                     | Rubber & Allied Products (Colombo) Limited          | 100.00%   | 100.00% | 5,991         | 5,991       |
|                                                     | Ceymac Rubber Company Limited                       | 98.72%    | 98.72%  | 3,148,551     | 3,148,551   |
| C.W. Mackie PLC                                     | Ceytra (Private) Limited                            | 62.82%    | 62.82%  | 1,884,600     | 1,884,600   |
|                                                     | Sunquick Lanka Properties (Pvt) Ltd                 | 51.00%    | 51.00%  | 3,070,000     | 3,070,000   |
|                                                     | Kelani Valley Canneries Limited                     | 88.23%    | 54.14%  | 30,351,222    | 30,351,222  |
| C M Holdings PLC                                    | Colonial Motors (Ceylon) Limited                    | 100.00%   | 100.00% | 16,499,998    | 16,499,998  |
|                                                     | E. B. Creasy & Company PLC                          | 3.94%     | 3.94%   | 10,000,000    | 10,000,000  |
|                                                     | York Arcade Holdings PLC                            | 0.00%     | 0.00%   | 28            | 28          |
|                                                     | Union Investments (Private) Limited.                | 100.00%   | 100.00% | 4,999,999     | 4,999,999   |
|                                                     | Colombo Fort Hotels Limited                         | 14.05%    | 14.05%  | 19,014,348    | 19,014,348  |
|                                                     | Marawila Resorts PLC                                | 0.44%     | 0.44%   | 1,000,000     | 1,000,000   |
|                                                     | Lankem Ceylon PLC                                   | 0.31%     | 0.47%   | 160,000       | 160,000     |

## Notes to the Financial Statements contd.

| Investor                                      | Investee                               | % Holding |         | No. of Shares |            |
|-----------------------------------------------|----------------------------------------|-----------|---------|---------------|------------|
|                                               |                                        | 2022      | 2021    | 2022          | 2021       |
| <b>As at 31st March,</b>                      |                                        |           |         |               |            |
| C M Holdings PLC Contd.                       | Beruwala Resorts PLC                   | 0.01%     | 0.01%   | 30,000        | 30,000     |
|                                               | Guardian Asset Management Limited      | 75.00%    | 75.00%  | 1,199,995     | 1,199,995  |
| Union Investments (Private) Limited           | E. B. Creasy & Company PLC             | 6.61%     | 6.61%   | 16,770,000    | 16,770,000 |
|                                               | York Arcade Holdings PLC               | 0.00%     | 0.00%   | 35            | 35         |
|                                               | Guardian Asset Management Limited      | 18.75%    | 18.75%  | 300,000       | 300,000    |
|                                               | Lankem Ceylon PLC                      | 0.43%     | 0.04%   | 222,800       | 12,000     |
|                                               | Lankem Developments PLC                | 2.08%     | 2.08%   | 2,500,000     | 2,500,000  |
|                                               | Agarapatana Plantations Limited        | 0.06%     | 0.08%   | 250,000       | 250,000    |
|                                               | C.W. Mackie PLC                        | 2.81%     | 2.81%   | 1,010,000     | 1,010,000  |
|                                               | Marawila Resorts PLC                   | 2.93%     | 0.00%   | 6,681,037     | -          |
|                                               | Sigiriya Village Hotels PLC            | 23.12%    | 0.00%   | 2,080,518     | -          |
| Guardian Asset Management Limited             | Guardian Trustees Limited              | 99.99%    | 99.99%  | 59,993        | 59,993     |
|                                               | Kotagala Plantation PLC                | 0.00%     | 0.00%   | 1,252         | 279        |
|                                               | Muller & Phipps (Ceylon) PLC           | 0.00%     | 0.00%   | 500           | 500        |
|                                               | Laxapana Batteries PLC                 | 0.00%     | 0.00%   | 600           | 600        |
|                                               | E. B. Creasy & Company PLC             | 0.00%     | 0.00%   | 7,200         | 7,200      |
|                                               | Colombo Investment Trust PLC           | 0.00%     | 0.00%   | 143           | 143        |
|                                               | Colombo Fort Investments PLC           | 0.00%     | 0.00%   | 83            | 83         |
|                                               | Lankem Developments PLC                | 0.00%     | 0.00%   | 296           | 296        |
|                                               | Lankem Ceylon PLC                      | 0.78%     | 1.18%   | 400,300       | 400,300    |
|                                               | C M Holdings PLC                       | 0.00%     | 0.00%   | 185           | 185        |
|                                               | Marawila Resorts PLC                   | 0.00%     | 0.00%   | 640           | 640        |
|                                               | C.W. Mackie PLC                        | 0.00%     | 0.00%   | 100           | 100        |
|                                               |                                        |           |         |               |            |
| York Arcade Holdings PLC                      | C M Holdings PLC                       | 0.47%     | 0.47%   | 71,707        | 71,707     |
|                                               | Imperial Hotels Limited                | 3.46%     | 3.46%   | 500,000       | 500,000    |
| C.F. Travels Limited                          | York Tours Limited                     | 100.00%   | 100.00% | 51,200        | 51,200     |
|                                               | American Lloyd Travels Limited         | 96.54%    | 96.54%  | 1,013,706     | 1,013,706  |
|                                               | Union Travels Limited                  | 85.99%    | 85.99%  | 42,993        | 42,993     |
|                                               | Voyages Ceylon (Private) Limited       | 74.43%    | 74.43%  | 454,930       | 454,930    |
| Colombo Fort Holdings Limited                 | York Hotel Management Services Limited | 100.00%   | 100.00% | 60,000        | 60,000     |
|                                               | Union Group (Private) Limited          | 87.90%    | 87.90%  | 54,500        | 54,500     |
|                                               | Transways (Private) Limited            | 70.00%    | 70.00%  | 35,000        | 35,000     |
| Union Group (Private) Limited                 | Lankem Ceylon PLC                      | 0.01%     | 0.01%   | 7,000         | 7,000      |
| J.F. Packaging Limited                        | Sunagro Foods Limited                  | 100.00%   | 100.00% | 4,999,994     | 4,999,994  |
| SunAgro Foods Limited                         | Ceylon Tapes (Private) Limited         | 100.00%   | 100.00% | 980,000       | 980,000    |
|                                               | Kiffs (Pvt) Ltd                        | 100.00%   | 100.00% | 440,001       | 440,001    |
|                                               | Alliance Five (Pvt) Ltd                | 100.00%   | 100.00% | 649,750       | 649,750    |
| Wavely Power (Private) Limited                | Agarapatana Plantations Limited        | 0.60%     | 0.00%   | 2,500,000     | -          |
| Colombo Fort Group Services (Private) Limited | Agarapatana Plantations Limited        | 0.38%     | 0.00%   | 1,582,452     | -          |

## 15.5 Subsidiary Companies of the Group

The details of Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

| Indirect Subsidiaries<br>As at 31st March,        | Effective Holdings (%) |       |
|---------------------------------------------------|------------------------|-------|
|                                                   | 2022                   | 2021  |
| ACME Printing & Packaging PLC                     | 54.11                  | -     |
| Agarapatana Plantations Limited                   | 43.68                  | 38.59 |
| American Lloyd Travels Limited                    | 96.54                  | 96.54 |
| Associated Farms Limited                          | 72.66                  | 65.06 |
| B.O.T. Hotel Services (Private) Limited           | 59.00                  | 54.52 |
| C.W. Mackie PLC                                   | 42.07                  | 37.86 |
| Ceylon Tapes limited                              | 72.66                  | 42.33 |
| Corporate Systems Limited                         | 59.87                  | 59.87 |
| Candy Delights Limited                            | 59.91                  | 59.91 |
| Creasy Plantation Management Limited              | 24.56                  | 24.56 |
| Darley Butler & Company Limited                   | 59.91                  | 59.91 |
| E. B. Creasy Logistics Limited                    | 59.91                  | 59.90 |
| Filmpack Limited                                  | 59.91                  | 59.91 |
| Group Three Associates (Private) Limited          | 59.91                  | 59.91 |
| Guardian Trustees Limited                         | 61.57                  | 61.41 |
| E.B.Creasy Ceylon (Private) Limited               | 59.91                  | 59.91 |
| J.F.Packaging Limited                             | 72.66                  | 65.06 |
| Kotagala Plantations PLC                          | 48.66                  | 55.63 |
| Lanka Special Steels Limited                      | 59.91                  | 59.91 |
| Lankem Agrochemicals Limited                      | 72.66                  | 65.06 |
| Lankem Chemicals Limited                          | 72.66                  | 65.06 |
| Lankem Consumer Products Limited                  | 72.66                  | 65.06 |
| Lankem Developments PLC                           | 46.20                  | 44.24 |
| Lankem Exports (Private) Limited                  | 72.66                  | 65.06 |
| Lankem Paints Limited                             | 72.66                  | 65.06 |
| Lankem Plantation Services Limited                | 43.60                  | 39.04 |
| Lankem Research Limited                           | 72.66                  | 65.06 |
| Lankem Tea & Rubber Plantations (Private) Limited | 86.84                  | 83.18 |
| Laxapana Batteries PLC                            | 40.90                  | 40.96 |
| SunAgro Farms Limited                             | 72.66                  | 65.06 |
| SunAgro LifeScience Limited                       | 72.66                  | 65.06 |
| Union Group (Private) Limited                     | 87.90                  | 87.90 |
| Union Travels Limited                             | 85.99                  | 85.99 |
| Voyages Ceylan (Private) Limited                  | 74.43                  | 74.43 |
| York Hotel Management Services Limited            | 99.99                  | 99.99 |
| Imperial Hotels Limited                           | 53.59                  | 53.15 |
| York Tours Limited                                | 99.99                  | 99.99 |

## 15.6 Acquisition of ACME Printing and Packaging PLC (ACME)

Lankem Ceylon PLC acquired 3,235,795 shares constituting 7.86% of the total number of Ordinary Voting shares in issue of ACME Printing & Packaging PLC as at 16th September 2021.

Subsequent to the purchase of 8,000,000 Ordinary Voting shares of ACME Printing & Packaging PLC by E B Creasy & Company PLC on 7th September 2021, Lankem Ceylon PLC and Parties Acting in Concert namely E B Creasy & Company PLC, Mr. S.D.R. Arudpragasam, Union Commodities (Private) Limited, Colombo Fort Investments PLC, The Colombo Fort Land & Building PLC and Colombo Investment Trust PLC together held more than 30% of the shareholding in ACME Printing & Packaging PLC. As at 16th September 2021 Lankem Ceylon PLC and Parties Acting in Concert held 13,240,084 Ordinary Voting shares in ACME Printing & Packaging PLC constituting 32.17% of the shares in issue.

Accordingly, Lankem Ceylon PLC made a Mandatory Offer to purchase 27,921,829 Ordinary voting shares constituting 67.83% of shares in issue of ACME at an offer price of Rs. 12.20 per share. The Offer opened on 28.10.2021 and closed on 24th of November 2021.

In terms of Rule 24 of the Takeover and Mergers Code an Announcement dated 25.11.2021 was made to the Colombo Stock Exchange on the level of acceptances received.

## Notes to the Financial Statements contd.

Of the total for which acceptances of the Offer which had been received (as notified in the aforesaid Announcement), valid acceptances being received only in respect of 19,586,821 shares representing 47.58% of the Issued Shares of ACME, all payments have been made and completed by the Company as at 11.03.2022. Of the 19,586,821 a component of 10,894,377 shares were registered in favour of Lankem Ceylon PLC prior to 31.03.2022 and although payments had been made prior to end March 2022, the balance component of 8,692,444 shares were registered in the Company's favour subsequent to 31.03.2022.

As at the end of the year the Lankem Ceylon PLC had acquired a 57.94% equity stake in ACME and same was recoded as investment in Subsidiary.

E.B. Creasy & Company PLC held 19.97% of ACME and recorded under Financial Assets at Fair value through OCI.

Fair values of the identifiable assets and liabilities of the acquired entities at the date of acquisition were;

|                                                                  | Rs.000         |
|------------------------------------------------------------------|----------------|
| Property, Plant and Equipment                                    | 1,002,508      |
| Right of Use Assets                                              | 19,785         |
| Financial Investments - FVTOCI                                   | 25             |
| Inventories                                                      | 185,907        |
| Trade and Other Receivables                                      | 101,400        |
| Cash and Cash Equivalents                                        | (29,355)       |
| Interest Bearing Borrowings                                      | (50,548)       |
| Short Term Borrowings                                            | (766,097)      |
| Loans Payable to Related Parties                                 | (150,000)      |
| Lease Creditors                                                  | (13,700)       |
| Employee Benefits                                                | (12,825)       |
| Trade and Other Payables                                         | (149,656)      |
| Amounts Due to Related Parties                                   | (3,150)        |
| <b>Net identifiable assets and liabilities</b>                   | <b>134,294</b> |
| Consideration Paid (net of transaction cost)                     | 214,405        |
| Non controlling interests, based on their proportionate interest | 60,213         |
| Less                                                             |                |
| Fair value of identified net assets                              | (134,294)      |
| <b>Goodwill on acquisition (Note 14.1.1)</b>                     | <b>140,324</b> |
| <b>Analysis of cash on acquisition of the subsidiaries</b>       |                |
| Cash paid on acquisition                                         | 388,674        |
| Cash and cash equivalents of subsidiaries acquired               | 29,355         |
| <b>Net cash outflow</b>                                          | <b>418,029</b> |

Total transaction cost related to this acquisition amounting to Rs. 542,556 has been recognised on an expense under other expenses.

## 16 INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

|                   | Holding<br>% | No. of<br>Shares | Balance<br>as at<br>2022<br>Rs.'000 | Market<br>Value<br>2022<br>Rs.'000 | Holding<br>% | No. of<br>Shares | Balance<br>as at<br>2021<br>Rs.'000 |
|-------------------|--------------|------------------|-------------------------------------|------------------------------------|--------------|------------------|-------------------------------------|
| As at 31st March, | 2022         | 2022             | 2022                                | 2022                               | 2021         | 2021             | 2021                                |

### 16.1 Investments in Associates

#### 16.1.1 Group

##### Quoted Investments

|                                     |       |           |         |         |       |           |        |
|-------------------------------------|-------|-----------|---------|---------|-------|-----------|--------|
| Colombo Fort Investments PLC (CFIL) | 16.22 | 1,121,097 | 162,453 | 79,037  | 15.97 | 1,103,603 | 48,217 |
| Colombo Investment Trust PLC (CITL) | 11.57 | 791,542   | 105,586 | 86,872  | 11.46 | 784,430   | 42,681 |
|                                     |       |           | 268,040 | 165,909 |       |           | 90,897 |

##### Unquoted Investments

|                                   |       |           |         |  |       |           |        |
|-----------------------------------|-------|-----------|---------|--|-------|-----------|--------|
| Capital Investments Limited (CIL) | 46.67 | 3,499,930 | 152,413 |  | 46.67 | 3,499,930 | 92,050 |
|-----------------------------------|-------|-----------|---------|--|-------|-----------|--------|

Unrealised profit on disposal of shares to  
equity accounted investee

(3,638) (3,638)

|                                                                             |          |         |
|-----------------------------------------------------------------------------|----------|---------|
|                                                                             | 416,815  | 179,309 |
| Statement of Profit or Loss                                                 | 11,663   | 26,461  |
| Other Comprehensive Income                                                  | (61,538) | 211,045 |
| Share of Results of Equity Accounted Investees<br>(Net of Tax) for the Year | (49,875) | 237,505 |
| Dividend Paid during the Year                                               | -        | -       |
| Carrying Value of Investments in<br>Equity Accounted Investees              | 366,940  | 416,815 |

- a. Market value of quoted investments as at 31st March, 2022 was Rs.165 million ( Rs.150 million- 31st March, 2021) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs.152 million as at 31st March, 2022 (Rs.92 million - 31st March, 2021) for the Group and Company as well.

#### b. Summarised Financial Information of Equity Accounted Investees

| As at 31st March,               | GROUP           |           |          |           |                 |           |          |           |
|---------------------------------|-----------------|-----------|----------|-----------|-----------------|-----------|----------|-----------|
|                                 | 2022 Rs. (000)' |           |          |           | 2021 Rs. (000)' |           |          |           |
|                                 | CFIL            | CITL      | CIL      | Total     | CFIL            | CITL      | CIL      | Total     |
| <b>Assets &amp; Liabilities</b> |                 |           |          |           |                 |           |          |           |
| Total Assets                    | 1,143,804       | 1,090,778 | 338,101  | 2,572,683 | 1,349,275       | 1,226,751 | 340,278  | 1,539,325 |
| Total Liabilities               | (20,434)        | (19,124)  | (13,123) | (52,681)  | (20,849)        | (20,185)  | (13,153) | (69,691)  |
| Net Assets                      | 1,123,370       | 1,071,654 | 324,978  | 2,520,002 | 1,328,426       | 1,206,566 | 327,125  | 2,862,117 |

# Notes to the Financial Statements contd.

## Summary of the Statement of Profit or Loss

For the year ended 31st March,

|                                                       | 2022 Rs. (000)' |           |         |           | 2021 Rs. (000)' |         |         |           |
|-------------------------------------------------------|-----------------|-----------|---------|-----------|-----------------|---------|---------|-----------|
|                                                       | CFIL            | CITL      | CIL     | Total     | CFIL            | CITL    | CIL     | Total     |
| Revenue                                               | 41,227          | 46,986    | 535     | 88,748    | 17,222          | 17,116  | 1,042   | 35,380    |
| Cost of Investment Disposed                           |                 | (9,788)   | -       | (9,788)   |                 | (1,725) | -       | (1,725)   |
| FV through Profit or Loss                             | 17,956          | 8,833     | -       | 26,789    | 102,040         | 65,827  | -       | 167,867   |
| Other Operating Income                                | 1,024           | 62        | -       | 1,086     | 6               | 19      | -       | 25        |
|                                                       | 60,207          | 46,093    | 535     | 106,835   | 119,268         | 81,237  | 1,042   | 201,547   |
| Administrative Expenses                               | (3,782)         | (4,110)   | (3,000) | (10,892)  | (4,052)         | (4,227) | (449)   | (8,728)   |
| Other Operating Expenses                              | (276)           | -         | -       | (276)     | (187)           | (4)     | -       | (191)     |
| Profit From Operations                                | 56,149          | 41,983    | (2,465) | 95,667    | 115,029         | 77,006  | 593     | 192,628   |
| Net Finance Cost                                      | (1,618)         | (1,893)   | -       | (3,511)   | (2,353)         | (2,638) | (220)   | (5,211)   |
| Profit Before Tax                                     | 54,531          | 40,090    | (2,465) | 92,156    | 112,676         | 74,368  | 373     | 187,417   |
| Income Tax Expenses                                   | (3,675)         | (648)     | -       | (4,323)   | (1,371)         | -       | (32)    | (1,403)   |
| Net Profit for the year                               | 50,856          | 39,442    | (2,465) | 87,833    | 111,305         | 74,368  | 341     | 186,014   |
| Other Comprehensive income for the period, Net of Tax | (255,906)       | (174,355) | 319     | (429,942) | 603,970         | 474,395 | 129,011 | 1,207,376 |
| Total Comprehensive income for the period             | (205,050)       | (134,913) | (2,146) | (342,109) | 715,275         | 548,763 | 129,352 | 1,393,390 |

c. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

|                   | Holding<br>% | No. of<br>Shares | Carrying              |                        | No. of<br>Shares | Carrying              |                        |
|-------------------|--------------|------------------|-----------------------|------------------------|------------------|-----------------------|------------------------|
|                   |              |                  | Cost<br>As at<br>2022 | Value<br>As at<br>2022 |                  | Cost<br>As at<br>2021 | Value<br>As at<br>2021 |
| As at 31st March, | 2022         | 2022             | Rs.'000               | Rs.'000                | 2021             | Rs.'000               | Rs.'000                |

## 16.1.2 Company

### Quoted Investments

|                              |       |           |        |         |           |        |         |
|------------------------------|-------|-----------|--------|---------|-----------|--------|---------|
| Colombo Fort Investments PLC | 15.97 | 1,121,097 | 37,938 | 79,037  | 1,103,603 | 36,613 | 72,617  |
| Colombo Investment Trust PLC | 11.46 | 791,542   | 24,702 | 86,872  | 784,430   | 23,813 | 78,051  |
|                              |       |           | 62,640 | 165,909 |           | 60,426 | 150,668 |

### Unquoted Investments.

|                                                             |       |           |        |   |           |        |   |
|-------------------------------------------------------------|-------|-----------|--------|---|-----------|--------|---|
| Capital Investments Limited                                 | 46.67 | 3,499,930 | 35,349 | - | 3,499,930 | 35,349 | - |
|                                                             |       |           | 35,349 | - |           | 35,349 | - |
| Carrying Value of Investments in Equity Accounted Investees |       |           | 97,989 |   |           | 95,775 |   |

## 16.2 Investment In Joint Venture

| As at                            | 31.03.2022 | 31.03.2021 |
|----------------------------------|------------|------------|
|                                  | Rs.'000    | Rs.'000    |
| Sunquick Lanka (Private) Limited | 163,547    | 291,146    |

The Company has a 49% interest in Sunquick Lanka (Private) Limited, a joint venture formed for the purpose of manufacturing, processing and marketing Co-Ro A/S, Denmark products in the form of concentrates and ready-to-drink (RTD) products marketed under 'Sunquick' brand

The Group's interest in Sunquick Lanka (Private) Limited is accounted for using the equity method in the Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below:

#### Summary of the Statement of Financial Position

| As at | 31.03.2022 | 31.03.2021 |
|-------|------------|------------|
|       | Rs.'000    | Rs.'000    |

#### Summary of the Statement of Profit or Loss

|                                                                 |             |             |
|-----------------------------------------------------------------|-------------|-------------|
| Revenue                                                         | 1,384,221   | 1,038,131   |
| Operating Expenses                                              | (1,333,248) | (1,076,276) |
| Other Operating income                                          | 6,086       | 15,426      |
| Finance Income                                                  | 9,899       | 9,899       |
| Finance Cost                                                    | (294,796)   | (95,213)    |
| Income tax                                                      | (23,096)    | 4,940       |
| Other Comprehensive                                             | 427         | (211)       |
| Total comprehensive income / (expense) for the year             | (260,833)   | (103,304)   |
| Share loss recognised for the year                              | (127,808)   | (50,516)    |
| Share loss recognised in other comprehensive income / (expense) | 209         | (103)       |

| As at | 31.03.2022 | 31.03.2021 |
|-------|------------|------------|
|       | Rs.'000    | Rs.'000    |

#### Summarised Statement of Financial Position

|                                    |           |           |
|------------------------------------|-----------|-----------|
| Non-Current Assets                 | 976,534   | 978,664   |
| Current Assets                     | 1,145,130 | 1,148,860 |
| Non-Current Liabilities            | 584,551   | 469,461   |
| Current Liabilities                | 1,203,344 | 1,063,888 |
| Equity                             | 333,769   | 594,175   |
| Carrying amount of the investments | 163,547   | 291,146   |

#### Equity Reconciliation

|                                 |           |          |
|---------------------------------|-----------|----------|
| Carrying Value as at 1st April  | 291,146   | 341,765  |
| Investment made during the year | -         | -        |
| Share of profit / (loss)        | (127,599) | (50,619) |
| Carrying Value as at 31st March | 163,547   | 291,146  |

## 17 OTHER FINANCIAL ASSETS - NON CURRENT

|                                                          |        | GROUP          |                |        | COMPANY        |                |
|----------------------------------------------------------|--------|----------------|----------------|--------|----------------|----------------|
|                                                          |        | Carrying Value | Carrying Value |        | Carrying Value | Carrying Value |
| As at 31st March,                                        |        | 2022           | 2021           |        | 2022           | 2021           |
|                                                          | Notes  | Rs.'000        | Rs.'000        | Notes  | Rs.'000        | Rs.'000        |
| Quoted Investments - Financial Assets at FVOCI           | 17.1.1 | 99,202         | 152,242        | 17.2.1 | 5,087          | 3,287          |
| Unquoted Investments - Financial Assets at FVOCI         | 17.1.2 | 335,203        | 336,879        | -      | -              | -              |
| Unit Trusts                                              | 17.1.3 | 225,566        | 225,503        | -      | -              | -              |
|                                                          |        | 659,971        | 714,624        |        | 5,087          | 3,287          |
| Less : Provision for Impairment in Value of Investment * |        | (5,400)        | (7,070)        |        | -              | -              |
|                                                          |        | 654,571        | 707,554        |        | 5,087          | 3,287          |

\*Impairment relates to Dutch Dairy International (Private) Limited, Far Eastern Exports Limited and Sri Lanka Institute of Nanotechnology (Private) limited.

# Notes to the Financial Statements contd.

## 17.1 Group

| As at 31st March, | GROUP            |                 |                   |                  |                 |                   |
|-------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                   | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                   | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |

### 17.1.1 Quoted Investments

#### Automobiles & Components

|                  |     |   |    |     |   |    |
|------------------|-----|---|----|-----|---|----|
| Kelani Tyres PLC | 360 | 2 | 21 | 360 | 2 | 28 |
|                  |     | 2 | 21 |     | 2 | 28 |

#### Banks

|                                                           |        |       |       |        |       |       |
|-----------------------------------------------------------|--------|-------|-------|--------|-------|-------|
| Commercial Bank of Ceylon PLC-Voting                      | 321    | 15    | 20    | 314    | 15    | 27    |
| DFCC Bank PLC                                             | 17,320 | 802   | 832   | 16,482 | 431   | 982   |
| Hatton National Bank PLC-Voting                           | 10     | -     | 1     | 10     | -     | 1     |
| Housing Development Finance Corporation Bank of Sri Lanka | 100    | 4     | 3     | 100    | 4     | 3     |
| National Development Bank PLC                             | 6,676  | 553   | 372   | 6,637  | 550   | 536   |
| Nations Trust Bank PLC                                    | 13,487 | 314   | 609   | 12,696 | 293   | 719   |
| Pan Asia Banking Corporation PLC                          | 3,000  | 24    | 32    | 3,000  | 24    | 42    |
| Sampath Bank PLC                                          | 915    | 25    | 42    | 915    | 25    | 49    |
| Seylan Bank PLC-Non-Voting                                | 213    | 6     | 5     | 206    | 5     | 9     |
| Seylan Bank PLC-Voting                                    | 8      | -     | -     | 8      | -     | -     |
| The Finance Company PLC                                   | 100    | 8     | -     | 120    | 8     | -     |
| Union Bank of Colombo PLC                                 | 100    | 3     | 1     | 100    | 3     | 1     |
|                                                           |        | 1,754 | 1,917 |        | 1,358 | 2,369 |

#### Capital Goods

|                                      |           |        |        |           |        |        |
|--------------------------------------|-----------|--------|--------|-----------|--------|--------|
| ACL Cables PLC                       | 1,152     | 2      | 66     | 1,152     | 2      | 41     |
| Aitken Spence PLC                    | 555       | 10     | 41     | 555       | 10     | 31     |
| Colombo Dockyard PLC                 | 15        | -      | 1      | 15        | -      | 1      |
| Hayleys PLC                          | 90        | 1      | 7      | 90        | 1      | 5      |
| Hemas Holdings PLC                   | 161,772   | 8,162  | 7,474  | 161,143   | 8,162  | 13,492 |
| John Keells Holdings PLC             | 192       | 11     | 28     | 192       | 11     | 29     |
| Lanka Ashok Leyland PLC              | 90        | 1      | 64     | 90        | 1      | 76     |
| Lanka Tiles PLC                      | 260       | 1      | 16     | 260       | 1      | 48     |
| Lanka Walltiles PLC                  | 165       | 4      | 12     | 165       | 4      | 31     |
| Renuka Holdings PLC- Voting          | 164       | 1      | 2      | 164       | 1      | 2      |
| Renuka Holdings PLC- Non Voting      | 1,180     | 17     | 13     | 1,180     | 17     | 17     |
| Richard Peiris & Company PLC         | 3,705     | 2      | 49     | 3,705     | 2      | 62     |
| Royal Ceramics Lanka PLC             | 10,950    | 114    | 4,434  | 10,896    | 114    | 2,801  |
| Sierra Cables PLC                    | 2,600     | 8      | 18     | 2,600     | 8      | 15     |
| The Colombo Fort Land & Building PLC | 5,800,333 | 14,174 | 76,564 | 5,800,333 | 14,174 | 74,824 |
| Unisyst Engineering PLC              | 180       | 3      | 2      | 180       | 3      | 1      |
| Brown & Company PLC                  | 100       | 3      | 13     | 100       | 3      | 16     |
| Lanka Ceramic PLC                    | 7         | 1      | 1      | 7         | 1      | 1      |
|                                      |           | 22,515 | 88,805 |           | 22,515 | 91,493 |

| As at 31st March,                             | GROUP  |         |          |        |         |          |
|-----------------------------------------------|--------|---------|----------|--------|---------|----------|
|                                               | No. of | Cost    | Carrying | No. of | Cost    | Carrying |
|                                               | Shares | 2022    | Value    | Shares | 2021    | Value    |
|                                               | 2022   | Rs.'000 | 2022     | 2021   | Rs.'000 | 2021     |
|                                               |        |         | Rs.'000  |        |         | Rs.'000  |
| <b>Commercial &amp; Professional Services</b> |        |         |          |        |         |          |
| Gestetner of Ceylon PLC                       | 754    | 16      | 50       | 754    | 16      | 63       |
| Paragon Ceylon PLC                            | 100    | 1       | 4        | 100    | 1       | 4        |
|                                               |        | 17      | 54       |        | 17      | 67       |
| <b>Consumer Durabi &amp; Apperal</b>          |        |         |          |        |         |          |
| Abans Electrical PLC                          | 240    | 10      | 39       | 240    | 10      | 38       |
| Dankotuwa Porcelain PLC                       | 166    | 3       | 2        | 166    | 3       | 2        |
| Hayleys Fabric PLC                            | 818    | 7       | 24       | 818    | 7       | 12       |
| Hayleys Fibre PLC                             | 315    | 2       | 17       | 315    | 2       | 15       |
| Regnis (Lanka) PLC                            | 60     | 1       | 3        | 60     | 1       | 3        |
| Ambeon holdings PLC                           | 1,002  | 2       | 39       | 1,002  | 2       | 17       |
| Kelsey Developments PLC                       | 337    | 4       | 10       | 337    | 4       | 14       |
| Singer Industries (Ceylon) PLC                | 170    | 1       | 7        | 170    | 1       | 8        |
| Blue Diamond Jewellery Worldwide PLC          | 22     | -       | -        | 22     | -       | -        |
|                                               |        | 30      | 141      |        | 30      | 109      |
| <b>Consumer Services</b>                      |        |         |          |        |         |          |
| Aitken Spence Hotel Holdings PLC              | 140    | 2       | 5        | 140    | 2       | 8        |
| Amaya Leisure PLC                             | 554    | 2       | 9        | 554    | 2       | 10       |
| Asian Hotels & Properties PLC                 | 200    | 1       | 7        | 200    | 1       | 7        |
| Browns Beach Hotels PLC                       | 150    | -       | 1        | 150    | -       | 2        |
| Ceylon Hotels Corporation PLC                 | 534    | 2       | 5        | 534    | 2       | 6        |
| Citrus Leisure PLC                            | 53     | 1       | -        | 53     | 1       | -        |
| Dolphin Hotels PLC                            | 125    | 1       | 4        | 125    | 1       | 3        |
| Eden Hotel Lanka PLC                          | 200    | 2       | 3        | 800    | 2       | 8        |
| Galadari Hotels (Lanka) PLC                   | 100    | -       | 1        | 100    | -       | 1        |
| Hotel Sigiriya PLC                            | 14,000 | 65      | -        | 14,000 | 65      | -        |
| Hunas Falls Hotels PLC                        | 450    | 19      | 878      | 450    | 19      | 69       |
| John Keells Hotels PLC                        | 1,506  | 5       | 18       | 1,506  | 5       | 14       |
| Mahaweli Reach Hotels PLC                     | 100    | 1       | 1        | 100    | 1       | 1        |
| Palm Garden Hotels PLC                        | 56     | 3       | 2        | 56     | 3       | 1        |
| Pegasus Hotels of Ceylon PLC                  | 1,093  | 37      | 38       | 1,093  | 37      | 32       |
| Renuka City Hotel PLC                         | 600    | 148     | 176      | 600    | 148     | 136      |
| Royal Palms Beach Hotels PLC                  | 475    | 12      | 8        | 475    | 12      | 6        |
| Trans Asia Hotels PLC                         | 400    | 1       | -        | 400    | 1       | -        |
| Tal Lanka Hotels PLC                          | 100    | -       | 1        | 100    | -       | 1        |
| The Kingsbury PLC                             | 1,374  | 3       | 11       | 1,374  | 3       | 8        |
| The Fortress Resorts PLC                      | 500    | 5       | 6        | 500    | 5       | 6        |
| The Lighthouse Hotel PLC                      | 100    | 1       | 3        | 100    | 1       | 3        |
| The Nuwara Eliya Hotels Company PLC           | 12     | 4       | 13       | 12     | 4       | 12       |
| Touchwood Investments PLC                     | -      | 1       | -        | -      | 1       | -        |
|                                               |        | 316     | 1,190    |        | 316     | 334      |

# Notes to the Financial Statements contd.

| As at 31st March,                        | GROUP            |                 |                   |                  |                 |                   |
|------------------------------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                                          | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                                          | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |
| <b>Diversified Holdings</b>              |                  |                 |                   |                  |                 |                   |
| Associated Motor Finance Company PLC     | 3,036            | 62              | 26                | 333              | 11              | 60                |
| Asia Capital PLC                         | 100              | -               | 1                 | 100              | -               | 1                 |
| Central Finance Company PLC              | 10               | -               | 1                 | 10               | -               | 1                 |
| Ceylon Guardian Investment Trust PLC     | 174              | 2               | 14                | 174              | 2               | 21                |
| Ceylon Investment PLC                    | 471              | 3               | 17                | 471              | 3               | 30                |
| Colombo Fort Investments PLC             | -                | -               | -                 | 84               | 2               | 6                 |
| Colombo Investment Trust PLC             | -                | -               | -                 | 145              | 2               | 14                |
| First Capital Holdings PLC               | 3,600            | 11              | 112               | 3,600            | 11              | 196               |
| Lanka Orix Leasing Company Holding PLC   | 800              | 1               | 478               | 800              | 1               | 234               |
| Lanka Ventures PLC                       | 100              | 1               | 5                 | 100              | 1               | 5                 |
| LB Finance PLC                           | 4,624            | 3               | 268               | 4,624            | 3               | 219               |
| Merchant Bank of Sri Lanka & Finance PLC | 67               | 1               | -                 | 67               | 1               | -                 |
| Nation Lanka Finance PLC                 | 625              | 5               | -                 | 625              | 5               | -                 |
| People's Leasing & Finance PLC           | 10,000           | 180             | 97                | 10,000           | 180             | 127               |
| People's Merchant Finance PLC            | 270              | 4               | 1                 | 270              | 4               | 2                 |
| Selinsing PLC                            | 36               | 9               | 22                | 36               | 9               | 29                |
| SMB Leasing PLC                          | 3,610            | 3               | 1                 | 3,610            | 3               | 1                 |
| The Indo Malay PLC                       | 5                | 1               | 7                 | 5                | 1               | 6                 |
|                                          |                  | 286             | 1,050             |                  | 239             | 952               |
| <b>Energy</b>                            |                  |                 |                   |                  |                 |                   |
| Lanka IOC PLC                            | 800              | 22              | 25                | 800              | 22              | 15                |
|                                          |                  | 22              | 25                |                  | 22              | 15                |
| <b>Food &amp; Staples Retailing</b>      |                  |                 |                   |                  |                 |                   |
| CT Holdings PLC                          | 223              | 7               | 34                | 223              | 7               | 38                |
| Cargills (Ceylon) PLC                    | 343              | 9               | 63                | 343              | 9               | 81                |
| Ceylon & Foreign Traders PLC             | 10,000           | 5               | -                 | 10,000           | 5               | 32                |
| Tess Agro PLC                            | 2,053            | 2               | 3                 | 2,053            | 2               | 1                 |
|                                          |                  | 23              | 100               |                  | 23              | 152               |
| <b>Food Beverage &amp; Tobacco</b>       |                  |                 |                   |                  |                 |                   |
| Agalawatte Plantations PLC               | 100              | 1               | 3                 | 100              | 1               | 3                 |
| Bairaha Farms PLC                        | 100              | 1               | 15                | 100              | 1               | 14                |
| Balangoda Plantations PLC                | 310              | 5               | 6                 | 310              | 5               | 3                 |
| Bogawantalawa Tea Estate PLC             | 46               | -               | -                 | 46               | -               | 1                 |
| Browns Investments PLC                   | 6,000            | 19              | 45                | 6,000            | 19              | 33                |
| Bukit Darah PLC                          | 10               | 3               | 4                 | 10               | 3               | 3                 |
| Carson Cumberbatch PLC                   | 191              | 10              | 52                | 191              | 10              | 53                |
| Ceylon Grain Elevators PLC               | 10               | -               | 1                 | 10               | -               | 1                 |
| Ceylon Tobacco Company PLC               | 7                | -               | 4                 | 7                | -               | 7                 |
| Convenience Foods (Lanka) PLC            | 90               | 1               | 106               | 90               | 1               | 112               |
| Ceylon Beverage Holdings PLC             | 276              | 6               | 195               | 276              | 6               | 215               |
| Ceylon Cold Stores PLC                   | 640              | 1               | 25                | 64               | 1               | 40                |
| Dilmah Ceylon Tea Company PLC            | 80               | 3               | 80                | 80               | 3               | 51                |
| Distilleries Company of Sri Lanka PLC    | 118              | 1               | 2                 | 118              | 1               | 2                 |

| As at 31st March,                           | GROUP            |                 |                   |                  |                 |                   |
|---------------------------------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                                             | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                                             | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |
| <b>Food Beverage &amp; Tobacco Contd.</b>   |                  |                 |                   |                  |                 |                   |
| Hapugastenne Plantations PLC                | 300              | 5               | 6                 | 300              | 5               | 4                 |
| Hatton Plantation PLC                       | 12,000           | 52              | 100               | 12,000           | 52              | 105               |
| Horana Plantations PLC                      | 120              | 2               | 2                 | 120              | 2               | 2                 |
| Kahawatte Plantations PLC                   | 531              | 9               | 12                | 531              | 9               | 16                |
| Keells Food Products PLC                    | 219              | 11              | 36                | 219              | 11              | 36                |
| Kegalle Plantations PLC                     | 200              | 6               | 26                | 200              | 6               | 20                |
| Kelani Valley Plantations PLC               | 400              | 7               | 24                | 400              | 7               | 16                |
| Lanka Milk Foods (CWE) PLC                  | 133              | 3               | 18                | 133              | 3               | 20                |
| Madulsima Plantations PLC                   | 200              | 5               | 2                 | 200              | 5               | 2                 |
| Malwatte Valley Plantations PLC             | 2,000            | 2               | 40                | 2,000            | 2               | 26                |
| Maskeliya Plantations PLC                   | 2,300            | 42              | 22                | 2,300            | 42              | 25                |
| Melstacorp PLC                              | 400              | 1               | 16                | 400              | 1               | 18                |
| Namunukula Plantations PLC                  | 1,200            | 22              | 479               | 1,200            | 22              | 221               |
| Nestle Lanka PLC                            | 40               | 4               | 38                | 40               | 4               | 46                |
| Renuka Foods PLC                            | 20               | -               | -                 | 20               | -               | -                 |
| Tea Smallholder Factories PLC               | 142              | 3               | 4                 | 142              | 3               | 6                 |
| Talawakelle Tea Estates PLC                 | 1,400            | 15              | 60                | 1,400            | 15              | 53                |
| Three Acre Farms PLC                        | 19               | -               | 4                 | 19               | -               | 4                 |
| Udapussellawa Plantations PLC               | 200              | 4               | 6                 | 200              | 4               | 4                 |
| Watawala Plantations PLC                    | 10,284           | 45              | 959               | 10,284           | 45              | 588               |
|                                             |                  | 289             | 2,392             |                  | 289             | 1,750             |
| <b>Health Care Equipment &amp; Services</b> |                  |                 |                   |                  |                 |                   |
| Asiri Hospital Holdings PLC                 | 2,660            | 6               | 100               | 2,660            | 6               | 68                |
| Asiri Surgical Hospital PLC                 | 1,499            | 4               | 22                | 1,499            | 4               | 21                |
| Durdans Hospitals PLC-Non-Voting            | 130              | 2               | 11                | 130              | 2               | 12                |
| Durdans Hospitals PLC - Voting              | 130              | 8               | 14                | 130              | 3               | 13                |
| E - Channelling PLC                         | 1,162            | 2               | 9                 | 1,162            | 2               | 6                 |
| Nawaloka Hospitals PLC                      | 26,666           | 20              | 173               | 26,666           | 20              | 131               |
| PC House PLC                                | -                | -               | -                 | 1,000            | 11              | -                 |
| Singhe Hospital PLC                         | 1,000            | 3               | 2                 | 1,000            | 3               | 2                 |
| The Lanka Hospital Corporation PLC          | 100              | 2               | 5                 | 100              | 2               | 4                 |
|                                             |                  | 47              | 336               |                  | 53              | 257               |
| <b>Insurance</b>                            |                  |                 |                   |                  |                 |                   |
| Amana Takaful PLC                           | 402              | 9               | 4                 | 402              | 9               | 3                 |
| Ceylinco Insurance PLC                      | 22               | -               | 51                | 22               | -               | 46                |
| HNB Assurance PLC                           | 600              | 3               | 26                | 600              | 3               | 36                |
| Janashakthi Insurance Company PLC           | 1,800            | 56              | 41                | 1,800            | 56              | 54                |
| Softlogic Life Insurance PLC                | 1,000            | 1               | 43                | 1,000            | 1               | 31                |
|                                             |                  | 69              | 165               |                  | 69              | 170               |

## Notes to the Financial Statements contd.

| As at 31st March,                               | GROUP            |                 |                   |                  |                 |                   |
|-------------------------------------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                                                 | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                                                 | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |
| <b>Materials</b>                                |                  |                 |                   |                  |                 |                   |
| ACL Plastics PLC                                | 100              | 3               | 36                | 100              | 3               | 25                |
| ACME Printing and Packaging PLC                 | -                | -               | -                 | 10,300           | 256             | 67                |
| Bogala Graphite Lanka PLC                       | 200              | 1               | 9                 | 200              | 1               | 5                 |
| Chemanex PLC                                    | 177              | 2               | 13                | 177              | 2               | 14                |
| Chevron Lubrications Lanka PLC                  | 12,400           | 180             | 1,080             | 12,400           | 180             | 1,116             |
| CIC Holdings PLC                                | 16,956           | 29              | 645               | 4,320            | 29              | 1,176             |
| Dipped Products PLC                             | 860              | 2               | 28                | 860              | 2               | 40                |
| Haycarb PLC                                     | 270              | 1               | 14                | 270              | 1               | 25                |
| Industrial Asphalts (Ceylon) PLC                | 45,000           | 1               | 18                | 45,000           | 1               | 18                |
| J.L. Morison Sons & Jones Ceylon PLC-Non-Voting | -                | -               | -                 | 60               | 17              | -                 |
| J.L. Morison Sons & Jones Ceylon PLC-Voting     | -                | -               | -                 | 200              | 4               | -                 |
| Lanka Aluminium Industries PLC                  | 50               | -               | 1                 | 50               | -               | 1                 |
| Lanka Cement PLC                                | 100              | -               | -                 | 100              | -               | -                 |
| Piramal Glass Ceylon PLC                        | 3,428            | 6               | 39                | 3,428            | 6               | 38                |
| Richard Peiris Exports PLC                      | 92               | 3               | 56                | 92               | 3               | 34                |
| Samson International PLC                        | 50               | 1               | 9                 | 50               | 1               | 7                 |
| Swisstek (Ceylon) PLC                           | 500              | -               | 11                | 500              | -               | 54                |
| Tokyo Cement Company (Lanka) PLC-Voting         | 19,740           | 30,000          | 669               | 772,052          | 30,000          | 51,496            |
|                                                 |                  | 30,229          | 2,628             |                  | 30,506          | 54,116            |
| <b>Real Estate</b>                              |                  |                 |                   |                  |                 |                   |
| C.T. Land Development PLC                       | 167              | 1               | 4                 | 167              | 1               | 5                 |
| City Housing & Real Estate Co. PLC              | -                | -               | -                 | 180              | 1               | 1                 |
| Colombo Land & Development Company PLC          | 1,400            | 2               | 35                | 1,400            | 2               | 34                |
| Commercial Development PLC                      | 600              | 6               | 61                | 600              | 6               | 64                |
| East West Properties PLC                        | 1,200            | 6               | 9                 | 1,200            | 6               | 12                |
| Equity Two PLC                                  | 100              | 1               | 4                 | 100              | 1               | 5                 |
| On'ally Holdings PLC                            | 155              | -               | 4                 | 155              | -               | 4                 |
| Overseas Realty (Ceylon) PLC                    | 300              | 2               | 5                 | 300              | 2               | 5                 |
| Serendib Land PLC                               | 33               | 7               | 40                | 30               | 2               | 81                |
| Seylan Developments PLC                         | 204              | 1               | 3                 | 204              | 1               | 3                 |
| Standard Capital PLC                            | 400              | 17              | 24                | 400              | 17              | 24                |
|                                                 |                  | 43              | 189               |                  | 39              | 238               |
| <b>Retailing</b>                                |                  |                 |                   |                  |                 |                   |
| Diesel & Motors Engineering PLC                 | 6                | -               | 3                 | 6                | -               | 3                 |
| Hunters & Company PLC                           | 24               | 1               | 12                | 24               | 1               | 14                |
| John Keells PLC                                 | 336              | 2               | 23                | 336              | 2               | 24                |
| Odel PLC                                        | 100              | 2               | 2                 | 100              | 2               | 2                 |
| Singer Sri Lanka PLC                            | 270              | 3               | 4                 | 270              | 3               | 5                 |
| RIL Properties PLC                              | 6,666            | 53              | 47                | 6,666            | 53              | 44                |
| Sathosa Motors PLC                              | 66               | 2               | 12                | 66               | 2               | 15                |
| The Autodrome PLC                               | 100              | 2               | 12                | 100              | 2               | 7                 |
|                                                 |                  | 65              | 115               |                  | 65              | 114               |

| As at 31st March,                 | GROUP            |                 |                   |                  |                 |                   |
|-----------------------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                                   | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                                   | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |
| <b>Telecommunication Services</b> |                  |                 |                   |                  |                 |                   |
| Dialog Axiata PLC                 | 100              | 2               | 1                 | 100              | 2               | 1                 |
| Sri Lanka Telecom PLC             | 200              | 3               | 7                 | 200              | 3               | 7                 |
|                                   |                  | 5               | 8                 |                  | 5               | 8                 |
| <b>Utilities</b>                  |                  |                 |                   |                  |                 |                   |
| Panasian Power PLC                | 1,000            | 3               | 4                 | 1,000            | 3               | 4                 |
| Resus Energy PLC                  | 1,353            | 21              | 26                | 1,353            | 21              | 33                |
| Vallibel Power Erathna PLC        | 3,000            | 8               | 22                | 3,000            | 8               | 22                |
| Vidullanka PLC                    | 2,042            | 2               | 14                | 2,042            | 2               | 11                |
|                                   |                  | 34              | 66                |                  | 34              | 70                |
| <b>Total Quoted Investments</b>   |                  | <b>55,746</b>   | <b>99,202</b>     |                  | <b>55,582</b>   | <b>152,242</b>    |

| As at 31st March,                                     | GROUP            |                 |                   |                  |                 |                   |
|-------------------------------------------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                                                       | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                                                       | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |
| <b>17.1.2 Unquoted Investments</b>                    |                  |                 |                   |                  |                 |                   |
| Asia Pacific Golf Courses Limited                     | 2,500            | 250             | 250               | 2,500            | 250             | 250               |
| Ceylon Biscuits Limited                               | 5,041,680        | 30              | 329,423           | 5,041,680        | 30              | 329,423           |
| Dacreel Ceylon Limited                                | 1                | -               | -                 | 1                | -               | -                 |
| Dutch Dairy International Limited                     | 125,000          | 5,400           | 5,400             | 125,000          | 5,400           | 5,400             |
| Far Eastern Exports Limited                           | 10,500           | 105             | 72                | 160,500          | 1,775           | 1,742             |
| Fortland Finance Limited                              | 31,500           | 318             | -                 | 31,500           | 318             | -                 |
| International Manufacturers Company Limited           | 3,300            | 23              | 23                | 3,300            | 23              | 23                |
| Srilanka Institue of Nanotechnology (Private) limited | 3,814,182        | 50,040          | -                 | 3,814,182        | 50,040          | 31                |
| York Conventions (Private) Limited                    | 1                | 10              | 10                | 1                | 10              | 10                |
| Ingrin Institute of Printing & Graphics               | -                | -               | 25                | -                | -               | -                 |
| <b>Total</b>                                          |                  | <b>56,176</b>   | <b>335,203</b>    |                  | <b>57,846</b>   | <b>336,879</b>    |

|                           |            |                |                |            |                |                |
|---------------------------|------------|----------------|----------------|------------|----------------|----------------|
| <b>17.1.3 Unit Trusts</b> |            |                |                |            |                |                |
| Ceybank Unit Trust        | 13,580,829 | 138,708        | 221,586        | 13,580,829 | 138,708        | 221,586        |
| Pyramid Unit Trust        | 87,321     | 2,447          | 3,980          | 87,321     | 2,447          | 3,917          |
| <b>Total</b>              |            | <b>141,155</b> | <b>225,566</b> |            | <b>141,155</b> | <b>225,503</b> |

\*Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

# Notes to the Financial Statements contd.

## 17.2 Company

| As at 31st March, | COMPANY          |         |                   |                  |         |                   |
|-------------------|------------------|---------|-------------------|------------------|---------|-------------------|
|                   | No. of<br>Shares | Cost    | Carrying<br>Value | No. of<br>Shares | Cost    | Carrying<br>Value |
|                   | 2022             | 2022    | 2022              | 2021             | 2021    | 2021              |
|                   |                  | Rs.'000 | Rs.'000           |                  | Rs.'000 | Rs.'000           |

### 17.2.1 Quoted Investments

#### Diversified Financials

|                                |        |            |           |        |            |            |
|--------------------------------|--------|------------|-----------|--------|------------|------------|
| People's Leasing & Finance PLC | 11,943 | 205        | 96        | 10,788 | 190        | 127        |
| The Finance Company PLC        | 100    | 8          | -         | 100    | 8          | -          |
| <b>Total</b>                   |        | <b>213</b> | <b>96</b> |        | <b>198</b> | <b>127</b> |

#### Food Beverage & Tobacco

|                              |       |           |            |       |           |            |
|------------------------------|-------|-----------|------------|-------|-----------|------------|
| Ceylon Beverage Holdings PLC | 226   | 1         | 160        | 226   | 1         | 176        |
| Namunukula Plantations PLC   | 1,000 | 15        | 399        | 1,000 | 15        | 185        |
| <b>Total</b>                 |       | <b>16</b> | <b>559</b> |       | <b>16</b> | <b>361</b> |

#### Capital Goods

|                          |         |            |              |        |            |              |
|--------------------------|---------|------------|--------------|--------|------------|--------------|
| Royal Ceramics Lanka PLC | 108,900 | 114        | 4,432        | 10,890 | 114        | 2,799        |
| <b>Total</b>             |         | <b>114</b> | <b>4,432</b> |        | <b>114</b> | <b>2,799</b> |
| <b>Total</b>             |         | <b>343</b> | <b>5,087</b> |        | <b>328</b> | <b>3,287</b> |

The Company and the Group have valued their Equity Securities at the price on the last day of trading for the year ended 31st March, 2022.

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

## 17.3 Other Financial Assets-Current

| As at 31st March,                                      |        | GROUP          |                | COMPANY        |                |
|--------------------------------------------------------|--------|----------------|----------------|----------------|----------------|
|                                                        |        | Carrying Value | Carrying Value | Carrying Value | Carrying Value |
|                                                        |        | 2022           | 2021           | 2022           | 2021           |
| Financial assets classified as FVTPL                   | Notes  | Rs.'000        | Rs.'000        | Notes          | Rs.'000        |
| Quoted Investments - Financial Assets at FVTPL         | 17.3.1 | 908,487        | 810,023        | 17.3.3         | 2,245          |
| Unit Trusts - Financial Assets at FVTPL                | 17.3.2 | 10,191         | 9,121          | -              | -              |
|                                                        |        | 918,678        | 819,144        | 2,245          | 2,992          |
| Less : Provision for Impairment in Value of Investment |        | -              | -              | -              | -              |
|                                                        |        | 918,678        | 819,144        | 2,245          | 2,992          |

The movement of the financial assets at fair value through profit or loss is as follows;

| As at 31st March,                | GROUP           |                 |
|----------------------------------|-----------------|-----------------|
|                                  | Carrying Value  | Carrying Value  |
|                                  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Investment in Unit Trust         | 9,121           | 5,868           |
| Equity Investments               | 810,023         | 445,008         |
|                                  | 819,144         | 450,876         |
| <b>Additions</b>                 |                 |                 |
| Investment in Unit Trust         | 1,045           | 501             |
| Equity Investments               | 41,971          | 13,347          |
|                                  | 43,016          | 13,848          |
| <b>Disposals</b>                 |                 |                 |
| Equity Investments               | (5,218)         | (18,503)        |
|                                  | (5,218)         | (18,503)        |
| <b>Market Fair value changes</b> |                 |                 |
| Investment in Unit Trust         | 25              | 2,752           |
| Equity Investments               | 61,711          | 370,171         |
|                                  | 61,736          | 372,923         |
| <b>At the end of the year</b>    |                 |                 |
| Investment in Unit Trust         | 10,191          | 9,121           |
| Equity Investments               | 908,487         | 810,023         |
|                                  | 918,678         | 819,144         |

### 17.3 Group

| As at 31st March,                             | GROUP            |                 |                   |                  |                 |                   |
|-----------------------------------------------|------------------|-----------------|-------------------|------------------|-----------------|-------------------|
|                                               | No. of<br>Shares | Cost            | Carrying<br>Value | No. of<br>Shares | Cost            | Carrying<br>Value |
|                                               | 2022             | 2022<br>Rs.'000 | 2022<br>Rs.'000   | 2021             | 2021<br>Rs.'000 | 2021<br>Rs.'000   |
| <b>17.3.1 Quoted Investments</b>              |                  |                 |                   |                  |                 |                   |
| <b>Automobiles &amp; Components</b>           |                  |                 |                   |                  |                 |                   |
| Kelani Tyres PLC                              | 160              | 1               | 9                 | 160              | 1               | 12                |
|                                               |                  | 1               | 9                 |                  | 1               | 12                |
| <b>Banks</b>                                  |                  |                 |                   |                  |                 |                   |
| Commercial Bank of Ceylon PLC-Non-Voting      | 130,000          | 5,081           | 7,917             | 116,955          | 4,325           | 9,193             |
| Commercial Bank of Ceylon PLC-Voting          | 1,183,378        | 44,900          | 74,198            | 1,082,922        | 40,189          | 92,589            |
| Hatton National Bank PLC- Non-Voting          | 60,554           | 2,502           | 6,358             | 58,601           | 2,497           | 5,696             |
| Hatton National Bank PLC-Voting               | 343,023          | 18,254          | 37,475            | 313,070          | 15,135          | 39,447            |
| Development Finance Corporation of Ceylon PLC | 117,159          | 7,812           | 5,624             | 111,482          | 7,498           | 6,644             |
| National Development Bank PLC                 | 33,726           | 1,807           | 1,879             | 23,116           | 1,034           | 1,868             |
| Nations Trust Bank PLC                        | 169,276          | 4,702           | 7,766             | 162,082          | 4,299           | 8,963             |
| Pan Asia Banking Corporation PLC              | 209,000          | 2,107           | 2,257             | 467,100          | 4,703           | 6,539             |
| Sampath Bank PLC                              | 409,260          | 14,097          | 18,744            | 364,260          | 11,698          | 19,597            |
| Seylan Bank PLC-Non-Voting                    | 417,885          | 8,164           | 10,642            | 412,380          | 8,141           | 18,044            |
| Union Bank of Colombo PLC                     | 55,000           | 3               | 413               | 100              | 3               | 1                 |
|                                               |                  | 109,429         | 173,273           |                  | 99,522          | 208,581           |

## Notes to the Financial Statements contd.

| As at 31st March,                    | GROUP            |         |                   |                  |         |                   |
|--------------------------------------|------------------|---------|-------------------|------------------|---------|-------------------|
|                                      | No. of<br>Shares | Cost    | Carrying<br>Value | No. of<br>Shares | Cost    | Carrying<br>Value |
|                                      | 2022             | 2022    | 2022              | 2021             | 2021    | 2021              |
|                                      |                  | Rs.'000 | Rs.'000           |                  | Rs.'000 | Rs.'000           |
| <b>Capital Goods</b>                 |                  |         |                   |                  |         |                   |
| ACL Cables PLC                       | 144,000          | 1,485   | 8,208             | 144,000          | 1,485   | 5,170             |
| Browns & Company PLC                 | 28,900           | 2,745   | 3,858             | 28,900           | 2,745   | 4,487             |
| Colombo Dockyard PLC                 | 14,880           | 842     | 1,091             | 16,380           | 927     | 1,171             |
| Dunamis Capital PLC                  | -                | -       | -                 | -                | -       | -                 |
| Hayleys PLC                          | 1,000,160        | 2,373   | 76,912            | 1,000,160        | 2,373   | 60,810            |
| Hemas Holdings PLC                   | 21,653           | 432     | 1,000             | 21,653           | 432     | 1,806             |
| John Keells Holdings PLC             | 69,137           | 5,686   | 10,025            | 69,137           | 5,686   | 10,267            |
| Kelani Cables PLC                    | 400              | 7       | 116               | 400              | 7       | 45                |
| Lanka Tiles PLC                      | 125,000          | 630     | 7,463             | 25,000           | 630     | 4,644             |
| Lanka Walltiles PLC                  | 500,000          | 3,947   | 34,850            | 100,000          | 3,947   | 18,850            |
| Richard Peiris & Company PLC         | 4,740            | 11      | 63                | 4,740            | 11      | 80                |
| Sierra Cables PLC                    | 824,000          | 1,515   | 5,603             | 824,000          | 1,515   | 4,697             |
| Vallibel One PLC                     | 109,012          | 2,600   | 4,382             | 109,012          | 2,600   | 5,134             |
|                                      |                  | 22,272  | 153,572           |                  | 22,356  | 117,159           |
| <b>Consumer Durabi &amp; Apperal</b> |                  |         |                   |                  |         |                   |
| Dankotuwa Porcelain PLC              | 42,500           | 349     | 421               | 52,500           | 414     | 541               |
| Hayleys Fabric PLC                   | 17,180           | 194     | 500               | 17,180           | 194     | 242               |
| Hayleys Fibre PLC                    | 1,467            | 21      | 81                | 1,467            | 21      | 70                |
| Regnis (Lanka) PLC                   | 275,706          | 2,464   | 15,026            | 275,706          | 2,464   | 13,537            |
| Singer Industries (Ceylon) PLC       | 165,360          | 844     | 6,333             | 165,360          | 844     | 7,392             |
| Teejay Lanka PLC                     | 10,000           | 150     | 398               | 10,000           | 150     | 400               |
| Hela Apperal PLC                     | 6,000            | 90      | 77                |                  |         |                   |
|                                      |                  | 4,112   | 22,836            |                  | 4,088   | 22,182            |
| <b>Consumer Services</b>             |                  |         |                   |                  |         |                   |
| Aitken Spence Hotel Holdings PLC     | 100,625          | 1,856   | 3,572             | 100,625          | 1,856   | 3,039             |
| Amaya Leisure PLC                    | 134,886          | 2,335   | 2,185             | 134,886          | 2,335   | 2,401             |
| Asian Hotels & Properties PLC        | 72,000           | 989     | 2,664             | 72,000           | 989     | 2,693             |
| Ceylon Hotels Corporation PLC        | 10,478           | 254     | 95                | 10,478           | 254     | 111               |
| Dolphin Hotels PLC                   | 20,000           | 275     | 602               | 20,000           | 275     | 490               |
| Eden Hotel Lanka PLC                 | 350,000          | 7,006   | 4,585             | 350,000          | 7,006   | 3,640             |
| Galadari Hotels PLC                  | 7,000            | 60      | 102               | 7,000            | 60      | 54                |
| Hikkaduwa Beach Resort PLC           | 33,742           | 675     | 192               | 33,742           | 675     | 179               |
| John Keells Hotels PLC               | 530,416          | 8,907   | 6,206             | 530,416          | 8,907   | 5,039             |
| Palm Garden Hotels PLC               | 15,164           | 711     | 623               | 15,164           | 711     | 390               |
| Pegasus Hotels of Ceylon PLC         | 22,666           | 499     | 771               | 22,666           | 499     | 662               |
| Renuka City Hotel PLC                | 12,740           | 897     | 3,746             | 12,740           | 897     | 2,882             |
| Royal Palms Beach Hotels PLC         | 15,700           | 629     | 256               | 15,700           | 629     | 225               |
| Serendib Hotels PLC-Non-Voting       | 31,250           | 296     | 294               | 31,250           | 296     | 278               |
| Tal Lanka Hotels PLC                 | 19,500           | 182     | 257               | 19,500           | 182     | 240               |
| Tangerine Beach Hotels PLC           | 11,400           | 348     | 503               | 11,400           | 348     | 461               |
| The Fortress Resorts PLC             | 50               | 1       | 1                 | 50               | 1       | 1                 |
| The Lighthouse Hotel PLC             | 114,800          | 1,948   | 3,157             | 114,800          | 1,948   | 3,249             |
|                                      |                  | 27,868  | 29,810            |                  | 27,868  | 26,032            |
| <b>Diversified Financials</b>        |                  |         |                   |                  |         |                   |
| Alliance Finance Company PLC         | 80,000           | 353     | 5,632             | 80,000           | 353     | 3,960             |

| As at 31st March,                        | GROUP            |         |                   |                  |         |                   |
|------------------------------------------|------------------|---------|-------------------|------------------|---------|-------------------|
|                                          | No. of<br>Shares | Cost    | Carrying<br>Value | No. of<br>Shares | Cost    | Carrying<br>Value |
|                                          | 2022             | 2022    | 2022              | 2021             | 2021    | 2021              |
|                                          |                  | Rs.'000 | Rs.'000           |                  | Rs.'000 | Rs.'000           |
| Central Finance PLC                      | 40,318           | 821     | 2,746             | 39,728           | 821     | 3,206             |
| Ceylon Guardian Investments PLC          | 152,189          | 1,574   | 11,947            | 151,420          | 1,518   | 18,170            |
| Ceylon Investment PLC                    | 607,159          | 2,944   | 22,526            | 607,159          | 3,308   | 38,676            |
| Guardian Capital Partners PLC            | 113,000          | 8,253   | 2,769             | 113,000          | 8,253   | 3,221             |
| Lanka ORIX Finance PLC                   | 99,250           | 620     | 1,409             | 99,250           | 620     | 556               |
| Lanka ORIX Leasing Company PLC           | 399,000          | 3,283   | 238,403           | 399,000          | 3,283   | 116,508           |
| Lanka Ventures PLC                       | 339,700          | 11,405  | 15,287            | 339,700          | 11,405  | 16,509            |
| Merchant Bank of Sri Lanka & Finance PLC | 124,879          | 8,170   | 637               | 124,879          | 8,170   | 874               |
| Nation Lanka Finance PLC                 | -                | -       | -                 | 11,250           | 68      | 8                 |
| People's Merchant Bank PLC               | 1,500            | 27      | 8                 | 1,500            | 27      | 11                |
|                                          |                  | 37,449  | 301,362           |                  | 37,824  | 201,699           |
| <b>Energy</b>                            |                  |         |                   |                  |         |                   |
| Lanka IOC PLC                            | 174,600          | 5,418   | 5,378             | 174,600          | 5,418   | 3,317             |
|                                          |                  | 5,418   | 5,378             |                  | 5,418   | 3,317             |
| <b>Food &amp; Staples Retailing</b>      |                  |         |                   |                  |         |                   |
| Cargills (Ceylon) PLC                    | 146,057          | 4,386   | 26,655            | 146,057          | 4,386   | 34,323            |
|                                          |                  | 4,386   | 26,655            |                  | 4,386   | 34,323            |
| <b>Food Beverage &amp; Tobacco</b>       |                  |         |                   |                  |         |                   |
| Browns Investments PLC                   | 706,000          | 1,933   | 5,295             | 706,000          | 1,933   | 3,883             |
| Bukit Darah PLC                          | 896              | 250     | 324               | 548              | 121     | 181               |
| Carson Cumberbatch PLC                   | 664              | 81      | 179               | 664              | 81      | 185               |
| Ceylon Cold Stores PLC                   | 93,200           | 178     | 3,625             | 9,320            | 178     | 5,795             |
| Ceylon Grain Elevators PLC               | 30,000           | 302     | 1,830             | 30,000           | 302     | 3,540             |
| Dilmah Ceylon Tea Company PLC            | 1,428            | 86      | 1,428             | 1,428            | 86      | 909               |
| Ceylon Tobacco Company PLC               | 3,500            | 140     | 2,017             | 3,500            | 140     | 3,429             |
| Hatton Plantations PLC                   | 432,000          | -       | 3,626             | 432,000          | -       | 3,758             |
| Keells Food Products PLC                 | 3,570            | 174     | 594               | 3,570            | 174     | 580               |
| Lanka Milk Foods (CWE) PLC               | 133              | 4       | 18                | 133              | 4       | 20                |
| Melstacorp PLC                           | 10,000           | 652     | 411               | 10,000           | 652     | 440               |
| Nestle Lanka PLC                         | 4,700            | 404     | 4,412             | 4,700            | 404     | 5,389             |
| Renuka Agri Foods PLC                    | 31,560           | 106     | 114               | 91,560           | 307     | 320               |
| Renuka Foods PLC -Voting                 | 25,000           | 317     | 335               | 132,743          | 4,295   | 1,686             |
| Renuka Foods PLC -Non Voting             | -                | -       | -                 | 1,914            | 24      | 20                |
| Sunshine Holdings PLC                    | 2,136            | 24      | 78                | 2,136            | 24      | 57                |
| Three Acre Farms PLC                     | 25,000           | 216     | 4,713             | 25,000           | 216     | 4,988             |
| Watawala Plantations PLC                 | 364,201          | 495     | 33,980            | 364,201          | 495     | 20,796            |
|                                          |                  | 5,361   | 62,978            |                  | 9,435   | 55,975            |

## Notes to the Financial Statements contd.

| As at 31st March,                           | GROUP            |         |                   |                  |         |                   |
|---------------------------------------------|------------------|---------|-------------------|------------------|---------|-------------------|
|                                             | No. of<br>Shares | Cost    | Carrying<br>Value | No. of<br>Shares | Cost    | Carrying<br>Value |
|                                             | 2022             | 2022    | 2022              | 2021             | 2021    | 2021              |
|                                             |                  | Rs.'000 | Rs.'000           |                  | Rs.'000 | Rs.'000           |
| <b>Health Care Equipment &amp; Services</b> |                  |         |                   |                  |         |                   |
| Asiri Hospital Holdings PLC                 | 353,000          | 895     | 13,238            | 353,000          | 895     | 9,002             |
| Asiri Surgical Hospital PLC                 | 112,500          | 277     | 1,688             | 112,500          | 277     | 1,553             |
| Ceylon Hospitals PLC (Durdans)-Voting       | 13,330           | 300     | 1,096             | 13,330           | 300     | 1,188             |
| The Lanka Hospital Corporation PLC          | 33,000           | 489     | 1,657             | 33,000           | 489     | 1,436             |
|                                             |                  | 1,961   | 17,677            |                  | 1,961   | 13,177            |
| <b>Insurance</b>                            |                  |         |                   |                  |         |                   |
| Amana Takaful PLC                           | 75,000           | 753     | 750               | 75,000           | 753     | 525               |
| HNB Assurance PLC                           | 300,000          | 1,308   | 12,990            | 300,000          | 1,308   | 17,790            |
| Softlogic Life Insurance PLC                | 100,000          | 284     | 4,340             | 100,000          | 284     | 3,050             |
|                                             |                  | 2,346   | 18,080            |                  | 2,346   | 21,365            |
| <b>Materials</b>                            |                  |         |                   |                  |         |                   |
| Bogala Graphite Lanka PLC                   | 11,200           | 37      | 505               | 11,200           | 37      | 267               |
| Chemane PLC                                 | 17,700           | 1,558   | 1,324             | 17,700           | 1,558   | 1,361             |
| Chevron Lubrications Lanka PLC              | 47,460           | 3,482   | 4,134             | 20,000           | 387     | 1,800             |
| Dipped Products PLC                         | 350,240          | 1,562   | 11,383            | 350,240          | 1,562   | 16,251            |
| Haycarb PLC                                 | 3,450            | 10      | 173               | 3,450            | 10      | 321               |
| Lanka Cement PLC                            | 5,000            | 39      | 13                | 5,000            | 39      | 13                |
| Richard Peiris Exports PLC                  | 39,600           | 692     | 24,116            | 40,600           | 1,066   | 15,184            |
| Tokyo Cement Company (Lanka) PLC-Voting     | 141,153          | 19,807  | 4,785             | 235,478          | 20,472  | 15,706            |
| Tokyo Cement Company (Lanka) PLC-Non-Voting | 455,500          | 3,379   | 11,980            | 455,500          | 4,099   | 27,603            |
| Union Chemicals Lanka PLC                   | 100              | 1       | 78                | 100              | 1       | 72                |
|                                             |                  | 30,568  | 58,490            |                  | 29,232  | 78,578            |
| <b>Real Estate</b>                          |                  |         |                   |                  |         |                   |
| C.T. Land Development PLC                   | 3,333            | 14      | 86                | 3,333            | 14      | 90                |
| Colombo Land & Development Company PLC      | 522,460          | 4,783   | 13,009            | 522,460          | 4,783   | 12,539            |
| East West Properties PLC                    | 48,000           | 338     | 350               | 48,000           | 338     | 475               |
| Equity Two PLC                              | 25,200           | 217     | 958               | 25,200           | 217     | 1,366             |
| Property Development PLC                    | 8,000            | 133     | 1,060             | 8,000            | 133     | 934               |
| Touchwood Investments PLC                   | -                | -       | -                 | 600,000          | 10,602  | -                 |
|                                             |                  | 5,484   | 15,463            |                  | 16,086  | 15,404            |
| <b>Retailing</b>                            |                  |         |                   |                  |         |                   |
| John Keells PLC                             | 20,000           | 383     | 1,370             | 20,000           | 383     | 1,400             |
| Singer Sri Lanka PLC                        | 6,000            | 3       | 84                | 6,000            | 3       | 104               |
| United Motors Lanka PLC                     | 34,881           | 334     | 1,922             | 34,881           | 334     | 2,013             |
| Odel PLC                                    | 1,500            | 23      | 29                | 1,500            | 23      | 28                |
|                                             |                  | 742     | 3,405             |                  | 742     | 3,545             |
| <b>Telecommunications Services</b>          |                  |         |                   |                  |         |                   |
| Dialog Axiata PLC                           | 15,000           | 224     | 150               | 15,000           | 224     | 195               |
|                                             |                  | 224     | 150               |                  | 224     | 195               |
| <b>Transportation</b>                       |                  |         |                   |                  |         |                   |
| Expolanka Holdings PLC                      | 55,000           | 13,310  | 11,426            | 20,000           | 1,135   | 894               |
|                                             |                  | 13,310  | 11,426            |                  | 1,135   | 894               |

| As at 31st March,                      | GROUP   |         |          |         |         |          |
|----------------------------------------|---------|---------|----------|---------|---------|----------|
|                                        | No. of  | Cost    | Carrying | No. of  | Cost    | Carrying |
|                                        | Shares  | 2022    | Value    | Shares  | 2021    | Value    |
|                                        | 2022    | Rs.'000 | 2022     | 2021    | Rs.'000 | 2021     |
| <b>Utilities</b>                       |         |         |          |         |         |          |
| Panasian Power PLC                     | 29,200  | 88      | 108      | 29,200  | 88      | 105      |
| Resus Energy PLC                       | 148,887 | 2,813   | 2,903    | 148,887 | 2,991   | 3,603    |
| Vallibel Power Erathna PLC             | 39,017  | 86      | 281      | 39,017  | 86      | 289      |
| Vidullanka PLC                         | 652,053 | 1,030   | 4,630    | 652,053 | 1,030   | 3,586    |
|                                        |         | 4,016   | 7,922    |         | 4,194   | 7,583    |
| <b>Total Financial Assets at FVTPL</b> |         | 274,948 | 908,487  |         | 266,820 | 810,023  |

| As at 31st March, | GROUP  |         |          |        |         |          |
|-------------------|--------|---------|----------|--------|---------|----------|
|                   | No. of | Cost    | Carrying | No. of | Cost    | Carrying |
|                   | Shares | 2022    | Value    | Shares | 2021    | Value    |
|                   | 2022   | Rs.'000 | 2022     | 2021   | Rs.'000 | 2021     |

#### 17.3.2 Unit Trusts

|                                 |         |       |        |         |       |       |
|---------------------------------|---------|-------|--------|---------|-------|-------|
| Bartleet Transcapital (Pvt) Ltd | 10,000  | 200   | 200    | 10,000  | 200   | 200   |
| Ceybank Unit Trust              | 318,639 | 5,037 | 7,300  | 318,639 | 5,037 | 7,326 |
| National Equity Fund            | 12,000  | 120   | 420    | 12,000  | 120   | 385   |
| NDB Wealth Growth & Income Fund | 15,826  | 291   | 725    | 15,826  | 291   | 710   |
| NDB Wealth Money Plus Fund      | 21,044  | 1,500 | 1,545  | 21,044  | 500   | 501   |
| <b>Total Unit Trusts</b>        |         | 7,148 | 10,191 |         | 6,148 | 9,121 |

| As at 31st March, | Company |         |          |        |         |          |
|-------------------|---------|---------|----------|--------|---------|----------|
|                   | No. of  | Cost    | Carrying | No. of | Cost    | Carrying |
|                   | Shares  | 2022    | Value    | Shares | 2021    | Value    |
|                   | 2022    | Rs.'000 | 2022     | 2021   | Rs.'000 | 2021     |

#### 17.3.3 Quoted Investments

##### Banks

|                                      |        |       |       |        |       |       |
|--------------------------------------|--------|-------|-------|--------|-------|-------|
| Commercial Bank of Ceylon PLC-Voting | 35,798 | 2,790 | 2,245 | 35,000 | 2,720 | 2,992 |
| <b>Total</b>                         |        | 2,790 | 2,245 |        | 2,720 | 2,992 |

#### 17.4 Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly.

## Notes to the Financial Statements contd.

Level 3: Valuation techniques using significant unobservable inputs either directly - i.e as prices or indirectly - i.e Derived from prices. This category includes all instruments where the valuation techniques includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments where significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

| As at 31st March                                 | Level 1 |         | Level 2 |         | Level 3 |         |
|--------------------------------------------------|---------|---------|---------|---------|---------|---------|
|                                                  | 2022    | 2021    | 2022    | 2021    | 2022    | 2021    |
|                                                  | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 |
| Quoted Investments - Financial Assets at FVOCI   | 99,202  | 152,242 | -       | -       | -       | -       |
| Quoted Investments - Financial Assets at FVTPL   | 908,487 | 810,023 | -       | -       | -       | -       |
| Unquoted Investments - Financial Assets at FVOCI | -       | -       | -       | -       | 335,203 | 336,879 |
| Unit Trusts - Financial Assets at FVOCI          | 225,566 | 225,504 | -       | -       | -       | -       |
| Unit Trusts - Financial Assets at FVTPL          | 10,191  | 9,121   | -       | -       | -       | -       |

| Level   | Type              | Valuation technique                                                                                                                                                                                                                                                                              | Significant unobservable inputs             | Inter-relation between significant unobservable inputs and fair value measurements                                                                                                                                    |
|---------|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Level 3 | Equity securities | Market comparison technique: The valuation model is based on market multiples derived from quoted prices of companies comparable to the investee and the expected revenue and EBITDA of the investee. The estimate is adjusted for the effect of the non-marketability of the equity securities. | Forecast EBITDA margin 15-20% (2021:15-20%) | The estimated fair value would increase (decrease), if the EBITDA margin was higher (lower). Generally, a change in the annual revenue growth rate is accompanied by a directionally similar change in EBITDA margin. |

### 17.5 Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

| As at 31st March                               | Level 1 |         | Level 2 |         | Level 3 |         |
|------------------------------------------------|---------|---------|---------|---------|---------|---------|
|                                                | 2022    | 2021    | 2022    | 2021    | 2022    | 2021    |
|                                                | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 |
| Quoted Investments - Financial Assets at FVOCI | 5,087   | 3,287   | -       | -       | -       | -       |
| Quoted Investments - Financial Assets at FVTPL | 2,245   | 2,992   | -       | -       | -       | -       |

### 18 DEFERRED TAX ASSETS

| As at 31st March,                                    | GROUP          |                | COMPANY  |          |
|------------------------------------------------------|----------------|----------------|----------|----------|
|                                                      | 2022           | 2021           | 2022     | 2021     |
|                                                      | Rs.'000        | Rs.'000        | Rs.'000  | Rs.'000  |
| Balance at the beginning of the Year                 | 690,732        | 785,553        | -        | -        |
| Prior Year Adjustment                                | 7,448          | -              | -        | -        |
| Origination of Temporary Differences                 | 698,180        | 785,553        | -        | -        |
| Recognised in Profit/Loss                            | (87,712)       | (154,535)      | -        | -        |
| Recognised in Other Comprehensive Income             | (52,914)       | 14,694         | -        | -        |
| Transfer to/ From Deferred Tax Liabilities (Note 27) | -              | 45,022         | -        | -        |
| <b>Balance at the end of the Year</b>                | <b>557,554</b> | <b>690,732</b> | <b>-</b> | <b>-</b> |

| As at 31st March,                            | GROUP          |                | COMPANY  |          |
|----------------------------------------------|----------------|----------------|----------|----------|
|                                              | 2022           | 2021           | 2022     | 2021     |
|                                              | Rs.'000        | Rs.'000        | Rs.'000  | Rs.'000  |
| <b>18.1 Deferred Tax Composition - Group</b> |                |                |          |          |
| Property Plant and Equipment                 | (304,360)      | (446,383)      | -        | -        |
| Lease Liability                              | 9,062          | 10,735         | -        | -        |
| Right of use Assets                          | (102,257)      | (12,290)       | -        | -        |
| Defined Benefit Obligations                  | 149,480        | 103,440        | -        | -        |
| Impairment of Debtors                        | 159,594        | 170,106        | -        | -        |
| Impairment of Inventory                      | 8,003          | 2,921          | -        | -        |
| Tax loss carried forward                     | 638,032        | 862,203        | -        | -        |
| <b>Deferred Tax Assets</b>                   | <b>557,554</b> | <b>690,732</b> | <b>-</b> | <b>-</b> |

## 19 INVENTORIES

| As at 31st March,                            | GROUP            |                  | COMPANY  |          |
|----------------------------------------------|------------------|------------------|----------|----------|
|                                              | 2022             | 2021             | 2022     | 2021     |
|                                              | Rs.'000          | Rs.'000          | Rs.'000  | Rs.'000  |
| Raw Materials                                | 3,279,517        | 2,701,741        | -        | -        |
| Growing Crop-Nurseries                       | 12,646           | 18,075           | -        | -        |
| Consumable Stock                             | 21,004           | 16,647           | -        | -        |
| Work- in -Progress                           | 251,715          | 190,029          | -        | -        |
| Finished Goods                               | 4,861,727        | 4,681,236        | -        | -        |
| Motor Vehicles                               | -                | 1,394            | -        | -        |
| Right to recover finish goods                | 287,346          | 315,886          | -        | -        |
| Goods-in-Transit                             | 910,415          | 334,865          | -        | -        |
|                                              | 9,624,370        | 8,259,873        | -        | -        |
| Less: Net provision for Obsolete Inventories | (478,363)        | (340,652)        | -        | -        |
|                                              | <b>9,146,007</b> | <b>7,919,221</b> | <b>-</b> | <b>-</b> |

## 20 TRADE AND OTHER RECEIVABLES

| As at 31st March,                         | GROUP            |                  | COMPANY       |               |
|-------------------------------------------|------------------|------------------|---------------|---------------|
|                                           | 2022             | 2021             | 2022          | 2021          |
|                                           | Rs.'000          | Rs.'000          | Rs.'000       | Rs.'000       |
| Trade Debtors                             | 8,213,255        | 7,274,055        | 23,975        | 15,926        |
| Less: Impairment Loss on Trade Receivable | (748,765)        | (718,049)        | -             | -             |
|                                           | <b>7,464,490</b> | <b>6,556,006</b> | <b>23,975</b> | <b>15,926</b> |
| Other Receivables                         | 1,162,841        | 860,597          | 10,524        | 15,781        |
| Deposits & Prepayments                    | 583,062          | 445,772          | 2,029         | 1,853         |
| Staff Loan                                | 129,080          | 140,893          | -             | -             |
| Other Tax Recoverable (Note -20.1)        | 194,670          | 281,286          | -             | -             |
|                                           | <b>2,069,653</b> | <b>1,728,548</b> | <b>12,553</b> | <b>17,634</b> |
|                                           | <b>9,534,143</b> | <b>8,284,554</b> | <b>36,528</b> | <b>33,560</b> |

\* The amount written off during the financial year amounts to Rs. 58.7 Million.

## Notes to the Financial Statements contd.

| As at 31st March,                 | GROUP           |                 | COMPANY         |                 |
|-----------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>20.1 Other Tax Recoverable</b> |                 |                 |                 |                 |
| WHT Recoverable                   | 775             | 16,123          | -               | -               |
| NBT Recoverable                   | 9,837           | 8,919           | -               | -               |
| VAT Recoverable                   | 164,822         | 160,937         | -               | -               |
| ESC Recoverable                   | 714             | 94,043          | -               | -               |
| Other Tax Recoverable             | 18,522          | 1,264           | -               | -               |
|                                   | 194,670         | 281,286         | -               | -               |

## 21 CASH AND CASH EQUIVALENTS

| As at 31st March,                                                     | GROUP           |                    | COMPANY         |                 |
|-----------------------------------------------------------------------|-----------------|--------------------|-----------------|-----------------|
|                                                                       | 2022<br>Rs.'000 | 2021<br>Rs.'000    | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Favourable Balance</b>                                             |                 |                    |                 |                 |
| Fixed Deposits                                                        | 601,907         | 277,492            | 25,338          | 159,459         |
| Other Cash & Cash Equivalents                                         |                 |                    | -               | -               |
| Cash at Bank                                                          | 2,296,259       | 1,269,345          | 8,545           | 18,577          |
| Cash in Hand                                                          | 26,287          | 17,433             | 12              | 8               |
|                                                                       | 2,924,453       | 1,564,270          | 33,895          | 178,044         |
| Bank Overdraft                                                        | (2,931,915)     | (3,302,009)        | -               | (134,583)       |
| <b>Cash &amp; Cash Equivalents as per the Statement of Cash Flows</b> | <b>(7,462)</b>  | <b>(1,737,739)</b> | <b>33,895</b>   | <b>43,461</b>   |

### 21.1 Security Details Over Bank Overdraft Facilities

#### 21.1.1 Company

The bank overdraft facility of the Company is secured over the fixed deposit of Rs.153million. The overdraft facility was cancelled during the year.

#### 21.1.2 Group

##### E.B.Creasy & Company PLC

Group's bank overdraft facilities are secured against mortgages over property, shares and stock and book debts.

##### Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 200 million) from Bank of Ceylon .
- Primary mortgage over leasehold rights to bare land and building of Torrington Estate , Stock in trade ,Movable Assets , Book Debts and Corporate Guarantee from Lankem Development PLC (facility amount Rs160 million) from Indian Bank.
- Deposit of original title deeds and plan relating to Dambetenne Estate (facility amount Rs.20 million) from Commercial Bank of Ceylon PLC.

##### Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs.50 million) and Standard Chartered Bank (facility amount Rs.250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates. Primary mortgages over leasehold rights of the estate lands and buildings of Sorana Estates.
- Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedigalle and Eduragala Estates.

## 22 ASSETS HELD FOR SALE

| As at 31st March,                     | GROUP           |                 |
|---------------------------------------|-----------------|-----------------|
|                                       | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Leased land held-for-sale (Note 22.1) | 30,000          | 60,000          |
|                                       | 30,000          | 60,000          |

### 22.1 Lankem Ceylon PLC

Lankem Ceylon PLC, a subsidiary, has classified its lease rights at Nawam Mawatha and Kandathoduwawa, Puttalam as held for Sale since the Board of Directors has decided to proceed with selling the asset. Indicative values/proceeds of lands are Rs. 30 Million as at 31st March 2022.

## 23 STATED CAPITAL

| As at 31st March,                             | 2022                |                               | 2021                |                               |
|-----------------------------------------------|---------------------|-------------------------------|---------------------|-------------------------------|
|                                               | Number of<br>Shares | Value of<br>Shares<br>Rs.'000 | Number of<br>Shares | Value of<br>Shares<br>Rs.'000 |
| <b>Fully-Paid Ordinary Shares</b>             |                     |                               |                     |                               |
| At the beginning of the Year                  | 220,336,805         | 730,368                       | 220,336,805         | 730,368                       |
| Number Shares Issued due to Private Placement | 19,663,195          | 196,632                       | -                   | -                             |
| <b>At the end of the Year</b>                 | <b>240,000,000</b>  | <b>927,000</b>                | <b>220,336,805</b>  | <b>730,368</b>                |

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at meetings of the shareholders or one vote per share in the case of a poll.

The Colombo Fort Land & Building PLC (Company) allotted on 6th May 2021, 3,247,000 and 16,416,195 ordinary shares at Rs.10/- per share to Corporate Holdings (Pvt.) Ltd., and Financial Trust Ltd., respectively by way of a Private Placement which was approved by the shareholders of the Company at an Extraordinary General Meeting conducted virtually on 6th May 2021. The proceeds of this Issue was utilized for the settlement of debts due to Corporate Holdings (Pvt.) Ltd., and Financial Trust Ltd., amounting to Rs. 32,470,000/- and Rs.164,161,950/- respectively.

## 24 CAPITAL RESERVES

| GROUP                           | Property<br>Development<br>Reserve<br>Rs.'000 | Capital<br>Redemption<br>Reserve Fund<br>Rs.'000 | Total<br>Rs.'000 |
|---------------------------------|-----------------------------------------------|--------------------------------------------------|------------------|
|                                 |                                               |                                                  |                  |
| Balance as at 31.03.2021        | 15,190                                        | 4,868                                            | 20,058           |
| <b>Balance as at 31.03.2022</b> | <b>15,190</b>                                 | <b>4,868</b>                                     | <b>20,058</b>    |
| <b>COMPANY</b>                  |                                               |                                                  |                  |
| Balance as at 31.03.2021        | 10,000                                        | -                                                | 10,000           |
| <b>Balance as at 31.03.2022</b> | <b>10,000</b>                                 | <b>-</b>                                         | <b>10,000</b>    |

### 24.1 Nature and the Purpose of Reserves

#### 24.1.1 Property Development Reserve

Represent of the amount set aside for future development of properties.

#### 24.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

# Notes to the Financial Statements contd.

## 24.1.3 Financial Assets at FVOCI

The amount set aside out of retained profits for the changes in the fair value of investments classified as FVOCI.

## 24.1.4 Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve represents the differences between translated values of assets and liabilities of foreign operations at the exchange rate as at reporting date and historical rate

## 24.1.5 Revaluation Reserve

The Revaluation reserve relates to freehold lands which have been revalued by the Group

## 24.1.6 General Reserve

General reserve is the reserve set aside for general purposes.

## 25 LOANS & BORROWINGS

| As at 31st March,                           | GROUP           |                 | COMPANY         |                 |
|---------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                             | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Payable after one year</b>               |                 |                 |                 |                 |
| Lease Obligation - JEDB/SLSPC (Note 25.1.1) | 672,816         | 654,723         | -               | -               |
| Lease Obligation- Others (Note 25.2.1)      | 689,545         | 681,253         | -               | -               |
| Loans - Others (Note 25.3)                  | 8,579,795       | 7,638,121       | 195,312         | 10,000          |
| Debentures (Note 25.4)                      | 275,738         | 344,598         | -               | -               |
|                                             | 10,217,894      | 9,318,695       | 195,312         | 10,000          |
| <b>Payable within one year</b>              |                 |                 |                 |                 |
| Lease Obligation - JEDB/SLSPC (Note 25.1.1) | 4,164           | 3,502           | -               | -               |
| Lease Obligation - Others (Note 25.2.1)     | 139,628         | 141,939         | -               | 1,698           |
| Loans - Others (Note 25.3)                  | 3,879,190       | 3,552,314       | 41,250          | 34,000          |
| Debentures (Note 25.4)                      | 73,996          | 73,995          | -               | -               |
| Trust receipt Loans (Note 25.6)             | 2,605,889       | 2,768,525       | -               | -               |
| Other Short Term Loans                      | 8,771,347       | 4,509,696       | -               | -               |
|                                             | 15,474,214      | 11,049,971      | 41,250          | 35,698          |
|                                             | 25,692,108      | 20,368,666      | 236,562         | 45,698          |

## 25.1 Lease Obligation - JEDB/SLSPC

|                                                 |                |                |          |          |
|-------------------------------------------------|----------------|----------------|----------|----------|
| At The beginning of the year                    | 658,226        | 647,039        | -        | -        |
| Interest Charge for the year                    | 95,429         | 92,766         | -        | -        |
| Payments made during the Year                   | (76,675)       | (81,579)       | -        | -        |
| Less: Finance cost applicable for future Period | -              | -              | -        | -        |
| <b>Net Lease Obligations (Note 25.1.1)</b>      | <b>676,980</b> | <b>658,226</b> | <b>-</b> | <b>-</b> |

| As at 31st March,                                         | GROUP           |                 | COMPANY         |                 |
|-----------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                           | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>25.1.1 Leasehold rights can be analysed as follows</b> |                 |                 |                 |                 |
| Payable within one year                                   | 4,164           | 3,502           | -               | -               |
| Payable within two to five years                          | 16,270          | 19,761          | -               | -               |
| Payable after five years                                  | 656,546         | 634,962         | -               | -               |
|                                                           | 676,980         | 658,225         |                 |                 |
| <b>Net lease obligations payable after one year</b>       | <b>672,816</b>  | <b>654,723</b>  |                 |                 |
| <b>25.1.2 Amounts Recognised in Profit and Loss</b>       |                 |                 |                 |                 |
| Interest charged during the year                          | 95,429          | 92,766          |                 |                 |
| <b>25.1.3 Amounts Recognised in Cash Flow</b>             |                 |                 |                 |                 |
| <b>Payments made during the year</b>                      | <b>(76,675)</b> | <b>(81,579)</b> |                 |                 |

**25.1.4** Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC and Agarapatana Plantations PLC.

**25.1.5 Kotagala Plantations PLC**

In terms of the amendment of leases, Rs.22.2 million is payable each year as lease rental, commencing from 22.06.1996 till the end of the lease on 21.06.2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflator in the form of contingent rent.

The lease rentals in arrears amounting to Rs.408.8 Million.

| As at 31st March,                                 | GROUP           |                 | COMPANY         |                 |
|---------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>25.2 Lease Creditors - Others</b>              |                 |                 |                 |                 |
| Balance at the beginning                          | 823,192         | 806,954         | 1,808           | 3,798           |
| Acquisition of Subsidiaries                       | 13,700          | -               | -               | -               |
| Adjustment Due to Initial application of SLFRS 16 | 4,939           | 99,053          | -               | -               |
| Adjusted Balance at the beginning of the year     | 841,831         | 906,007         | 1,808           | 3,798           |
| Leases acquired during the Year                   | 80,337          | 26,155          | -               | -               |
| Payments made during the Year                     | (92,930)        | (108,905)       | (1,808)         | (1,990)         |
|                                                   | 829,238         | 823,257         | -               | 1,808           |
| Less: Interest in Suspense                        | (65)            | (65)            | -               | (110)           |
| <b>Balance at the end</b>                         | <b>829,173</b>  | <b>823,192</b>  | <b>-</b>        | <b>1,698</b>    |

## Notes to the Financial Statements contd.

| As at 31st March, | GROUP   |         | COMPANY |         |
|-------------------|---------|---------|---------|---------|
|                   | 2022    | 2021    | 2022    | 2021    |
|                   | Rs.'000 | Rs.'000 | Rs.'000 | Rs.'000 |

### 25.2.1 Analysis of Lease Obligations by Year of Repayment

#### Lease Obligations Repayable within One Year from Year End

|                                                                      |                |                |          |              |
|----------------------------------------------------------------------|----------------|----------------|----------|--------------|
| Gross Liability                                                      | 147,427        | 141,994        | -        | 1,808        |
| Less : Interest in Suspense                                          | (7,799)        | (55)           | -        | (110)        |
| <b>Net Lease Obligations Repayable within One Year from Year End</b> | <b>139,628</b> | <b>141,939</b> | <b>-</b> | <b>1,698</b> |

#### Lease Obligations Repayable after one year

|                                                                 |                |                |          |          |
|-----------------------------------------------------------------|----------------|----------------|----------|----------|
| Gross Liability                                                 | 695,938        | 681,263        | -        | -        |
| Less : Interest in Suspense                                     | (6,393)        | (10)           | -        | -        |
| <b>Net Lease Obligations Repayable within Two to Five Years</b> | <b>689,545</b> | <b>681,253</b> | <b>-</b> | <b>-</b> |

### 25.2.2 Amounts Recognised in Profit and Loss

|                                  |        |         |     |     |
|----------------------------------|--------|---------|-----|-----|
| Interest charged during the year | 94,583 | 100,806 | 110 | 427 |
|----------------------------------|--------|---------|-----|-----|

### 25.2.3 Amounts Recognised in Cash Flow

|                               |          |           |         |         |
|-------------------------------|----------|-----------|---------|---------|
| Payments made during the year | (96,436) | (108,905) | (1,808) | (1,990) |
|-------------------------------|----------|-----------|---------|---------|

### 25.3 Term Loans

|                                 |                    |                    |                 |                 |
|---------------------------------|--------------------|--------------------|-----------------|-----------------|
| Balance at the beginning        | 11,190,435         | 10,909,061         | 44,000          | 104,125         |
| Acquisition of Subsidiaries     | 50,548             | -                  | -               | -               |
| Loans obtained during the Year  | 5,000,681          | 2,057,605          | 250,000         | -               |
| Re-Schedule During the year     | 25,672             | 34,674             | -               | -               |
| Effect of Exchange Fluctuations | 313,099            | 37,546             | -               | -               |
| Payments made during the Year   | (4,121,450)        | (1,848,451)        | (57,438)        | (60,125)        |
| <b>Balance at the end</b>       | <b>12,458,985</b>  | <b>11,190,435</b>  | <b>236,562</b>  | <b>44,000</b>   |
| <b>Payable within one Year</b>  | <b>(3,879,190)</b> | <b>(3,552,314)</b> | <b>(41,250)</b> | <b>(34,000)</b> |
| <b>Payable after one Year</b>   | <b>8,579,795</b>   | <b>7,638,121</b>   | <b>195,312</b>  | <b>10,000</b>   |

### 25.4 Kotagala Plantations PLC a Subsidiary has issued Rs.500 Mn rated secured redeemable listed Debentures. The details are as follows;

#### 25.4.1 Rated Secured Redeemable Listed Debentures - after the restructure

| Debenture Type                                    | Year of Issue | Original Year of Redemption | Restructured Period (Capital Repayment) | Colombo Stock Exchange Listing | Issued Value | Interest Payable Frequency | Interest Rate % | Outstanding Balance as at 31st March |                |
|---------------------------------------------------|---------------|-----------------------------|-----------------------------------------|--------------------------------|--------------|----------------------------|-----------------|--------------------------------------|----------------|
|                                                   |               |                             |                                         |                                |              |                            |                 | 2022                                 | 2021           |
|                                                   |               |                             |                                         |                                |              |                            |                 | Rs'000                               | Rs'000         |
| C                                                 | 2014          | 2020                        | From 2020 to 2025                       | Unlisted                       | Rs.250Mn     | Monthly                    | 7.50            | 198,762                              | 231,123        |
| D1 - D6                                           | 2014          | 2021                        | From 2021 to 2026                       | Listed                         | Rs.250Mn     | Annually                   | 7.50            | 208,365                              | 250,000        |
|                                                   |               |                             |                                         |                                |              |                            |                 | 407,127                              | 481,123        |
| Debentures held by related Companies of the Group |               |                             |                                         |                                |              |                            |                 | (57,395)                             | (62,530)       |
| <b>Debentures Non related</b>                     |               |                             |                                         |                                |              |                            |                 | <b>349,732</b>                       | <b>418,593</b> |

#### 25.4.2 Trading at Colombo Stock Exchange

| Debenture Type | Highest Value (Rs.) | Lowest Value (Rs.) | Last Traded Value (Rs.) |
|----------------|---------------------|--------------------|-------------------------|
| C              | Not traded          | Not traded         | Not traded              |
| D1 - D6        | Not traded          | Not traded         | Not traded              |

#### 25.4.3 Comparable interest rate on Government Securities

|         |        |
|---------|--------|
| 1 Year  | 12.28% |
| 2 Years | 14.41% |
| 3 Years | 14.70% |

## 25.5 Assets Pledged as Security Against Interest Bearing Borrowings

|                                      | Company/<br>Lender                         | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                             | Security Pledged                                                                                                                                                                                                                                                                                  |
|--------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| The Colombo Fort Land & Building PLC | Sampath Bank PLC                           | -                                          | 24.00                                      | AWPLR+ 2.5         | Five equal annual instalments of Rs.24 million commencing from December, 2017.                 | Lien over 1,500,000 C M Holdings PLC shares, 14,200,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.                                                                                                                                             |
|                                      | Commercial Bank of Ceylon PLC Term Loan I  | 10.00                                      | 20.00                                      | AWPLR+3            | Twenty equal quarterly instalments of Rs.5 million each.                                       | Leeway of Rs.62.50 million available in existing Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million and Quaternary Mortgage Bond for Rs.87.50 million over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.          |
|                                      | Commercial Bank of Ceylon PLC Term Loan 2  | 226.56                                     | -                                          | AWPLR + 2.5        | Thirty two equal quarterly instalments of Rs.7.8 million each.                                 | Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million, Quaternary Mortgage Bond for Rs.87.50 million and Fifth Mortgage Bond to be executed for Rs. 82.5 million, over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company. |
|                                      |                                            | 236.56                                     | 44.00                                      |                    |                                                                                                |                                                                                                                                                                                                                                                                                                   |
| E.B. Creasy & Company PLC            | Sampath Bank PLC Term Loan I               | 53.85                                      | 51.54                                      | AWPLR + 3          | Each sub loans to be paid in 60 monthly instalments along with interest.                       | Loan agreement for respective sub loan amounts and mortgage over respective machinery to be imported and installed at the factory premises at Millewa estate Millewa.                                                                                                                             |
|                                      | Sampath Bank PLC Term Loan II              | 2.75                                       | 4.05                                       | 6 p.a              | In 71 equal monthly instalments of Rs.117,000/- and a final instalment Rs.186,000/-.           | Term loan Agreement for Rs.8,493,000/- promissory Note for Rs.8,493,000/-.                                                                                                                                                                                                                        |
|                                      | Commercial Bank of Ceylon PLC Term Loan I  | 6.05                                       | 36.60                                      | AWPLR + 3          | In 44 equal monthly instalments of Rs.2,350,000/- each and a final installment Rs.1,350,000/-. | Primary Mortgage Bond to be executed for Rs.140 million over machinery.                                                                                                                                                                                                                           |
|                                      | Commercial Bank of Ceylon PLC Term Loan II | 371.41                                     | -                                          | AWPLR + 2.5        | In 83 equal monthly instalments of Rs.4,765,000/- each and a final installment Rs.4,505,000/-. | Primary Mortgage Bond executed for Rs. 400 million over land called 'Alubogahawatta' and 'Batadombagahawatta', Gonawala.                                                                                                                                                                          |
|                                      | Nations Trust Bank PLC Term Loan I         | 1.23                                       | 6.65                                       | AWPLR + 3          | 46 equal monthly instalments of Rs.702,000/- and final instalment of Rs.708,000/-.             | Term loan agreement for Rs. 33 million.                                                                                                                                                                                                                                                           |

## Notes to the Financial Statements contd.

|                                | Company/<br>Lender             | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                         | Security Pledged                                                                                                                                         |
|--------------------------------|--------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                | DFCC Bank                      | -                                          | 48.09                                      | AWPLR + 2.5        | 36 equal monthly instalments after a grace period of 01 month from the date of first disbursement.                                                         | A promissory note for Rs. 200 million.                                                                                                                   |
|                                | Bank of Ceylon PLC             | 955.21                                     | -                                          | AWPLR + 2          | In Monthly Installment<br>1-36 months - Rs.10,million + Interest<br>37-72 months - Rs. 15 million + Interest<br>73-84 months - Rs. 20,800,000/- + Interest | Primary Mortgage over property located at No.98, Sri Sanagaraja Mawatha, Colombo 10 owned by E. B. Creasy & Co.PLC.                                      |
|                                | Cargills Bank Limited          | 96.67                                      | -                                          | AWPLR + 2.75       | 59 equal monthly installments of Rs.1,666,667/- and a final instalment of Rs.1,666,647/-                                                                   | Primary Mortgage executed over machineries at "Ninja" mosquito coil production facility at Gonawala for Rs.100 million.                                  |
|                                |                                | 1,487.17                                   | 146.93                                     |                    |                                                                                                                                                            |                                                                                                                                                          |
| E. B. Creasy Logistics Limited | Sampath Bank PLC Term Loan I   | -                                          | 2.5                                        | 16.5 p.a           | Repayable over 48 equal monthly instalments of Rs.307,604/-.                                                                                               | Mortgage executed over movable machinery and racking equipment import under facility.                                                                    |
|                                | Sampath Bank PLC Term Loan II  | -                                          | 0.97                                       | 16.5 p.a           | Repayable over 48 equal monthly instalments of Rs.88,510/-.                                                                                                |                                                                                                                                                          |
|                                | Sampath Bank PLC Term Loan III | -                                          | 0.6                                        | 16.5 p.a           | Repayable over 48 equal monthly instalments of Rs.65,201/-.                                                                                                |                                                                                                                                                          |
|                                |                                | -                                          | 4.07                                       |                    |                                                                                                                                                            |                                                                                                                                                          |
| Muller & Phipps (Ceylon) PLC   | Hatton National Bank PLC       | -                                          | 37.50                                      | AWPLR+1.5          | In 24 equal monthly instalments of Rs. 3.75 million each.                                                                                                  | Letter of awareness from Muller & Phipps (Ceylon) PLC.                                                                                                   |
|                                |                                | -                                          | 37.50                                      |                    |                                                                                                                                                            |                                                                                                                                                          |
| Laxpana Batteries PLC          | Commercial Bank PLC            | 56.40                                      | -                                          | 9 p.a.             | In 59 equal monthly instalment of Rs.3.33 million.                                                                                                         | Primary mortgage bond of Rs.56.4 million to be executed over the solar panels and related machinery and equipment installed in the Rooftop Solar System. |
|                                |                                | 56.40                                      | -                                          |                    |                                                                                                                                                            |                                                                                                                                                          |

|                      | Company/<br>Lender                     | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                                                                                               | Security Pledged                                                                                                                                                                                                                                        |
|----------------------|----------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lankem<br>Ceylon PLC | Sampath<br>Bank<br>PLC<br>Term Loan I  | 57.61                                      | 60.11                                      | AWPLR +2%          | In 60 monthly instalments in following manner after a grace period of 24 months.<br>1-12 months - Rs.0.25 million,<br>13-24 months - Rs.0.625 million,<br>25- 36 months - Rs.0.750 million,<br>37-48 months - Rs.0.875 million,<br>49-59 months - Rs.2.71 million<br>60th month Rs.0.302 million per month, interest to be serviced separately on monthly basis. | (a) Term Loan Agreement of Rs.60.11 million.<br>(b) Term Loan Agreement of Rs.189.888 million.<br>(c) Hypothecation bond over stocks and book debts of Pannala Rs.450 million.<br>(d) Corporate guarantee of E.B. Creasy & Company PLC Rs. 250 million. |
|                      | Sampath<br>Bank<br>PLC<br>Term Loan II | 180.39                                     | 189.88                                     | AWPLR +2%          | In 60 monthly installments in following manner after a grace period of 24 months.<br>1-12 months - Rs.0.75 million,<br>13-24 months - Rs.1.875 million,<br>25-36 months - Rs.2.250 million,<br>37-48 months - Rs.2.625 million, 49-59 months - Rs.8.130 million<br>60th month Rs.10.458million per month, interest to be serviced separately on monthly basis.   |                                                                                                                                                                                                                                                         |

## Notes to the Financial Statements contd.

|  | Company/<br>Lender                          | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                                                                                                                                                                      | Security Pledged                                                                                                                                                                                                                                        |
|--|---------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | Commercial Bank of Ceylon PLC Term Loan I   | 21.04                                      | 26.84                                      | AWPLR +3%          | In December 2017 Existing loan was convert to new reschedulement facility. Repayable in 55 equal monthly of Rs.0.96 million and a final instalment of Rs. 0.76 million together with interest.                                                                                                                                                                                                                                          | (a) Primary Mortgage for Rs. 200 million over land at Ja-ela & Gonawala.<br>(b) Secondary Mortgage Bond No. 528 dated 07-04-1998 for Rs.50 million executed over above property.<br>(c) Tertiary Mortgage Bond for Rs. 307 million over above property. |
|  | Commercial Bank of Ceylon PLC Term Loan II  | -                                          | 138.40                                     | AWPLR + 2          | In December 2017 Existing loan was convert to new reschedulement facility. In 57 monthly installments of Yr -1 equal instalments Rs. 0.5 million Yr -2 equal instalments Rs. 2 million Yr- 3 equal instalments Rs. 3 million Yr- 4 equal instalments Rs. 5 million Yr -5 equal instalments Rs. 5.5 million for 8 months and a final instalment of Rs.4.4 million together with interest payable monthly on reducing balance of capital. | (d) Additional Mortgage Bond for Rs.400 million over stocks and assignment of book debts to be executed by the Company.<br>(e) Corporate guarantee of E.B. Creasy & Company PLC Rs. 382 Million                                                         |
|  | Commercial Bank of Ceylon PLC Term Loan III | 28.40                                      | 32.80                                      | AWPLR +3%          | In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 2 million Yr- 3 equal instalments of Rs. 3 million Yr- 4 equal instalments of Rs. 5 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million together with interest payable monthly on reducing balance of capital.                                                                |                                                                                                                                                                                                                                                         |

|                                | Company/<br>Lender                                  | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                                                                                                                                                                 | Security Pledged |
|--------------------------------|-----------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| Lankem<br>Ceylon PLC<br>Contd. | Commercial<br>Bank of<br>Ceylon PLC<br>Term Loan IV | -                                          | 91.50                                      | -                  | In 60 monthly instalments of<br>Yr -1 equal instalments of<br>Rs. 0.5 million<br>Yr -2 equal instalments of<br>Rs. 1 million<br>Yr- 3 equal instalments of<br>Rs. 1.5 million Yr- 4 equal<br>instalments of Rs. 2 million<br>Yr -5 equal instalments of<br>Rs. 4 million for 11 months<br>and a final instalment of<br>Rs.8.5 million together with<br>interest payable monthly<br>on reducing balance of<br>capital.              |                  |
|                                | Commercial<br>Bank of<br>Ceylon PLC<br>Term Loan V  | -                                          | 164.00                                     | -                  | In 60 monthly instalments<br>of Yr -1 equal instalments<br>of Rs. 0.2 million Yr<br>-2 equal instalments<br>of Rs. 0.7 million Yr -3<br>equal instalments of Rs.<br>1.3 million Yr- 4 equal<br>instalments of Rs. 2 million<br>Yr -5 equal instalments of<br>Rs. 6 million for 11 months<br>and a final instalment of<br>Rs.8 million together with<br>interest payable monthly<br>on reducing balance of<br>capital.              |                  |
|                                | Commercial<br>Bank of<br>Ceylon PLC<br>Term Loan VI | 65.00                                      | 72.80                                      | AWPLR +3%          | In 60 monthly instalments<br>of Yr - 1 equal instalments<br>of Rs. 0.1 million Yr - 2<br>equal instalments of<br>Rs. 0.4 million Yr - 3<br>equal instalments of<br>Rs. 0.6 million Yr - 4<br>equal instalments of<br>Rs. 1 million Yr - 5 equal<br>instalments of Rs. 1.2<br>million for 11 months and<br>a final instalment of Rs.<br>1.6 million together with<br>interest payable monthly<br>on reducing balance of<br>capital. |                  |

## Notes to the Financial Statements contd.

|                                | Company/<br>Lender        | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                              | Security Pledged                                                                                                                                                                                                            |
|--------------------------------|---------------------------|--------------------------------------------|--------------------------------------------|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lankem<br>Ceylon PLC<br>Contd. | Peoples' Bank             | 515.00                                     | 515.00                                     | AWPLR +3%          | In May 2018 Existing loan Rs.555 Mn was convert to new reschedulement facility. After reschedule repayable over 43 month installments.                                                                                                                                                          | Mortgage over stocks and Book debts on crystallization basis.                                                                                                                                                               |
|                                | National Development Bank | 166.48                                     | 191.19                                     | 9.85%              | In September 2021 existing loan convert to new reschedulement facility payable over 40 installments inclusive of 4 months grace period.                                                                                                                                                         | Mortgage over stocks and Book debts.                                                                                                                                                                                        |
|                                | Bank of Ceylon            | 184.38                                     | 315.83                                     | AWPLR +1.5%        | In 60 monthly installments inclusive of 12 Months Grace Period.                                                                                                                                                                                                                                 | Assignment over public quoted shares 16,000,000 of C.W.Mackie PLC. Mortgage over stocks and assignment over book debts.                                                                                                     |
|                                | Central Finance Co. PLC   | 12.41                                      | 12.84                                      | 17.5%              | In March 2022, Existing loan was convert to new reschedulement facility. Payable over 24 installments excluding grace period of 5 months.                                                                                                                                                       | Mortgage and special power of Attorney of 5 No. of Double cab vehicle Promissory Note.                                                                                                                                      |
|                                | Union Bank Term Loan I    | -                                          | 16.50                                      | AWPLR +3%          | In 36 monthly instalments of Yr - 1 equal instalments of Rs. 0.75 million Yr - 2 equal instalments of Rs. 1 million Yr - 3 equal instalments of Rs. 1.5 million for 11 months and a final instalment of Rs. 2.5 million. together with interest payable monthly on reducing balance of capital. | Pledge over trading shares for Rs.121 million held in slash Account. Shares given below; C.W.Mackie 2,137,526 No. of Shares Marawilla Resorts PLC 11,023,676 No. of Shares, Lankem Development PLC 2,480,626 No. of Shares. |
|                                | Union Bank Term Loan II   | 58.40                                      | 65.00                                      | 17.5%              | In 60 monthly instalments of Yr - 1 to Yr - 3 Rs. 0.6 million Yr - 4 Rs. 2.45 million Yr - 5 Rs. 2.45 million for 11 months and a final instalment of Rs. 2.05 million. together with interest payable monthly on reducing balance of capital.                                                  |                                                                                                                                                                                                                             |

|  | Company/<br>Lender               | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                                                                                                                                   | Security Pledged                                                                                                                                                                                         |
|--|----------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | Nations Trust Bank               | 250.60                                     | 274.11                                     | AWPLR +1.5%        | 250.60 274.11 In August 2021 existing loan was converted to new reschedulement facility. Payable over 72 installments inclusive of 6 months grace period.                                                                                                                                                                                                                                            | Mortgage over stocks and book debts of Rs. 300 Mn, Corporate guarantee from SunAgro Lifescience Ltd. for Rs. 300 Mn. Letter of awareness comfort from The Colombo fort land & building PLC.              |
|  | Hatton National Bank             | -                                          | 403.20                                     | -                  | In 99 monthly instalments with 11 month grace period and 18 monthly instalments Rs.0.2 million, 12 monthly instalments of Rs.0.5 million, 12 monthly instalments of Rs. 1.0 million, 12 monthly instalments of Rs. 5 million, 12 monthly instalments of Rs.7.5 million, 12 monthly instalments of Rs.10 million, 9 monthly instalments of Rs.12.5 million, and final installments of Rs.0.9 million. | Letter of awareness/ comfort from Colombo Fort Land & Building PLC                                                                                                                                       |
|  | Peoples Leasing & Finance PLC    | 68.07                                      | 71.73                                      | AWPLR +2%          | In 48 monthly instalments in following manner. 1st 12 Months - Rs.0.50 million, 2nd 12 Months - Rs.1.00 million, Balance in equal instalment with in period of 24 months.                                                                                                                                                                                                                            | Security Cheques (roll over) for Rs.79.24 million and Promissory Note of Rs.79.24 million.                                                                                                               |
|  | Pan Asia Banking Corporation PLC | 139.68                                     | 158.00                                     | 11%                | Repayable with in 6 years with a grace period of 12 months.                                                                                                                                                                                                                                                                                                                                          | Floating Mortgage Bond for Rs.150.0Mn over Stocks stored at Lankem Paint factory, Horncastle Estate, Kanuwana, Ja-Ela together with an assignment over book debts (Mortgage bond No. 313 of 20/11/2008). |
|  | Siyapatha Finance PLC I          | 12.70                                      | 13.87                                      | Interest Free      | Payable over 48 Monthly instalments.                                                                                                                                                                                                                                                                                                                                                                 | Corporate Guarantee from J.F.Packaging Ltd for Rs. 14.5 Million.                                                                                                                                         |
|  | Siyapatha Finance PLC II         | 157.04                                     | 157.50                                     | AWPLR +2%          | Payable over 96 Monthly instalments.                                                                                                                                                                                                                                                                                                                                                                 | Corporate Guarantee from J.F.Packaging Ltd for Rs. 157.59 Million.                                                                                                                                       |
|  |                                  | 1,917.20                                   | 2,971.10                                   |                    |                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                          |

## Notes to the Financial Statements contd.

|                                       | Company/<br>Lender                                          | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest Rate<br>%             | Terms of Repayment                                                                                          | Security Pledged                                                                                                                                                                                                                                                                                                                          |
|---------------------------------------|-------------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------|-------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| C.W. Mackie<br>PLC                    | Commercial<br>Bank of<br>Ceylon PLC                         | 192.53                                     | 119.94                                     | AWPLR +<br>1.75%<br>& 6.75 p.a |                                                                                                             | Mortgage bond over the<br>machinery valued Rs.1.89 million<br>and Rs.1.7 million and motor<br>vehicle valued Rs.1.33 million at<br>Kaluaggala, Hanwellla. Floating<br>primary mortgage bond over<br>property situated at Mungama,<br>Horana.                                                                                              |
|                                       | Hatton<br>National Bank                                     | 113.23                                     | 18.20                                      | 9.25% p.a                      |                                                                                                             | Primary and secondary<br>concurrent mortgage over<br>stocks and book debts.                                                                                                                                                                                                                                                               |
|                                       |                                                             | 305.76                                     | 138.14                                     |                                |                                                                                                             |                                                                                                                                                                                                                                                                                                                                           |
| Kelani Valley<br>Canneries<br>Limited | Commercial<br>Bank of<br>Ceylon PLC                         | -                                          | 2.74                                       | AWPLR + 3                      |                                                                                                             | Mortgage bond over the<br>machinery valued Rs.3 million<br>and motor vehicle valued Rs.1.7<br>million at Kaluaggala, Hanwellla.                                                                                                                                                                                                           |
|                                       |                                                             | -                                          | 2.74                                       |                                |                                                                                                             |                                                                                                                                                                                                                                                                                                                                           |
| Beruwala<br>Resorts PLC               | Cargills Bank<br>PLC Term<br>Loan USD                       | 245.92                                     | 195.97                                     | LIBOR + 3.5%                   |                                                                                                             | Primary mortgage over land and<br>buildings of BOT Hotel Services<br>Ltd. situated at Weligama.                                                                                                                                                                                                                                           |
|                                       | Cargills Bank<br>PLC Term<br>Loan SLR                       | 125.44                                     | 87.40                                      | AWPLR + 2                      |                                                                                                             | Mortgage executed over brand<br>new high capacity Laundry<br>machinery manufactured in<br>the USA worth of Rs.20 million<br>for the Term Loan from Cargills<br>Bank Ltd.                                                                                                                                                                  |
|                                       |                                                             | 371.36                                     | 283.37                                     |                                |                                                                                                             |                                                                                                                                                                                                                                                                                                                                           |
| Sigiriya Village<br>Hotels PLC        | Sampath<br>Bank PLC                                         | 174.31                                     | 167.86                                     |                                | Repayable over 35 monthly<br>instalments.                                                                   | Mortgage over leasehold rights<br>of the land in Sigiriya.                                                                                                                                                                                                                                                                                |
|                                       |                                                             | 174.31                                     | 167.86                                     |                                |                                                                                                             |                                                                                                                                                                                                                                                                                                                                           |
| Marawila<br>Resorts PLC               | Commercial<br>Bank of<br>Ceylon PLC<br>Term Loan<br>I - III | 126.22                                     | 112.61                                     | AWPLR + 3                      | Rs.18.4 million in May 2023,<br>Rs.48.5 million in December<br>2022 and Rs.26.65 million in<br>August 2024. | Floating mortgage Bond No:<br>CTY/MBO/17/06/03 dateds<br>10/08/2017 for Rs.25 million<br>obtained over assignment of<br>book debts totaling US\$ 5.37<br>million over the Hotel premises<br>at Marawila.                                                                                                                                  |
|                                       | Commercial<br>Bank of<br>Ceylon PLC<br>Term Loan IV         | 385.72                                     | 246.66                                     | 3 Months<br>LIBOR + 4.15       | To be repaid in December<br>2024                                                                            | Floating Primary Mortgage Bond<br>for Rs. 120 million to be obtained<br>over the property situated at<br>"Club Palm Bay". Thalwilawella,<br>Marawila morefully depicted as<br>Lots 03 to 09 in Plan No. 5656<br>dated 16.10.2016 drawn by Mr.<br>W S S A Fernando (L/S) in extent<br>of A 24: R:0 P 2.7 owned by<br>Marawila Resorts PLC. |

|                                          | Company/<br>Lender                    | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest Rate<br>% | Terms of Repayment                                                                                                                               | Security Pledged                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|------------------------------------------|---------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Marawila<br>Resorts PLC<br>Contd.        | Saubagya<br>Loan                      | 15.03                                      | 22.22                                      | 4 p.a.             | Repayable within 17 equal<br>installment of Rs. 1,388,889/-<br>plus interest after 6 months<br>grace period.                                     | Lien over the Savings<br>Account No. 7000012576 for<br>Rs.13,477,673/- in the name of<br>Marawila Resorts PLC. Floating<br>Mortgage Bond No . CTY /<br>MBD/17/06/03 dated 10/08/2017<br>for 25,000,000 obtained over<br>assignments of book debts.<br>Floating Primary Mortgage Bond<br>No 5484 dated 26/03/2019 for<br>120,000,000 obtained over the<br>property situated in Marawila.<br>Insurance Policy No FFC2016<br>- 4155 from Alliance Insurance<br>Limited for Rs 1.4 Billion<br>obtained in the joint name of<br>the owner of the property and<br>the bank covering the risk of fire,<br>SRCC, Malicious damages and<br>natural perils. |
|                                          |                                       | 526.97                                     | 381.49                                     |                    |                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Galle Fort<br>Hotel (Private)<br>Limited | Cargills Bank<br>PLC<br>Term Loan I   | 14.32                                      | 20.68                                      | AWPLR +<br>1.95    | Repayable over 39 equal<br>monthly instalments of<br>Rs.0.53 Million together<br>with interest.                                                  | Primary mortgage bond over<br>property for Rs.35 Mn and<br>0.775Mn USD, mentioned as Lot<br>X in the plan no 130 situated at<br>Fort Village in the gramasewa<br>division of Fort 96D in the<br>district of Galle.                                                                                                                                                                                                                                                                                                                                                                                                                                |
|                                          | Cargills Bank<br>PLC<br>Term Loan II  | 61.15                                      | 58.79                                      | LIBRO + 4.4        | Repayable over 40 equal<br>monthly instalments of USD<br>4584 and a final instalment<br>of USD 4,614 together with<br>monthly interest.          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                                          | Cargills Bank<br>PLC<br>Term Loan III | 39.76                                      | 37.41                                      | LIBRO + 4.0        | Repayable over 40 equal<br>monthly instalments of USD<br>4584 and a final instalment<br>of USD 4,613.60 together<br>with monthly interest.       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                                          | Cargills Bank<br>PLC<br>Term Loan IV  | 14.58                                      | 25.00                                      | LIBRO + 4.4        | Repayable over 23 equal<br>monthly instalments of<br>Rs.1.04 million and a final<br>instalment of Rs. 1.03<br>million together with<br>interest. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|                                          | Cargills Bank<br>PLC<br>Term Loan V   | 14.58                                      | 25.00                                      | LIBRO + 4.4        | Repayable over 23 equal<br>monthly instalments of<br>Rs.1.04 million and a final<br>instalment of Rs.1.03 million<br>together with interest.     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

## Notes to the Financial Statements contd.

|                                                 | Company/<br>Lender                                   | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest Rate<br>%                   | Terms of Repayment                                                                                                                        | Security Pledged                                                                                                                                                     |
|-------------------------------------------------|------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Galle Fort<br>Hotel (Private)<br>Limited Contd. | Cargills Bank<br>PLC<br>Term Loan VI                 | 36.70                                      | -                                          | TB + 1%                              | Repayable over 24 monthly<br>instalments.                                                                                                 |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan VII                | 58.07                                      | -                                          |                                      |                                                                                                                                           |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan VIII               | -                                          | 1.09                                       | LIBRO + 4.4                          | Repayable over 5 equal<br>monthly instalments of US<br>\$ 1348 Million and a final<br>instalment of US \$ 1348<br>together with interest. |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan IX                 | -                                          | 0.81                                       | LIBRO + 4.4                          | Repayable over 24 monthly<br>instalments.                                                                                                 |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan X                  | -                                          | 1.61                                       | LIBRO + 4.4                          | Repayable over 24 monthly<br>instalments.                                                                                                 |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan XI                 | -                                          | 1.05                                       | LIBRO + 4.4                          | Repayable over 24 monthly<br>instalments.                                                                                                 |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan XII                | -                                          | 1.39                                       | LIBRO + 4.4                          | Repayable over 6 equal<br>monthly instalments of US \$<br>872 together with interest.                                                     |                                                                                                                                                                      |
|                                                 | Cargills Bank<br>PLC<br>Term Loan XIII               | -                                          | 0.88                                       | LIBRO + 4.4                          | Repayable over 24 monthly<br>instalments.                                                                                                 |                                                                                                                                                                      |
|                                                 |                                                      | 239.15                                     | 173.71                                     |                                      |                                                                                                                                           |                                                                                                                                                                      |
|                                                 |                                                      |                                            |                                            |                                      |                                                                                                                                           |                                                                                                                                                                      |
| York Hotel<br>Management<br>Services<br>Limited | Commercial<br>Bank of<br>Ceylon PLC                  | 3.08                                       | 7.76                                       | PLR + 3 p.a                          |                                                                                                                                           | Corporate guarantee from The<br>Colombo Fort Land & Building<br>PLC for Rs.20 million.                                                                               |
|                                                 |                                                      | 3.08                                       | 7.76                                       |                                      |                                                                                                                                           |                                                                                                                                                                      |
| Kotagala<br>Plantations<br>PLC                  | National<br>Development<br>Bank PLC<br>Term Loan I   | 19.42                                      | 23.58                                      | AWPLR+5                              | Payable in 63 equal<br>monthly instalments of<br>Rs. 2,030,000/- with a first<br>instalment of Rs. 2,110,000/-.                           | Primary Mortgage over the lease<br>hold right, building & machinery<br>of estates already mortgaged to<br>NDB namely Stonycliff, Vogan,<br>Gikiyanakande & Dalkieth. |
|                                                 | National<br>Development<br>Bank PLC<br>Term Loan II  | 19.42                                      | 23.58                                      | AWPLR+8                              |                                                                                                                                           |                                                                                                                                                                      |
|                                                 | National<br>Development<br>Bank PLC<br>Term Loan III | 26.15                                      | 30.32                                      |                                      | Payable in 56 equal<br>monthly instalments<br>of \$7,306 with a first<br>instalment of \$7,318.98.                                        |                                                                                                                                                                      |
|                                                 | National<br>Development<br>Bank PLC<br>Term Loan IV  | 33.15                                      | 21.84                                      | LIBOR + 8 if<br>delayed<br>LIBOR+ 11 | Payable in 56 equal<br>monthly instalments<br>of \$8,000 with a first<br>instalment of \$7,000.                                           | Primary Mortgage over the lease<br>hold right, building & machinery<br>of estates already mortgaged to<br>NDB namely Stonycliff, Vogan,<br>Gikiyanakande & Dalkieth. |
|                                                 | National<br>Development<br>Bank PLC<br>Term Loan V   | 33.15                                      | 21.84                                      |                                      |                                                                                                                                           |                                                                                                                                                                      |
|                                                 | National<br>Development<br>Bank PLC<br>Term Loan VI  | 33.15                                      | 21.84                                      |                                      | Payable in 56 equal<br>monthly instalments<br>of \$7,306 with a first<br>instalment of \$7,318.98.                                        |                                                                                                                                                                      |

|                                       | Company/<br>Lender                                                | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                     | Security Pledged                                                                                                                                                                                                                                         |
|---------------------------------------|-------------------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|----------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Kotagala<br>Plantations<br>PLC Contd. | Sampath Bank<br>PLC<br>Term Loan                                  | 334.12                                     | 388.80                                     | AWPLR+3.5          | Payable in 71 equal monthly instalments of Rs.6,950,000 and final instalment of Rs.6,550,000 with a capital grace period of 12 months. | Primary Mortgage Bond for Rs.500 million over leasehold rights of Drayton and Kelliewatte Estates in Nuwara Eliya together with factory building therein.                                                                                                |
|                                       | People's Bank<br>Term Loan I                                      | 177.00                                     | 177.00                                     | 8.5                | Repayable within 60 instalments of Rs.3,157,777/- each.                                                                                | Primary Mortgage Bonds over Leasehold rights of all those estate plantation and premises of Mayfield Estate situated in the village of dimbula and Ukutle in the Nuwara Eliya Pattu in Kotmale Korale in the district of Nuwara Eliya, Central province. |
|                                       | People's Bank<br>Term Loan II                                     | 73.00                                      | 73.00                                      | 8.5                | Repayable within 60 instalments of Rs.1,725,000/- each and monthly interest on outstanding balance.                                    |                                                                                                                                                                                                                                                          |
|                                       | People's Bank<br>Term Loan III                                    | 6.14                                       | 39.00                                      | TB + 1             | Payable within 1 year                                                                                                                  |                                                                                                                                                                                                                                                          |
|                                       | Standard<br>Chartered<br>Bank                                     | -                                          | 13.77                                      | SLIBOR+3.5         | Payable within 2 years and 10 months.                                                                                                  | Primary Mortgage Bond over leasehold rights of Hedigalle and Eduragala Estates together with factory building therein.                                                                                                                                   |
|                                       | Standard<br>Chartered<br>Bank Packing<br>credit loan              | 71.34                                      | 71.34                                      |                    |                                                                                                                                        |                                                                                                                                                                                                                                                          |
|                                       | Cey Bank<br>Asset<br>Management<br>Limited<br>Commercial<br>Paper | 230.63                                     | 230.63                                     | 16.50              | Repayable as per the Commercial Paper maturity date.                                                                                   |                                                                                                                                                                                                                                                          |
|                                       | Sri Lanka Tea<br>Board<br>Term Loan I                             | -                                          | 10.56                                      | 5                  | Repayable within 36 instalments of Rs.1,301,221/- each.                                                                                |                                                                                                                                                                                                                                                          |
|                                       | Sri Lanka Tea<br>Board<br>Term Loan II                            | -                                          | 10.00                                      | AWPLR +1           | Repayable within 36 monthly instalments of Rs.1,250,000/- each.                                                                        |                                                                                                                                                                                                                                                          |
|                                       | Sri Lanka Tea<br>Board<br>Term Loan III                           | -                                          | 27.45                                      |                    |                                                                                                                                        |                                                                                                                                                                                                                                                          |
|                                       | Forbes<br>& Walker<br>Limited                                     | 4.20                                       | 30.00                                      | 19                 | Repayable within 30 monthly instalments of Rs.5,000,000/- each.                                                                        | The realized and unrealised values of the stock of the teas catalogued and to be catalogued with broker.                                                                                                                                                 |
|                                       | John Keels                                                        | 6.00                                       | 5.65                                       | 19                 | Repayable within 30 monthly instalments of Rs.5,000,000/- each.                                                                        | The realized and unrealised values of the stock of the teas catalogued and to be catalogued with broker.                                                                                                                                                 |

## Notes to the Financial Statements contd.

|                                       | Company/<br>Lender                    | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                                                   | Security Pledged                                                                                                                                                                                                     |
|---------------------------------------|---------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Kotagala<br>Plantations<br>PLC Contd. | Seylan Bank<br>Term Loan              | 68.50                                      | 88.00                                      | 16                 | Repayable within 72 months with following installements<br>12 installement of Rs.400,000 + Interest 12 installement of Rs.600,000 + Interest 12 installement of Rs.1,000,000 + Interest 12 installement of Rs.1,500,000+ Interest 11 installement of Rs.2,500,000 + Interest and final installement of Rs. 3,500,000 | Primary mortgage over leasehold rights of the estate lands and buildings, fixed and floating assets of Yuilliefield Estate. Primary mortgage over leasehold rights of the estate lands and buildings Sorana Estates. |
|                                       | Seylan Bank<br>Moratorium<br>Loan I   | 2.88                                       |                                            | TB + 1             |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                      |
|                                       | Seylan Bank<br>Moratorium<br>Loan II  | 3.00                                       |                                            | TB + 1             |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                      |
|                                       | Seylan Bank<br>Moratorium<br>Loan III | 5.50                                       |                                            | TB + 1             |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                      |
|                                       | AEN Oil Palm                          | 3.33                                       | -                                          | AWPLR + 2          |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                      |
|                                       |                                       | 1,150.07                                   | 1,308.20                                   |                    |                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                      |
| Agarapatana<br>Plantations<br>Limited | Sampath<br>Bank PLC<br>Term Loan I    | 305.40                                     | 409.65                                     | AWPLR + 3.5        | 71 instalments of Rs. 6,950,000/- and a final instalment of Rs.6,550,000/- commencing from 26.04.2019.                                                                                                                                                                                                               | Mortgage over leasehold rights over the estate land & factory building of Diyagama West Estate.                                                                                                                      |
|                                       | Sampath<br>Bank PLC<br>Term Loan II   | 30.87                                      | -                                          | 6.93               | 6 monthly instalments commencing from 26.07.2022.                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                      |
|                                       | Sampath<br>Bank PLC<br>Term Loan III  | 27.41                                      | -                                          | 5.80               | 24 monthly instalments commencing from 09.04.2021.                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                      |
|                                       | Sampath<br>Bank PLC<br>Term Loan IV   | 0.13                                       | -                                          | 6.18               | 6 monthly instalments commencing from 07.11.2021.                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                      |
|                                       | Sampath<br>Bank PLC<br>Term Loan V    | 0.51                                       | -                                          | 6.18               | 6 monthly instalments commencing from 18.11.2021.                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                      |
|                                       | Seylan Bank<br>PLC<br>Term Loan I     | 40.70                                      | 44.16                                      | 16                 | 84 equal instalments commencing from 30.11.2018.                                                                                                                                                                                                                                                                     | Mortgage over leasehold rights over the estate land & building, fixed & floating assets of Diyagama East Estate.                                                                                                     |
|                                       | Seylan Bank<br>PLC<br>Term Loan II    | 2.35                                       | -                                          | TB Rate + 1        | 24 monthly instalments commencing from 20.04.2021.                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                      |
|                                       | Seylan Bank<br>PLC<br>Term Loan III   | 2.45                                       | -                                          | TB Rate + 1        | 24 monthly instalments commencing from 20.08.2021.                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                      |

|                                           | Company/<br>Lender                         | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                | Security Pledged                                                                                                                                                                                                                                     |
|-------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|-------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agarapatana Plantations Limited<br>Contd. | Seylan Bank PLC<br>Term Loan IV            | 4.47                                       | -                                          | TB Rate + 1        | 6 monthly instalments commencing from 01.01.2022.                                                                 |                                                                                                                                                                                                                                                      |
|                                           | Seylan Bank PLC<br>Term Loan V             | 63.63                                      | -                                          | 16                 | 60 monthly instalments commencing from 30.04.2022.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Bank of Ceylon<br>Term Loan I              | -                                          | 42.34                                      | AWPLR + 1.5        | First and Second instalments of Rs.416,667/- and 60 installments of Rs.4,054,598/- commencing from December 2015. | A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these estate. Tri partite agreement with borrower, bank and the tea broker John Keells PLC. Corporate Guarantee from Lankem Ceylon PLC. |
|                                           | Bank of Ceylon<br>Term Loan II             | 83.33                                      | 158.33                                     | AWPLR + 2.5        | 48 monthly instalments commencing from 12.06.2019.                                                                | Tri partite agreement with borrower, bank and the tea broker - John Keells PLC and Corporate Guarantee from Lankem Ceylon PLC.                                                                                                                       |
|                                           | Bank of Ceylon<br>Term Loan IV             | 39.39                                      | 50.00                                      | AWPLR + 3          | 72 monthly installements commencing from 03.05.2020 including six months of grace period for the capital          | A primary mortgage over leasehold rights of Glenanore and Haputale Estates including machinery fixed each of these estate.                                                                                                                           |
|                                           | Bank of Ceylon<br>Term Loan V              | 20.92                                      | -                                          |                    | 24 monthly instalments commencing from 20.11.2019.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Bank of Ceylon<br>Term Loan VI             | 72.30                                      | -                                          | 6.93               | 17 monthly instalments commencing from 01.07.2022.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Bank of Ceylon<br>Term Loan VII            | 68.77                                      | -                                          | 6.93               | 36 monthly instalments commencing from 13.04.2020.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Bank of Ceylon<br>Term Loan VIII           | 13.48                                      | -                                          | 6.93               | 36 monthly instalments commencing from 10.03.2020.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Bank of Ceylon<br>Term Loan IX             | 5.86                                       | -                                          | 6.93               | 10 monthly Instalments commencing from 01.07.2022.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Bank of Ceylon<br>Term Loan X              | 7.94                                       | -                                          | AWPLR + 3          | 36 monthly instalments commencing from 30.04.2023.                                                                |                                                                                                                                                                                                                                                      |
|                                           | Commercial Bank of Ceylon PLC<br>Term Loan | 155.66                                     | 164.16                                     | AWPLR + 3          | 48 monthly instalments commencing from 21.01.2022.                                                                | Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambetenne Estate.                                                        |

## Notes to the Financial Statements contd.

|                                                   | Company/<br>Lender                              | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                   | Security Pledged                                                                                                                                                                              |
|---------------------------------------------------|-------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agarapatana Plantations Limited<br>Contd.         | People's Leasing & Finance PLC<br>Term Loan I   | 3.87                                       | 7.04                                       | 13.17              | 36 monthly instalments commencing from 20.11.2019.   | Original Certificates of Registration of the vehicles and Fixed Deposit No. 82218547.                                                                                                         |
|                                                   | People's Leasing & Finance PLC<br>Term Loan II  | 2.93                                       | 5.57                                       | 20                 | 36 monthly installments commencing from 20.11.2019.  |                                                                                                                                                                                               |
|                                                   | People's Leasing & Finance PLC<br>Term Loan III | 5.85                                       | 7.50                                       | 20                 | 60 monthly installments commencing from 10.11.201.   |                                                                                                                                                                                               |
|                                                   | People's Leasing & Finance PLC<br>Term Loan IV  | 2.24                                       | 3.67                                       | 20                 | 36 monthly installments commencing from 20.11.2019.  |                                                                                                                                                                                               |
|                                                   | People's Leasing & Finance PLC<br>Term Loan V   | 2.36                                       | 4.49                                       | 20                 | 36 monthly installments commencing from 20.11.2019.  |                                                                                                                                                                                               |
|                                                   | Seylan Merchant Bank I                          | -                                          | 16.92                                      | 20                 | 36 monthly installements commencing from 13.04.2020. | Original Certificates of Registration of the vehicles                                                                                                                                         |
|                                                   | Seylan Merchant Bank II                         | -                                          | 14.68                                      | 18                 | 36 monthly installements commencing from 10.03.2020. |                                                                                                                                                                                               |
|                                                   | Sri Lanka Tea Board<br>Term Loan I              | -                                          | 11.15                                      | AWPLR +1           | 36 monthly instalments commencing from August 2017.  |                                                                                                                                                                                               |
|                                                   | Sri Lanka Tea Board<br>Term Loan II             | 2.24                                       | 33.45                                      | 5                  | 36 monthly instalments commencing from 13.07.2017.   |                                                                                                                                                                                               |
|                                                   |                                                 | 1,163.00                                   | 1,223.11                                   |                    |                                                      |                                                                                                                                                                                               |
| Lankem Tea & Rubber Plantations (Private) Limited | National Development Bank PLC<br>Term Loan      | 24.91                                      | 30.89                                      |                    | 84 monthly instalments commencing from 01.04.2014.   | 6,900,787 Shares held by Lankem Tea & Rubber Plantations (Pvt) Limited in Kotagala Plantations PLC and 4,537,500 Shares held by Consolidated Tea Plantations Ltd in Kotagala Plantations PLC. |
|                                                   | People's Leasing & Finance PLC                  | 0.97                                       | 1.93                                       |                    |                                                      | Promissory Notes worth Rs.25 million have been pledged.                                                                                                                                       |
|                                                   | Union Bank PLC                                  | 40.86                                      | 31.88                                      |                    |                                                      |                                                                                                                                                                                               |
|                                                   |                                                 | 66.74                                      | 64.70                                      |                    |                                                      |                                                                                                                                                                                               |

|                                               | Company/<br>Lender                            | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                              | Security Pledged                                                                                                                                                                                                                                                   |
|-----------------------------------------------|-----------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Waverley<br>Power<br>(Private)<br>Limited     | Sampath<br>Bank PLC I                         | 15.80                                      | 37.50                                      | AWPLR + 2          | 96 monthly instalments.                                                                                                                                                         | a) Loan agreement for Rs.25 million.<br>b) Primary mortgage bond for Rs.25 million over the entirety of shares issued by the company, supported by an irrevocable Power of Attorney.                                                                               |
|                                               | Sampath<br>Bank PLC II                        | 76.50                                      | 88.20                                      | AWPLR + 2          | 96 monthly installments commencing one month after the date of first disbursement.                                                                                              | Loan agreement for Rs. 125 Million.                                                                                                                                                                                                                                |
|                                               | Sampath<br>Bank PLC III                       | 15.80                                      | 4.20                                       | AWPLR + 2          | 12 monthly installments commencing from date of grant.                                                                                                                          | Loan agreement for Rs. 4.2 Million.                                                                                                                                                                                                                                |
|                                               | Sampath<br>Bank PLC IV                        | 2.80                                       | -                                          | 7                  |                                                                                                                                                                                 |                                                                                                                                                                                                                                                                    |
|                                               |                                               | 110.90                                     | 129.90                                     |                    |                                                                                                                                                                                 |                                                                                                                                                                                                                                                                    |
| Consolidated<br>Tea<br>Plantations<br>Limited | National<br>Development<br>Bank PLC           | 4.64                                       | 10.58                                      | AWPLR + 8          | 84 monthly instalments..                                                                                                                                                        | 7,475,940 Ordinary Shares of Kotagala Plantations PLC (2,223,980 Shares held by Consolidated Tea Plantations Ltd and 5,251,960 shares held by Lankem Tea & Rubber Plantations (Pvt) Ltd).                                                                          |
|                                               |                                               | 4.64                                       | 10.58                                      |                    |                                                                                                                                                                                 |                                                                                                                                                                                                                                                                    |
| Union<br>Commodities<br>(Private)<br>Limited  | Commercial<br>Bank of<br>Ceylon PLC           | 819.19                                     | 837.76                                     | AWPLR + 1.5        | Each loan to be repaid within a maximum period of 90 days or at the time of receipt of Export proceeds whichever is earlier.                                                    | Primary concurrent Mortgage bond over book debts of the Company and the stocks. The sales contract for each order to be submitted within one week from the disbursement of the Pre-shipment loan.                                                                  |
|                                               | DFCC Bank<br>PLC                              | 266.19                                     | 333.41                                     | LIBOR + 4.5        | Each loan to be settled within a period of 90 days from the date of disbursement of or at the time of negotiation /purchase of relative export documents, whichever is earlier. | Primary concurrent Mortgage bond for Rs.100 million and book debts of the company with an insurance policy over stocks assigned in favour of the bank and existing demand Promissory note from Union Commodities (Private) Limited to the value of Rs.195 million. |
|                                               | Hatton<br>National Bank<br>PLC<br>Term Loan I | 19.11                                      | 19.85                                      | 6.00               | To be repaid over a period of 03 years in 35 equal monthly installments of USD 3,120- each and a final installment of USD 3,035/-.                                              | Existing Mortgage bond to be retained until all facilities are retained in full.                                                                                                                                                                                   |

## Notes to the Financial Statements contd.

|                                                        | Company/<br>Lender                              | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate %                | Terms of Repayment                                                                                                                                                            | Security Pledged                                                                                                                                                                                                                        |
|--------------------------------------------------------|-------------------------------------------------|--------------------------------------------|--------------------------------------------|-----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Union<br>Commodities<br>(Private)<br>Limited<br>Contd. | Hatton<br>National Bank<br>PLC<br>Term Loan II  | 1,911.30                                   | 1,328.23                                   | LIBOR + 5                         | To be paid in 119 months<br>ending November 2029.                                                                                                                             | Registered Primary Floating<br>Mortgage Bond for USD 6.7<br>million over commercial<br>property including<br>immovable property at<br>Biyagama Road Thalwatte,<br>Kelaniya. Including Buildings<br>and every thing standing<br>thereon. |
|                                                        | Hatton<br>National Bank<br>PLC<br>Term Loan III | 317.40                                     | 226.96                                     | LIBOR + 5                         | To be paid in 119 months<br>ending November 2029.                                                                                                                             | Registered Primary Floating<br>Mortgage Bond for USD<br>1.2 million over movable<br>machinery at Biyagama Road<br>Thalwatte Kelaniya.                                                                                                   |
|                                                        | National<br>Development<br>Bank PLC I           | 123.00                                     | 145.33                                     | 6.5                               | Maximum 90 days from which<br>date make it consistent with<br>other disclosures.                                                                                              | Primary Concurrent pari pasu<br>mortgage bond over stock<br>and book debts in favour of<br>the Hangkong and Shanghai<br>Bankers Corporation.                                                                                            |
|                                                        | National<br>Development<br>Bank PLC II          | 109.42                                     | 149.13                                     | 6.5                               | Capital shall be repaid in 23<br>equal monthly instalments of<br>USD.31,226/-, followed by 01<br>instalment of USD.31,221/57                                                  | Primary Concurrent pari pasu<br>mortgage bond over stock<br>and book debts.                                                                                                                                                             |
|                                                        | Bank of<br>Ceylon PLC                           | 291.82                                     | 121.32                                     | LIBOR + 4                         | Each loan to be repaid within<br>4 Months                                                                                                                                     | Hypothecation over<br>stocks lying at Biyagama<br>Road, Thalwatte, Kelaniya and<br>book debts.                                                                                                                                          |
|                                                        | Amana Bank<br>PLC                               | 513.43                                     | -                                          | Term<br>Investment<br>Rate + 1.75 | Each loan to be repaid within<br>6 Months                                                                                                                                     | Lien over third part term<br>investment account of Darly<br>Butler & Company Limited<br>for Rs.556 Mn together with<br>a third party set off letter &<br>Board Resolution.                                                              |
|                                                        |                                                 | 4,370.85                                   | 3,161.99                                   |                                   |                                                                                                                                                                               |                                                                                                                                                                                                                                         |
| JF Packaging<br>Limited                                | Sampath<br>Bank PLC<br>Term Loan I              | 109.11                                     | 98.26                                      |                                   | Repayable over 5 years in<br>60 monthly instalments<br>1 year Rs.322,500/- 2<br>year Rs.1,000,000/- 3 year<br>Rs.1,750,000/-<br>year Rs.2,250,000/-<br>5 year Rs.3,000,000/-. | Corporate guarantee of<br>Lankem Ceylon PLC for<br>Rs.98,870,000/- & mortgage<br>over shares of Alliance Five<br>(Pvt) Ltd.                                                                                                             |
|                                                        | Sampath<br>Bank PLC<br>Term Loan II             | 27.64                                      | 24.93                                      |                                   | Repayable over 5 years in 60<br>monthly instalments<br>1 year Rs.125,000/-<br>2 year Rs.250,000/-<br>3 year Rs.450,000/-<br>4 year Rs.575,000/- 5 year<br>Rs.738,800/-.       |                                                                                                                                                                                                                                         |

|                                   | Company/<br>Lender                   | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                       | Security Pledged                                                                                                |
|-----------------------------------|--------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| JF Packaging<br>Limited<br>Contd. | Sampath<br>Bank PLC<br>Term Loan III | 2.75                                       | 2.56                                       |                    | Repayable over 5 years in<br>60 monthly instalments of<br>Rs.47,500/-.                                                                                                                                                                   | Mortgage over Dry<br>laminating machine and<br>related equipment.                                               |
|                                   | Sampath<br>Bank PLC<br>Term Loan IV  | 26.61                                      | 24.25                                      |                    | Mortgage over stocks<br>and book debts held at<br>factory premises at No.306,<br>Minuwangoda Road,<br>Kotugoda.                                                                                                                          |                                                                                                                 |
|                                   | Sampath<br>Bank PLC<br>Term Loan V   | 3.66                                       | 3.53                                       |                    | Repayable over 2 years in 23<br>equal monthly instalments<br>of Rs.196,700/- and a final<br>instalment of Rs.195,900/-.                                                                                                                  |                                                                                                                 |
|                                   | Bank of<br>Ceylon<br>Term Loan I     | 125.95                                     | 120.57                                     |                    | Repayable over 4 years in 48<br>equal monthly instalments of<br>Rs.3,125,000/-.                                                                                                                                                          | Primary mortgage of land,<br>building and machinery<br>situated at No. 306,<br>Minuwangoda Road,<br>Kotugoda.   |
|                                   | Bank of<br>Ceylon<br>Term Loan II    | 72.31                                      | 69.97                                      |                    | Repayable over 6 years in 72<br>equal monthly instalments of<br>Rs.2,083,333/-.                                                                                                                                                          |                                                                                                                 |
|                                   | Bank of<br>Ceylon<br>Term Loan III   | 104.13                                     | 99.64                                      |                    | Repayable over 5 years in 60<br>equal monthly instalments of<br>Rs.2,333,333/-.                                                                                                                                                          |                                                                                                                 |
|                                   | "Bank of<br>Ceylon<br>Term Loan IV   | 295.68                                     | 306.65                                     |                    | Repayable in 1-12 months<br>Rs.12,500,000/- & 13-24<br>months Rs.16,179,000/-.                                                                                                                                                           | Mortgage over stocks<br>and book debts held at<br>factory premises at No.306,<br>Minuwangoda Road,<br>Kotugoda. |
|                                   | Bank of<br>Ceylon<br>Term Loan V     | 34.81                                      | 39.26                                      |                    | Repayable over 2 years in 24<br>equal monthly instalments of<br>Rs 1,870,000/-.                                                                                                                                                          |                                                                                                                 |
|                                   | Bank of<br>Ceylon<br>Term Loan VI    | 253.98                                     | 236.38                                     |                    | Repayable over 6 years in<br>72 monthly instalments,<br>01-12month - Rs.500,000/-<br>13-24month -Rs.1,000,000/-<br>25-36month- Rs.3,283,000/-<br>37-48month-Rs.4,283,000/-<br>49-60month-Rs.5,033,000/- ,<br>61-72month- Rs.5,599,000/-. | Primary mortgage of Land,<br>building and machinery<br>situated at No.306,<br>Minuwangoda Road,<br>Kotugoda.    |
|                                   | Nations Trust<br>Bank PLC            | 110.58                                     | 103.67                                     |                    | Repayable over 48 monthly<br>instalments.                                                                                                                                                                                                | Mortgage over stocks<br>and book debts held at<br>factory premises at No.306,<br>Minuwangoda Road,<br>Kotugoda. |
|                                   | Siyapatha<br>Finance PLC             | 75.77                                      | 88.67                                      |                    | Repayable in 1-36 months<br>Rs. 2,000,000/- & Final<br>instalments Rs. 58,825,202/-.                                                                                                                                                     | Corporate guarantee from<br>Ceylon Tapes (Pvt) Ltd<br>and a loan agreement for<br>Rs.100,000,000/-.             |
|                                   |                                      | 1,242.98                                   | 1,218.34                                   |                    |                                                                                                                                                                                                                                          |                                                                                                                 |

## Notes to the Financial Statements contd.

|                                   | Company/<br>Lender                                          | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                 | Security Pledged                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-----------------------------------|-------------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Candy<br>Delights<br>Limited      | Hatton<br>National Bank<br>PLC Term<br>Loan I               | 22.93                                      | 37.61                                      | AWPLR + 2          | To be repaid in 48 equal<br>monthly instalments of Rs.1.25<br>million.                                                                                                                                                             | Primary Floating Mortgage<br>Bond for Rs.60 million over<br>the new movable machinery<br>and equipment imported at a<br>cost of Rs.82 million and<br>Lying at Candy Delights<br>Limited; Unit 3, Industrial<br>Estate, Ekala.                                                                                                                                                                                                                              |
|                                   | Hatton<br>National Bank<br>PLC Term<br>Loan II              | 33.81                                      | 53.79                                      | AWPLR + 2          | To be repaid in 48 equal<br>monthly instalments of Rs.<br>1.875 million.                                                                                                                                                           | Registered Primary Floating<br>Mortgage Bond for Rs.120<br>Million over land, immovable<br>machinery situated at No. 26,<br>Agaradaguru Mawatha, Ekala<br>and everything standing<br>thereon (including the<br>existing buildings and/or<br>the buildings which are to<br>be constructed in the future<br>together with any further<br>developments, modifications<br>thereto) with all fixtures,<br>fittings, services and such<br>other rights attached. |
|                                   |                                                             | 56.74                                      | 91.40                                      |                    |                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| SunAgro<br>LifeScience<br>Limited | Sampath<br>Bank PLC                                         | -                                          | 10.19                                      |                    | In 25 monthly installments<br>of Rs.100,000/- each for first 12<br>months, Rs.200,000/-<br>each for next 12 months and a<br>final installment of<br>Rs.6,400,000/- on 26th day<br>of each month commencing<br>from September 2019. | Loan agreement and<br>Corporate Guarantee from<br>Lankem Ceylon PLC<br>amounting to Rs.10 Mn.                                                                                                                                                                                                                                                                                                                                                              |
|                                   |                                                             | -                                          | 10.19                                      |                    |                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| SunAgro<br>LifeScience<br>Limited | Commercial<br>Bank of<br>Ceylon PLC                         | 25.56                                      | 84.70                                      |                    | In 12 instalements of Rs.0.4<br>Million, 12 instalements of Rs.1<br>million, 12 instalements of<br>Rs.2.5 million, 12 instalements<br>of Rs. 4.5Million, 12<br>instalements of Rs. 5.5 Million<br>and final payment Rs.667,014.    | Corporate guarantee<br>from Lankem Ceylon PLC<br>amounting to Rs.100 million.                                                                                                                                                                                                                                                                                                                                                                              |
|                                   | People's<br>Leasing<br>& Finance<br>PLC<br>Term Loan        | 13.44                                      | 41.86                                      |                    | In 12 instalements of Rs. 0.5<br>Million, 12 instalements of Rs.<br>1 Million and Blance Equal<br>instalments within next 24<br>months.                                                                                            | Security Cheques (roll over)<br>for Rs.53.86 million and<br>Promissory Note of Rs.53.86<br>million.                                                                                                                                                                                                                                                                                                                                                        |
|                                   | Peoples<br>Leasing &<br>Finance PLC<br>- Short Term<br>Loan | 176.35                                     | 162.96                                     |                    | Monthly Repayment Rs.<br>150,000.                                                                                                                                                                                                  | Security cheque to be<br>lodged with People's<br>Leasing Finance PLC for Rs.<br>154,972,027 Promissory Note<br>of Rs. 154,972,027 & Corporate<br>guarantee of Lankem Ceylon<br>PLC to the value of Rs.<br>154,972,027.                                                                                                                                                                                                                                     |

|                                             | Company/<br>Lender                             | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                                                                                                                                                                                                                          | Security Pledged                                                                                                                                                                                                                                                                                                                                             |
|---------------------------------------------|------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| SunAgro<br>LifeScience<br>Limited<br>Contd. | Siyapatha<br>Finance                           | 32.60                                      | 43.43                                      |                    | Monthly payments as per<br>the schedule given by the<br>Siyapatha Finance.                                                                                                                                                                                                                  | Lankem Ceylon PLC for<br>Rs. 50 million corporate<br>guarantee.                                                                                                                                                                                                                                                                                              |
|                                             | Hatton<br>National Bank<br>PLC                 | 375.00                                     | -                                          |                    | To be repaid over a period<br>of five years follows<br>together with interest after<br>an initial grace period of<br>12 months. 0-12 months -<br>Grace Period, 13-36 months<br>6.25 Million per month<br>27-48 Months 7.8 Million per<br>month and 48-60 Months<br>10.94 Million per month. | Corporate Guarantee<br>from Lankem Ceylon PLC<br>amounting to Rs.375 Million.                                                                                                                                                                                                                                                                                |
|                                             |                                                | 622.95                                     | 332.95                                     |                    |                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                              |
| Lanka Special<br>Steels Limited             | Commercial<br>Bank of<br>Ceylon PLC I          | 39.77                                      | 58.13                                      | AWPLR + 1.5        | In 59 equal monthly<br>instalment of Rs. 1,530,000/-<br>and a final instalment of a Rs.<br>1,519,145/-.                                                                                                                                                                                     | Primary mortgage bond<br>for Rs.91.8 million over<br>wire drawing plant with<br>accessories.                                                                                                                                                                                                                                                                 |
|                                             | Commercial<br>Bank of<br>Ceylon PLC II         | 55.06                                      | -                                          | 9.5 % p.a          | 60 equal monthly<br>instalments of<br>Rs.7,250,000/- each.                                                                                                                                                                                                                                  | Floating primary mortgage<br>bond for Rs. 27mn over<br>leasehold rights of the<br>LINDEL.                                                                                                                                                                                                                                                                    |
|                                             | DFCC Bank<br>PLC                               | -                                          | 7.29                                       | AWPLR + 1.5        | In 24 equal monthly<br>instalments of Rs.1,041,667/-<br>each.                                                                                                                                                                                                                               | Primary mortgage bond for<br>Rs. 25 million over movable<br>machinery in the plant & a<br>mortgage for Rs. 300 million<br>over stocks in the plant.                                                                                                                                                                                                          |
|                                             |                                                | 94.83                                      | 65.42                                      |                    |                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                              |
| Ceyflex<br>Rubber<br>Limited                | Nations Trust<br>Bank PLC                      | 2.91                                       | 15.83                                      | AWPLR + 3          | In 47 equal monthly<br>instalments of Rs. 2,700,000/-<br>each and a final installment<br>of Rs. 3,100,000/- after a grace<br>period of 6 months.                                                                                                                                            | Primary mortgage bond<br>for Rs. 150 million over<br>Rights under the Board of<br>Investments Agreement<br>No.28 dated 12/05/2016,<br>Buildings and Machinery<br>on the project property at<br>Horana Export Processing<br>Zone. Simple lodgment of<br>100,000 Nos (unquoted)<br>shares of Ceyflex Rubber<br>Limited owned by E. B. Creasy<br>& Company PLC. |
|                                             |                                                | 2.91                                       | 15.83                                      |                    |                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                              |
| Kiffs (Private)<br>Limited                  | National<br>Development<br>Bank PLC<br>Loan I  | 2.19                                       | 4.01                                       |                    | Repayable over 4 years in<br>equal monthly capital of<br>Rs.156,250/-.                                                                                                                                                                                                                      | Primary Mortgage over<br>equipment located at<br>No.179/6, Ragama Road,<br>Kadawatha.                                                                                                                                                                                                                                                                        |
|                                             | National<br>Development<br>Bank PLC<br>Loan II | 23.36                                      | 25.00                                      |                    | Repayable over 18 months<br>in equal monthly capital of<br>Rs.1,388,889/-.                                                                                                                                                                                                                  | Corporate Guarantee of<br>J.F.Packaging Limited.                                                                                                                                                                                                                                                                                                             |
|                                             |                                                | 25.55                                      | 29.01                                      |                    |                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                                                                                                                                                                                              |

## Notes to the Financial Statements contd.

|                                                        | Company/<br>Lender  | Balance as at<br>31.03.2022<br>Rs. million | Balance as at<br>31.03.2021<br>Rs. million | Interest<br>Rate % | Terms of Repayment                                                                 | Security Pledged                                                             |
|--------------------------------------------------------|---------------------|--------------------------------------------|--------------------------------------------|--------------------|------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| Alliance Five<br>(Private)<br>Limited                  | Bank of<br>Ceylon   | 14.85                                      | 29.53                                      |                    | Repayable over 18 months in<br>equal capital of Rs.1,640,555/-.                    | Corporate guarantee from<br>J.F.Packaging Limited.                           |
|                                                        |                     | 14.85                                      | 29.53                                      |                    |                                                                                    |                                                                              |
| ACME<br>Printing and<br>Packaging PLC                  | Seylan Bank<br>PLC  | 7.30                                       | N/A                                        |                    | Repayable in 60 equal<br>monthly installments<br>commencing from December<br>2019. | Facility Agreement Monthly<br>transfer of Rs. 0.15MN to<br>Savings Account.  |
| ACME<br>Packaging<br>Solutions<br>(Private)<br>Limited | Sampath<br>Bank PLC | 43.25                                      | N/A                                        |                    | Repayable in equal monthly<br>installments commencing<br>from December 2018.       | Mortgage of Rs. 90 Mn over<br>Machinery owned by Acme<br>Packaging Solution. |
|                                                        |                     | 50.55                                      | N/A                                        |                    |                                                                                    |                                                                              |

| As at 31st March, | GROUP           |                 |
|-------------------|-----------------|-----------------|
|                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 |

### 25.6 Trust Receipt Loans

The Group has obtained following Trust Receipt Loans

|                                   |                  |                  |
|-----------------------------------|------------------|------------------|
| E. B. Creasy & Company PLC        | 659,559          | 537,707          |
| Lankem Ceylon PLC                 | 877,056          | 1,393,610        |
| Darley Butler & Company Limited   | 537,778          | 388,575          |
| Laxapana Batteries PLC            | -                | 42,205           |
| Candy Delights Limited            | -                | 8,024            |
| J.F. Packageing Limited           | 396,280          | 345,988          |
| Pettah Pharmacy (Private) Limited | 135,216          | 52,416           |
|                                   | <b>2,605,889</b> | <b>2,768,525</b> |

#### ▪ E.B. Creasy & Company PLC

The Company's trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10 and stocks in trade and assignment of book debts.

#### ▪ Darley Butler & Company Limited

Trust receipt loans are secured by existing mortgage bonds to banks over the property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10 which is owned by E. B. Creasy & Co. PLC and Company's stocks in trade and assignment of its book debts

#### ▪ Candy Delights Limited

Trust receipt loans are secured by floating charge on inventories at Unit Three, Industrial Estate, Ekala, Ja-Ela. and book debts.

#### Laxapana Batteries PLC

| Company/ Lender  | Facility                                        | Interest      | Outstanding as at 31.03.2022<br>Rs. 000 | Outstanding as at 31.03.2021<br>Rs. 000 | Terms of Repayment                                              | Security Pledged                                                                                                      |
|------------------|-------------------------------------------------|---------------|-----------------------------------------|-----------------------------------------|-----------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| Sampath Bank PLC | Revolving Trust Receipt loan of Rs. 80 million. | AWPLR + 1.25% | -                                       | 22,587                                  | Each loan to be settled within 120 days from the date of grant. | Existing Primary Mortgage bond of Rs.95.9 million over the property situated in Panagoda, Homagama.                   |
| DFCC Bank PLC    | Revolving Trust Receipt loan of Rs.100 million. | AWPLR + 2%    | -                                       | 19,618                                  | Each loan to be settled within 120 days from the date of grant. | Mortgage for Rs.110 million over stocks kept at Company premises at Panagoda, Homagama and warehouse At Sapugaskanda. |
|                  |                                                 |               | -                                       | 42,205                                  |                                                                 |                                                                                                                       |

#### Pettah Pharmacy (Private) Limited

| Company/ Lender               | Facility                                  | Interest                                | Outstanding as at 31.03.2022<br>Rs. 000 | Outstanding as at 31.03.2021<br>Rs. 000 | Terms of Repayment                                          | Security Pledged                                                                                            |
|-------------------------------|-------------------------------------------|-----------------------------------------|-----------------------------------------|-----------------------------------------|-------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Hatton National Bank PLC      | Revolving Trust Receipt Loan of Rs.300 Mn | AWPLR + 1%                              | 35,619                                  | 52,416                                  | Each loan should be repaid in a maximum period of 180 days. | Primary Floating Mortgage bond for Rs.450 Mn over stock of pharmaceuticals and an assignment of book debts. |
| National Development Bank PLC | Revolving Trust Receipt Loan of Rs.100 Mn | 10.75% p.a                              | 21,900                                  | -                                       | Each loan should be repaid in a maximum period of 120 days. | Primary Floating Mortgage bond for Rs.160 Mn over stock and an assignment of book debts.                    |
| Union Bank of Colombo PLC     | Revolving Trust Receipt Loan of Rs.50 Mn  | AWPLR + 2.50% p.a with a floor rate 12% | 77,697                                  | -                                       | Out of own cashflows.                                       | Primary Floating Mortgage Bond for Rs.50.0Mn over stocks and assignment over book debts.                    |
|                               |                                           |                                         | 135,216                                 | 52,416                                  |                                                             |                                                                                                             |

\* The portion of the loan-term loan repayable within one year from the reporting date is shown as Current Liabilities

# Notes to the Financial Statements contd.

## 26 DEFERRED INCOME - CAPITAL GRANTS

| As at 31st March,                                 | GROUP           |                 | COMPANY         |                 |
|---------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Balance at the beginning of the Year              | 526,525         | 547,933         | -               | -               |
| Additions during the Year                         | 24,063          | 9,902           | -               | -               |
| Amortised during the Year                         | (24,838)        | (31,310)        | -               | -               |
| <b>Balance at the end of the Year (Note 26.1)</b> | <b>525,750</b>  | <b>526,525</b>  | <b>-</b>        | <b>-</b>        |

### 26.1 Balance at the end of the Year

|                                 |                |                |          |          |
|---------------------------------|----------------|----------------|----------|----------|
| Kotagala Plantations PLC        | 328,132        | 323,403        | -        | -        |
| Agarapatana Plantations Limited | 192,566        | 197,099        | -        | -        |
| Kelani Valley Canneries Limited | 1,044          | 1,755          | -        | -        |
| E B Creasy & Company PLC        | 4,008          | 4,268          | -        | -        |
|                                 | <b>525,750</b> | <b>526,525</b> | <b>-</b> | <b>-</b> |

#### 26.a The Group's utilisation of funds received is as below:

##### Kotagala Plantations PLC

##### i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

##### ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

##### iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

##### iv) Others

##### a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Crèches.

##### b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

##### c) Rubber Development Department

Funds received are utilised for replanting.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

##### Agarapatana Plantations Limited

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank and Plantation Reform Project for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation etc. The funds received from Sri Lanka Tea Board are utilized for Tea replanting. The amounts spent are included under the relevant classification of Property, Plant and Equipment and Bearer Biological Assets and the grant component is reflected under deferred income.

##### Kelani Valley Canneries Limited

Kelani Valley Canneries Limited (KVC) has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs.500,000 for the acquisition of fully automated jam cup filling machine at a total cost of Rs.1.3 million. During the year 2019/20, the Company has acquired an Automated Filling Machine at a total cost of Rs.2.2 million under a government grant scheme which was aimed at facilitating Micro Small and Medium Enterprises (MSME) engaged in food based products by supporting them with funds needed to acquire new technology or purchase modern machinery to enhance the quality or productivity of their production. Out of the approved grant, the Company has received Rs.878,000/- during the previous year 2020/21 and Rs.176,000/- during the current year. The government grant is recognised as deferred income and is being amortised over the useful life of the machinery. The Company shall not sell, assign, pledge, mortgage, gift, let or rent the machinery for a period of five years from the date of purchase of the machinery.

## E B Creasy and Company PLC

E. B. Creasy & Co, PLC received a grant of Rs.5.2 Million during the year ended 31st March 2018 in relation to setting up of a roof top solar power project on net metering basis under ADB funded clean energy and network efficiency improvement projects which is amortised over 20 years.

## 27 DEFERRED TAX LIABILITIES

| As at 31st March,                                                                                         | GROUP            |                  | COMPANY         |                 |
|-----------------------------------------------------------------------------------------------------------|------------------|------------------|-----------------|-----------------|
|                                                                                                           | 2022<br>Rs.'000  | 2021<br>Rs.'000  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Balance at the beginning of the Year                                                                      | 1,755,729        | 2,135,040        | 179,109         | 195,869         |
| Prior Year Adjustment                                                                                     | -                | (56,598)         | -               | -               |
| Origination/(Reversal) of Temporary Differences Recognised in Profit / (Loss) for the Year                | (65,209)         | (116,701)        | (16,590)        | (16,760)        |
| Origination/(Reversal) of Temporary Differences Recognised in the Statement of Other Comprehensive Income | 395,746          | (251,035)        | -               | -               |
| Transfer from Deferred Tax Assets (Note 18 )                                                              | -                | 45,022           | -               | -               |
| <b>Balance at the end</b>                                                                                 | <b>2,086,266</b> | <b>1,755,729</b> | <b>162,519</b>  | <b>179,109</b>  |

### 27.1 Deferred Tax Composition

|                                |                  |                  |                |                |
|--------------------------------|------------------|------------------|----------------|----------------|
| Property Plant and Equipment   | 2,003,166        | 1,901,887        | 31,296         | 29,919         |
| Revaluation Surplus on Land    | 851,044          | 760,591          | 149,190        | 149,190        |
| Right to use Assets            | 60,846           | 63,494           | -              | -              |
| Lease Liability                | (63,089)         | (60,324)         | -              | -              |
| Defined Benefit Obligations    | (278,279)        | (387,023)        | -              | -              |
| Impairment of Inventory        | (2,235)          | 344              | -              | -              |
| Impairment of Debtors          | (12,321)         | (16,748)         | (17,967)       | -              |
| Impairment of Financial Assets | 34,675           | (1,593)          | -              | -              |
| Tax loss carried forward       | (507,541)        | (504,900)        | -              | -              |
| <b>Deferred Tax Assets</b>     | <b>2,086,266</b> | <b>1,755,729</b> | <b>162,519</b> | <b>179,109</b> |

Refer Note 8.5 for unrecognised deferred tax Assets.

## 28 EMPLOYEE BENEFITS

| As at 31st March,                                            | GROUP            |                  | COMPANY         |                 |
|--------------------------------------------------------------|------------------|------------------|-----------------|-----------------|
|                                                              | 2022<br>Rs.'000  | 2021<br>Rs.'000  | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Fair Value of Plan Assets (Note 28.1)                        | 84,560           | 67,997           | -               | -               |
| Present Value of the Funded Obligations (Note 28.2)          | 240,696          | 314,698          | -               | -               |
| Present Value of the Unfunded Obligations (Note 28.4)        | 2,765,018        | 3,594,838        | -               | -               |
| <b>Total Present Value of Retirement Benefit Obligations</b> | <b>3,005,714</b> | <b>3,909,536</b> | <b>-</b>        | <b>-</b>        |

## Notes to the Financial Statements contd.

| As at 31st March, | GROUP           |                 | COMPANY         |                 |
|-------------------|-----------------|-----------------|-----------------|-----------------|
|                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |

### 28.1. Fair Value of Plan Assets

#### Movements in Fair Value of Plan Assets

|                                                                    |               |               |          |          |
|--------------------------------------------------------------------|---------------|---------------|----------|----------|
| Fair Value of Plan Assets as at 01st April                         | 67,997        | 58,885        | -        | -        |
| Recognition of Transitional Liability on Defined Benefit Liability | -             | -             | -        | -        |
| Fair Value of Plan Assets at the beginning of the Year             | 67,997        | 58,885        | -        | -        |
| Acquisition of Subsidiaries                                        | 10,107        | -             | -        | -        |
| Contribution Paid to the Plan Assets                               | 12,886        | 13,358        | -        | -        |
| Expected Return on Plan Assets                                     | 5,169         | 5,612         | -        | -        |
| Benefits Paid by the Plan                                          | (8,665)       | (6,765)       | -        | -        |
| Actuarial Gains/(Losses)                                           | (2,934)       | (3,093)       | -        | -        |
| <b>Fair Value of Plan Assets</b>                                   | <b>84,560</b> | <b>67,997</b> | <b>-</b> | <b>-</b> |

| As at 31st March, | GROUP           |                 |
|-------------------|-----------------|-----------------|
|                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 |

#### 28.1.1. Plan Assets Consist of the following:

|                                       |               |               |
|---------------------------------------|---------------|---------------|
| Treasury bills                        | 40,819        | 40,590        |
| Balance with Group Companies          | 12,886        | 13,358        |
| Cash                                  | 14,960        | 9,158         |
| NDB Wealth Management Fund            | 8,676         | -             |
| Aviva Insurance Lanka PLC             | 6,058         | -             |
| Other Investments                     | 1,161         | 4,891         |
|                                       | <b>84,560</b> | <b>67,997</b> |
| <b>Expected return on plan assets</b> | <b>2.70%</b>  | <b>3.96%</b>  |

The plan assets are invested entirely in short term Treasury Bills issued by the Government of Sri Lanka in order to mitigate any potential financial risks.

| As at 31st March, | GROUP           |                 | COMPANY         |                 |
|-------------------|-----------------|-----------------|-----------------|-----------------|
|                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |

### 28.2 Present Value of the Funded Obligations

#### Movement in Present Value of Funded Obligations

|                                                              |                |                |          |          |
|--------------------------------------------------------------|----------------|----------------|----------|----------|
| Present value of Defined Benefit Obligations as at 1st April | 314,698        | 264,395        | -        | -        |
| Acquisition of Subsidiary                                    | 22,932         | -              | -        | -        |
| Provision for the Year (Note 28.2.1)                         | 46,823         | 49,240         | -        | -        |
|                                                              | <b>384,453</b> | <b>313,635</b> | <b>-</b> | <b>-</b> |
| Inter-Company Liability Transfers                            | -              | -              | -        | -        |
| Benefits paid by the Plan                                    | (26,595)       | (31,636)       | -        | -        |
| Actuarial (Gains)/Losses (Note 28.2.1)                       | (117,162)      | 32,699         | -        | -        |
| <b>Present Value of Defined Benefit Obligations</b>          | <b>240,696</b> | <b>314,698</b> | <b>-</b> | <b>-</b> |

| As at 31st March,                                                          | GROUP           |                 | COMPANY         |                 |
|----------------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                            | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>28.2.1 Expenses Recognised in the Statement of Comprehensive Income</b> |                 |                 |                 |                 |
| Current Service Cost                                                       | 22,829          | 22,143          | -               | -               |
| Interest Cost                                                              | 23,994          | 27,097          | -               | -               |
| Provision for the Year                                                     | 46,823          | 49,240          | -               | -               |
| Net Actuarial (Gains)/Losses                                               | (117,162)       | 32,699          | -               | -               |
|                                                                            | (70,339)        | 81,939          |                 |                 |
| <b>28.3 Present Value of Net Obligations</b>                               |                 |                 |                 |                 |
| Fair Value of Plan Assets                                                  | 84,560          | 67,997          | -               | -               |
| Present Value of Funded Obligations                                        | (240,696)       | (314,698)       | -               | -               |
| Present Value of Net Funded Obligations                                    | (156,136)       | (246,701)       | -               | -               |
| <b>28.4 Present Value of the Unfunded Obligation</b>                       |                 |                 |                 |                 |
| <b>Movement in Present Value of Unfunded Obligation</b>                    |                 |                 |                 |                 |
| Present value of Defined Benefit Obligations as at 1st April               | 3,594,838       | 3,308,814       | -               | -               |
| Provision for the year                                                     | 467,724         | 554,931         | -               | -               |
|                                                                            | 4,062,562       | 3,863,745       | -               | -               |
| Inter-company Liability Transfers                                          |                 |                 |                 |                 |
| Benefits paid by the Plan                                                  | (126,690)       | (198,765)       | -               | -               |
| Actuarial (Gains)/Losses                                                   | (1,170,854)     | (70,142)        | -               | -               |
| Present value of Defined Benefit Obligations                               | 2,765,018       | 3,594,838       | -               | -               |
| <b>28.4.1 Expenses Recognised in the Statement of Comprehensive Income</b> |                 |                 |                 |                 |
| Current Service Cost                                                       | 244,879         | 225,308         | -               | -               |
| Interest Cost                                                              | 222,845         | 329,623         | -               | -               |
| Provision for the Year                                                     | 467,724         | 554,931         | -               | -               |
| Net Actuarial (Gains)/Losses                                               | (1,170,854)     | (70,142)        | -               | -               |
|                                                                            | (703,130)       | 484,789         | -               | -               |

**i) Agarapatana Plantations Limited**

According to the valuation done based on the full actuarial valuation carried out by a professionally qualified actuary firm M/s. Actuarial and Management Consultants (Pvt) Ltd as at 31st March 2022, the liability is Rs.1,129 million. If the Company had provided for gratuity for all employees on the basis of 14 days wages for workers and a half month salary for staff for each completed year of service for the year ended 31st March 2022, the liability would have been Rs 1,901 million (2021 - Rs.1,679 million) Hence, there is a contingent liability of Rs.771 million which would crystallise only if the Company ceases to be a going concern

**ii) Kotagala Plantations PLC**

The actuarial valuation had been carried out by M/S Actuarial & Management Consultants (Pvt) Ltd. According to the valuation the gratuity liability on employees of the Company as at 31st March 2022 is Rs. 748.2 million.

**iii) Marawila Resorts PLC**

The actuarial valuations have been carried out by professionally qualified actuaries Messers Priyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2022. The actuarial present value of the accrued benefits as at 31st March 2022 is Rs. 9.14 million (2021 - Rs.12.36 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

**iv) Sigiriya Village Hotels PLC**

Actuarial Valuation has been carried out as at 31st March, 2022 by Mr. Piyal Goonatilleka, Fellow of the Society of actuaries (USA).The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2022 is Rs.11.20 million (2021 - Rs.14.87 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

## Notes to the Financial Statements contd.

**v) Beruwala Resorts PLC**

Actuarial Valuation has been carried out as at 31st March , 2022 by Mr. Piya Goonatileka, Fellow of the Society of actuaries (USA). The actuarial present value of the accrued benefits as at 31st March 2022 is Rs. 16.39 million (2021 - Rs.13.99 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

**vi) C.W. Mackie PLC**

The contributions of the Company and its subsidiaries (Ceymac Rubber Company Limited and Ceytra (Private) Limited) to the defined benefit plan are determined by a formula stated in the Indenture establishing the CWM Group Staff Non-Contributory Gratuity Fund. As required by the Sri Lanka Accounting Standard 19 (LKAS 19), "Employee Benefits" the Fund was actuarially valued by Mr. Piya S. Goonetilleke, Fellow of the Society of Actuaries (USA), Member of American Academy of Actuaries, Consulting Actuary of Messrs. Piya S. Goonetilleke and Associates, as at 31 March 2022 and the appropriate adjustments have been effected in the Financial Statements. The liability as at 31st March, 2022 of the C.W. Mackie group was Rs.107.18 million (2021 - Rs.167.03 million).

**vii) J.F. Packaging Limited**

The retirement benefit obligations as at 31st March 2022 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Limited. As per which liability as at 31st March 2022 was Rs.15.71 million (2021 - Rs.22 million).

**viii) Lankem Ceylon PLC**

An actuarial valuation has been carried out as at 31st March 2022 by Messrs. Actuarial and Management Consultants (Private) Limited. as required by the Sri Lanka Accounting Standard 19 'Employee Benefits'. Plan Assets of the Company are held by an approved external gratuity fund where it invests in insurance scheme amounting to Rs.4.6 Million as at the date of Statement of Financial Position.

The valuation method used by the actuary is the 'Project Unit Credit Method', the method recommended by Sri Lanka Accounting Standard 19 'Employee Benefits'.

**ix) C M Holdings PLC - Group**

Defined Benefit Obligation of Colonial Motors (Ceylon) Limited is determined through an actuarial valuation carried out internally for the year ended 31 March 2022.

**x) E.B. Creasy & Company PLC**

An actuarial valuation has been carried out as at 31st March 2022 by Messrs. Piya. S. Goonathilake & Associates (Actuarial Valuer) as required by the Sri Lanka Accounting Standard LKAS 19 - 'Employee Benefits'.

The actuarial present value of the accrued benefit as at 31st March, 2022 is Rs.594.09 million (2021 - Rs.645.97million). This item is grouped under retirement benefit obligation in the Statement of Financial Position. The liability is not externally funded.

**xi) Darley Butler & Company Limited**

An actuarial valuation has been carried out by Mr. Piya S. Goonetilleke, a professional actuary, as at 31st March 2022. The Projected Unit Credit method has been used in determining the valuation. As per which liability as at 31st March 2022 was Rs.178.81 million (2021 - Rs.260.75 million).

**xii) Present Value of the Unfunded Obligations**

LKAS 19 - 'Employee Benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the obligation in order to determine the present value of the retirement benefit obligation. The key assumptions made in arriving at the retirement benefit obligation as at 31st March 2022 in respect of following companies are stated below:

| Company Name                                              | Expected Salary<br>Increment Rate                                            | Discount Rate | Retirement<br>Age Years                                | Liability as at<br>31.03.2022<br>Rs. million |
|-----------------------------------------------------------|------------------------------------------------------------------------------|---------------|--------------------------------------------------------|----------------------------------------------|
| Marawila Resorts PLC                                      | 6.1%                                                                         | 13.0%         | 60                                                     | 9.20                                         |
| Sigiriya Village Hotels PLC                               | 7.5%                                                                         | 13.0%         | 60                                                     | 11.20                                        |
| Laxapana Batteries PLC                                    | 10%                                                                          | 13%           | 60                                                     | 4,777                                        |
| Lankem Ceylon PLC                                         | 8%                                                                           | 14%           | 60                                                     | 106.00                                       |
| Ceylon Tapes (Private) Limited                            | 10%                                                                          | 14.0%         | 60                                                     | 9.70                                         |
| J.F. Packaging Limited                                    | 10%                                                                          | 14.0%         | 60                                                     | 15.70                                        |
| E.B. Creasy & Company PLC                                 | 10%                                                                          | 13%           | 60                                                     | 594,093                                      |
| E.B. Creasy Logistics Limited                             | 10%                                                                          | 13%           | 60                                                     | 1,866                                        |
| Pattah Pharmacy (Private) limited                         | 10%                                                                          | 13%           | 60                                                     | 8,192                                        |
| Beruwala Resorts PLC                                      | 7.5%                                                                         | 13%           | 60                                                     | 16.40                                        |
| BOT Hotel Services (Private) Limited                      | 7.5%                                                                         | 7.7%          | 60                                                     | 0.53                                         |
| Galle Fort Hotel (Private) Limited                        | 10%                                                                          | 13.0%         | 60                                                     | 4.80                                         |
| Darley Butler & Company Limited                           | 10%                                                                          | 13%           | 60                                                     | 178,810                                      |
| Candy Delights Limited                                    | 10%                                                                          | 13%           | 60                                                     | 10,402                                       |
| SunAgro LifeScience Limited                               | 5.0%                                                                         | 13%           | 60                                                     | 2.90                                         |
| Lankem Paints Limited                                     | 6.0%                                                                         | 13%           | 60                                                     | 10.90                                        |
| Lanka Special Steels Limited                              | 10%                                                                          | 13%           | 60                                                     | 19,604                                       |
| Sherwood Holidays Limited                                 | 10%                                                                          | 13%           | 60                                                     | 1.70                                         |
| Alliance Five (Private) Limited                           | 10%                                                                          | 14.0%         | 60                                                     | 5.20                                         |
| Kiffs (Private) Limited                                   | 10%                                                                          | 14.0%         | 60                                                     | 3.90                                         |
| ACME Printing and Packagaing PLC                          | 10%                                                                          | 13.0%         | 60                                                     | 12.80                                        |
| C M Holdings PLC - Group Colonial Motors (Ceylon) Limited | 0%                                                                           | 8%            | 60                                                     | 7.29                                         |
| C.W. Mackie PLC - Group                                   |                                                                              |               | Management &<br>Allied staff - 60,<br>other staff - 55 |                                              |
|                                                           | 10%                                                                          | 15%           |                                                        | 167.03                                       |
| Kotagala Plantations PLC                                  | Workers - 8%<br>increase p.a and<br>other categories of<br>staff - 10% p.a.  | 15%           | 60                                                     | 886.61                                       |
| Agarapatana Plantations Limited                           | Workers - 8%<br>increase p.a and<br>other categories o<br>f staff - 10% p.a. | 15%           | 60                                                     | 1,129.92                                     |
| Ceyflex Rubber Limited                                    | 10%                                                                          | 13%           | 60                                                     | 208                                          |

## Notes to the Financial Statements contd.

xiii) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, C M Holdings PLC, York Arcade Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

### 28.5 Sensitivity of Assumptions Employed in Actuarial Valuation

The following table demonstrates the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the Total Comprehensive Income and Statement of Financial Position is the effect of the assumed changes in discount rate and salary increment rate on to total Comprehensive Income and employment benefit obligation for the year.

| As at 31st March,<br>Group | 2022                |                     | 2021                |                     |
|----------------------------|---------------------|---------------------|---------------------|---------------------|
|                            | Increase<br>Rs.'000 | Decrease<br>Rs.'000 | Increase<br>Rs.'000 | Decrease<br>Rs.'000 |
| <b>Movement by 1%</b>      |                     |                     |                     |                     |
| Discount Rate              | (798,376)           | 898,737             | (1,126,021)         | 1,329,665           |
| Future salary scale        | 915,895             | (800,121)           | 1,337,462           | (1,130,243)         |

### 28.6 The Expected Benefits Payout

| As at 31st March,     | GROUP<br>2022<br>Rs.'000 |
|-----------------------|--------------------------|
| Within Next 12 Months | 261,249                  |
| Between 2-5 years     | 611,000                  |
| Beyond 5 years        | 2,133,465                |
|                       | 3,005,714                |

## 29 RENT RECEIVED IN ADVANCE

| As at 31st March,                           | GROUP           |                 | COMPANY         |                 |
|---------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                             | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Balance at the beginning of the Year        | 8,323           | 18,470          | 8,323           | 8,888           |
| Received during the Year                    | 31,708          | 8,323           | 31,708          | 29,982          |
| Amount Recognised as Income during the Year | (31,266)        | (18,470)        | (31,266)        | (30,547)        |
| <b>Balance at the end of the Year</b>       | <b>8,765</b>    | <b>8,323</b>    | <b>8,765</b>    | <b>8,323</b>    |
| Amount falling due within one Year          | (8,765)         | (8,323)         | (8,765)         | (8,323)         |
| Amount falling due after one Year           | -               | -               | -               | -               |

### 30 TRADE & OTHER PAYABLES

| As at 31st March,  | GROUP           |                 | COMPANY         |                 |
|--------------------|-----------------|-----------------|-----------------|-----------------|
|                    | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Trade Payables     | 3,895,783       | 5,079,052       | -               | -               |
| Other Payables     | 5,429,229       | 5,222,794       | 12,920          | 15,602          |
| Accrued Expenses   | 1,136,712       | 796,075         | 13,638          | 13,650          |
| Bills Payables     | 798,797         | 447,239         | -               | -               |
| Advance Received   | 455,176         | 395,467         | -               | -               |
| Security Deposit   | 154,283         | 117,285         | 6,589           | 6,589           |
| Unclaimed Dividend | 25,879          | 30,481          | 2,493           | 2,493           |
|                    | 11,895,651      | 12,088,393      | 35,640          | 38,334          |

### 31 RELATED PARTY TRANSACTIONS

| As at 31st March, | GROUP           |                 | COMPANY         |                 |
|-------------------|-----------------|-----------------|-----------------|-----------------|
|                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |

#### 31.1 Amounts due from Related Parties

##### Subsidiaries

|                                                    |   |   |           |           |
|----------------------------------------------------|---|---|-----------|-----------|
| Agarapatana Plantations Limited                    | - | - | 1,890     | 92,904    |
| American Lloyd Travels Limited                     | - | - | 400       | 200       |
| Beruwalla Resorts PLC                              | - | - | 3,692     | 1,485     |
| C.F.Travels Ltd                                    | - | - | 187       | 150       |
| Colombo Fort Hotels Limited                        | - | - | 245,747   | 175,122   |
| E.B. Creasy & Co PLC                               | - | - | 38,159    | -         |
| Transways (Pvt) Ltd                                | - | - | 30,916    | 32,799    |
| Kotagala Plantations PLC                           | - | - | 4,257     | -         |
| Lankem Ceylon PLC                                  | - | - | 5,876     | 5,847     |
| Consolidated Tea Plantations Limited               | - | - | 158,728   | 149,789   |
| Lankem Developments PLC                            | - | - | 104,187   | -         |
| Sigiriya Village Hotels PLC                        | - | - | 4,258     | 2,212     |
| Union Commodities (Private) Limited                | - | - | 67,708    | 100,918   |
| Colombo Fort Group Services (Private) Limited      | - | - | 7,527     | 5,616     |
| York Hotel Management Servicers Limited            | - | - | 2,910     | 384       |
|                                                    | - | - | 676,442   | 567,426   |
| Less: Transferred to Loan given to Related Parties | - | - | -         | -         |
| Agarapatana Plantations Limited                    | - | - | -         | (66,930)  |
| Colombo Fort Hotels Limited                        | - | - | (137,600) | (75,500)  |
| Consolidated Tea Plantations Limited               | - | - | (105,070) | (105,070) |
| Transways (Pvt) Ltd.                               | - | - | (29,000)  | (32,400)  |

## Notes to the Financial Statements contd.

| As at 31st March,                                     | GROUP           |                 | COMPANY         |                 |
|-------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                       | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Lankem Developments PLC                               | -               | -               | (66,930)        | -               |
| Union Commodities (Pvt) Ltd                           | -               | -               | (65,000)        | (100,000)       |
|                                                       |                 |                 | (403,600)       | (379,900)       |
| Less: Impairment Loss - Related Parties (Note 31.1.1) | -               | -               | (74,862)        | (67,258)        |
|                                                       | -               | -               | 197,980         | 120,268         |

| As at 31st March,                                     | GROUP           |                 | COMPANY         |                 |
|-------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                       | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Other Related Parties</b>                          |                 |                 |                 |                 |
| Capital Finance Limited                               | 346             | 346             | -               | -               |
| CWM Hotel Holdings Ltd                                | 81,939          | 81,939          | -               | -               |
| Corporate Managers & Secretaries (Private) Limited    | 15,289          | 23,742          | 787             | 10,228          |
| York Conventions (Private) Limited                    | 5,600           | 5,580           | 3,489           | 3,480           |
| Far Eastern Exports (Colombo) Limited                 | 378             | 363             | -               | -               |
| Property & Investment Holdings Limited                | 25,560          | 137,600         | -               | -               |
| Others                                                | 510             | 1,544           | -               | -               |
|                                                       | 129,622         | 251,114         | 4,276           | 13,708          |
| Less: Impairment Loss - Related Parties (Note 31.1.1) | (82,127)        | (86,761)        | (3,489)         | (3,480)         |
|                                                       | 47,495          | 164,353         | 787             | 10,228          |
| <b>Total Amounts due from Related Parties</b>         | <b>47,495</b>   | <b>164,353</b>  | <b>198,767</b>  | <b>130,496</b>  |

### 31.1.1 Impairment Loss

#### Subsidiaries

|                                           |   |   |        |        |
|-------------------------------------------|---|---|--------|--------|
| Colombo Fort Hotels Limited               | - | - | 14,381 | 9,338  |
| Consolidated Tea Plantations Limited      | - | - | 40,085 | 48,699 |
| Lankem Ceylon PLC                         | - | - | 187    | 287    |
| Agarapatana Plantations Ltd               | - | - | 64     | 3,704  |
| Kotagala Plantations PLC                  | - | - | 186    | -      |
| York Hotel Management Services (Pvt) Ltd. | - | - | 2,694  | 166    |
| Union Commodities (Pvt) Ltd               | - | - | 5,551  | 1,977  |
| Colombo Fort Group Services (Pvt) Ltd     | - | - | 388    | 66     |
| Sigiriya Village Hotels PLC               | - | - | 107    | 44     |
| Beruwela Resorts PLC                      | - | - | 295    | 106    |
| Transways (Pvt) Ltd.                      | - | - | 2,428  | 2,714  |
| E.B. Creasy & Company PLC                 | - | - | 569    | -      |
| Lankem Development PLC                    | - | - | 7,424  | -      |
| C.F.Travels Ltd                           | - | - | 187    | 67     |
| American Lloyd Travels Ltd.               | - | - | 316    | 90     |
|                                           | - | - | 74,862 | 67,258 |

#### Other Related Parties

|                                                  |        |        |        |        |
|--------------------------------------------------|--------|--------|--------|--------|
| CWM Hotel Holdings Ltd                           | 81,939 | 81,939 | -      | -      |
| Property & Investment Holdings (Private) Limited | -      | 3,468  | -      | -      |
| York Conventions (Private) Limited               | 188    | 188    | 3,489  | 3,480  |
| Others                                           | -      | 1,166  | -      | -      |
|                                                  | 82,127 | 86,761 | 3,489  | 3,480  |
|                                                  | 82,127 | 86,761 | 78,351 | 70,738 |

| As at 31st March,                                  | GROUP           |                 | COMPANY         |                 |
|----------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                    | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>31.2 Amounts due to Related Parties</b>         |                 |                 |                 |                 |
| <b>Subsidiaries</b>                                |                 |                 |                 |                 |
| C M Holdings PLC                                   | -               | -               | 201,798         | 222,220         |
| Capital Leasing Co. Limited                        | -               | -               | 2,388           | 2,752           |
| Colombo Fort Holdings Limited                      | -               | -               | 38,568          | 40,468          |
| Creasy Platation Management Limited                | -               | -               | 4,583           | 4,583           |
| E.B. Creasy & Co PLC                               | -               | -               | -               | 6,000           |
| Guardian Assets Management Limited                 | -               | -               | -               | 2,861           |
| Colombo Fort Properties (Pvt) Limited              | -               | -               | -               | 580             |
| Kotagala Platations PLC                            | -               | -               | -               | 1,243           |
| Lankem Plantation Services Limited                 | -               | -               | 4,583           | 4,583           |
| Union Investments (Private) Limited                | -               | -               | -               | 6,748           |
| York Arcade Holdings PLC                           | -               | -               | 77,770          | 75,856          |
| Imperial Hotels Limited                            | -               | -               | 107,457         | 4,224           |
| Union Commodities (Pvt) Ltd                        | -               | -               | -               | 35,000          |
|                                                    | -               | -               | 437,147         | 407,118         |
| <b>Associates</b>                                  |                 |                 |                 |                 |
| Colombo Fort Investments PLC                       | 1,500           | 1,804           | 1,500           | 1,804           |
| Colombo Investment Trust PLC                       | 4,200           | 4,503           | 4,200           | 4,503           |
|                                                    | 5,700           | 6,307           | 5,700           | 6,307           |
| <b>Other Related Parties</b>                       |                 |                 |                 |                 |
| Consolidated Holdings Limited                      | -               | 2,420           | -               | 2,420           |
| Corporate Holdings (Private) Limited               | 3,488           | 37,118          | -               | 33,630          |
| Corporate Managers & Secretaries (Private) Limited | 22,700          | 106,861         | -               | 55,000          |
| Ceylon Tea Brokers PLC                             | 58,698          | 65,830          | -               | -               |
| York Conventions (Private) Limited                 | 2,920           | 2,920           | -               | -               |
| Financial Trust Limited                            | 93,285          | 269,965         | 27,637          | 204,538         |
| Sunquick Lanka (Private) Limited                   | 382,633         | 461,115         | -               | -               |
| Others                                             | 962             | 134             | -               | -               |
|                                                    | 564,686         | 946,363         | 27,637          | 295,588         |
| <b>Total Amounts due to Related Parties</b>        | <b>570,386</b>  | <b>952,670</b>  | <b>470,484</b>  | <b>709,013</b>  |
| Interest-bearing Borrowings (Note 31.2.1)          | 25,000          | 200,900         | 356,000         | 497,900         |
| Non-interest-bearing Borrowings                    | 545,386         | 751,770         | 114,484         | 211,113         |
|                                                    | 570,386         | 952,670         | 470,484         | 709,013         |

## Notes to the Financial Statements contd.

| As at 31st March,                                  | GROUP           |                 | COMPANY         |                 |
|----------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                    | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>31.2.1 Interest-bearing Borrowings</b>          |                 |                 |                 |                 |
| <b>Subsidiaries</b>                                |                 |                 |                 |                 |
| C M Holdings PLC                                   | -               | -               | 160,000         | 190,000         |
| Colombo Fort Holdings Limited                      | -               | -               | 19,000          | 22,000          |
| Imperial Hotels Limited                            | -               | -               | 104,000         | -               |
| Union Commodities (Pvt) Ltd                        | -               | -               | -               | 35,000          |
| York Arcade Holdings PLC                           | -               | -               | 48,000          | 50,000          |
|                                                    | -               | -               | 331,000         | 297,000         |
| <b>Other Related Parties</b>                       |                 |                 |                 |                 |
| Consolidated Holdings (Private) Limited            | -               | 800             | -               | 800             |
| Corporate Holdings (Private) Limited               | -               | 15,100          | -               | 15,100          |
| Corporate Managers & Secretaries (Private) Limited | -               | 55,000          | -               | 55,000          |
| Financial Trust Limited                            | 25,000          | 130,000         | 25,000          | 130,000         |
|                                                    | 25,000          | 200,900         | 25,000          | 200,900         |
|                                                    | 25,000          | 200,900         | 356,000         | 497,900         |

### 31.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

| As at 31st March,                          | GROUP           |                 | COMPANY         |                 |
|--------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                            | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Subsidiaries</b>                        |                 |                 |                 |                 |
| (Receiving)/Rendering of Services          | -               | -               | (6,358)         | (5,891)         |
| Loans (Taken)/Given                        | -               | -               | 31,738          | 12,400          |
| Interest (Expenses)/Income                 | -               | -               | (6,784)         | 10,067          |
| Dividend (Paid)/Received                   | -               | -               | 252,353         | 75,052          |
| Rent (Taken)/Given                         | -               | -               | 24,510          | 22,110          |
| Guarantee Commission (Taken)/Given         | -               | -               | 600             | 600             |
| (Received)/Payment of Outstanding Balances | -               | -               | 138,737         | 64,830          |
| Advance (Taken)/Given                      | -               | -               | (121,698)       | 15,650          |
| Disposal (Acquisition) of Shares           | -               | -               | 328,068         | -               |
| <b>Associates</b>                          |                 |                 |                 |                 |
| Dividend (Paid)/Received                   | 7,354           | 7,586           | 2,213           | -               |
| (Received)/Payment of Outstanding Balances | 607             | 2,100           | 607             | 2,100           |
| Transfer (Into) / Out of Current Account   | -               | 1,050           | -               | -               |
| Disposal (Acquisition) of Shares           | (8,410)         | (691)           | -               | 116             |

| As at 31st March,                           | GROUP           |                 | COMPANY         |                 |
|---------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                             | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| <b>Other Related Parties</b>                |                 |                 |                 |                 |
| (Purchases)/Sales of Goods                  | 975,461         | 846,141         | -               | -               |
| (Received)/Payment of Rendering of Services | (909,377)       | (865,922)       | 9               | (13,444)        |
| Interest (Expenses)/Income                  | (2,136)         | (18,671)        | (2,136)         | (18,671)        |
| Loans (Taken)/Given                         | -               | (35,000)        | -               | (35,000)        |
| (Received)/Payment of Outstanding Balances  | 223,088         | 36,521          | 223,088         | 36,521          |
| Advances (Taken)/Given                      | (8,000)         | (23,800)        | (8,000)         | (23,800)        |

#### 31.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

#### 31.5 Recurrent and Non-Recurrent Related Party Transactions

During the year there were no Non-Recurrent transactions and Recurrent transactions for the Company, which exceeded the disclosure threshold mentioned in Section 9 of the Colombo Stock Exchange Rules.

#### 31.6 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

##### (a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

##### (b) Key Management Personnel Compensation

Details of compensation for Executive and Non-Executive Directors are disclosed below:

| As at 31st March,            | GROUP           |                 | COMPANY         |                 |
|------------------------------|-----------------|-----------------|-----------------|-----------------|
|                              | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Short-Term Employee Benefits | 457,443         | 455,485         | 11,400          | 11,400          |

##### (c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page 20 of this Annual Report.

##### (d) Transactions with Close Family Members

There were no transactions with close family members during the year.

## 31.7 The Directors of the Company are also Directors of the following companies:

| Name of the Company                               | Relationship | Name of the Director |                            |                             |                       |                            |                      |                          |                      |
|---------------------------------------------------|--------------|----------------------|----------------------------|-----------------------------|-----------------------|----------------------------|----------------------|--------------------------|----------------------|
|                                                   |              | Mr. A.<br>Rajaratnam | Mr. S.D.R.<br>Arudpragasam | Mr. A.M. de<br>S. Jayaratne | Mr. R.<br>Seevaratnam | Mr. Anushman<br>Rajaratnam | Mr. C.P.R.<br>Perera | Mr. P. M. A.<br>Sirimane | Mr. S.<br>Rajaratnam |
| The Colombo Fort Land & Building PLC              | -            | ✓                    | ✓                          | ✓                           | ✓                     | ✓                          | ✓                    | ✓                        | ✓                    |
| ACME Printing & Packaging PLC                     | Subsidiary   |                      | ✓                          |                             | ✓                     | ✓                          |                      | ✓                        |                      |
| Agarapattana Plantations Limited                  | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      |                          |                      |
| American Lloyd Travels Limited                    | Subsidiary   |                      |                            |                             |                       |                            |                      |                          |                      |
| Beruwala Resorts PLC                              | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      |                          | ✓                    |
| C M Holdings PLC                                  | Subsidiary   | ✓                    | ✓                          | ✓                           |                       | ✓                          |                      |                          | ✓                    |
| C. F. Travels Limited                             | Subsidiary   |                      |                            |                             |                       |                            |                      |                          | ✓                    |
| Capital Leasing Company Limited                   | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      | ✓                        |                      |
| Colombo Fort Group Services (Private) Limited     | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      | ✓                        |                      |
| Colombo Fort Holdings Limited                     | Subsidiary   | ✓                    |                            |                             |                       |                            |                      |                          | ✓                    |
| Colombo Fort Hotels Limited                       | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      |                          | ✓                    |
| Colombo Fort Properties (Private) Limited         | Subsidiary   | ✓                    |                            |                             |                       |                            |                      |                          |                      |
| Consolidated Tea Plantations Limited              | Subsidiary   | ✓                    | ✓                          | ✓                           |                       | ✓                          | ✓                    |                          |                      |
| Creasy Plantation Management Limited              | Subsidiary   | ✓                    | ✓                          |                             |                       |                            |                      |                          |                      |
| Darley Butler & Company Limited                   | Subsidiary   |                      | ✓                          | ✓                           | ✓                     |                            |                      | ✓                        | ✓                    |
| E. B. Creasy Milk Foods Limited                   | Subsidiary   |                      | ✓                          |                             |                       |                            |                      |                          | ✓                    |
| E.B. Creasy & Company PLC                         | Subsidiary   | ✓                    | ✓                          | ✓                           | ✓                     |                            |                      | ✓                        | ✓                    |
| Guardian Asset Management Limited                 | Subsidiary   |                      | ✓                          |                             |                       |                            |                      |                          |                      |
| Kotagala Plantations PLC                          | Subsidiary   |                      | ✓                          | ✓                           |                       |                            | ✓                    |                          |                      |
| Lankem Ceylon PLC                                 | Subsidiary   |                      | ✓                          |                             | ✓                     | ✓                          |                      | ✓                        |                      |
| Lankem Plantation Services Limited                | Subsidiary   | ✓                    | ✓                          |                             |                       |                            |                      |                          |                      |
| Lankem Tea & Rubber Plantations (Private) Limited | Subsidiary   | ✓                    | ✓                          |                             |                       | ✓                          | ✓                    |                          |                      |
| Marawila Resorts PLC                              | Subsidiary   |                      | ✓                          |                             |                       | ✓                          | ✓                    |                          | ✓                    |
| Muller & Phipps (Ceylon) PLC                      | Subsidiary   |                      | ✓                          |                             |                       |                            |                      | ✓                        | ✓                    |
| SunAgro LifeScience Limited                       | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      |                          |                      |
| Sigiriya Village Hotels PLC                       | Subsidiary   |                      | ✓                          |                             |                       | ✓                          | ✓                    |                          | ✓                    |
| Transways (Private) Limited                       | Subsidiary   |                      |                            |                             |                       |                            |                      |                          |                      |
| Union Commodities (Private) Limited               | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      |                          |                      |
| Union Investments (Private) Limited               | Subsidiary   | ✓                    | ✓                          | ✓                           |                       | ✓                          |                      |                          | ✓                    |
| Voyages Ceylan (Private) Limited                  | Subsidiary   |                      |                            |                             |                       |                            |                      |                          |                      |
| York Arcade Holdings PLC                          | Subsidiary   | ✓                    | ✓                          | ✓                           |                       | ✓                          |                      |                          | ✓                    |
| York Hotel Management Services Limited            | Subsidiary   |                      | ✓                          |                             |                       |                            |                      |                          | ✓                    |
| Imperial Hotels Limited                           | Subsidiary   |                      | ✓                          |                             |                       | ✓                          |                      |                          | ✓                    |
| York Tours Limited                                | Subsidiary   |                      |                            |                             |                       |                            |                      |                          |                      |

| Name of the Company                                | Relationship    | Name of the Director |                            |                            |                       |                            |                      |                          |                      |
|----------------------------------------------------|-----------------|----------------------|----------------------------|----------------------------|-----------------------|----------------------------|----------------------|--------------------------|----------------------|
|                                                    |                 | Mr. A.<br>Rajaratnam | Mr. S.D.R.<br>Arudpragasam | Mr. A.M.de<br>S. Jayaratne | Mr. R.<br>Seevaratnam | Mr. Anushman<br>Rajaratnam | Mr. C.P.R.<br>Perera | Mr. P. M. A.<br>Sirimane | Mr. S.<br>Rajaratnam |
| Capital Investments Limited                        | Associate       | ✓                    | ✓                          |                            |                       |                            |                      |                          |                      |
| Colombo Fort Investments PLC                       | Associate       | ✓                    | ✓                          | ✓                          |                       | ✓                          |                      |                          | ✓                    |
| Colombo Investment Trust PLC                       | Associate       | ✓                    | ✓                          | ✓                          |                       | ✓                          |                      |                          | ✓                    |
| Capital Finance Limited                            | Related Company | ✓                    |                            |                            |                       |                            |                      |                          |                      |
| Ceylon Tea Brokers PLC                             | Related Company |                      |                            |                            |                       |                            | ✓                    |                          |                      |
| Consolidated Holdings (Private) Limited            | Related Company | ✓                    | ✓                          |                            |                       |                            |                      |                          |                      |
| Corporate Holdings (Private) Limited               | Related Company |                      |                            |                            |                       |                            |                      |                          |                      |
| Corporate Managers & Secretaries (Private) Limited | Related Company |                      |                            |                            |                       |                            |                      |                          |                      |
| Far Eastern Exports (Colombo) Limited              | Related Company |                      | ✓                          |                            |                       | ✓                          |                      |                          |                      |
| Financial Trust Limited                            | Related Company | ✓                    |                            |                            |                       | ✓                          |                      |                          | ✓                    |
| Property & Investment Holdings (Private) Limited   | Related Company |                      | ✓                          |                            |                       | ✓                          |                      |                          | ✓                    |
| York Conventions (Private) Limited                 | Related Company |                      |                            |                            |                       |                            |                      |                          |                      |

Mr. Sanjeev Rajaratnam was appointed to the Boards of Pettah Pharmacy (Private) Limited and Muller & Phipps (Ceylon) PLC with effect from 10th June 2021 and 15th June 2021 respectively.

Mr. A. Rajaratnam resigned from the Board of York Arcade Holdings PLC with effect from 1st July 2021.

Mr. Anushman Rajaratnam was appointed to the Boards of Colombo Fort Investments PLC, Colombo Investment Trust PLC and York Arcade Holdings PLC with effect from 9th June 2022.

Mr. Anushman Rajaratnam and Mr. P.M.A. Sirimane were appointed to the Board of ACME Printing & Packaging PLC with effect from 30th November 2021 and Mr. S.D.R. Arudpragasam was appointed to the Board of ACME Printing & Packaging PLC with effect from 12th January 2022.

The above Note should be read in conjunction with Notes 14, 30, 35.

# Notes to the Financial Statements contd.

## 32 COMPARATIVE INFORMATION

To facilitate comparison and where relevant, balance pertaining to the previous year have been re-classified, as necessary. However, such reclassifications did not have any effect on the net profit or equity of the comparative year.

## 33 FINANCIAL INSTRUMENTS

### Financial Risk Management

#### Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

#### Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

#### 33.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts. Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

##### 33.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

| As at 31st March,                 | GROUP           |                 | COMPANY         |                 |
|-----------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                   | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Trade and Other Receivables       | 9,534,143       | 8,284,554       | 34,498          | 31,707          |
| Amount due from Related Companies | 47,495          | 164,353         | 680,718         | 581,134         |
| Cash & Cash Equivalents           | 2,924,453       | 1,564,270       | 33,895          | 178,036         |
|                                   | 12,506,091      | 10,013,177      | 749,111         | 790,877         |

The ageing of amount due from related companies as at the reporting date was as follows;

|                     | GROUP                 |                       |                       |                       | COMPANY               |                       |                       |                       |
|---------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
|                     | Gross                 |                       | Impairment            |                       | Gross                 |                       | Impairment            |                       |
|                     | 31.03.2022<br>Rs.'000 | 31.03.2022<br>Rs.'000 | 31.03.2021<br>Rs.'000 | 31.03.2021<br>Rs.'000 | 31.03.2022<br>Rs.'000 | 31.03.2022<br>Rs.'000 | 31.03.2021<br>Rs.'000 | 31.03.2021<br>Rs.'000 |
| Past due 0-365 days | -                     | -                     | 17,874                | -                     | 242,433               | (17,875)              | 240,315               | (53,367)              |
| More than one year  | (82,127)              | 47,495                | 233,240               | (86,761)              | 438,285               | (60,475)              | 340,819               | (17,371)              |
|                     | (82,127)              | 47,495                | 251,114               | (86,761)              | 680,718               | (78,350)              | 581,134               | (70,738)              |

### 33.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

| As at 31st March,            | GROUP             |                        |                   |                   |                   |                        |                   |                  |
|------------------------------|-------------------|------------------------|-------------------|-------------------|-------------------|------------------------|-------------------|------------------|
|                              | 2022              |                        |                   |                   | 2021              |                        |                   |                  |
|                              | Carrying Amount   | Contractual Cash Flows | Less 1 year       | More than 1 year  | Carrying Amount   | Contractual Cash Flows | Less 1 year       | More than 1 year |
|                              | Rs.'000           | Rs.'000                | Rs.'000           | Rs.'000           | Rs.'000           | Rs.'000                | Rs.'000           | Rs.'000          |
| Non- Derivative Financial    |                   |                        |                   |                   |                   |                        |                   |                  |
| Loans and Borrowings         | 25,692,108        | 25,692,108             | 15,474,214        | 10,217,894        | 20,368,666        | 20,368,666             | 11,049,971        | 9,318,695        |
| Other Liabilities            | 512,637           | 512,637                | 512,637           | -                 | 468,467           | 468,467                | 468,467           | -                |
| Trade & other payables       | 12,408,288        | 12,408,288             | 12,408,288        | -                 | 12,556,860        | 12,556,860             | 12,556,860        | -                |
| Amounts due to Related Party | 570,386           | 570,386                | 570,386           | -                 | 952,670           | 952,670                | 952,670           | -                |
| Bank overdraft               | 2,931,915         | 2,931,915              | 2,931,915         | -                 | 3,302,009         | 3,302,009              | 3,302,009         | -                |
| <b>Total</b>                 | <b>42,115,333</b> | <b>42,115,333</b>      | <b>31,897,439</b> | <b>10,217,894</b> | <b>37,648,671</b> | <b>37,648,671</b>      | <b>28,329,976</b> | <b>9,318,695</b> |

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

| As at 31st March,            | COMPANY         |                        |                |                  |                 |                        |                |                  |
|------------------------------|-----------------|------------------------|----------------|------------------|-----------------|------------------------|----------------|------------------|
|                              | 2022            |                        |                |                  | 2021            |                        |                |                  |
|                              | Carrying Amount | Contractual Cash Flows | Less 1 year    | More than 1 year | Carrying Amount | Contractual Cash Flows | Less 1 year    | More than 1 year |
|                              | Rs.'000         | Rs.'000                | Rs.'000        | Rs.'000          | Rs.'000         | Rs.'000                | Rs.'000        | Rs.'000          |
| Non- Derivative Financial    |                 |                        |                |                  |                 |                        |                |                  |
| Loas and Borrowings          | 236,562         | 236,562                | 41,250         | 195,312          | 45,698          | 45,698                 | 35,698         | 10,000           |
| Other Liabilities            | 65,515          | 65,515                 | 65,515         | -                | 56,351          | 56,351                 | 56,351         | -                |
| Trade & other payables       | 22,002          | 22,002                 | 22,002         | -                | 24,683          | 24,683                 | 24,683         | -                |
| Amounts due to Related Party | 470,484         | 470,484                | 470,484        | -                | 709,013         | 709,013                | 709,013        | -                |
| Bank overdraft               | -               | -                      | -              | -                | 134,583         | 134,583                | 134,583        | -                |
| <b>Total</b>                 | <b>794,563</b>  | <b>794,563</b>         | <b>599,251</b> | <b>195,312</b>   | <b>970,328</b>  | <b>970,328</b>         | <b>960,328</b> | <b>10,000</b>    |

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

### 33.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

### 33.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

# Notes to the Financial Statements contd.

## Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2022 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

### Increase /(Decrease) in Exchange

| As at 31st March,        | Effect on Profit before Tax |                 |
|--------------------------|-----------------------------|-----------------|
|                          | 2022<br>Rs.'000             | 2021<br>Rs.'000 |
| Dollar (USA) + 10%       | (471,731)                   | (500,654)       |
| Dollar (USA) - 10%       | 471,731                     | 500,654         |
| Dollar (USA) + 15%       | (12,585)                    | (10,043)        |
| Dollar (USA) - 15%       | 12,585                      | 10,043          |
| Euro +10%                | (18,036)                    | (10,169)        |
| Euro -10%                | 18,036                      | 10,169          |
| Great Britain Pound +10% | (465)                       | (298)           |
| Great Britain Pound -10% | 465                         | 298             |
| Yen (Japan) +10%         | (394)                       | (1,133)         |
| Yen (Japan) -10%         | 394                         | 1,133           |

## 33.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax.

| As at 31st March,                      | Effect on Profit before Tax |                 |
|----------------------------------------|-----------------------------|-----------------|
|                                        | 2022<br>Rs.'000             | 2021<br>Rs.'000 |
| Variable rate instrument (1% decrease) | 257,496                     | 194,114         |
| Variable rate instrument (1% Increase) | (257,496)                   | (194,114)       |

## 33.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's debt to equity ratio at the end of the reporting period was as follows:

| As at 31st March,               | GROUP           |                 | COMPANY         |                 |
|---------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                 | 2022<br>Rs.'000 | 2021<br>Rs.'000 | 2022<br>Rs.'000 | 2021<br>Rs.'000 |
| Total Liabilities               | 47,220,227      | 43,371,995      | 970,720         | 1,163,088       |
| Less: Cash and Cash Equivalents | 2,924,453       | 1,564,270       | 33,895          | 178,044         |
| Net Debt                        | 44,296,182      | 41,807,725      | 936,825         | 985,044         |
| Total Equity                    | 8,558,271       | 6,523,353       | 2,158,919       | 1,698,929       |
| Net Debt to Equity Ratio        | 518%            | 641%            | 43%             | 58%             |

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

### 33.7 Fair Values

#### Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

#### GROUP

| As at 31st March, 2022           |      | Investments<br>Classified<br>as Financial<br>Assets<br>FVTOCI<br>Rs.'000 | Investments<br>Classified<br>as Financial<br>Assets<br>FVTPL<br>Rs.'000 | Assets<br>Amortised<br>Rs.'000 | Liabilities<br>Amortised<br>Rs.'000 | Total<br>Carrying<br>Value<br>Rs.'000 | Fair<br>Value<br>Rs.'000 |
|----------------------------------|------|--------------------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------|-------------------------------------|---------------------------------------|--------------------------|
| Investment in Equity Securities  | 17.1 | 434,405                                                                  | -                                                                       | -                              | -                                   | 434,405                               | 434,405                  |
| Unit trust                       | 17.1 | 225,566                                                                  | -                                                                       | -                              | -                                   | 225,566                               | 225,566                  |
| Debentures and Fixed deposits    | 16   | -                                                                        | -                                                                       | -                              | -                                   | -                                     | -                        |
| Trade & Other Receivables        | 20   | -                                                                        | -                                                                       | 9,534,143                      | -                                   | 9,534,143                             | 9,534,143                |
| Amounts due from Related Parties | 31   | -                                                                        | -                                                                       | 47,495                         | -                                   | 47,495                                | 47,495                   |
| Other financial assets           | 16   | -                                                                        | 918,678                                                                 | -                              | -                                   | 918,678                               | 918,678                  |
| Cash & Cash Equivalents          | 21   | -                                                                        | -                                                                       | 2,924,453                      | -                                   | 2,924,453                             | 2,924,453                |
|                                  |      | 659,971                                                                  | 918,678                                                                 | 12,506,091                     | -                                   | 14,084,740                            | 14,084,740               |
| Trade & Other Payables           | 30   | -                                                                        | -                                                                       | -                              | 11,895,651                          | 11,895,651                            | 11,895,651               |
| Amounts due to Related Parties   | 31   | -                                                                        | -                                                                       | -                              | 570,386                             | 570,386                               | 570,386                  |
| Loans and Borrowings             | 25   | -                                                                        | -                                                                       | -                              | 25,692,108                          | 25,692,108                            | 25,692,108               |
| Bank Overdraft                   | 21   | -                                                                        | -                                                                       | -                              | 2,931,915                           | 2,931,915                             | 2,931,915                |
| Other liabilities                |      | -                                                                        | -                                                                       | -                              | 1,038,387                           | 1,038,387                             | 1,038,387                |
|                                  |      | -                                                                        | -                                                                       | -                              | 42,128,447                          | 42,128,447                            | 42,128,447               |

# Notes to the Financial Statements contd.

## COMPANY

As at 31st March, 2022

|                                  |        | Investments<br>Classified<br>as Financial<br>Assets<br>FVTOCI<br>Rs.'000 | Investments<br>Classified<br>as Financial<br>Assets<br>FVTPL<br>Rs.'000 | Assets<br>Amortised<br>Rs.'000 | Liabilities<br>Amortised<br>Rs.'000 | Total<br>Carrying<br>Value<br>Rs.'000 | Fair<br>Value<br>Rs.'000 |
|----------------------------------|--------|--------------------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------|-------------------------------------|---------------------------------------|--------------------------|
| Investment in Equity Securities  | 17.3.3 | 5,087                                                                    | 2,245                                                                   | -                              | -                                   | 7,332                                 | 7,332                    |
| Loans Due from Related Parties   | 31     | -                                                                        | -                                                                       | 403,600                        | -                                   | 403,600                               | 403,600                  |
| Trade & Other Receivables        | 20     | -                                                                        | -                                                                       | 34,498                         | -                                   | 34,498                                | 34,498                   |
| Amounts due from Related Parties | 31     | -                                                                        | -                                                                       | 198,767                        | -                                   | 198,767                               | 198,767                  |
| Cash & Cash Equivalents          | 21     | -                                                                        | -                                                                       | 8,557                          | -                                   | 8,557                                 | 8,557                    |
| Deposits with Banks              | 21     | -                                                                        | -                                                                       | 25,338                         | -                                   | 25,338                                | 25,338                   |
|                                  |        | 5,087                                                                    | 2,245                                                                   | 670,760                        | -                                   | 678,092                               | 678,092                  |
| Bank Loans                       | 25     | -                                                                        | -                                                                       | -                              | 236,562                             | 236,562                               | 236,562                  |
| Bank Overdraft                   | 21     | -                                                                        | -                                                                       | -                              | -                                   | -                                     | -                        |
| Trade and Other Payables         | 30     | -                                                                        | -                                                                       | -                              | 22,002                              | 22,002                                | 22,002                   |
| Amounts due to Related Parties   | 31     | -                                                                        | -                                                                       | -                              | 470,484                             | 470,484                               | 470,484                  |
|                                  |        | -                                                                        | -                                                                       | -                              | 729,048                             | 729,048                               | 729,048                  |

## 34 FAIR VALUE OF NON FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

### Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

| Asset /                                  | Valuation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Significant unobservable                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Sensitivity of the input to the fair                                                                                                                                                                                                                                                                                                                                                     | Level 1 | Level 2 | Level 3    |
|------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|---------|------------|
| <b>Biological</b>                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                          |         |         |            |
| Gain arising from changes in fair value. | Discounted cash<br>The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis .<br><br>Expected cash flows are discounted using a risk-adjusted discount rate of 16.3% comprising a risk premium of 3.8%. Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species. | Determination of timber<br>Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content.<br><br>Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species. | The estimated fair value at the time of harvesting each specific species is sensitive to the following variables,<br><br><ul style="list-style-type: none"> <li>the estimated timber content</li> <li>the estimated timber prices per cubic meter</li> <li>the estimated selling related costs.</li> <li>the estimated maturity age</li> <li>the risk-adjusted discount rate.</li> </ul> | -       | -       | 193,466 Mn |

#### Assets and liabilities for which fair values are disclosed - Recurring

| Asset /                       | Valuation                                                                                                                                                                                                                                                                                                                                | Significant unobservable         | Level 1 | Level 2 | Level 3   |
|-------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------|---------|---------|-----------|
| <b>Property Plant and</b>     |                                                                                                                                                                                                                                                                                                                                          |                                  |         |         |           |
| - Freehold land and buildings | Market comparable                                                                                                                                                                                                                                                                                                                        |                                  |         |         |           |
|                               | This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property. | Price per perch /Per Square Feet | -       | -       | 10,805 Mn |

| Asset /                       | Valuation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Significant unobservable                                                                                    | Level 1 | Level 2 | Level 3  |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|---------|---------|----------|
| <b>Investment property</b>    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                             |         |         |          |
| - Freehold land and buildings | Market comparable method / Income                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                             |         |         |          |
|                               | <p><b>Market comparable method:</b> This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.</p> <p><b>Income Method:</b> The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.</p> | Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate | -       | -       | 8,323 Mn |

## 35 CAPITAL AND FINANCIAL COMMITMENTS

### 35.1 Company

The Company had no material capital or financial commitments as at the date of the Statement of Financial Position.

### 35.2 Group

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

#### 35.2.1 Agarapatana Plantations Limited

|                                    | 31.03.2022 | 31.03.2021 |
|------------------------------------|------------|------------|
|                                    | Rs.Million | Rs.Million |
| a) Field Development               | 86.3       | 99.6       |
| b) Machinery & Factory Development | 151.0      | 153.4      |

# Notes to the Financial Statements contd.

## 36 CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

### 36.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

| Financial Institutions/Companies | Name of the Company            | 31.03.2022<br>Rs.'000 | 31.03.2021<br>Rs.'000 |
|----------------------------------|--------------------------------|-----------------------|-----------------------|
| Commercial Bank of Ceylon PLC    | American Lloyd Travels Limited | 10,000                | 10,000                |
| Commercial Bank of Ceylon PLC    | York Hotel Management Limited  | 20,000                | 20,000                |
|                                  |                                | 30,000                | 30,000                |

Comfort letters are provided for Kotagala Plantations PLC, Lankem Ceylon PLC, Lankem Developments PLC and Union Commodities (Pvt) Ltd. by the Company.

### 36.2 Group

#### 36.2.1 Contingent Liabilities

##### (i) E.B.Creasy & Company PLC

Contingent liabilities in relation to guarantees issued by E. B. Creasy & Company PLC to financial institutions on behalf of its Subsidiaries and other Group companies to obtain facilities from Financial Institutions, were as follows:

|                                 | 31.03.2022<br>Rs.'000 | 31.03.2021<br>Rs.'000 |
|---------------------------------|-----------------------|-----------------------|
| Darley Butler & Company Limited | 770,000               | 460,000               |
| Ceyflex Rubber Limited          | 64,353                | 64,353                |
| Lankem Ceylon PLC               | 832,000               | 832,000               |
|                                 | 1,666,353             | 1,356,353             |

##### (ii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a guarantee of Rs. 15,500,000/- to Sri Lanka Custom and USD 10,000/- to Bureau of Indian Standards, which were outstanding as at 31st March 2022.

##### (iii) Lankem Ceylon PLC

Lankem Ceylon PLC has issued Corporate Guarantees for borrowings obtained by the related companies and letters of comfort as indicated below as at 31st March 2022.

|                                 | 31.03.2022<br>Rs.'000 | 31.03.2021<br>Rs.'000 |
|---------------------------------|-----------------------|-----------------------|
| Darley Butler & Company Limited | -                     | 260,000               |
| Galle Fort Hotels Limited       | -                     | -                     |
| Lankem Development PLC          | 62,080                | 62,080                |
| SunAgro Foods Limited           | -                     | 120,000               |
| SunAgro LifeScience Limited     | 779,972               | 404,972               |
| Agarapatana Plantations Limited | 200,000               | 200,000               |
| J.F. Packaging Limited          | 217,230               | 546,870               |
|                                 | 1,259,282             | 1,593,922             |

Comfort letters are provided for SunAgro Farms Ltd., Lankem Consumer Products Ltd., Lankem Exports (Pvt) Ltd., Lankem Research Limited, Lankem Technology Services Ltd., Lankem Chemicals Ltd., Lankem Paints Ltd and Nature's Link Limited by Lankem Ceylon PLC.

A Comfort letter has been provided for Marawila Resorts PLC by Colombo Fort Hotels Ltd.

(iv) C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

| As at 31st March,                           | 2022<br>Rs. Million | 2021<br>Rs. Million |
|---------------------------------------------|---------------------|---------------------|
| Ceymac Rubber Company Limited               | 99                  | 99                  |
| Ceytra (Private) Limited                    | 8                   | 8                   |
| Kelani Valley Canneries Limited             | 90                  | 90                  |
| Sunquick Lanka Properties (Private) Limited | -                   | 90                  |
|                                             | 197                 | 287                 |
| <b>Short term loan facilities;</b>          |                     |                     |
| Ceymac Rubber Company Limited               | 76                  | 85                  |
| Kelani Valley Canneries Limited             | 70                  | 57                  |
|                                             | 146                 | 142                 |

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited, Kelani Valley Canneries Limited and Sunquick Lanka Properties (Private) Limited for short-term loan facilities/temporary bridging short term loan facility, where repayment terms are less than 12 months

(v) Agarapatana Plantations Limited

A "Writ Application" was instituted by the RPC's in the Court of Appeal seeking an interim order, staying and /or suspending the operation of the Gazette issued on 5th March 2021 by the Wages Board declaring the wage rate of Tea / Rubber workers as Rs.1,000/- per day.

As at the date of the Statement of financial position, this matter was under the purview of the Court of Appeal. The estimated retirement benefit obligation liability considering the gazetted daily wage rate would increase by Rs. 163 Mn of which Rs. 8 Mn may be charged to Profit or Loss and Rs. 155 Mn may be charged to Other Comprehensive Income for the year ended 31st March 2022. Subsequent to the date of the statement of financial position on, 9th August 2022 the Court of Appeal has declined to issue the interim order prayed for above. Consequent to this decision, RPCs at its meeting held on 29th August 2022 in consultation with lawyers decided to appeal against the judgement of the Court of Appeal. Accordingly, the Board of Directors of Agarapatana Plantations Limited has resolved to appeal against the judgement.

(vi) Kotagala Plantations PLC

The Ceybank and the National Savings Bank filed an action in the year 2020 against the Company, in which Company intends to set off the commercial paper liability owed to CeyBank Asset Management Ltd against the Unit Trust Investments with the same party valued as of May 19, 2020 listed market price of the Units. The difference will be settled to Ceybank Asset management Ltd no sooner the set off is decided by CeyBank Asset Management Ltd in due course.

The Company is confident of a successful completion of this action favourably whilst making a cross claim against the Plaintiffs. However upon reaching the settlement proposed by the Company, the proceeds from the Unit Trust Investments will be utilised to settle the commercial paper and the balance will also be settled in due course.

**Gazette Notification on Cultivation of Oil Palm**

The Government of Sri Lanka through its gazette notification 2222/13 dated 5th April 2021 has directed to systematically remove the Oil Palm cultivation and nurseries already launched and utilise about 10% of the land under Oil Palm cultivation yearly for rubber planting or any other cultivation conducive to conservation of water resources.

The Management is of the view that further direction and guidance are required from the respective authorities in order to comply with the requirement of the said gazette. Hence no adjustments have been incorporated to the financial statements for the year ended 31st March 2022 in this regard due to unavailability of further guidance issued by respective industry associations and authorities to comply with the instructions given by the gazette notification.

# Notes to the Financial Statements contd.

## ***Gazetted Increase in Daily Wage Rate***

A "Writ Application" was instituted by the RPC's in the Court of Appeal seeking an interim order, staying and /or suspending the operation of the Gazette issued on 5 th March 2021 by the Wages Board declaring the wage rate of Tea / Rubber workers as Rs. 1,000/- per day.

As at the date of the Statement of financial position, this matter was under the purview of the Court of Appeal. The estimated retirement benefit obligation liability considering the gazetted daily wage rate would increase by Rs. 90 Mn of which Rs. 5 Mn may be charged to Profit or Loss and Rs. 85 Mn may be charged to Other Comprehensive Income for the year ended 31 st March 2022.

Subsequent to the date of the statement of financial position on, 9 th August 2022 the Court of Appeal has declined to issue the interim order prayed for above. Consequent to this decision, RPCs at its meeting held on 29 th August 2022 in consultation with lawyers decided to appeal against the judgement of the Court of Appeal. Accordingly, the Board of Directors of Kotagala Plantations PLC has resolved to appeal against the judgement.

## **37 GOING CONCERN**

### **GROUP**

Directors of the below Subsidiary Companies are confident that the financial position of the following subsidiaries of the Group will significantly improve during the year 2021/22 as a result of expected better financial performance . Accordingly, the Directors of the Companies are of the view that the below Subsidiaries are able to continue as a going concern and the Financial Statements have been prepared on the assumption on the basis that the Companies are going concern.

#### **(i) Lankem Developments PLC (LDPLC)**

Lankem Developments PLC, a subsidiary current liabilities exceeds its current assets by Rs.700.2million (2021:Rs.349 million). Its accumulated losses as of 31st March 2022 was Rs. 780.9 Mn (2021: Rs. 880.8 Mn). This factor raised concerns over the appropriateness of the use of going concern assumption of the preparation of financial statements of the Company. However, the Board of Directors of the Company has determined that the use of going concern assumption in the preparation of financial statements of the Company for the year ended 31st March 2022 is appropriate based on the following factors

LDPLC's principal operation is to manage its investments portfolio. Carrying amount of the investment in Agarapatana Plantations Limited ("APL") represents approximately 95% of the carrying value of the Company's investment in subsidiaries. The Company has recognized a reversal of Rs.139.4Mn (2021: Rs 45.9 Mn) on the impairment of its investment in APL for the year ended 31st March 2022.

The management of APL has taken several steps to improve its profitability which comprises of investment initiatives on mechanization relating to plucking process to overcome the issue of worker shortage and proper application of agricultural inputs . Actions taken by the management of APL together with the positive market conditions have already resulted in a substantial improvement in the operational results of APL for the year ended 31st March 2022.

As such, a further reversal of the impairment provision made against the investment in subsidiary APL will make an improvement in the future profitability and the accumulated loss situation of the Company. Additionally, the Board has already negotiated with related parties to whom the Company has short term payable balances with regard to the settlement of them in a manner that would not affect the liquidity situation of the Company

#### **(ii) Agarapatana Plantations Limited (APL)**

These financial statements are prepared on the assumption that the company is a going concern, i.e. as continuing in operation for the foreseeable future. It is therefore assumed that the company has neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations. However, as of the Statement of Financial Position date, the company's current liabilities exceeded its current assets by Rs. 1,481.8Mn/- (2021 - Rs. 2,060.1Mn).

After reviewing the financial position and cash flow of the Company the Board of Directors are of the belief that the Company has adequate resources to continue company operation well into the foreseeable future.

The directors of the company are confident that the financial position of the company will significantly improve during the year 2022/23 as a result of the profitable performance achieved during last two years. The significant reduction in the working capital deficit by Rs.578 Mn during the current year is evident that the company was able to generate profitable cash flows, The fact that the tea industry strongly believe that the current prices will remain firm in the next year too and based on the following action plans appended below it could be fairly justified that the working capital position will be well improved in the near future.

The Company has successfully restructured the BOC loans, by utilizing the Escrow Reserve balance of Rs. 67Mn to settle a term loan of Rs. 47 Mn and the balance of Rs. 20 Mn was utilised for working capital purposes. Further, BOC granted a term loan facility of Rs. 75 Mn for the procurement of plucking machines towards the cost-effective improvements in harvesting.

The management has committed to bring in significant savings in the cost of harvesting by introducing machine plucking, with an increase in the production at a reduced labour cost which accounts for 60% of the COP. In this regard the management has strategized for 30% of the plucking extent to be mechanized within the next two years.

The Company has successfully implemented the first phase of the mechanized plucking during the year 2020/21, whereby almost 165 machines were already in operation.

Machine plucking operates by way of two pucker per machine, harvesting at the rate of 35 to 50 Kgs per pluckier per day, with a norm of 30 to 40 Kgs and the over kilos are paid at Rs.30/-, whereas manual plucking average is 16 Kgs per plucker with a norm of 18 Kgs and the over kilos are paid at Rs.40/- . The Company has lost a fair number of workers due to retirement etc and as such, currently the required plucking rounds cannot be undertaken due to shortage of workers, which will be mitigated by mechanized plucking.

The management's stringent operational policy on labour management has been successfully implemented and followed by the estate management during the year 2021/22, whereby each estate should maintain the total monthly wage bill to a maximum of 60% of revenue. The Board of Directors of Lankem Tea & Rubber Plantations (Pvt) Ltd, Managing Agents have decided to extend the moratorium placed on Management Fees for the coming financial year too.

Further during the year 2021/22, the related party debts amounting to Rs.459 Mn has been converted to equity capital to further strengthen the capital structure of the company.

#### **(iii) Wavely Power (Pvt) Limited**

The Board of Directors also believe that the 'Waverly Power (Pvt) Ltd, a subsidiary of the group, operates in the power generation sector, which has reported net assets of Rs. 93.5 Mn for the year will continue to perform well and further improves the company and group net assets in coming years. WPL is currently having a power purchase agreement with CEB for 20 years.

#### **(iv) Kotagala Plantations PLC (KPPLC)**

KPPLC the Group/ the Company has, accumulated losses amounting to LKR 887 million and LKR 822 Million respectively. Further KPPLC Group/Company's current liabilities exceeded its current assets by LKR 2,587 million and LKR 2,586 million respectively as at the reporting date. And KPPLC Group and Company has loans and borrowings of Rs.1,218 million due within 12 months from 31st March 2022. The Group and the Company has also incurred negative operational cash flows of Rs. 371 million and Rs.340 million respectively for the year ended 31st March 2022.

Management has made an assessment of the Company's ability to continue as a going concern. The Financial Statements have been prepared on the going concern basis because the management have assessed the sources of funding available and consolidation of core business and growth plans. In assessing the appropriateness of the use of going concern basis of accounting in the preparation of financial statements the Board of Directors conducted a comprehensive review of the Company's affairs including, but not limited to:

- The cash flow forecast of the Company for the period up to next 12 months.
- The Company's ability of settling the outstanding bank loans, lease rental, statutory payables and other liabilities when they fall due.
- Revenue and profitability forecasts for the Company not limited to next financial year, but having an outlook beyond 31st march 2022
- The continued support of the ultimate parent company.
- Impact of rapid change in macroeconomic factors have been considered as in note 39

Company's rigorous strategies aimed at increase in capacity and quality by timely investing in new machineries, upgrading- factories intend to decrease the losses and therefore the accumulated losses

As a consequence of the above, the Management firmly believe that the Company will be able to continue as a going concern into the foreseeable future and, accordingly, the Financial Statements of the Company have been prepared on a going concern basis without making adjustments that may be required to the recorded assets and the classification of liabilities if the Company is unable to continue as a going concern.

# Notes to the Financial Statements contd.

## (v) Lankem Ceylon PLC (LCPLC)

The Group and the Company has reported accumulated losses of Rs. 1,711.4 Mn (2021- Rs. 2,254.7 Mn) and Rs. 469.8 Mn ((2021-1,073.6 Mn) respectively and current liabilities exceed the current assets by Rs. 2,674.6 Mn (2021-2,236.7 Mn) and Rs. 1,778.9 Mn (2021- Rs. 2,104 Mn) respectively as at 31st March 2022. These financial results shows a promising environment in the business growth compared to previous years. Further, the Company has taken following steps to continue this positive results in the foreseeable future.

1. The Company's pricing strategies of all Divisions have been streamlined to ensure that products and services are not sold below the cost/nor breakeven levels.
2. The stringent cost curtailment will continue to the ensuing financial year to ensure that all overhead costs are minimized.
3. Aggressive marketing strategies have been introduced with a focus to improve the customer awareness and expand on the market share of the product mix in the Paints line of business. This includes the continuous assessment of identifying the correct product mix.
4. The acquisition of ACME is expected to enable the Group to synergise the processes in the packing line of business and improve competitiveness in the packaging industry through innovation.

Considering the expected impact out of these strategies the Board of Directors are confident the Company/Group will continue as a going concern. Accordingly, these financial statements are prepared on a going concern basis.

## (vi) Consolidated Tea Plantations Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. However, the company's current liabilities exceeded its current assets by Rs.1,229 million (2021- Rs.572 million) and net assets are less than half of the stated capital of the company which is a serious loss of capital as per section 220 of the companies Act No 07 of 2007. Further, company revenue generation is mainly depending on dividend income from its subsidiaries. However, there were no dividend income received from its subsidiaries since 2017. The directors are of the opinion that the financial supporting from related parties will mitigate this situation.

- "1) Consolidated Tea Plantations Limited (CTPL) is a strategic intermediary investment company of its Parent namely The Colombo Fort Land and Buildings PLC (CFLB)
- 2) Main business activity of CTPL is to manage portfolio of strategic investments under it with financial backing of CFLB.
- 3) The Board of Directors of The Colombo Fort Land and Buildings PLC ( CFLB) by way of its letter dated 17 September 2021, have entered into a binding commitment to provide the necessary level of financial support to Consolidated Tea Plantations Limited to enable it to pay its obligations as they become due, and believes The Colombo Fort Land and Buildings PLC (CFLB) has the financial resources to fulfill that commitment.
- 4) Further, Board of Directors of Consolidated Tea Plantations Limited noted that Company's current liabilities as at 31 March 2021 comprised with amounts due to related companies and those companies are within the control of The Colombo Fort and Land buildings PLC and therefore, CFLB as the Controlling

Parent to those companies would be able to direct those companies to provide the necessary level of financial support to Consolidated Tea Plantations Limited as and when required by deferring those liabilities as they become due."

Having considered all above, the Board of Directors is satisfied that the company has sufficient capital to continue in operational existence for the foreseeable future and confident that there are no material uncertainties relating to events or conditions that may cast significant doubt on the company's ability to continue as a going concern.

## (vii) Lankem Tea & Rubber Plantations (Private) Limited

The financial statements of the Company have been prepared on the assumption that the Company is a going concern. The Company's main revenue source of management fee is derived from Agarapatana Plantations Limited and Kotagala Plantations PLC. However, due to unfavorable market and industry conditions faced by the Plantation Companies, the Board of Directors of the Company has resolved to suspend the charging of management fee on a temporary basis. Accordingly, there were no revenue generation/ income received since 2016. Therefore, Company is mainly depending on the support from borrowings from the financial institutions and related parties.

#### **(viii) Union Commodities (Private) Limited**

The Board of Directors have made an assessment of the Group's ability to continue as a going concern. The Financial Statements have been prepared on the going concern basis because the management have assessed the sources of funding available and consolidation of core business and growth plans.

The Group has incurred a loss of Rs.957 million during the year ended 31st March 2022 (2021: Rs.316 million) and as of that date, accumulated losses amounted to Rs.2,062 million (2021: Rs.1,125 million). Further, Group's current liabilities exceeded its current assets by Rs.1,020 million (2021: Rs.667 million).

In assessing the appropriateness of the use of going concern basis of accounting in the preparation of financial statements the Board of Directors conducted a comprehensive review of the Group's affairs including, but not limited to:

- The cash flow forecast of the Company for the period up to next 12 months
- The Group's ability of settling the outstanding bank loans, lease rental, statutory payables and other liabilities when they fall due.
- Revenue and profitability forecasts for the Group not limited to next financial year, but having an outlook beyond 31st March 2022, and the continued support of the ultimate Parent Company.
- Impact of rapid change in macroeconomic factors have been considered as in note 35 Further,

Group's rigorous strategies aimed at increase in capacity and quality intend to decrease the losses and therefore the accumulated losses. The workflow of factories are re-invented to keep the minimum stock balance to improve the liquidity. Further, to improve the financial position of the Group the Management have taken several steps such as Restructure of short-term borrowings to long term borrowings and extending of current tenor period with borrowing institutions etc.

As a consequence of the above, the Management firmly believe that the Group will be able to continue as a going concern into the foreseeable future and, accordingly, the Financial Statements of the Group have been prepared on a going concern basis without making adjustments that may be required to the recorded assets and the classification of liabilities if the Group is unable to continue as a going concern.

#### **(ix) York Arcade Holdings PLC**

The Company suspended commercial operations on discontinuance of the lease with The Colombo Fort Land & Building PLC on 31st August 2017. The Board of Directors is currently evaluating the various business opportunities. Therefore, the consideration of going concern is appropriate as the Company will continue the business operations.

#### **(x) Sigiriya Village Hotels PLC**

The Company operates in the tourism sector, which has been significantly affected by the COVID – 19 pandemic. In consideration of the increased spread of COVID-19 in the country seen during the first few months of the financial year, and resultant limiting hotel operating guidelines issued by authorities, the Board of Sigiriya Village Hotel PLC offered the Hotel as temporary quarantine People returning from abroad from August 2020 to November 2021. Sigiriya Village Hotel PLC resumed its normal hotel operations from December 2021.

Further, the present challenging circumstances of the country in the forms of shortage of foreign currency reserves, interruptions to the smooth supply of essential items and utilities, and continuing political instability may create economic uncertainties and thus impact the normal operations of many businesses in the country. In this context, local hospitality establishments face a multitude of challenges in managing daily operations. Among those, major concerns relate to the shortage of essential items, restrictions imposed on imported goods, spiralling cost of inputs and other utilities, disruptions to operations from frequent power outages and scarcity of fuel and gas. The management is closely monitoring the economic environment of the country and the company's operating activities are being accordingly adjusted to ensure its business continuity. Additionally, the company is continuously evaluating and revising selling prices in line with costs.

Accordingly, the Company have been prepared on a going concern basis, following a review of the Company's affairs including but not limited to the revenue, profitability forecasts and cash flow including settlement of liabilities when they fall due for the next financial year and by having an outlook beyond 31st March 2023 based on information available up to the date of approving these financial statements. Accordingly, the Board of Directors is of the view that it is appropriate to prepare these financial statements on a going concern basis. Further, the Board of Directors do not have any intention to liquidate the Company, or to cease their operations in the foreseeable future.

# Notes to the Financial Statements contd.

## (xi) Beruwala Resorts PLC

In determining the basis of preparing the financial statements for the year ended 31 March 2022, based on available information, the management has assessed the existing and anticipated effects of COVID-19 and the Macroeconomic factors on the Group Companies and the appropriateness of the use of the going concern basis. In July 2022, the Group evaluated the resilience of its businesses considering a wide range of factors under multiple stress tested scenarios, relating to expected revenue streams, cost management, profitability, the ability to defer nonessential capital expenditure, debt repayment schedules, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing services to ensure businesses continue as least impacted as possible.

The Directors have made an assessment on the Company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. In determining the above significant management judgements, estimates and assumptions the impact of the COVID 19 pandemic and Macro economic environment in Sri Lanka have been considered as of reporting date and specific considerations have been disclosed under the relevant notes.

Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern and they do not intend either to liquidate or cease operations of the Company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

## (xii) Marawila Resorts PLC

The Company has incurred a loss of Rs.196 million (2021: Rs.112 million) during the year ended 31st March 2022 and as at that date the Company's accumulated losses amounted Rs.744 million (2021: Rs.552 million) and the current liabilities exceeded its current assets by Rs.257 million (2021: Rs.229 million).

Notwithstanding this, the financial statements have been prepared on a going concern basis due to reliance on a letter of support, dated 26th August 2022 provided by the Directors of the parent entity Lankem Ceylon PLC. Through this letter of support the Directors of parent entity undertakes to provide financial assistance to the Company to ensure that it can pay its debts as and when they fall due and payable for a period of at least 12 months from the date of signing these financial statements.

## 38 EVENTS OCCURRING AFTER THE REPORTING DATE

Subsequent to the reporting period, no circumstances have arisen that would require adjustments to/or disclosure in the financial statements other than those disclosed below.

### 38.1 Company

The Company made an assessment on the implications of Surcharge Tax on the Company and the Group, as per the requirements of the Surcharge Tax Act No. 14 of 2022 and concluded that the Company and the Group do not meet the taxable income threshold criteria and thereby liability towards Surcharge Tax does not arise.

### 38.2 Group

#### (i) E.B Creasy & Company PLC

E. B. Creasy & Co PLC subscribed for 24,660,000 shares in the Rights Issue of ACME Printing & Packaging PLC and a further 21,851,641 additional Rights shares. With this, the equity stake held by E. B. Creasy & Co. PLC in ACME Printing & Packaging PLC increased to 57.62%. E. B. Creasy & Co. PLC acting in concert with Lankem Ceylon PLC holds 82.72% in issued shares of ACME Printing & Packaging PLC after the Rights Issue.

#### (ii) Lankem Ceylon PLC (LCPLC)

##### Restructure of Ownership - J.F. Packaging Limited

The Board of Directors of the Company has entered into preliminary discussion with the Board of ACME Printing & Packaging PLC to negotiate a sale of the controlling stake of 51% or above of J.F. Packaging Limited's equity to ACME Printing & Packaging PLC. However, no terms of the transaction is finalised upto the date.

##### Dilution of Control of ACME Printing & Packaging PLC

ACME Printing and Packaging PLC, a subsidiary of the Company made a Rights Issue of 123,485,739 Ordinary Shares at a price of Rs.4.50 per Share to the holders of the Issued Ordinary Shares of ACME Printing and Packaging PLC as at the end of trading on 28th June 2022.

The Company did not subscribe to the rights issue made by the Subsidiary. Accordingly, the Company's equity stake in ACME Printing and Packaging PLC was reduced to 25.1% subsequent to the Rights Issue of Shares. However, the Company's related party E.B. Creasy & Company PLC increased its control to 57.62% of ACME Printing and Packaging PLC after the Rights Issue.

### (iii) C.W. Mackie PLC

The Directors of C. W. Mackie PLC have recommended the payment of a First and Final Dividend dividend of Rs.10.00 per ordinary share amounting to Rs.359,885,560/- for the year ended 31 March 2022 for approval by the shareholders at the Annual General Meeting held on 28 July 2022. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this proposed dividend has not been recognised as a liability as at 31 March 2022.

## 39 ECONOMIC CONSIDERATIONS

The ongoing economic crisis in the Country has increased the estimation uncertainty in the preparation of Financial Statements. The estimation uncertainty is associated with the extent and duration of the expected economic downturn (and forecasts for key economic factors including GDP and employment). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, increasing unemployment, declines in consumer discretionary spending, reductions in production because of decreased demand, and other restructuring activities; and the effectiveness of Government and Central Bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

As the situation is evolving, the effects of these challenges are subject to uncertainty, with the full range of possible effects currently unknown. However, the management is vigilant on social and economic variables, and will continue to monitor and assess the impact and likelihood of both risks and opportunities.

### Plantation Sector

Since March 2022, the impact on cash flows considerably improved with the higher tea prices and rubber prices gained in auctions due to depreciation of rupee and demand exceeding the supply resulted from relatively lower tea crop in first quarter in 2022, with similar trend is envisaged during the short term period of future inflation. Prices of Inputs such as fertilizer, packing materials, fuel etc. resulted in an increase in the cost of production to some extent. However, increase in sales prices exceeding the increase in running costs mainly arose from outsourced material and with brought forward buffer stock of fertilizer, fuel, and packing material prior to price hikes shielding the companies to control the cost escalations to a limited extent, survive logistics and supply chain challenges to a certain extent during market shortages. These net gains were used to strengthen the working capital. The GOSL decision of Reversal of chemical fertilizer ban, possible re-introduction of fertilizer subsidy and low interest loans scheme for fertilizer purchase & replanting will further reduce the impact in future.

The Management closely monitor and develop mitigating strategies for potential downside risks to the business that can arise due to rapid changes in macro-economic factors and will continue to strengthen the working capital, humanitarian sustainability initiative and cost mitigating factors to continue the business operations without any disruption, while timely addressing the new opportunities and threats arising from the situation.

### Investment Holding

The Company along with the investment companies in the Group will face certain amount of decline in the coming year in respect of its equity portfolio which consists a majority of listed stocks that are subject to market movements. Even though this does pose a challenge, the Group has the option to hold these stocks without realising the profits therefore mitigating such risks.

### Leisure Sector

The Country is currently facing challenging circumstances. The shortage of foreign currency reserves, interruptions to the smooth supply of essential items and utilities and continuing political instability may create economic uncertainties and thus impact the normal operations of many businesses. In this context, local hospitality establishments face a multitude of challenges in managing daily operations. Among those, major concerns relate to the shortage of essential items, restrictions imposed on imported goods, spiralling cost of inputs and other utilities, disruptions to operations from frequent power outages and scarcity of fuel and gas. The Management closely monitor and develop mitigating factors for potential downside risks to the business that can arise due to rapid changes in macro-economic factors in order to ensure its business continuity.

### Trading Sector

The lock down restrictions imposed from time to time as a measure to control the spread of the Covid 19 pandemic and the challenges imposed from the macroeconomic front caused disruptions to the business operations and delays in recovery of debts. However, the Group's overall business was not significantly impacted. No significant increase in credit risk was identified in respect of receivables.

The retail trade sector which relies on imports also faced significant challenges due to supply chain disruptions, depreciation of exchange rates, import restrictions and declining real income levels of consumers. Further, as a nation we are facing challenges such as depleting of foreign currency reserves, shortage of essential supplies and increase in policy rates. These factors will have an adverse impact on the overall business activities and operations of the Group. In order to mitigate such risks, the Group procured adequate inventory to see through to

## Notes to the Financial Statements contd.

next few months, adopted strict cost conservation methods, focused on cash sales and limiting credit sales only to a very limited number of customers, fast track local sourcing and secured funding lines to manage possible liquidity issues. Further, the Group is highly focusing on securing export income from commodity trading business while enhancing the export customer base mainly to overcome dollar liquidity challenges and while take timely price revisions to mitigate the exposure of future rupee evaluation. Towards mitigating this risk, Group Treasury is deeply analysing the foreign exchange market and working closely with relevant financial institutions and other stakeholders.

### 40 NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

| As at 31st March,               | 2022              |                   |                   | 2021              |                   |                   |
|---------------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
|                                 | Trading           | Leisure and Other | Plantation        | Trading Companies | Leisure and Other | Plantation        |
|                                 | Rs.'000           | Rs.'000           | Rs.'000           | Rs.'000           | Rs.'000           | Rs.'000           |
| Revenue                         | 49,148,396        | 1,736,587         | 7,983,311         | 40,272,534        | 1,655,052         | 7,498,494         |
| Operating Profit / (Loss)       | 4,209,241         | (99,420)          | 920,435           | 3,738,217         | (89,911)          | (316,900)         |
| Finance Cost                    | (2,414,918)       | (414,858)         | (528,434)         | (1,743,316)       | (191,079)         | (654,886)         |
| Income Tax                      | (599,693)         | 3,114             | 51,865            | (582,038)         | (19,006)          | 42,212            |
| Profit/ Loss After Tax          | 1,194,630         | (511,164)         | 443,866           | 1,412,863         | (299,996)         | (929,574)         |
| Total Comprehensive Income      | 2,241,934         | (284,737)         | 1,325,139         | 2,596,190         | (238,675)         | (921,689)         |
| Profit/ (Loss) allocated to NCI | 948,987           | (123,495)         | 593,917           | 994,348           | (150,817)         | (64,391)          |
| Non Current Assets              | 15,823,803        | 4,693,056         | 9,747,048         | 13,590,020        | 4,702,017         | 10,006,336        |
| Current Assets                  | 26,077,769        | 2,553,697         | 2,856,998         | 22,266,811        | 2,216,129         | 3,302,236         |
| <b>Total Assets</b>             | <b>41,901,572</b> | <b>7,246,653</b>  | <b>12,604,046</b> | <b>35,856,831</b> | <b>6,918,146</b>  | <b>13,308,572</b> |
| Non Current Liabilities         | 8,404,343         | 1,811,105         | 5,262,344         | 8,037,731         | 1,606,469         | 5,745,160         |
| Current Liabilities             | 27,287,777        | 4,629,609         | 9,704,726         | 22,866,154        | 3,476,722         | 10,966,325        |
| <b>Total Liabilities</b>        | <b>35,692,120</b> | <b>6,440,714</b>  | <b>14,967,070</b> | <b>30,903,885</b> | <b>5,083,191</b>  | <b>16,711,485</b> |

## Names of Significant Subsidiaries With Material Non Controlling Interest (NCI)

| Names of Significant Subsidiaries with Material Non Controlling Interest (NCI) |                                                              | NCI Effective Holding |        |
|--------------------------------------------------------------------------------|--------------------------------------------------------------|-----------------------|--------|
| As at 31st March,                                                              | Principal Place of Business                                  | 2022                  | 2021   |
| Trading Companies                                                              |                                                              |                       |        |
| E. B. Creasy & Company PLC                                                     | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 40.09%                | 40.09% |
| Lankem Ceylon PLC                                                              | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 27.34%                | 34.94% |
| Colonial Motors (Ceylon) Limited                                               | 297, Union Place, Colombo 02                                 | 44.17%                | 44.17% |
| C M Holdings PLC                                                               | 297, Union Place, Colombo 02                                 | 34.32%                | 34.48% |
| Muller & Phipps (Ceylon) PLC                                                   | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 69.27%                | 69.27% |
| Pettah Pharmacy (Private) Limited                                              | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 69.27%                | 69.27% |
| E. B. Creasy Logistics Limited                                                 | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 40.09%                | 40.10% |
| Darley Butler & Company Limited                                                | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 40.09%                | 40.09% |
| Candy Delights Limited                                                         | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 40.09%                | 40.09% |
| Laxapana Batteries PLC                                                         | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 59.10%                | 59.04% |
| C. W. Mackie PLC                                                               | No. 36, D.R.Wijewardena Mawatha, Colombo 10                  | 57.93%                | 62.14% |
| Lankem Paints Limited                                                          | No. 98, Sri Sangaraja Mawatha, Colombo 10                    | 27.34%                | 34.94% |
| Lanka Special Steels Limited                                                   | No. 53A, Ward Place, Colombo 07                              | 40.09%                | 40.09% |
| Ceylon Tapes (Private) Limited                                                 | No. 10/2 Raja Mawatha, Kanuwana, Ekala, Ja-ela.              | 13.00%                | 16.62% |
| ACME Printing and Packaging PLC                                                | No.318, Gonamaditta Road, Piliyandala                        | 45.89%                | 0.00%  |
| J.F. Packaging Limited                                                         | No. 306, Minuwangoda Road, Kotugoda.                         | 27.34%                | 34.94% |
| Leisure and Other                                                              |                                                              |                       |        |
| Sigiriya Village Hotels PLC                                                    | Sigiriya                                                     | 55.01%                | 57.34% |
| Marawila Resorts PLC                                                           | Thalwilawella, Thoduwawa, Marawila                           | 61.08%                | 64.09% |
| Colombo Fort Hotels Limited                                                    | 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01 | 28.59%                | 34.15% |
| Galle Fort Hotel (Private) Limited                                             | Galle                                                        | 28.59%                | 34.15% |
| Baruwala Resorts PLC                                                           | Moragalla, Beruwala                                          | 46.66%                | 50.64% |
| BOT Hotel Services (Private) Limited                                           | 8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01 | 41.00%                | 45.48% |
| Waverly Power (Private) Limited                                                | Agarapatana - Nuwara Eliya District                          | 42.27%                | 46.68% |
| Plantation                                                                     |                                                              |                       |        |
| Kotagala Plantations PLC                                                       | 53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01             | 51.34%                | 44.37% |
| Agarapatana Plantations Limited                                                | 53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01             | 56.32%                | 59.42% |
| Lankem Development PLC                                                         | No .98, Sri Sangaraja Mawatha, Colombo 10                    | 53.80%                | 55.76% |
| Lankem Tea & Rubber Plantations (Private) Limited                              | 53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01             | 13.16%                | 16.82% |

# Notes to the Financial Statements contd.

## 41. OPERATING SEGMENTS

|                                              | Trading of Consumer Products |             |            | Trading of Industrial Products |           |           | Leisure   |            |           | Plantations |             |             | Others |        |        | Total  |        |
|----------------------------------------------|------------------------------|-------------|------------|--------------------------------|-----------|-----------|-----------|------------|-----------|-------------|-------------|-------------|--------|--------|--------|--------|--------|
|                                              | 2022                         |             | 2021       | 2022                           |           | 2021      | 2022      |            | 2021      | 2022        |             | 2021        | 2022   |        | 2021   | 2022   |        |
|                                              | Rs:000                       | Rs:000      | Rs:000     | Rs:000                         | Rs:000    | Rs:000    | Rs:000    | Rs:000     | Rs:000    | Rs:000      | Rs:000      | Rs:000      | Rs:000 | Rs:000 | Rs:000 | Rs:000 | Rs:000 |
| As at 31st March,                            |                              |             |            |                                |           |           |           |            |           |             |             |             |        |        |        |        |        |
| Revenue                                      | 34,931,692                   | 28,541,333  | 14,216,704 | 11,731,201                     | 667,250   | 431,708   | 7,983,311 | 7,498,494  | 1,175,658 | 1,345,873   | 58,974,615  | 49,548,609  |        |        |        |        |        |
| Inter Segment Eliminations                   | (7,095,249)                  | (5,950,904) | (120,932)  | (83,790)                       | 26,226    | (1,029)   | -         | -          | (228,397) | (281,367)   | (7,418,352) | (6,317,090) |        |        |        |        |        |
| Revenue from External Customers              | 27,836,443                   | 22,590,429  | 14,095,772 | 11,647,411                     | 693,476   | 430,679   | 7,983,311 | 7,498,494  | 947,261   | 1,064,506   | 51,556,263  | 43,231,519  |        |        |        |        |        |
| Segment Results after Eliminations           | 2,037,549                    | 2,106,258   | 1,049,294  | 667,680                        | (2,359)   | (153,149) | 961,218   | 857,438    | (141,149) | (357,186)   | 3,904,553   | 3,121,040   |        |        |        |        |        |
| Gain from Bargain Purchase                   | -                            | -           | -          | -                              | -         | -         | -         | -          | -         | -           | -           | -           |        |        |        |        |        |
| Finance Expenses                             | (1,749,147)                  | (911,245)   | (665,771)  | (832,071)                      | (357,782) | (115,356) | (528,434) | (654,886)  | (83,379)  | (90,228)    | (3,384,513) | (2,603,786) |        |        |        |        |        |
| Share of Results of Associate                | -                            | -           | -          | -                              | -         | -         | -         | -          | 11,663    | 26,461      | 11,663      | 26,461      |        |        |        |        |        |
| Share of Results of Joint Venture            | (127,808)                    | (50,516)    | -          | -                              | -         | -         | -         | -          | -         | -           | (127,808)   | (50,516)    |        |        |        |        |        |
| Profit Before Tax                            | 160,593                      | 1,144,496   | 383,523    | (164,391)                      | (360,141) | (268,505) | 432,784   | 202,552    | (212,865) | (420,953)   | 403,895     | 493,198     |        |        |        |        |        |
| Taxation                                     | (496,876)                    | (410,589)   | (102,817)  | (171,449)                      | 26,917    | (1,770)   | 51,864    | 42,212     | (31,283)  | (6,275)     | (552,195)   | (547,871)   |        |        |        |        |        |
| Profit for the Year                          | (336,283)                    | 733,908     | 280,706    | (335,840)                      | (333,224) | (270,275) | 484,649   | 244,764    | (244,147) | (427,228)   | (148,300)   | (54,673)    |        |        |        |        |        |
| Equity Holders of the Parent                 | (485,250)                    | 356,542     | 13,188     | (682,509)                      | (80,125)  | (31,588)  | 458,441   | 290,171    | (257,544) | (450,099)   | (351,290)   | (517,484)   |        |        |        |        |        |
| Non Controlling Interest                     | 148,967                      | 377,365     | 267,518    | 346,669                        | (253,099) | (238,687) | 26,207    | (45,407)   | 13,397    | 22,871      | 202,991     | 462,811     |        |        |        |        |        |
| Total                                        | (336,283)                    | 733,908     | 280,706    | (335,840)                      | (333,224) | (270,275) | 484,649   | 244,764    | (244,147) | (427,228)   | (148,300)   | (54,673)    |        |        |        |        |        |
| Depreciation and amortisation                | 417,154                      | 425,700     | 243,242    | 251,804                        | 118,313   | 124,917   | 528,164   | 568,270    | 48,147    | 52,323      | 1,355,019   | 1,423,013   |        |        |        |        |        |
| Property, Plant & Equipments - Additions     | 1,313,245                    | 530,923     | 317,280    | 142,956                        | 106,850   | 81,115    | 420,585   | 470,583    | 19,197    | 10,905      | 2,177,156   | 1,236,481   |        |        |        |        |        |
| <b>Non-Current Assets</b>                    |                              |             |            |                                |           |           |           |            |           |             |             |             |        |        |        |        |        |
| Property, Plant & Equipment                  | 8,550,461                    | 7,117,501   | 3,724,773  | 3,250,613                      | 4,963,748 | 4,767,589 | 5,596,644 | 6,014,053  | 263,311   | 330,822     | 23,098,939  | 21,480,578  |        |        |        |        |        |
| Leasehold Properties                         | -                            | -           | -          | -                              | -         | -         | 791,083   | 816,818    | -         | -           | 791,084     | 816,819     |        |        |        |        |        |
| Right to use of Assets                       | 472,776                      | 529,124     | 138,582    | 134,891                        | 45,703    | 41,390    | -         | -          | 40,554    | 20,879      | 697,616     | 726,285     |        |        |        |        |        |
| Investment Properties                        | 1,492,625                    | 1,180,823   | 345,148    | 84,716                         | 181,551   | 181,551   | -         | -          | 799,851   | 803,297     | 2,819,176   | 2,250,388   |        |        |        |        |        |
| Biological Assets                            | -                            | -           | -          | -                              | -         | -         | 3,133,550 | 2,949,827  | -         | -           | 3,133,550   | 2,949,827   |        |        |        |        |        |
| Investment in Associates & Joint Venture     | 163,547                      | 291,249     | -          | -                              | -         | -         | -         | -          | 366,940   | 416,815     | 530,487     | 708,064     |        |        |        |        |        |
| Other Long-Term Investments                  | 419,148                      | 474,173     | 2,019      | 2,271                          | 973       | 213       | 225,772   | 225,639    | 6,662     | 5,258       | 654,571     | 707,555     |        |        |        |        |        |
| Retirement Benefit Obligations - Plan Assets | 38,543                       | 35,228      | 46,017     | 32,769                         | -         | -         | -         | -          | -         | -           | 84,560      | 67,997      |        |        |        |        |        |
| Deferred Tax Assets                          | 239,119                      | 397,672     | 308,310    | 278,025                        | -         | -         | -         | -          | 10,125    | 15,035      | 557,554     | 690,732     |        |        |        |        |        |
|                                              | 11,376,218                   | 10,025,770  | 4,564,849  | 3,783,285                      | 5,191,975 | 4,990,743 | 9,747,049 | 10,006,337 | 1,487,443 | 1,592,106   | 32,367,535  | 30,398,245  |        |        |        |        |        |

**41. OPERATING SEGMENTS (CONTD.)**

| As at 31st March,              | Trading of Consumer Products |           | Trading of Industrial Products |           | Leisure   |           | Plantations |           | Others  |         | Total      |            |
|--------------------------------|------------------------------|-----------|--------------------------------|-----------|-----------|-----------|-------------|-----------|---------|---------|------------|------------|
|                                | 2022                         | 2021      | 2022                           | 2021      | 2022      | 2021      | 2022        | 2021      | 2022    | 2021    | 2022       | 2021       |
|                                | Rs.'000                      | Rs.'000   | Rs.'000                        | Rs.'000   | Rs.'000   | Rs.'000   | Rs.'000     | Rs.'000   | Rs.'000 | Rs.'000 | Rs.'000    | Rs.'000    |
| Goodwill                       |                              |           |                                |           |           |           |             |           |         |         | 669,701    | 529,377    |
| Income Tax Recoverable         | 32,066                       | 49,160    | 42,937                         | 44,636    | 714       | 677       | 4,164       | 4,164     | 9,562   | 5,625   | 89,443     | 104,262    |
| <b>Non-Current Liabilities</b> |                              |           |                                |           |           |           |             |           |         |         |            |            |
| Interest-Bearing Borrowings    | 4,060,216                    | 2,495,159 | 2,318,948                      | 3,389,474 | 1,112,920 | 804,518   | 2,404,108   | 2,479,995 | 321,702 | 149,549 | 10,217,894 | 9,318,695  |
| Capital Grants                 | 4,582                        | 5,233     | 470                            | 790       | -         | -         | 520,698     | 520,502   | -       | -       | 525,750    | 526,525    |
| Deferred Tax Liabilities       | 701,813                      | 671,478   | 170,802                        | 83,072    | 479,023   | 496,785   | 548,439     | 299,691   | 186,189 | 204,703 | 2,086,266  | 1,755,729  |
| Retirement Benefit Obligations | 918,252                      | 1,105,387 | 229,260                        | 281,676   | 43,295    | 46,919    | 1,789,099   | 2,444,972 | 25,807  | 30,582  | 3,005,714  | 3,909,536  |
| Rent Received in Advance       | -                            | -         | -                              | -         | -         | -         | -           | -         | -       | -       | -          | -          |
|                                | 5,684,863                    | 4,277,257 | 2,719,480                      | 3,755,012 | 1,635,238 | 1,348,222 | 5,262,344   | 5,745,160 | 533,698 | 384,834 | 15,835,624 | 15,510,485 |
| <b>Current Liabilities</b>     |                              |           |                                |           |           |           |             |           |         |         |            |            |
| Income Tax Payables            | 163,716                      | 155,974   | 95,709                         | 92,474    | 37,811    | 38,460    | 104,224     | 93,848    | 102,411 | 79,388  | 503,872    | 460,144    |

# Group Financial Summary

| As at 31st March,                     | SLFRS        |              |              |              |              |              |              |              |              |              |
|---------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
|                                       | 2022         | 2021         | 2020         | 2019         | 2018         | 2017         | 2016         | 2015         | 2014         | 2013         |
|                                       | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      | Rs.'000      |
|                                       |              |              |              |              |              |              | Restated     | Restated     | Restated     |              |
| <b>TRADING RESULTS</b>                |              |              |              |              |              |              |              |              |              |              |
| Group Revenue                         | 51,556,263   | 43,231,519   | 36,230,793   | 41,689,356   | 43,293,386   | 41,016,474   | 36,860,104   | 35,384,600   | 35,029,794   | 29,918,015   |
| Profit/(Loss) before Tax              | 403,895      | 493,199      | (3,708,626)  | (3,360,071)  | (155,716)    | (916,447)    | (518,466)    | 85,726       | 53,749       | 1,596,841    |
| Income Tax Expense                    | (552,195)    | (547,871)    | 2,377        | 195,450      | (152,561)    | (161,816)    | (161,751)    | (334,213)    | (329,384)    | (396,877)    |
| Profit/(Loss) for the Period          | (148,300)    | (54,672)     | (3,706,249)  | (3,164,621)  | (308,277)    | (1,078,263)  | (680,217)    | (248,487)    | (275,635)    | 1,199,964    |
| Other Comprehensive Income            | 2,048,994    | 674,170      | (176,665)    | 4,884,082    | (227,573)    | 339,965      | 224,102      | 58,039       | (142,790)    | (229,597)    |
| <b>Attributable to :</b>              |              |              |              |              |              |              |              |              |              |              |
| Equity Holders of the Parent          | 617,539      | (109,995)    | (3,100,616)  | 511,909      | (609,384)    | (740,430)    | (236,610)    | 208,795      | (94,546)     | 647,598      |
| Non - Controlling Interest            | 1,283,155    | 729,494      | (782,298)    | 1,207,552    | 73,534       | 2,132        | (219,505)    | (399,243)    | (323,879)    | 322,769      |
|                                       | 1,900,694    | 619,498      | (3,882,914)  | 1,719,461    | (535,850)    | (738,298)    | (456,115)    | (190,448)    | (418,425)    | 970,367      |
| <b>CAPITAL EMPLOYED</b>               |              |              |              |              |              |              |              |              |              |              |
| Stated Capital                        | 927,000      | 730,368      | 730,368      | 327,000      | 327,000      | 327,000      | 327,000      | 327,000      | 327,000      | 327,000      |
| Capital Reserves                      | 20,058       | 20,058       | 20,058       | 20,058       | 20,058       | 20,058       | 20,058       | 20,058       | 20,058       | 20,058       |
| Revenue Reserves                      | 2,966,249    | 2,066,618    | 2,188,359    | 5,181,961    | 4,779,872    | 6,539,747    | 7,358,967    | 7,717,790    | 7,477,502    | 7,477,502    |
|                                       | 3,913,307    | 2,817,044    | 2,938,785    | 5,529,019    | 5,126,930    | 6,886,805    | 7,706,025    | 8,064,848    | 7,824,560    | 7,824,560    |
| Non - Controlling Interest            | 4,644,964    | 3,706,309    | 3,019,296    | 4,220,461    | 3,159,291    | 4,003,925    | 4,246,250    | 4,443,556    | 4,993,804    | 4,993,804    |
| Total Equity                          | 8,558,271    | 6,523,353    | 5,958,081    | 9,749,480    | 8,286,221    | 10,890,730   | 11,952,275   | 12,508,404   | 12,818,364   | 12,818,364   |
| Total Debt                            | 28,624,023   | 23,670,675   | 23,528,089   | 21,652,546   | 22,893,299   | 19,675,316   | 18,135,808   | 15,064,936   | 12,477,962   | 12,477,962   |
|                                       | 37,182,294   | 30,194,028   | 29,486,170   | 31,402,026   | 31,179,520   | 30,566,046   | 30,088,084   | 27,573,340   | 25,296,326   | 25,296,326   |
| <b>ASSETS EMPLOYED</b>                |              |              |              |              |              |              |              |              |              |              |
| Property, Plant & Equipment           | 23,098,939   | 21,480,579   | 21,784,218   | 24,526,759   | 19,330,577   | 19,440,906   | 18,989,573   | 18,522,474   | 16,039,000   | 16,039,000   |
| Other Non-Current Assets              | 9,970,847    | 9,483,585    | 9,464,555    | 7,147,281    | 5,699,579    | 4,761,462    | 4,485,260    | 4,384,477    | 3,569,478    | 3,569,478    |
| Current Assets                        | 22,678,911   | 18,871,185   | 15,300,504   | 16,999,784   | 19,512,494   | 17,493,433   | 17,012,222   | 16,728,532   | 15,832,651   | 15,832,651   |
| Assets Held for Sale                  | 30,000       | 60,000       | 67,365       | 67,365       | 60,000       | 207,956      |              |              |              |              |
| Liabilities Net of Debt               | (31,384,803) | (27,861,510) | (25,332,555) | (25,292,317) | (24,671,381) | (21,143,353) | (19,478,040) | (17,480,580) | (15,287,631) | (15,287,631) |
|                                       | 24,393,895   | 22,033,840   | 21,284,087   | 23,448,873   | 19,931,269   | 20,760,404   | 21,009,015   | 22,154,903   | 20,153,498   | 20,153,498   |
| <b>CASH FLOW</b>                      |              |              |              |              |              |              |              |              |              |              |
| Net Cash Generated from/(used in) :   |              |              |              |              |              |              |              |              |              |              |
| Operating Activities                  | (1,346,890)  | 1,527,870    | (1,941,991)  | 1,684,826    | (484,935)    | 726,188      | (1,904,014)  | (1,386,736)  | 1,643,947    | (542,829)    |
| Investing Activities                  | (1,172,152)  | (757,357)    | (7,214)      | (1,179,861)  | (2,238,075)  | (1,887,804)  | (1,400,615)  | (3,421,836)  | (1,345,360)  | (3,089,110)  |
| Financing Activities                  | 4,249,319    | 61,88        | 1,537,321    | (1,392,370)  | 2,999,320    | 1,264,414    | 2,303,916    | 2,278,260    | 217,398      | 1,810,567    |
| <b>INVESTOR'S INDICATORS</b>          |              |              |              |              |              |              |              |              |              |              |
| Earnings/(Loss) per Share (Rs.)       | (1.48)       | (2.35)       | (12.08)      | (12.08)      | (2.78)       | (4.89)       | (1.73)       | 0.32         | (0.83)       | 4.12         |
| Net Asset/(Liability) per Share (Rs.) | 16.31        | 15.65        | 30.72        | 30.72        | 28.48        | 38.26        | 42.81        | 44.80        | 43.47        | 43.47        |
| Price Earnings Ratio (Times)          | (8.94)       | (5.49)       | (1.12)       | (1.12)       | (6.91)       | (3.70)       | (11.28)      | 79.83        | -30.73       | 7.04         |
| <b>KEY INDICATORS</b>                 |              |              |              |              |              |              |              |              |              |              |
| Market Value per Share (Rs.)          | 13.20        | 12.90        | 7.10         | 13.50        | 19.20        | 18.10        | 19.50        | 25.20        | 25.50        | 29.00        |
| Market Capitalisation (Rs.'000)       | 3,168,000    | 2,842,345    | 2,430,000    | 2,430,000    | 3,456,000    | 3,258,000    | 3,510,000    | 4,536,000    | 4,590,000    | 5,220,000    |
| Current Ratio (Times)                 | 0.43         | 0.39         | 0.40         | 0.40         | 0.49         | 0.51         | 0.53         | 0.62         | 1.04         | 1.04         |
| Interest Cover                        | 1.12         | 1.19         | 0.03         | 0.03         | 0.94         | 0.57         | 0.67         | 1.06         | 1.03         | 2.40         |

# Share Information

## Distribution of Shareholding

| No. of Shares Held  | As At 31st March 2022 |               |           | As At 31st March 2021 |               |           |
|---------------------|-----------------------|---------------|-----------|-----------------------|---------------|-----------|
|                     | No. of Shareholders   | Total Holding | Holding % | No. of Shareholders   | Total Holding | Holding % |
| 1 - 1,000           | 1,294                 | 389,677       | 0.16      | 1,286                 | 412,769       | 0.19      |
| 1,001 - 10,000      | 713                   | 2,803,458     | 1.17      | 787                   | 3,217,104     | 1.46      |
| 10,001 - 100,000    | 249                   | 7,640,770     | 3.19      | 246                   | 7,203,470     | 3.27      |
| 100,001 - 1,000,000 | 70                    | 21,199,891    | 8.83      | 61                    | 17,412,825    | 7.90      |
| Over 1,000,000      | 22                    | 207,966,204   | 86.65     | 24                    | 192,090,637   | 87.18     |
|                     | 2,348                 | 240,000,000   | 100.00    | 2,404                 | 220,336,805   | 100.00    |

## Analysis of Ordinary Shareholders

|              | As At 31st March 2022 |                |        | As At 31st March 2021 |                |        |
|--------------|-----------------------|----------------|--------|-----------------------|----------------|--------|
|              | No. of Shareholders   | Total Holdings | %      | No. of Shareholders   | Total Holdings | %      |
| Individuals  | 2,166                 | 29,502,856     | 12.29  | 2,248                 | 35,581,705     | 16.15  |
| Institutions | 182                   | 210,497,144    | 87.71  | 156                   | 184,755,100    | 83.85  |
|              | 2,348                 | 240,000,000    | 100.00 | 2,404                 | 220,336,805    | 100.00 |

## PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2022 was 33.66% (2021 – 35.25%)

## PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2022 were 2,330 (2021 – 2,384)

## FLOAT ADJUSTED MARKET CAPITALISATION

The applicable option under Colombo Stock Exchange Rule 7.14.1 (i) (a) on Minimum Public Holding is Option 5 and the Float Adjusted Market Capitalisation as at 31st March 2022 was Rs.1,066,348,800/-

## MARKET VALUE OF SHARES

|                                 | 2021/2022<br>Rs. | 2020/2021<br>Rs. |
|---------------------------------|------------------|------------------|
| Highest                         | 28.90            | 20.00            |
| Lowest                          | 12.00            | 6.80             |
| Market Value as at the Year end | 13.20            | 12.90            |

## NET ASSETS PER SHARE

|            | Rs.  |
|------------|------|
| 31.03.2022 | 9.00 |
| 31.03.2021 | 7.71 |

## Share Information Contd.

### TWENTY MAJOR SHAREHOLDERS

| Position | Full Name of Shareholder                      | 31st March 2022 |                  | 31st March 2021 |                  |
|----------|-----------------------------------------------|-----------------|------------------|-----------------|------------------|
|          |                                               | No.of Shares    | Share Percentage | No.of Shares    | Share Percentage |
| 1        | Property and Investment Holdings (Pvt) Ltd    | 40,153,059      | 16.73%           | 43,094,178      | 19.56%           |
| 2        | Colombo Investment Trust PLC                  | 30,117,969      | 12.55%           | 30,112,969      | 13.67%           |
| 3        | Financial Trust Ltd                           | 27,899,295      | 11.62%           | 7,335,226       | 3.33%            |
| 4        | Colombo Fort Investments PLC                  | 26,727,282      | 11.14%           | 26,668,586      | 12.10%           |
| 5        | Capital Investments Ltd                       | 23,084,375      | 9.62%            | 19,484,375      | 8.84%            |
| 6        | Sampath Bank PLC/ Dr. T. Senthilverl          | 15,410,442      | 6.42%            | 15,410,442      | 6.99%            |
| 7        | Corporate Holdings (Pvt) Ltd A/C No.02        | 9,099,080       | 3.79%            | 9,099,080       | 4.13%            |
| 8        | Seylan Bank PLC/Mr. Arunasalam Sithampalam    | 5,700,000       | 2.38%            | 5,700,000       | 2.59%            |
| 9        | Corporate Holdings (Pvt) Ltd A/C No.01        | 5,185,945       | 2.16%            | 1,978,265       | 0.90%            |
| 10       | Union Investments (Pvt) Ltd                   | 4,300,000       | 1.79%            | 4,300,000       | 1.95%            |
| 11       | Associated Electrical Corporation Ltd         | 2,036,466       | 0.85%            | 2,036,466       | 0.92%            |
| 12       | Mr. Sanjeev Rajaratnam                        | 2,000,000       | 0.83%            | 1,076,133       | 0.49%            |
| 13       | Mr. Nandadeva Perera                          | 1,932,470       | 0.81%            | 2,013,038       | 0.91%            |
| 14       | Jacey Trust Services (Pvt) Ltd-Account No 01  | 1,858,500       | 0.77%            | 1,858,500       | 0.84%            |
| 15       | Mr. Radhakrishnan Maheswaran                  | 1,800,000       | 0.75%            | 1,800,000       | 0.82%            |
| 16       | Miss. Andal Radhakrishnan                     | 1,800,000       | 0.75%            | 1,800,000       | 0.82%            |
| 17       | Miss. Meenambigai Priyadarshini Radhakrishnan | 1,800,000       | 0.75%            | 1,800,000       | 0.82%            |
| 18       | Sandwave Limited                              | 1,736,489       | 0.72%            | -               | -                |
| 19       | Hatton National Bank PLC/Anushman Rajaratnam  | 1,638,766       | 0.68%            | 1,000,000       | 0.45%            |
| 20       | C M Holdings PLC                              | 1,500,000       | 0.62%            | 1,500,000       | 0.68%            |
|          | Total                                         | 205,780,138     | 85.73%           | 178,067,258     | 80.81%           |

## Notes

## Notes

# Notice of Meeting

Notice is hereby given that the One Hundred and Twenty Third Annual General Meeting of The Colombo Fort Land & Building PLC will be held on Friday, 30th September, 2022 at 12.00 noon and conducted as a Virtual Meeting from 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, and the business to be brought before the meeting will be:

1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2022 with the Report of the Auditors thereon.
2. To re-elect Mr. P.M.A. Sirimane who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
3. To re-elect Mr. S. Rajaratnam who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
4. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 04).
5. To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 05).
6. To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 06).
7. To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 07).
8. To reappoint Mr. S.D.R. Arudpragasam as a Director. As Mr. S.D.R. Arudpragasam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a resolution which is set out below in relation to his reappointment (see Note No.8).
9. To authorise the Directors to determine contributions to Charities.
10. To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

By Order of the Board,  
**Corporate Managers & Secretaries (Private) Limited**  
*Managers & Secretaries*

Colombo  
6th September 2022

# Notice of Meeting contd.

## Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty- eight hours before the time fixed for the meeting.
2. Members are encouraged to vote by Proxy through the appointment of a member of the Board of Directors to represent them and vote on their behalf. Members are advised to complete the Form of Proxy and their voting preferences on the specified resolutions to be taken up at the meeting and submit the same to the Company in accordance with the instructions given on the reverse of the Form of Proxy.
3. Please refer the CSE website and the "Circular to Shareholders" dated 6th September 2022 for further instructions relating to the Annual General Meeting and for joining the Meeting virtually.
4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution at the Annual General Meeting of the Company:  
"Resolved –  
That Mr. A.M. de S. Jayaratne who is eighty two years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne."
5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A. Rajaratnam, as an Ordinary Resolution at the Annual General Meeting of the Company:  
"Resolved –  
That Mr. A. Rajaratnam who is eighty one years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A. Rajaratnam."
6. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. R. Seevaratnam, as an Ordinary Resolution at the Annual General Meeting of the Company:  
"Resolved –  
That Mr. R. Seevaratnam who as at the date of the Annual General Meeting would have reached seventy nine years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. R. Seevaratnam."
7. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. C.P.R. Perera as an Ordinary Resolution at the Annual General Meeting of the Company:  
"Resolved –  
That Mr. C.P.R. Perera who is seventy eight years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. C.P.R. Perera."
8. Special Notice has been received by the Company from a shareholder giving notice of the intention to move the following Resolution regarding the reappointment of Mr. S.D.R. Arudpragasam as an Ordinary Resolution at the Annual General Meeting of the Company:  
Resolved –  
"That Mr. S.D.R. Arudpragasam who is seventy one years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of seventy years referred to in Section 210 of the Companies Act No. 7 of 2007 shall not apply to the said Director, Mr. S.D.R. Arudpragasam ".

# Form of Proxy

I/We ..... of .....  
 .....  
 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint .....  
 ..... of .....  
 ..... whom failing

- |                                       |                            |
|---------------------------------------|----------------------------|
| 1. Alagarajah Rajaratnam              | of Colombo or failing him, |
| 2. Sri Dhaman Rajendram Arudpragasam  | of Colombo or failing him, |
| 3. Ajit Mahendra de Silva Jayaratne   | of Colombo or failing him, |
| 4. Ranjeevan Seevaratnam              | of Colombo or failing him, |
| 5. Anushman Rajaratnam                | of Colombo or failing him, |
| 6. Chrisantha Priyange Richard Perera | of Colombo or failing him, |
| 7. Parakrama Maithri Asoka Sirimane   | of Colombo or failing him, |
| 8. Sanjeev Rajaratnam                 | of Colombo,                |

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Twenty Third Annual General Meeting of the Company to be held on Friday, 30th September, 2022 at 12.00 noon and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

|                                                                                                                                                                                                                                                     | For                      | Against                  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| 1. To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March 2022 with the Report of the Auditors thereon.                                                                    | <input type="checkbox"/> | <input type="checkbox"/> |
| 2. To re-elect Mr. P.M.A. Sirimane, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.                                                                                                           | <input type="checkbox"/> | <input type="checkbox"/> |
| 3. To re-elect Mr. Sanjeev Rajaratnam who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.                                                                                                         | <input type="checkbox"/> | <input type="checkbox"/> |
| 4. To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting. | <input type="checkbox"/> | <input type="checkbox"/> |
| 5. To reappoint Mr. A. Rajaratnam as a Director. As Mr. A. Rajaratnam is over 70 years of age, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.                | <input type="checkbox"/> | <input type="checkbox"/> |
| 6. To reappoint Mr. R. Seevaratnam as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.              | <input type="checkbox"/> | <input type="checkbox"/> |
| 7. To reappoint Mr. C.P.R. Perera as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.                | <input type="checkbox"/> | <input type="checkbox"/> |
| 8. To reappoint Mr. S.D.R. Arudpragasam as a Director. As Mr. S.D.R. Arudpragasam is over 70 years of age, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.    | <input type="checkbox"/> | <input type="checkbox"/> |
| 9. To authorize the Directors to determine contributions to charities.                                                                                                                                                                              | <input type="checkbox"/> | <input type="checkbox"/> |
| 10. To reappoint Messrs KPMG, Chartered Accountants, as Auditors and to authorize the Directors to determine their remuneration.                                                                                                                    | <input type="checkbox"/> | <input type="checkbox"/> |

As witness my/our hand(s) this..... day of ..... 2022.

.....  
 Signature of Shareholder

## Note:

1. A proxy need not be a member of the Company.
2. Please indicate with an X in the space provided how your proxy is to vote. If there is in the view of the proxy holder doubt (by reason of the way in which the instructions contained in the proxy have been completed) as to the way in which the Proxy holder should vote, the Proxy holder shall vote as he thinks fit.
3. Instructions as to completion appear on the reverse hereof;

#### **INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY**

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

# Corporate Information

**S.D.R. Arudpragasam** - Chairman  
FCMA (U.K.)  
*(Appointed Chairman w.e.f. 01.07.2022)*

**A. Rajaratnam** - Former Chairman  
FCA  
*(Relinquished the Office of Chairman w.e.f. 30.06.2022)*  
*(Alternate - Anushman Rajaratnam)*

**C.P.R. Perera** - Deputy Chairman  
*(Appointed Deputy Chairman w.e.f. 01.07.2022)*

**Anushman Rajaratnam** - Group Managing Director  
B.Sc. (Hons.), CPA, MBA

**A.M. de S. Jayaratne**  
B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

**R. Seevaratnam**  
B.Sc. (Lond.), FCA (Eng. & Wales), FCA (ICASL)

**P.M.A. Sirimane** - Group Finance Director  
FCA, MBA

**S. Rajaratnam**  
B.Sc., CA

**Name of the Company**  
The Colombo Fort Land & Building PLC

**Legal Form**  
A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

**Company No.**  
PQ172

**Registered Office**  
No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01.

**Stock Exchange Listing**  
The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

**Bankers**  
Commercial Bank of Ceylon PLC  
Standard Chartered Bank  
Hatton National Bank PLC  
Indian Bank  
Sampath Bank PLC

**Auditors**  
Messrs. KPMG, Chartered Accountants

**Legal Advisers**  
Julius & Creasy Attorneys-at-Law

**Tax Advisors**  
Messrs. KPMG, Chartered Accountants

**Managers & Secretaries**  
Corporate Managers & Secretaries (Private) Limited  
No. 8-5/2, Leyden Bastian Road,  
York Arcade Building, Colombo 1.  
Tel: 011 2344485 - 9

Concept & Designed by



**The Colombo Fort Land & Building PLC**  
Annual Report 2021/22